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The European Bathroom & Kitchen Product Markets

- 2021 Edition -



BRG
BUILDING SOLUTIONS

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CP House, 97-107 Uxbridge Road, Ealing, London, W5 5TL, United Kingdom

Tel: +44 (0) 208 832 7860 Fax: +44 (0) 208 566 4931

Email: europe@brgbuildingsolutions.com

Website: www.brgbuildingsolutions.com

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Table of Contents

The Italian Bathroom and Kitchen Market

I.1 Introduction : Bathroom & Kitchen

Background : Italy - Bathroom & Kitchen

II.0	IT - Background	14
II.1	Background : Overview	15
II.2	Key Figures	19
II.3	Macroeconomic Trends and Forecasts	19
II.4	New Dwelling Construction	20
II.5	Dwelling Stock by Type and Tenure	21

Distribution : Italy - Bathroom & Kitchen

III.0	IT - Distribution	22
III.1	Distribution : Bathroom & Kitchen	23
III.2	Summary of Leading Distributors	27

Baths and Shower Trays - Italy

1.0	IT - Baths and Shower Trays	28
1.1	Market Overview : Baths and Shower Trays	29
1.2	Historical Trends and Forecasts	36
1.3.1	Prices and Market Values : Baths and Shower Trays	37
1.3.2	Prices and Market Values : Synthetic Baths	38
1.3.3	Prices and Market Values : Synthetic Shower Trays	39
1.3.4	Price Segmentation : Cast Iron Baths	40
1.3.5	Price Segmentation : Steel Baths	41
1.3.6	Price Segmentation : Synthetic Baths	42
1.3.7	Price Segmentation : Hydromassage Baths	43
1.3.8	Price Segmentation : Ceramic Shower Trays	44
1.3.9	Price Segmentation : Steel/ Cast Iron Shower Trays	45
1.3.10	Price Segmentation : Synthetic Shower Trays	46
1.4.1	End Use : Base Year	47
1.4.2	End Use : Historical and Forecasts	48
1.4.3	Sales by Type : Baths	49
1.4.4	Sales by Shape : Shower Trays	50
1.5.1	Market Shares : Cast Iron Baths	51
1.5.2	Market Shares : Steel Baths	51

1.5.3	Market Shares : Synthetic Baths	52
1.5.4	Market Shares : Hydromassage Baths	52
1.5.5	Market Shares : Ceramic Shower Trays	53
1.5.6	Market Shares : Steel / Cast Iron Shower Trays	53
1.5.7	Market Shares : Synthetic Shower Trays	54
1.6.1/2	Imports & Exports : Cast Iron Baths	55
1.6.3/4	Imports & Exports : Steel Baths	56
1.6.5/6	Imports & Exports : Synthetic Baths / Shower Trays	57
1.7.1/2	Route to Market : Baths	58
1.7.3/4	Consolidated View : Baths	59
1.7.5/6	Route to Market : Shower Trays	60
1.7.7/8	Consolidated View : Shower Trays	61
1.8	Market Revision : Baths and Shower Trays	62
Sanitary Ware - Italy		
2.0	IT - Sanitary Ware	63
2.1	Market Sector Overview : Sanitary Ware	64
2.2.1	Historical Trends and Forecasts : Sanitary Ware	69
2.2.2	Historical Trend and Forecasts: Installation Mod.	70
2.3.1	Prices and Market Values : Sanitary Ware	71
2.3.2	Prices and Market Values by Type : CSW	72
2.3.3	Prices and Market Values by Type of Rim : WCs	73
2.3.4	Prices and Market Values by Type : Conc. Cisterns	74
2.3.5	Prices and Market Values : Non-Ceramic Washbasins	75
2.3.6	Price Segmentation : WCs	76
2.3.7	Price Segmentation : Ceramic Washbasins	77
2.3.8	Price Segmentation : Concealed Plastic Cisterns	78
2.3.9	Price Segmentation : Exposed Plastic Cisterns	79
2.3.10	Price Segmentation : Non Ceramic Washbasins	80
2.4.1	End Use : Base Year	81
2.4.2	End Use : Historical and Forecasts	82
2.5.1	Market Shares : All Ceramic Sanitary Ware	83
2.5.2	Market Shares : WCs	83
2.5.3	Market Shares : Ceramic Washbasins	84
2.5.4	Market Shares : Other Ceramic Sanitary Ware	84
2.5.5	Market Shares : Concealed Plastic Cisterns	85
2.5.6	Market Shares : Exposed Plastic Cisterns	85

2.6.1/2	Imports & Exports : CSW All	86
2.6.3/4	Imports & Exports: Plastic Cisterns	87
2.7.1/2	Route to Market : Ceramic Sanitary Ware	88
2.7.3/4	Consolidated View : Ceramic Sanitary Ware	89
2.7.5/6	Route to Market : Plastic Cisterns	90
2.7.7/8	Consolidated View : Plastic Cisterns	91
2.8	Market Revision : Sanitary Ware	92

Taps and Mixers - Italy

3.0	IT - Taps and Mixers	93
3.1	Market Sector Overview : Taps and Mixers	94
3.2	Historical Trends and Forecasts : Taps and Mixers	99
3.3.1	Prices and Market Values : Taps and Mixers	100
3.3.2	Prices and Market Values by Type : Taps & Mixers	101
3.3.3	Price Segmentation : Bath Taps and Mixers	102
3.3.4	Price Segmentation : Bidet Taps and Mixers	103
3.3.5	Price Segmentation : Kitchen Taps and Mixers	104
3.3.6	Price Segmentation : Shower Taps and Mixers	105
3.3.7	Price Segmentation : Washbasin Taps and Mixers	106
3.4.1	End Use : Base Year	107
3.4.2	End Use : Historical and Forecasts	108
3.4.3	Sales by Type and Application : Taps and Mixers	109
3.4.4	Sales by Type of Finish : Taps and Mixers	110
3.4.5	Sales by Type of Installation : Taps and Mixers	111
3.4.6	Sales by Type of Mounting : Taps and Mixers	112
3.5	Market Shares : Taps and Mixers	113
3.6.1/2	Imports & Exports : Taps and Mixers	114
3.7.1/2	Route to Market : Kitchen Taps and Mixers	115
3.7.3/4	Consolidated View : Kitchen Taps and Mixers	116
3.7.5/6	Route to Market : Sanitary Taps and Mixers	117
3.7.7/8	Consolidated View : Sanitary Taps and Mixers	118
3.8	Market Revision : Taps and Mixers	119
3.9.1	Historical Trends and Forecasts : Flushing Valves	120
3.9.2	Prices and Market Values : Flushing Valves	121
3.9.3	Market Shares : Urinal Flushing Valves	122
3.9.4	Market Shares : WC Flushing Valves	122
3.10	Market Revision : Flushing Valves	123

Shower Wall - Italy

4.0	IT - Shower Wall	124
4.1	Market Sector Overview : Shower Wall	125
4.2	Historical Trends and Forecasts : Shower Wall	130
4.3.1	Prices and Market Values : Shower Wall	131
4.3.2	Price Segmentation : Bath Screens	132
4.3.3	Price Segmentation : Conventional Shower Cubicles	133
4.3.4	Price Segmentation : Hydrotherapy Shower Cubicles	134
4.3.5	Price Segmentation : Shower Enclosures	135
4.4.1	End Use : Base Year	136
4.4.2	End Use : Historical and Forecasts	137
4.4.3	Sales by Type : Bath Screens	138
4.4.4	Sales by Type : Shower Enclosures	138
4.4.5	Sales by Type of Door : Shower Enclosures	139
4.5.1	Market Shares : Bath Screens	140
4.5.2	Market Shares : Conventional Shower Cubicles	140
4.5.3	Market Shares : Hydrotherapy Shower Cubicles	141
4.5.4	Market Shares : Shower Enclosures	141
4.6.1/2	Route to Market : Shower Wall	142
4.6.3/4	Consolidated View : Shower Wall	143
4.7	Market Revision : Shower Wall	144

Bathroom Furniture - Italy

5.0	IT - Bathroom Furniture	145
5.1	Market Overview : Bathroom Furniture	146
5.2	Historical Trends & Forecasts : Bathroom Furniture	150
5.3.1	Prices and Market Values : Bathroom Furniture	151
5.3.2	Price Segmentation : Base Units	152
5.3.3	Price Segmentation : Mirrors and Mirror Cabinets	153
5.3.4	Price Segmentation : Separate Cabinets	154
5.4.1	End Use : Base Year	155
5.4.2	End Use : Historical and Forecasts	156
5.4.3	Sales by Type of Washbasin Material : Base Units	157
5.4.4	Sales by Type of Material : Base Units	157
5.4.5	Sales by Type of Washbasin : Base Units	158
5.4.6	Sales by Type of Colour : Base Units	158
5.4.7	Sales by Width : Base Units	159

5.4.8	Sales by Type : Mirror and Mirror Cabinets	159
5.4.9	Sales by Type of Material : Mirror Cabinets	160
5.4.10	Sales by Type of Installation : Separate Cabinets	160
5.4.11	Sales by Type of Material : Separate Cabinets	161
5.4.12	Sales by Type of Colour : Separate Cabinets	161
5.4.13	Sales by Height : Separate Cabinets	162
5.5.1	Market Shares : Base Units	163
5.5.2	Market Shares : Mirror and Mirror Cabinets	163
5.5.3	Market Shares : Separate Cabinets	164
5.6.1/2	Route to Market : Bathroom Furniture	165
5.6.3/4	Consolidated View : Bathroom Furniture	166
5.7	Market Revision : Bathroom Furniture	167

Bathroom Accessories - Italy

6.0	IT - Bathroom Accessories	168
6.1	Market Overview : Bathroom Accessories	169
6.2	Historical Trends and Forecasts	173
6.3	Prices and Market Values : Bathroom Accessories	174
6.4.1	End Use : Base Year	175
6.4.2	End Use : Historical and Forecasts	176
6.4.3	Sales by Type of Material : Bathroom Accessories	177
6.4.4	Sales by Price Segment : Bathroom Accessories	177
6.5	Market Shares : Bathroom Accessories	178
6.6.1/2	Route to Market : Bathroom Accessories	179
6.6.3/4	Consolidated View : Bathroom Accessories	180
6.7	Market Revision : Bathroom Accessories	181

Shower Accessories - Italy

7.0	IT - Shower Accessories	182
7.1	Market Sector Overview : Shower Accessories	183
7.2.1	Historical Trends & Forecasts : Shower Accessories	187
7.2.2	Historical Trends & Forecasts : Shower Sets	188
7.3.1	Prices and Market Values : Shower Accessories	189
7.3.2	Prices and Market Values by Type : Shower Heads	190
7.3.3	Price Segmentation : Flexible Hoses	191
7.3.4	Price Segmentation : Shower Heads	192
7.3.5	Price Segmentation : Shower Panels	193
7.3.6	Price Segmentation : Shower Pipes	194

7.3.7	Price Segmentation : Shower Supports	195
7.4.1	End Use : Base Year	196
7.4.2	End Use : Historical and Forecasts	197
7.4.3	Sales By Type of Material : Flexible Hoses	198
7.4.4	Sales by Type of Finish : Shower Heads	198
7.4.5	Sales By Type of Function : Shower Heads	199
7.4.6	Sales by Type of Installation : Shower Heads	199
7.4.7	Sales By Type of Shape : Shower Heads	200
7.4.8	Sales by Type of Application : Shower Pipes	200
7.4.9	Sales by Type of Mixer : Shower Pipes	201
7.4.10	Sales by Type of Finish : Shower Panels	201
7.4.11	Sales By Type : Shower Supports	202
7.5.1	Market Shares : Flexible Hoses	203
7.5.2	Market Shares : Shower Heads	203
7.5.3	Market Shares : Shower Panels	204
7.5.4	Market Shares : Shower Pipes	204
7.6.1/2	Route to Market : Shower Accessories	205
7.6.3/4	Consolidated View : Shower Accessories	206
7.7	Market Revision : Shower Accessories	207

Kitchen Sinks - Italy

8.0	IT - Kitchen Sinks	208
8.1	Market Sector Overview : Kitchen Sinks	209
8.2	Historical Trends and Forecasts : Kitchen Sinks	213
8.3.1	Prices and Market Values : Kitchen Sinks	214
8.3.2	Price Segmentation : Ceramic Kitchen Sinks	215
8.3.3	Price Segmentation : Stainless Steel Kitchen Sinks	216
8.3.4	Price Segmentation : Synthetic Kitchen Sinks	217
8.4.1	End Use : Base Year	218
8.4.2	End Use : Historical and Forecasts	219
8.4.3	Sales by Type of Installation : Kitchen Sinks	220
8.4.4	Sales by Type of Configuration : Kitchen Sinks	221
8.5.1	Market Shares : Ceramic Kitchen Sinks	222
8.5.2	Market Shares : Stainless Steel Kitchen Sinks	222
8.5.3	Market Shares : Synthetic Sinks	223
8.6.1/2	Route to Market : Kitchen Sinks	224
8.6.3/4	Consolidated View : Kitchen Sinks	225

8.7	Market Revision : Kitchen Sinks	226
Kitchen Tap and Mixers - Italy		
9.0	IT - Kitchen Taps & Mixers	227
9.1	Market Sector Overview : Kitchen TM	228
9.2	Historical Trends and Forecasts : Kitchen TM	232
9.3.1	Prices and Market Values : Kitchen Taps & Mixers	233
9.3.2	Price Segmentation : Kitchen Taps & Mixers	234
9.4.1	End Use : Base Year	235
9.4.2	End Use : Historical and Forecasts	236
9.5	Market Shares : Kitchen Taps & Mixers	237
9.6.1/2	Route to Market : Kitchen Taps & Mixers	238
9.6.3/4	Consolidated View : Kitchen Taps & Mixers	239
9.7	Market Revision : Kitchen Taps & Mixers	240

Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

For further information, please contact us:

BRG Building Solutions
CP House
97-107 Uxbridge Road
Ealing, London, W5 5TL
United Kingdom

Website: www.brgbuildingsolutions.com
Email: europe@brgbuildingsolutions.com

ITALY

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Italy, officially the Italian Republic, with a land area of 302,073 km², is the seventh-largest country in the European Union. Located in Southern Europe, it has open land borders with France, Slovenia, Switzerland, Austria, San Marino and the Vatican City.

Administratively, Italy is divided into 20 regions and 107 provinces, excluding the enclaves of the independent micro-states of the Vatican City and San Marino. The road network, totalling around 256,567 kilometres, is generally good and the railway system, totalling about 16,779 kilometres, is well-developed. The climate is typically Mediterranean throughout most of the country, characterised by hot, dry summers and humid, relatively warm winters with considerable differences in temperatures between the north and the south, especially in the winters. The peninsula also has regions with an alpine climate, due to the presence of the mountain ranges of the Alps and the Apennines.

According to the Classification of Territorial Units for Statistics (NUTS), developed by the European Union, Italy presents five macro-regions:

- North-West (Area 1): Piemonte, Valle d'Aosta, Liguria and Lombardy
- North-East (Area 2): Bolzano, Emilia-Romagna, Friuli-Venezia Giulia, Trento and Veneto
- Centre (Area 3): Tuscany, Umbria, Marche and Lazio
- South (Area 4): Abruzzo, Molise, Campania, Puglia, Basilicata and Calabria
- Islands (Area 5): Sicily and Sardinia

Italy is a moderately densely populated country, with the strongest concentration being in the north. The most populous metropolitan area is Rome (4.2 million people), followed by the metropolitan area of Milan (3.2 million), the metropolitan area of Naples (3.0 million), and the metropolitan area of Turin (2.2 million).

The birth rate in 2020 was the lowest since 1918, with around 400,000 live births, while deaths were over 700,000, the highest recorded since 1944. The impact of the COVID-19 pandemic on the total mortality of the resident population has been significant: the Italian National Institute of Health reported 75,891 deaths from February to December 2020.

The population was estimated to be 60.24 million in 2020, declining from the previous year by 0.24%.

Macroeconomic Overview

In 2020, the outbreak of the COVID-19 pandemic crucially affected the development of the Italian economy. The economic crisis that hit the country has been characterised as the worst since World War II.

We recall that the first case of COVID-19 in Italy was detected in Codogno in the province of Lodi in Lombardy, as early as 21 February 2020 – and that almost immediately, on 22 February, the government declared Codogno and 10 other neighbouring municipalities as ‘red zones’, while the country went on nationwide lockdown on 9 March.

According to ISTAT, in the first phase of the health emergency (which started on 11 March and ended on 4 May) 45% of companies suspended their activities, mainly as a result of government decrees and to a lesser extent (about one in seven companies) by their own decision. During this stage, half of these companies were able to reopen after an initial closure due to reasons such as further government measures, requests for exemption, and voluntary decision. However, the companies that remained active during the first phase were the most important component in terms of their weight on employment and the economy: 62.7% of employees and 68.6% of national turnover.

The health emergency and the consequent suspension of the activities of entire production sectors also represented an unprecedented shock to the labour market. According to ISTAT’s Labour Force Survey – Cross-Sectional Quarterly data, on average for the first three quarters of 2020, employment fell by 470,000 units (-2.0% compared to the same period of the previous year), returning to just above 2016 levels.

As for GDP, the first negative repercussions were manifested in the first quarter of 2020 (-5.5% compared to the fourth quarter of 2019) and increased in the second quarter (-13.0%). Even though in the third quarter there was a strong economic rebound (+15.9%), following the strong recovery of production and trade during the summer, in the fourth quarter of 2020 GDP decreased by 1.9% when compared to the previous quarter, and by 6.6% compared to the fourth quarter of 2019.

At this point it is still not clear how fast the economy can be restored. A lot will depend on the evolution of the health emergency and the availability and timing of administration of the COVID-19 vaccines. At the same time, the various incentives made available by the Italian government aiming to boost the economy, as well as the definition of measures related to the EU Recovery and Resilience Facility Programme (which is expected to make EUR 672.5 billion in loans and grants available to member states to support reforms and investments), should represent a further robust investment stimulus.

Residential Construction

New Housing

After two years of consecutive growth, residential construction experienced a sharp fall in 2020, in a year strongly marked by the effects of the health emergency due to the COVID-19 pandemic.

According to ISTAT's data, in Q1 2020 the number of dwelling completions decreased by 1.2% when compared to Q1 of the previous year, while in Q2 2020 the number of dwelling completions experienced a dramatic drop of 25.1% with respect to the same quarter of the previous year.

The latest CRESME estimates indicate that in 2020 dwelling completions declined by 10.7%.

In 2021, a modest increase is expected in new housing in line with the resumption of activity, but the level attained will be highly sensitive to the evolution of the health emergency and the availability and uptake of the COVID-19 vaccines.

Housing RMI

The housing RMI market has long been the most significant segment within the Italian bathroom and kitchen market, considering its mature nature and the level of home ownership in Italy – which is among the highest in Western Europe. According to the Italian Revenue Agency, 75.2% of households occupy a residence that they own.

The 2011 census indicated that among the residential buildings, more than three million were built before 1946 while 1.8 million were built before 1919. This shows how the RMI activity could represent not only a need in terms of safety, but also an opportunity for the local economy.

The state provides grants and incentive schemes to support structural integrity, as well as the energy efficiency of the existing building stock. In particular, the 'seismic bonus' provides up to 110% of expenditure within a ceiling of EUR 96,000 for the structural improvement of buildings; the 'plan of urban regeneration', which is among the measures announced within the 2020 Stability Law, allocates EUR 853 million until 2033 for upgrading and increasing the social housing stock and improving social cohesion and the quality of life of citizens; and the renovation tax relief, called Bonus Mobili, which has been confirmed until 2020 at a rate of 50%, with a maximum spending of EUR 96,000.

In 2020 there was a significant decrease in housing RMI, due to the economic uncertainty created by the COVID-19 pandemic. CRESME reports a 13.1% fall, the greatest among all the construction sectors. However, housing RMI is likely to be the leading force in 2021, as it is expected to benefit from the Superbonus 110%

incentive scheme, at present considered to be effective until 30 June 2022.

Non-Residential Construction

The non-residential construction segment, largely driven by new construction intended for the advanced service sector and commercial activities, significantly declined in 2020. The COVID-19 pandemic has dealt a heavy blow to an industry that has shown clear signs of recovery in the previous two years. The latest CRESME estimates indicate that in 2020 non-residential construction decreased by 10.2%, while RMI investments in non-residential construction fell by 9.4%. In Italy, the lead time from investment decision to completion is generally around 18-30 months. The sudden cessation of activity across diverse sectors of the economy, due to the measures taken to suppress COVID-19, might continue to delay the completion of projects for which investment decisions were already taken.

In 2021, non-residential construction is expected to grow, in part in line with the resumption of activity but mainly due to the various incentives put in place to support the sector. More specifically, the 65% tax credit on expenditures up to EUR 200,000, intended for the redevelopment and improvement of tourist-hotel accommodation facilities, which has been extended until the end of 2021, is expected to boost hotel RMI. Nevertheless, the expected changes in post-pandemic work organisation could lead to a significant reduction in demand for offices and commercial spaces, especially in metropolitan areas, with consequent effects on employment rates and therefore on future investments in non-residential construction. Only by the end of 2021 will it be possible to assess the medium-term scenario.

II.2 Key Figures

IT - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

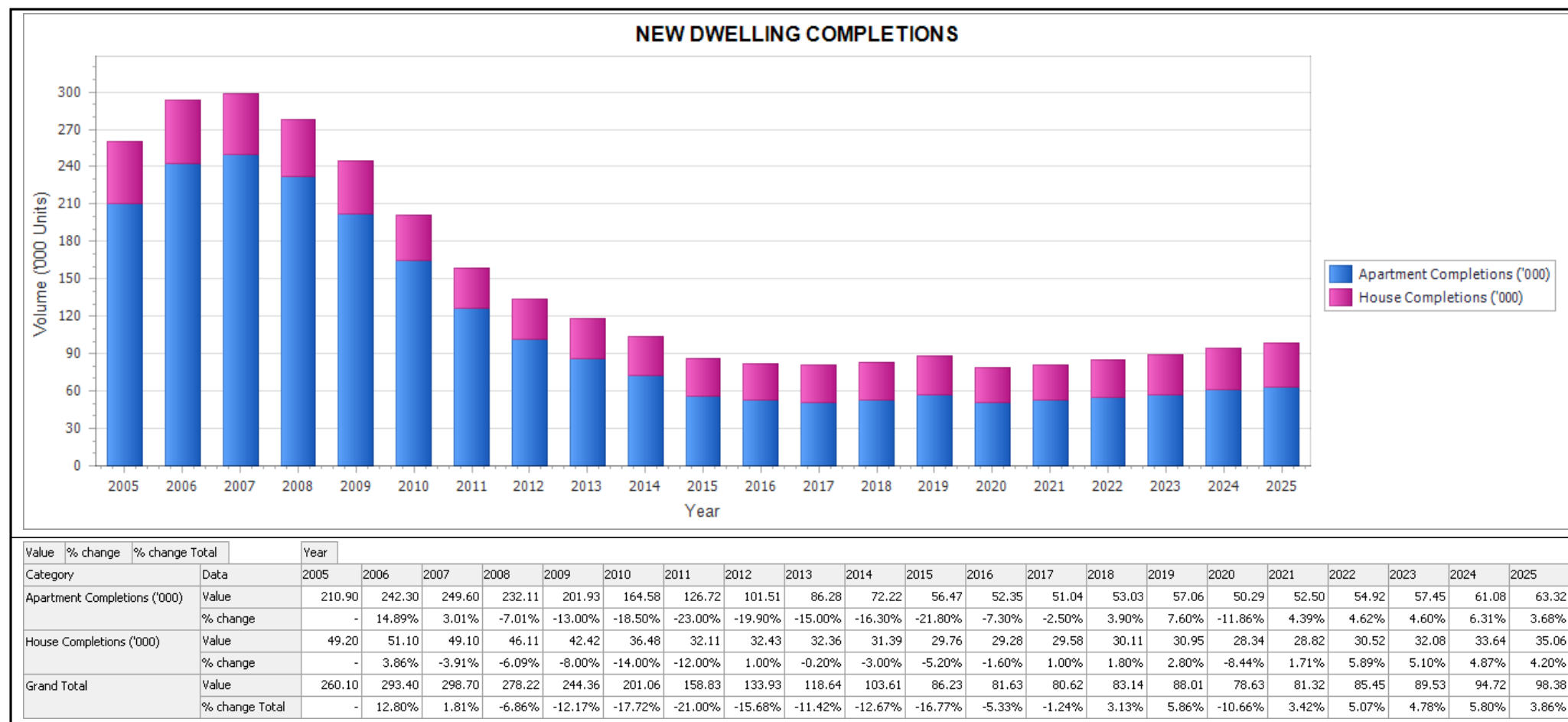
IT - MACROECONOMIC KEY INDICATORS

Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index (% change)	2.05	2.13	2.78	2.36	1.10	2.07	3.73	2.57	0.60	0.00	0.10	0.50	0.99	1.18	0.48	- 0.29	0.76	0.88	1.04	1.23	1.34
GDP (% change)	0.82	1.79	1.49	- 0.96	- 5.28	1.71	0.71	- 2.98	- 1.84	- 0.01	0.78	1.29	1.67	0.94	0.29	- 8.87	4.15	3.60	1.56	0.91	0.85
Government Balance (% of GDP)	- 4.08	- 3.62	- 1.34	- 2.56	- 5.12	- 4.24	- 3.59	- 2.95	- 2.85	- 2.95	- 2.55	- 2.40	- 2.42	- 2.18	- 1.56	- 9.47	- 8.77	- 5.54	- 3.76	- 2.20	- 1.97
Household Saving Rate (% of Disposable Income)	8.90	8.30	7.81	7.38	6.76	3.93	3.41	1.47	3.29	3.69	2.89	3.00	2.60	2.55	2.55	10.21	7.13	0.00	0.00	0.00	0.00
Private Consumption (% change)	1.39	1.34	1.19	- 1.13	- 1.50	1.05	0.06	- 3.71	- 2.44	0.17	1.83	1.25	1.54	0.93	0.30	- 10.72	0.00	0.00	0.00	0.00	0.00
Unemployment Rate (%)	7.71	6.79	6.12	6.74	7.74	8.34	8.42	10.67	12.13	12.62	11.91	11.66	11.26	10.63	9.88	9.12	10.30	11.60	12.20	11.70	11.40

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years

II.4 New Dwelling Construction

IT - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

II.5 Dwelling Stock by Type and Tenure
IT - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments (%)	74.96
	Apartments ('000)	23 290.00
	Houses : Rural (%)	25.04
	Houses : Rural ('000)	7 780.00
Dwelling Stock by Tenure	Primary Owned (%)	63.04
	Primary Owned ('000)	19 585.00
	Primary Rented : Private (%)	15.45
	Primary Rented : Private ('000)	4 800.00
	Secondary (%)	17.90
	Secondary ('000)	5 560.00
	Vacant (%)	3.62
	Vacant ('000)	1 125.00

Source: BRG based on Country Statistics.

ITALY

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The Italian bathroom and kitchen distribution network is generally rather traditional, with a larger share of sales coming from wholesalers and specialist retailers when compared to most other European countries, particularly those in Northern Europe. Very often, only the biggest players will have a multi-channel distribution strategy, due to the higher costs associated with spreading out sales over different distribution channels. Most market players will supply to either wholesalers or specialist retailers, otherwise known as 'showrooms' in Italy, so that they can focus their selling and get a better price by maximising volumes per distributor.

There are two main distribution approaches in Italy, the two-step approach by which the manufacturer sells directly to installers, and the three-step approach whereby the manufacturer sells through a wholesaler network.

Although in recent years, sales through DIY and the internet are always growing, the penetration via these channels remains low. The reasons behind such low penetration are probably associated with intrinsic geographical factors, as well as economical behavioural causes. The shape of Italy itself, narrow and long, does not lend itself to efficient distribution by selecting a few strategic distribution points, and instead distributors must spread themselves out considerably to be able to cover large areas. Therefore, it has taken the largest distribution firms a long time to create any significant presence in the country, because of the investment required. Another difficulty is the sometimes marked economic difference between the north and the south, which only increased during the financial crisis of the late 2000s, and can cause complexities for larger distribution firms that would favour one fixed pricing policy over varying structures depending on geographic region.

Both the DIY and internet channels are growing, albeit more slowly than in many other European countries, primarily as a result of the DL N. 114/1998, which represents the first concrete act by the Italian legislator in liberalising the commercial sector in Italy. Such types of interventions have further grown since 2006, with the reception of the European Directive 123/2006 in relation to the services within the EU internal market, and despite some resistance from regional administrators. The effects of such legislative frameworks, it is believed, will continue to reduce market concentration across Italian regions, reduce differences between the north and south of the peninsula, and lead to an increase of the dimensions of the middle-sized distribution companies, thus helping to align the Italian distribution structure with that of the other major European economies. A further consequence of such a process is associated with consumer behaviour, increasingly affected by the availability of wider choice – of both the level of products and the range of pricing. It is assumed that these channels will grow increasingly faster over the forecast period, and that they are likely to erode some share from wholesalers, but mostly from specialist retailers that have suffered considerably in recent years from higher average prices and a reduced diversification of product choice.

Wholesale Level

The wholesale channel has long been the most popular form of distribution for manufacturers, with many merchants known as *Idro-Termo-Sanitari* (ITS) providing a mixed product selection together with other building materials, and specialists providing heating and bathroom products.

Due to Italy's geographical fragmentation, most wholesalers are local firms with an average of two outlets, a main stockholding depot and a showroom intended for the private consumer – which is typically located in more central areas. There are several large wholesaler groups, such as CAMBIELLI EDILFRIULI, IDROTEAM, GSGI, and DELTA. However, as stated previously, the high fragmentation of the market means that even the largest distributors only have a small percentage of the total market share. Their product ranges tend to focus on bathroom and heating products, but often provide other building materials as well – as an integration of their offering.

Although exclusive stocking agreements are common in order to take full advantage of credit agreements and rebates, the financial crisis of the late 2000s put a lot of pressure on distributors because credit and debt collection became more complex. Payment terms have been lowered to 100 days, with higher discounts available for prompt payers, and it is common for distributors to screen their clients to gauge their ability to pay. The attempt to implement more rigorous credit policies and increase pricing competitiveness for the manufacturers has led several major wholesale players to establish two main buying groups, namely CISETTE and IDROTEAM.

The growing interest of consumers in a wider product offer, assistance in the choice, and an increase in the level of personalisation in the sanitary and thermal segments have caused several wholesale entities to support the establishment of the digital start-up DESIVERO, which enables the end-user to control the entire design and realisation of different heating and bathroom solutions.

The wholesale sector is in a phase of transition, in which forms of aggregation and joint ventures are being experimented with, so as to increase competitiveness and widen the product offering. In 2020, the Brescia-based CLERICI GROUP, the second-largest operator in Italy in the heating and plumbing sector, acquired 100% of its Ligurian competitor PRATO NOBILI. This agreement, which happened in the midst of an economic crisis, might be interpreted as the start of a consolidation of a highly fragmented sector in the country.

Retail Level

DIY Retailers

DIY retailing is recognised to have been slow to develop in Italy, to the extent that some observers have argued that the country is not culturally adapted to the 'DIY

philosophy'. The first DIY superstores did not appear until the early 1980s, which is relatively late when compared to other European countries where the channel had already shown strong expansion by then. However, the market is now seeing considerable year-on-year growth, particularly for certain products that are low-cost and considered easy to install.

The high degree of fragmentation of the distribution landscape, with over 11,000 small specialist shops known as *ferramenta*, has increased the opportunities for growth for the more structured distribution channels. Such a window of opportunity has allowed both domestic and international players to expand their presence in Italy: namely the French ADEO group with its chains LEROY MERLIN and BRICOMAN, the German OBI, and the Italian BRICO IO. The rapid growth of DIY in recent years comes as a direct result of consumer demand to have a greater choice of products within a wider price range; this is particularly evident as the 2008/9 financial crisis encouraged many consumers to reduce their budgets by choosing more low-end products and possibly installing the products themselves, whereas previously they would have relied on an installer.

In 2020, amid the COVID-19 economic impact, the overall DIY sector increased in terms of sales volumes and gained share at the expense of wholesalers and specialist/other retailers. The importance of the DIY market in Italy is now considerable, and is expected to experience continuous growth throughout the forecast period and beyond. The channel that is likely to lose the biggest share to DIY is that of specialist retailers and their showrooms, as they represent the high price segment that is struggling to compete with lower-price alternatives.

Specialist/Other Retailers

The majority of specialist retailers in Italy are small, independent outlets that sell directly to consumers and tend to be located in urban areas with strong customer footfall. There are some strong chains, such as IDRAS SPA and BOREA SPA, but their revenues and numbers of outlets are nowhere near the levels of wholesalers and DIY chains.

The DIY and internet channels have been responsible for most of the loss of share within the specialist retailer segment, although it is also true that wholesalers themselves will often have showrooms, and many consumers have switched to these because they tend to hold greater stock levels and choices of products.

Products within the specialist retailer channel are typically sourced directly from the manufacturers themselves, although a lower percentage is also purchased from the wholesalers, which are typically larger specialist retailers that can accommodate a greater amount of stock.

In 2020, due to the measures such as lockdowns put in place to combat the COVID-19 pandemic, this channel experienced significant loss.

Internet Retailers

With just 36% of the population to date to have shopped online and online shopping accounting for just 6.5% of overall retail, Italy is one of Europe's more modest e-commerce markets. The years of stagnant economic growth, along with the ageing population, are likely to be behind this slow uptake.

Although still at a relatively early stage with regards to the bathroom and kitchen market, the internet channel in Italy has undoubtedly influenced the way that Italians compare and buy bathroom and kitchen products; manufacturers are divided between those who are embracing the change and those who see it as an erosion of quality and value within the market.

However, innovation has reached this segment, with the arrival of players exclusively operating on the e-commerce platform, such as the French start-ups MANOMANO and BRICO PRIVE. The model of these companies is that of a collaborative virtual space where the assistance for and availability of products is determined by the input of the end-use customers and retailers. Similarly, the players that have based their business models around the centrality of the physical store, such as the ADEO GROUP (LEROY MERLIN), SELFITALIA, and BRICO IO, are also expanding their offers and services online, although they are not considered internet retailers as most of their business still comes from the traditional retail channels

In the coming years, the quality and efficiency of the online economy is expected to improve in Italy, but it is unlikely that this will develop as rapidly as in its European counterparts. Nevertheless, sales within the internet channel are expected to grow also because of millennials, who are far more adept at online purchasing and are beginning to buy their first houses and invest in their heating and plumbing systems.

Furthermore, attitudes are changing in line with rising smartphone penetration, and global events pushing Italians online. The COVID-19 pandemic drove confined citizens online to seek essential supplies such as food, and it is believed that e-commerce enhancements made to meet the demands of COVID-19 will likely persist in Italian e-commerce in the future.

III.2 Summary of Leading Distributors

IT - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation												Buying Group Affiliation	
				Year End	Million EUR	No. of Depots	Geographical Coverage	Specialist						Specialist					Other		
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other		Specify
ADEO	LEROY MERLIN	DIY retailer	DIY Assortment	2019	1.537.205	50	National	xxx											xxx		
GRUPPO CAMBIELLI-EDIL FRIULI	CAMBIELLI EDILFRIULI Spa	ITS Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2019	792.00	200	National	xxx	xx	xx	x	x									
ADEO	BRICO CENTER	DIY Retailer	DIY Assortment	N/A	N/A	61	National	xxx	xx	xx	xx		xx						xxx		
TENGELMANN	OBI ITALIA SRL	DIY retailer	DIY Assortment	2019	467.00	57	Northern and Central only	xxx	x	xx									xxx		
IDROCENTRO	IDROCENTRO Spa	ITS Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2019	163.00	86	Italy: Piemonte, Lombardia, Valle D'Aosta, Emilia Romagna, Toscana, Sardegna	xxx	xx	xx	x	x							xx	Fire equipment and water treatment	
CARBONI	CARBONI Spa	Wholesaler	Wholesaler	2019	89.90	5	Emilia Romagna, Lombardia, Vene	xxx	xxx	xx	x	x	x	xxx	xxx						IDROTEAM
SVAI HOLDING IMMOBILIARE	SVAI Spa	Wholesaler/Importer	Wholesaler/Importer	2019	88.80	9	Veneto, Lombardia, Trentino- Alto Adige		xx	xx			xx		x						
NOVA COOP SOCIETA' COOPERATIVA	BRICO IO SPA	DIY retailer	DIY Assortment	2019	202.00	108	National														
DBD BRICO SASA SRL	DBD BRICO SASA SRL	DIY retailer	DIY Assortment	2019	14.90	3	Puglia														
SACCARIA IDROTERMOSANITARI	SACCARIA IDROTERMOSANITARI SRL	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2019	25.40	1	Marche														
IL FAI DA TE	IL FAI DA TE SRL	DIY retailer	DIY Assortment	2019	2.80	1	Piemonte														
GRUPPO IDRAS spa	IDRAS Spa	Specialist merchant	Heating, Bathroom	2019	82.00	11	Lombardia	xxx	xx	xx			x								
IDROS ART &BOZZOLA G	IDROS ART Spa	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2019	48.50	20	Emilia Romagna	xxx	xxx	xx	x	x	x								
AFIS G. CLERICI	AFIS G. CLERICI Spa	Wholesaler	Heating, Sanitary/Plumbing	2019	51.20	18	Emilia Romagna, Lombardia	xxx	xxx	xx	xx										IDROTRADE
GRUPPO C.I.I.C.A.I	C.I.I.C.A.I Soc. Coop.	Wholesaler	Heating, Sanitary/Plumbing	2019	65.8	9	Emilia Romagna	xxx	xx	xx	xx	xx	xx								
GRUPPO BOREA	BOREA Spa	Specialist merchant	Heating, Sanitary/Plumbing & Vent/Air con	2019	11	6	Liguria, Emilia Rom, Veneto, Toscana, Lombardia, Abroad: France	xxx	xx	xx	xx	xx		x			x		KITCHEN	PIANETA	
CICAI	CICAI ARCOBALENO Spa	Wholesaler	Heating, Sanitary/Plumbing & Vent/Air con	2019	20	7	Marche, Emilia Romagna	xxx	xx	xx	xx	xx									

Source : BRG Based on Company Financials

x = marginal activity

xx = substantial activity

xxx = core activity

ITALY

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

In the last decade, the Italian baths market has been characterised by a considerable decline in sales, mainly due to changing consumer behaviour. The evolution of the baths market reveals a shift of preference – from pure functionality with limited aesthetics, in which price played the most important role, to a higher degree of personalisation, adaptability and integration into the surrounding space. The steady decline in bath sales was also caused by more structural reasons such as the contraction in new housing completions and the growing substitution trend towards shower trays.

Despite the maturity of the baths market, many sales still come from the new housing sector due to the renewed interest in installing baths in new buildings. Nevertheless, one of the most significant characteristics of this market is the substitution trend from baths to shower trays in the replacement segment.

The consideration of showers being space-saving, as well as their safety for an increasingly ageing population, is increasingly being countered by the demand for aesthetic personalisation and digitalisation. Hydromassage baths have been losing their appeal as luxury products, and instead are heavily substituted for the more high-end baths, such as cast iron or steel, which have no hydrotherapy functions. The large dimensions of hydromassage systems, and their high cost, made them lose appeal well before the start of the economic downturn. Hydromassage baths, historically, appear to have been more closely dependent on the development of private consumption and consumer purchasing confidence.

In the past, cast iron was among the most popular types of bath material; however, ever since the introduction of synthetic materials such as hard resins, which are both durable and lightweight, cast iron has been relegated to a niche share in high-end new housing. Steel baths looked set to face the same decline because of the rising popularity of synthetic baths, but have managed to carve out a share of the high-end market thanks to the aggressive pricing strategy of KALDEWEI. Synthetic baths represent by far the largest market and have had more success than other segments due to their lower prices, flexible mould shapes and lightweight design.

Shower trays have been more insulated from the general trend of decline in recent years, due to the ongoing replacement of baths with showers, with the sales of the non-ceramic alternatives having experienced growth despite the contractions seen across other bathroom product categories. Ceramic remains the most popular type of shower tray; however, its popularity is steadily decreasing due to its heaviness and fragility, with consumers favouring synthetic models that are light, durable and allow for much more flexibility in terms of moulding certain sizes and shapes.

In terms of outside-of-product-family substitutions, the number of wet rooms, or walk-in showers, continues to experience sustained growth and gain share from the ceramic shower trays market. Although this is currently not expected to pose a

threat to the bath or shower market, it could gain further relevance in the coming years, closely following the improvement in new housing construction output.

Recent Market Trends

The outbreak of the COVID-19 pandemic crucially affected the development of the Italian economy in 2020. The cessation of activity across diverse sectors of the economy, which took place from 11 March until 4 May, had a great impact on private investment, construction activities and RMI demand.

An inevitable consequence of the above has been the negative impact on the baths and shower trays market. The decline of the RMI segment pushed the bath and shower tray markets downwards, as the renovation sector accounts for the bulk of sales in both markets. However, sales of baths have also remained rather weak due to a fall in the output of new dwelling completions – the new housing segment is increasingly reliant on designs that make the bath the centrepiece of bathroom decoration.

Sales of cast iron baths, as well as sales of steel baths, strongly declined in 2020 when compared to the previous year, mainly due to the RMI segment – which represented the majority of sales of these product categories. Even though demand deriving from new housing has decreased for both products, the decline has been considerably more severe for steel baths.

Demand for synthetic baths, including hydromassage ones, also recorded an important decline in 2020 when compared to the previous year. The cessation in construction activity, together with the delays in renovation decisions regarding hotels and tourist facilities, were the main reasons for the deterioration of these markets.

In 2020, shower trays continued the trend of decline experienced in the previous year, mainly due to the erosion of the RMI segment. Ceramic shower trays continued to account for the bulk of the shower tray market, even though synthetic products continued to gain share at their expense.

Aside from the general decline in sales due to the outbreak of the COVID-19 pandemic, another reason for the slow level of recovery of the product segment may be traced to the increased relevance within the DIY market of customisation, which is pushing major manufacturers to introduce a wider variety of sizes, product finishes and resistance to wear that previously were only offered with synthetic shower trays.

Many ceramic manufacturers have launched design lines within the polymers range, with new solutions in terms of modularity and resistance to any form of wear. To this extent, new materials such as mineral cast, a mixture of natural marble charges, and polyester resin are increasingly introduced to the synthetic market and are gaining strong popularity.

Steel / cast iron trays were the worst-performing products of their category in 2020. Regardless of the increased competition from synthetic trays, the fall in RMI due to the economic uncertainty in the wake of the COVID-19 pushed sales of these products further down.

Finally, in 2020, sales of wet rooms deriving from the new housing segment lost share to the ceramic and synthetic shower trays, while the same sales proportion was maintained in the non-housing segment. Wet rooms are mainly installed in new housing and are often preferred for their high aesthetic value and more design options such as wall to ceiling tiling, minimalist fixtures, and an open plan design, as well as for their greater accessibility – which represents a clear advantage for disabled people and households with children. Nevertheless, the expansion of wet rooms is threatened by the presence of extra flat and concealed shower trays.

Prices and Market Values

In 2020, the manufacturers' selling prices (MSPs) showed moderate increases across all product segments when compared to the previous year, while the overall market value for both baths and shower trays declined as volume sales dropped.

Despite the fact that there has been a double-digit increase in the middle price segment of cast iron baths, the results are not significant in absolute terms since almost all sales of this product category derive from the upper/luxury segment. The increase that occurred in the economy/lower price segment of steel baths, on the other hand, managed to steal a considerable amount of share from both the middle and upper/luxury segments.

With regards to synthetic baths, all price segmentations declined in 2020, with progressively bigger decreases in the economy to luxury segments, while the opposite occurred in the hydromassage baths market – where the economy products experienced the major decline.

Compared to the previous year, a shift towards the upper/luxury segment was recorded in the ceramic shower trays market, while synthetic as well as steel / cast iron shower trays managed to maintain their dominance in the middle price segments.

New Housing

After two consecutive years of growth, the demand for baths within new housing decreased in 2020, in line with the decline in new construction due to the measures put in place to combat the COVID-19 pandemic. Synthetic baths continue to be the most dynamic product in terms of sales, mainly due to their higher degree of personalisation and affordability.

Despite the fact that most new dwellings are likely to feature showers for space and water-saving considerations, and large houses may even have two or more

showers, reflecting the increasing importance of showers as environmentally friendly solutions, new housing is a relatively marginal destination when compared to housing RMI sales. In 2020, after two years of continued increase in demand, the penetration of shower trays in new housing significantly decreased in line with the new housing construction output. Ceramic shower trays continue to account for the bulk of shower tray sales in new housing, with synthetic options accounting for a smaller share.

Housing RMI

The analysis of the evolution of baths within the housing RMI segment confirms that currently such products have become a niche choice, similarly to other mature bathroom markets. However, sales in housing RMI are witnessing a higher product diversification due to a resurgence of steel and cast iron baths within the new housing segment, thanks to the new product image created by market leaders. Despite the increased popularity of such models, the synthetic bath provides by far the most sales, due to the growth in demand for light, cheap and flexible synthetic options.

As previously mentioned, sales of hydromassage baths are strongly dependent on the replacement segment. In 2020 replacement demand declined substantially, due to renovation decision delays but also due to the increased competition from other shower alternatives such as shower panels.

Shower trays continue to rely heavily on the housing RMI segment, mainly due to the increasing importance of showers as environmentally friendly solutions but also because of the presence on the market of certain market players such as REMAIL, which focus their business on offering solutions for the switch from baths to showers.

Ceramic shower trays remain the most popular product in terms of volumes in the replacement segment, mainly due to their affordability. Even though there was a decrease in RMI demand for all shower trays in 2020, synthetic shower trays continued to gain share at the expense of ceramic shower trays – as well as steel / cast iron shower trays.

Non-Housing

Considering the importance of the hospitality industry in Italy, hotels may be considered the main driver behind the demand for baths; these tend to be the main destination for non-residential purchases. Synthetic baths are preferred in hotels for their versatility and variety of shapes and sizes. For shower trays, sales in non-housing are also dependant on the hospitality sector, but public buildings such as schools, hospitals and gyms are switching to showers for safety and hygiene considerations.

Luxury hotels and spas have been the main source of demand for hydromassage baths in non-residential installations. Hydromassage baths remain one of the

bathroom products associated with high quality; nonetheless, the high investment associated with such products is leading many operators in the hospitality segment to replace them with luxury shower and bath alternatives.

After three years of increasing demand deriving from the non-housing segment for both baths and shower trays, the 2020 crisis related to the COVID-19 pandemic severely hurt the sector.

Furthermore, in 2020, ceramic shower trays lost share to the benefit of synthetic shower trays, also with regard to the non-housing segment. The various shapes, textures and colours available in the market make synthetic shower trays a good alternative to the more traditional ceramic trays.

Supply Structure

The cast iron and steel bath markets remain highly concentrated, with only a few players. DEVON & DEVON and KALDEWEI control nearly two thirds of the respective production. In recent years, DEVON & DEVON have managed to dominate the cast iron shower trays market while the steel shower trays market has been historically dominated by KALDEWEI, which specialises principally in steel finishes and offers the possibility of product personalisation – which renders it the driving force within the market.

A higher level of fragmentation is present within the synthetic bath market, which is much more open to various players. IDEAL STANDARD and GLASS IDROMASSAGGIO together represent almost one third of the market, with IDEAL STANDARD being slightly on top in 2020.

In terms of supply structure, baths are generally distributed through wholesalers, especially in the steel and cast iron segments. The specialist retailer segment is served by companies such as JACUZZI, whose sales within the product segment have dropped considerably and, as a result, specialist retailers suffered in 2020. The relevance of specialist retailers has been further eroded by the choice of manufacturers to develop their own showrooms, thus enhancing direct contact with the end-use customer and a consequent increase in profit margins.

In the ceramic shower tray product segment, IDEAL STANDARD maintained its leadership through GALASSIA and its own brand in 2020. Of significance in recent years is the improved position of RAK CERAMICS, which despite being among the newer players entering into a relatively mature market, has been able to carve out a significant market share through competitive pricing and innovative product development. On the other hand, FIORA regained its position as the market leader in the synthetic shower trays market in 2020, as IDEAL STANDARD's primacy has been eroded due to the increased competition in terms of product characteristics and the more competitive pricing strategies of the other players present in this segment.

ROCA acquired the ROYO GROUP in early 2021, incorporating the FIORA brand into its portfolio.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

Sales of all bath and shower tray products are expected to increase in 2021, in line with the increase in private investment as well as the resumption of construction activity and improvement in RMI demand.

At the level of product preference within the baths segment, in 2021 the shift in favour of steel baths is likely to continue, eroding share predominantly from synthetic. It seems that demand for upper-end products, with which steel is nowadays associated, is more resistant to the consumer shift towards shower trays.

Although sales of steel and cast iron baths are expected to grow in 2021, also due to RMI works that in the previous year were postponed, in 2022 sales are expected to decrease – but resume again in 2023. By the end of the forecast period demand for both cast iron and steel baths should decrease, as synthetic baths should continue to gain share.

Sales of hydromassage baths are also projected to grow in 2021, in line with the resumption of demand deriving from the non-housing and RMI segments, while they are expected to slightly decrease in 2022 and continue to decline for the rest of the forecast period, losing share to synthetic baths.

Even though baths are most often replaced by shower trays, sales of synthetic baths are expected to grow in 2021 and continue to do so throughout the entire forecast period. Despite the expected increase in demand deriving mainly from the RMI and new housing segments, the effort by the manufacturers to keep this market alive by continuing to invest in new materials and combine technology with design is starting to pay off. In 2021 the design of new bath collections focuses on comfort, ergonomics and high-performance materials. The different composite mixtures, that are mostly patented by companies in the sector, create new bathtubs with anti-slip and anti-wear properties, guaranteeing surfaces that are easy to clean and capable of preventing the development of bacteria.

With regard to shower trays, the market is expected to grow in 2021, mainly due to an increase in demand for ceramic and synthetic shower trays – while sales of steel and cast iron shower trays are expected to be less dynamic and should continue to decline.

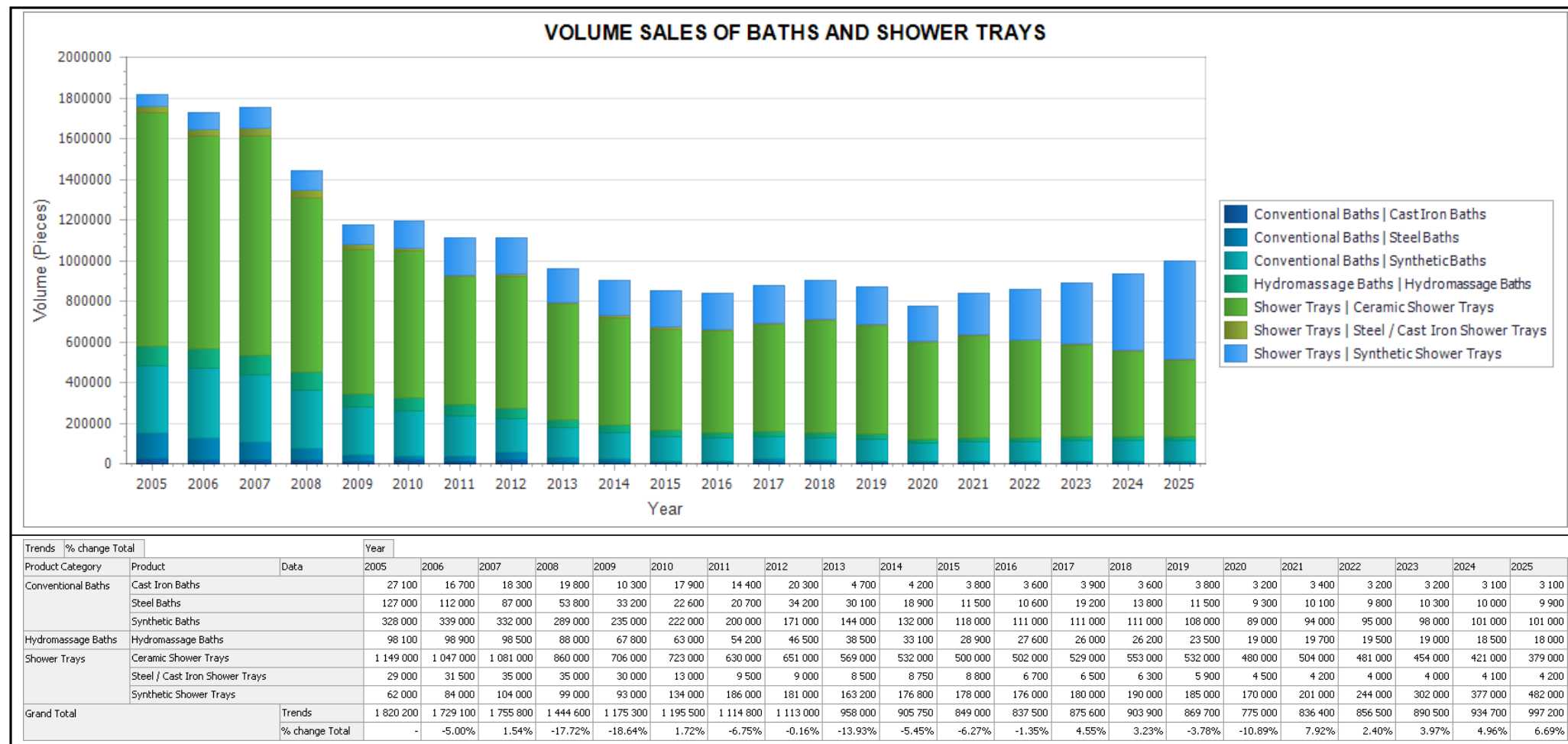
Synthetic shower trays will continue to gain share from ceramic shower trays during the entire forecast period, and that will result in a continuous decline of the ceramic shower trays market from 2022 onwards.

Sales of synthetic shower trays should continue to increase throughout the forecast period, driven also by the availability of different material finishes, while the mineral cast and solid surface product alternatives are likely to erode the primacy of the acrylic product options.

In terms of distribution, the shift towards the DIY channel is likely to be slow, owing to the size and cost of bath products, but growth nonetheless will most likely see the stealing of shares from specialist retailers and wholesalers – with the expansion of showrooms. This should result in higher price competitiveness and product visibility, hence enhancing current product preference shifts, but the manufacturers' selling prices should stabilise in the coming years.

1.2 Historical Trends and Forecasts

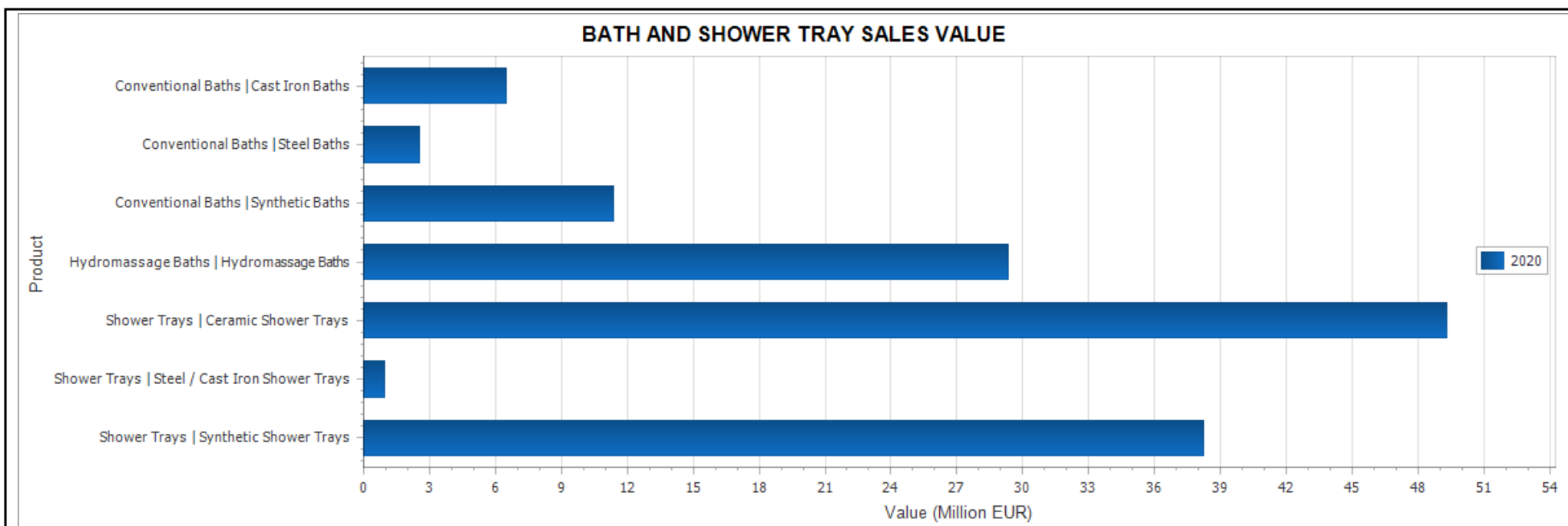
IT - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

IT - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET

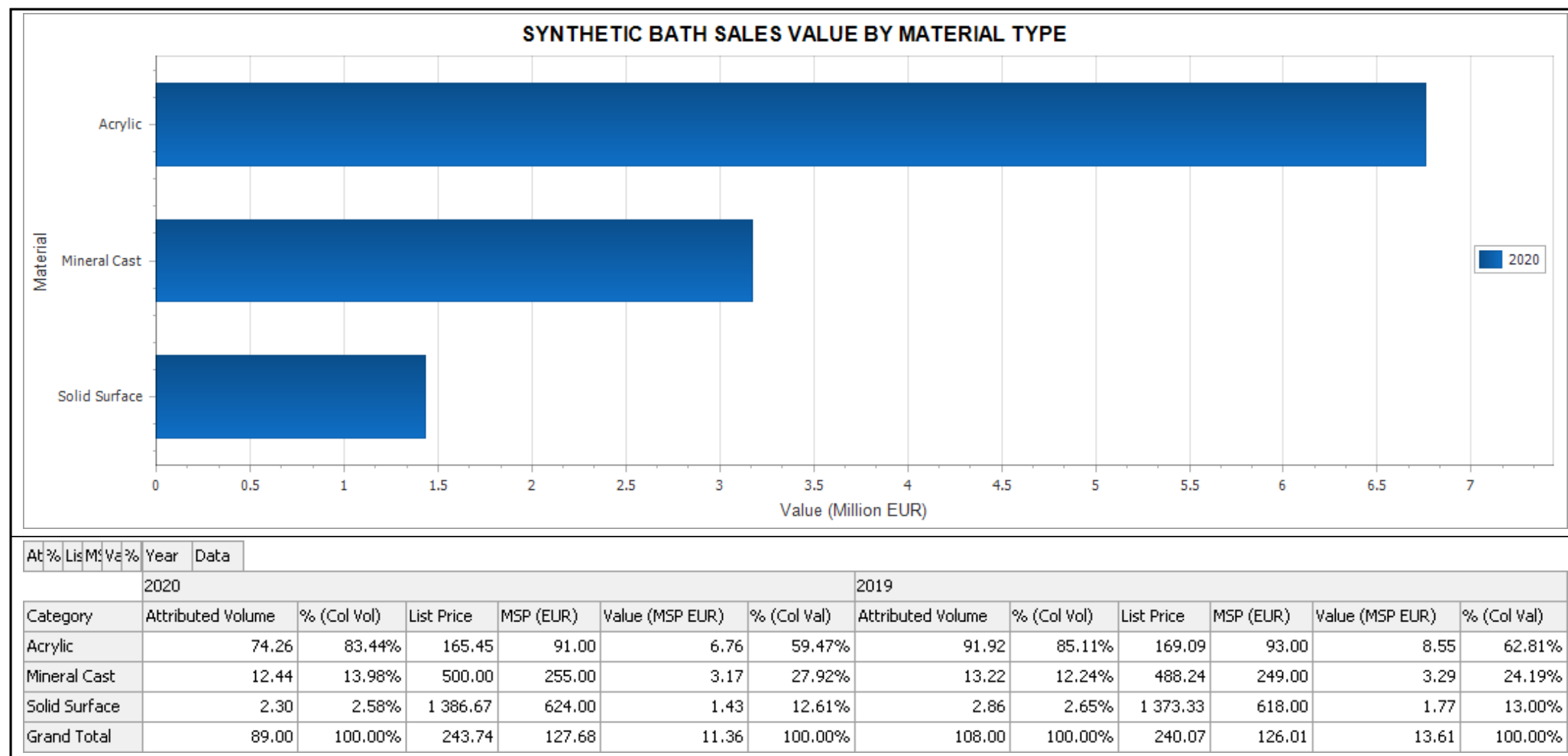


Volumes		MSP (EUR)	Value (MSP EUR)	Year		Data	
				2020		2019	
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Conventional Baths	Cast Iron Baths	3 200	2,027.59	6.49	3 800	2,015.91	7.66
	Steel Baths	9 300	270.92	2.52	11 500	275.44	3.17
	Synthetic Baths	89 000	127.68	11.36	108 000	126.01	13.61
Hydromassage Baths	Hydromassage Baths	19 000	1,544.84	29.35	23 500	1,486.90	34.94
Shower Trays	Ceramic Shower Trays	480 000	102.74	49.32	532 000	96.29	51.23
	Steel / Cast Iron Shower Trays	4 500	214.86	0.97	5 900	205.70	1.21
	Synthetic Shower Trays	170 000	224.86	38.23	185 000	223.30	41.31
Grand Total		775 000	178.36	138.23	869 700	176.07	153.13

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

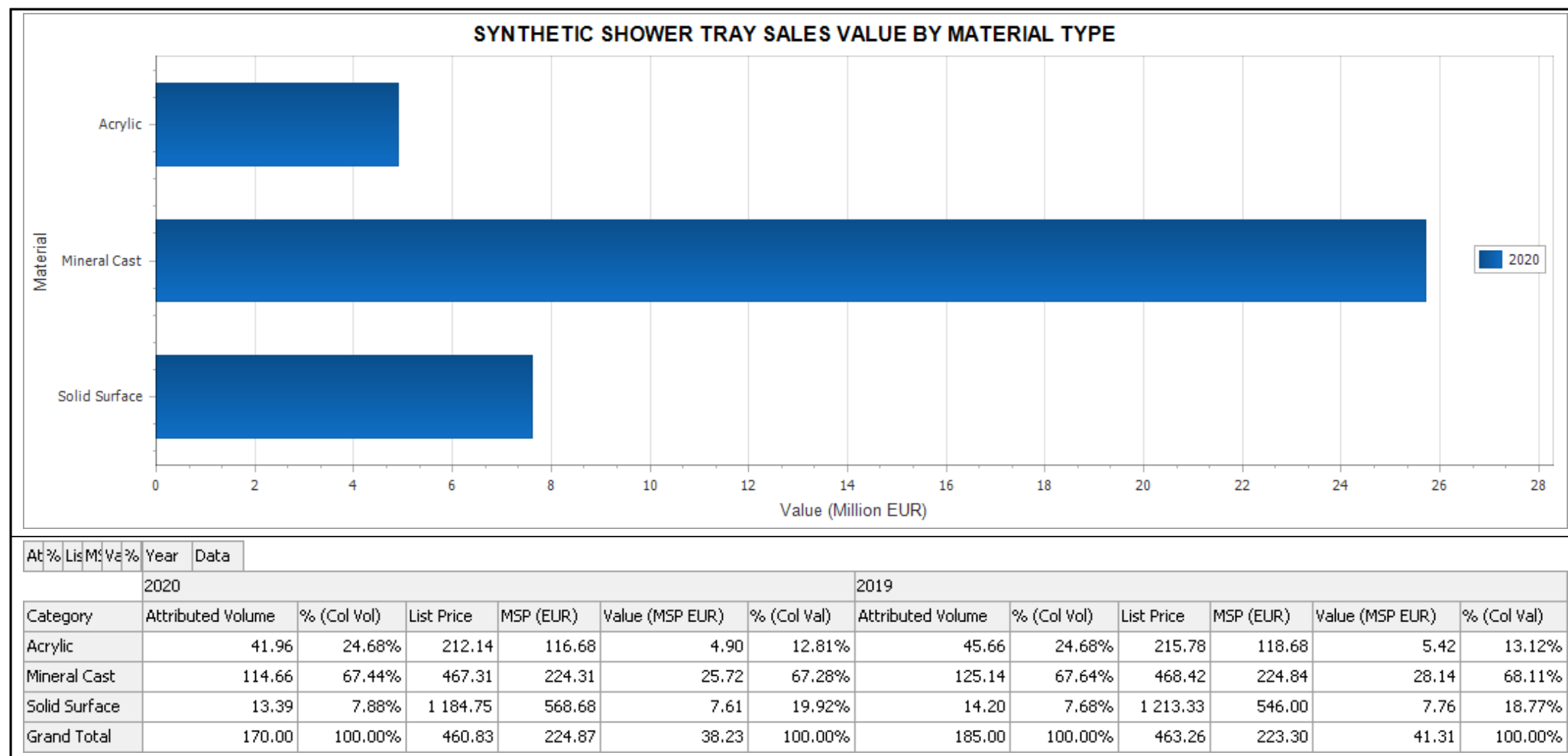
IT - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.3 Prices and Market Values : Synthetic Shower Trays

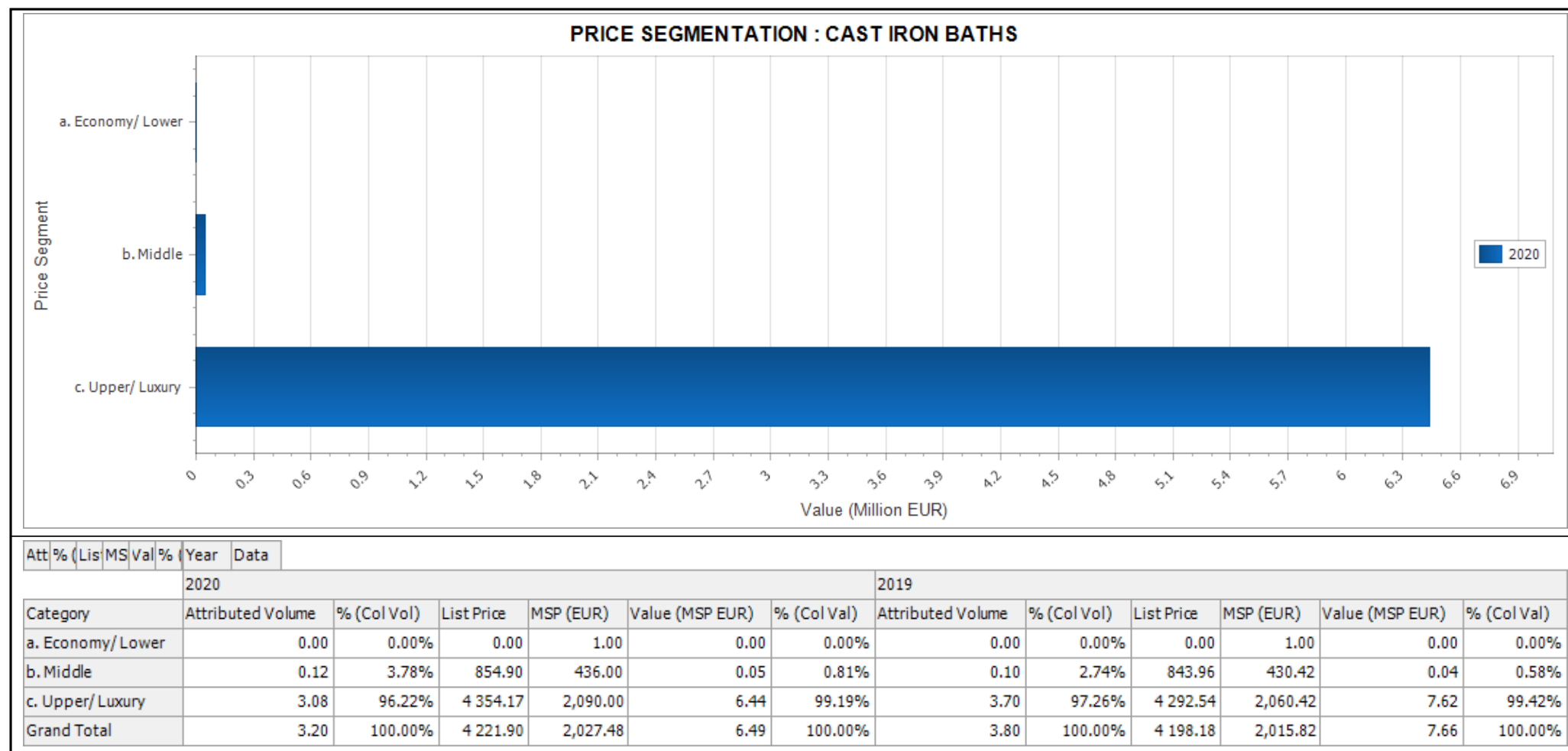
IT - ESTIMATED VALUES OF THE SYNTHETIC SHOWER TRAYS MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.4 Price Segmentation : Cast Iron Baths

IT - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

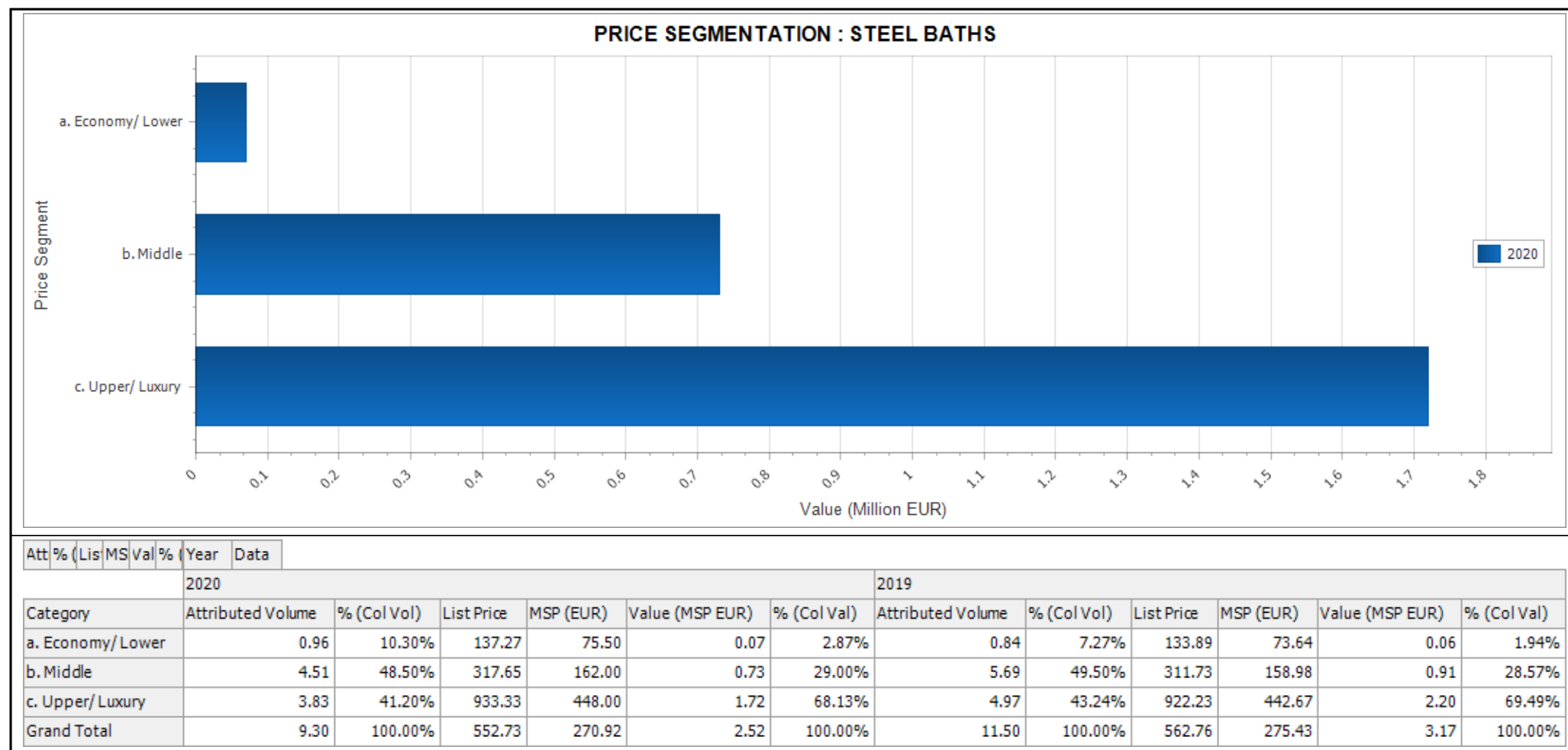


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

1.3.5 Price Segmentation : Steel Baths

IT - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

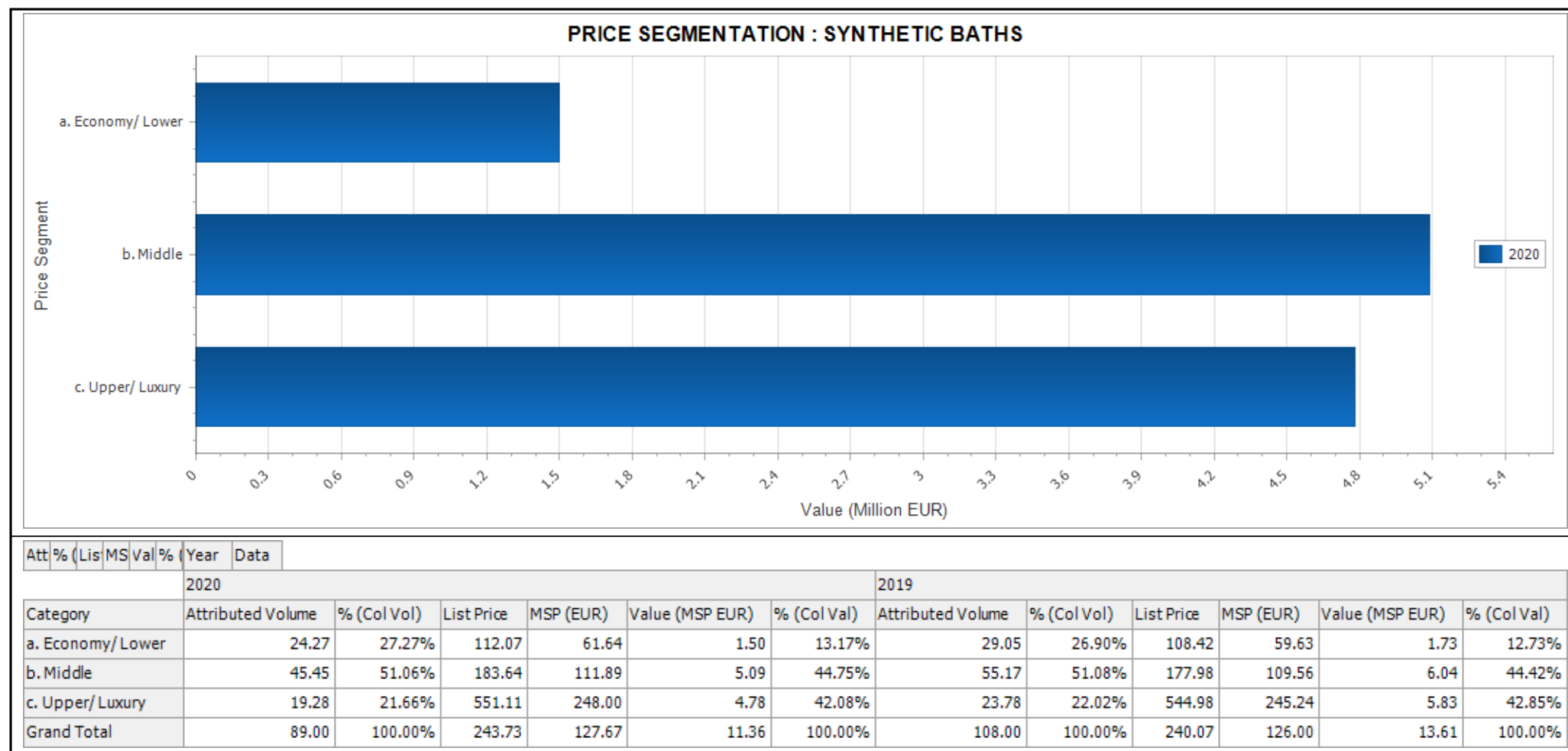


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

1.3.6 Price Segmentation : Synthetic Baths

IT - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

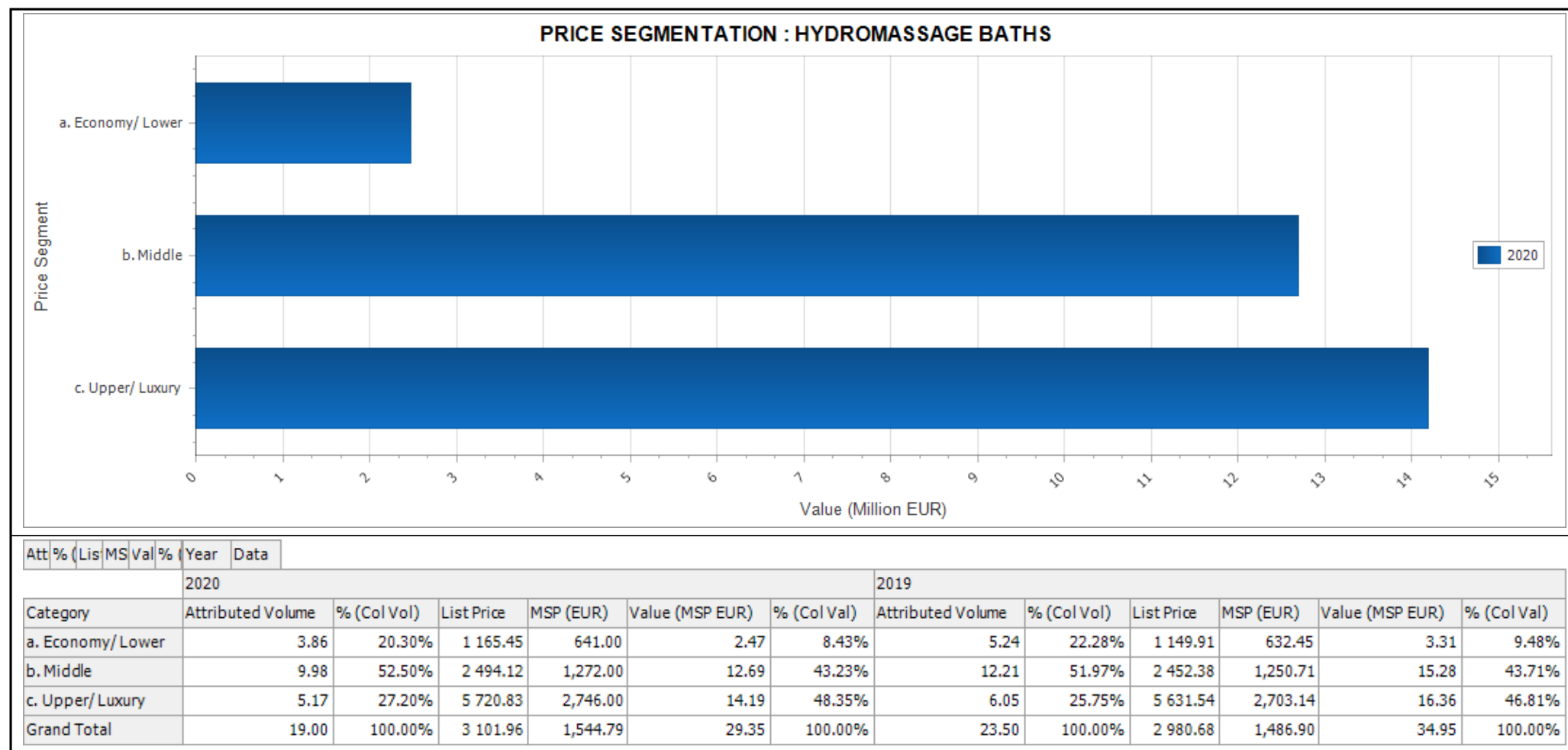


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.7 Price Segmentation : Hydromassage Baths

IT - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

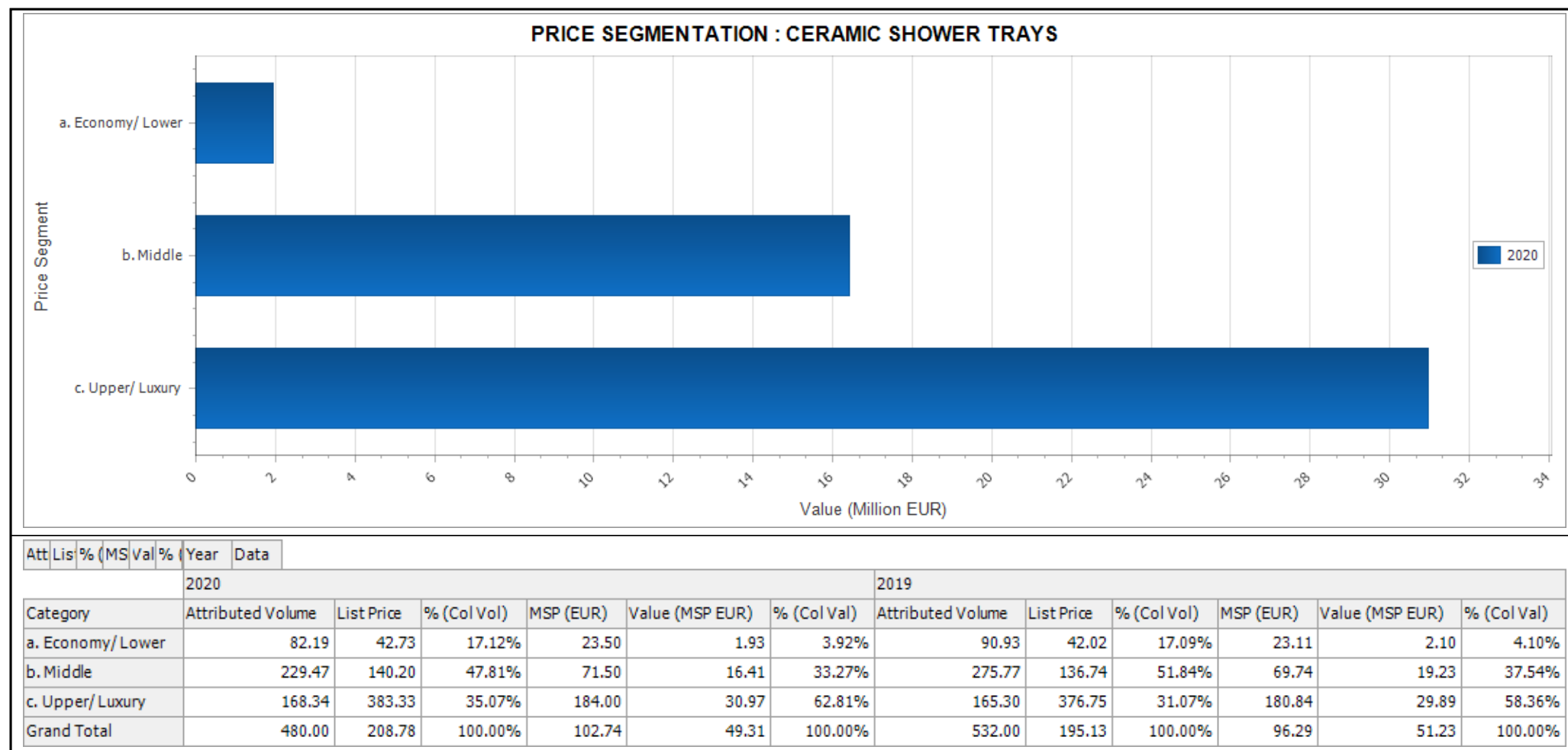


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€750, Middle €750-€1,500, Upper/ Luxury >€1,500

1.3.8 Price Segmentation : Ceramic Shower Trays

IT - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

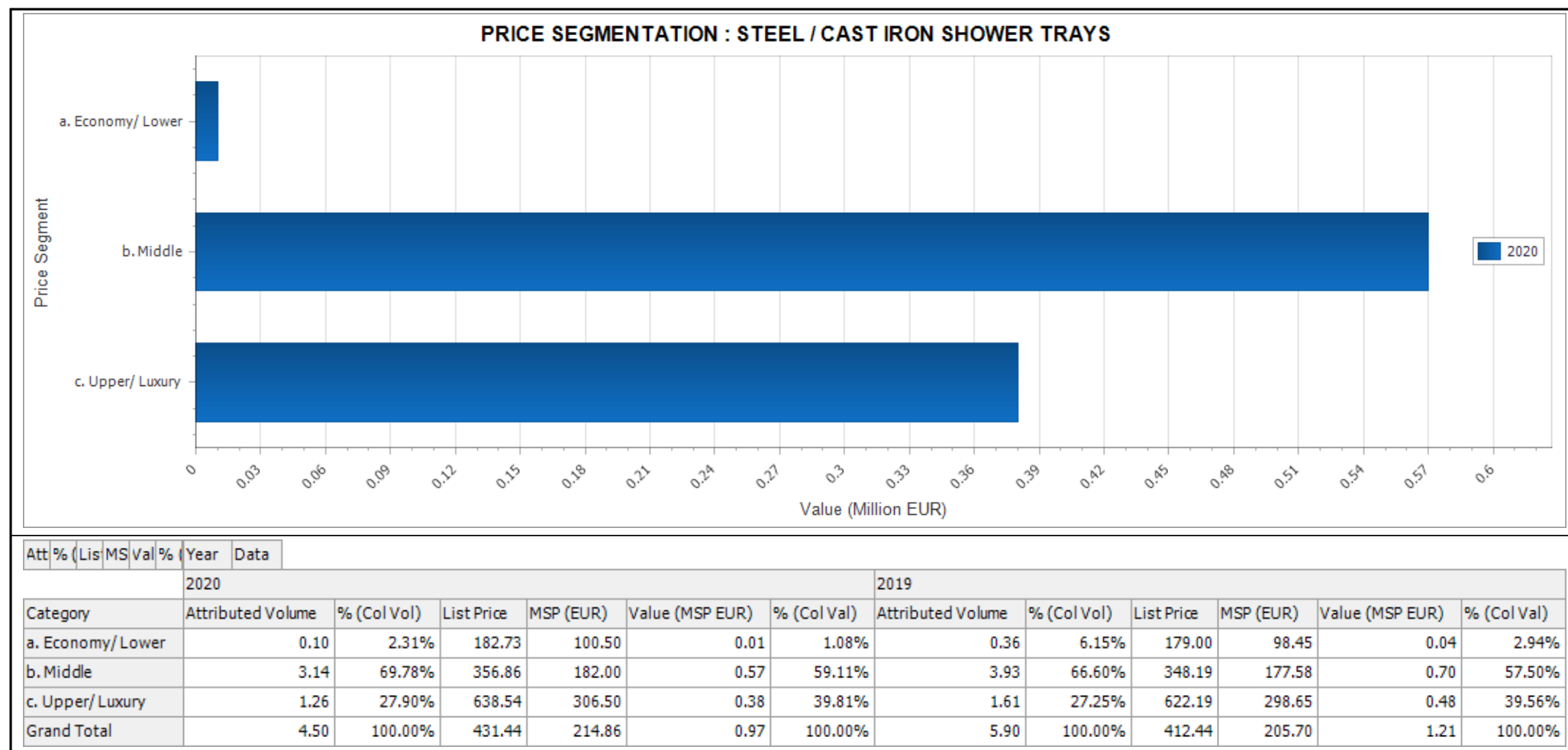


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.3.9 Price Segmentation : Steel/ Cast Iron Shower Trays

IT - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

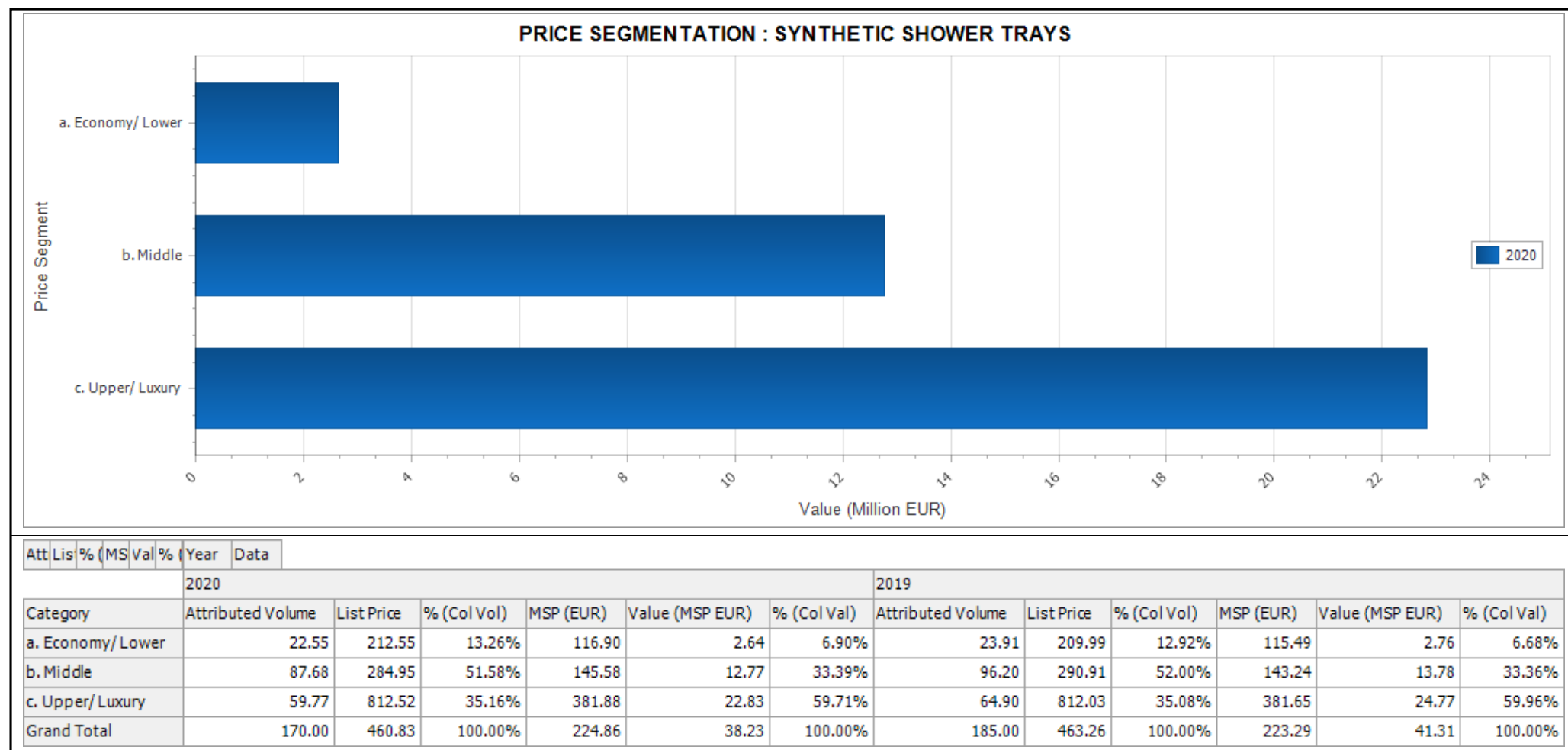


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

1.3.10 Price Segmentation : Synthetic Shower Trays

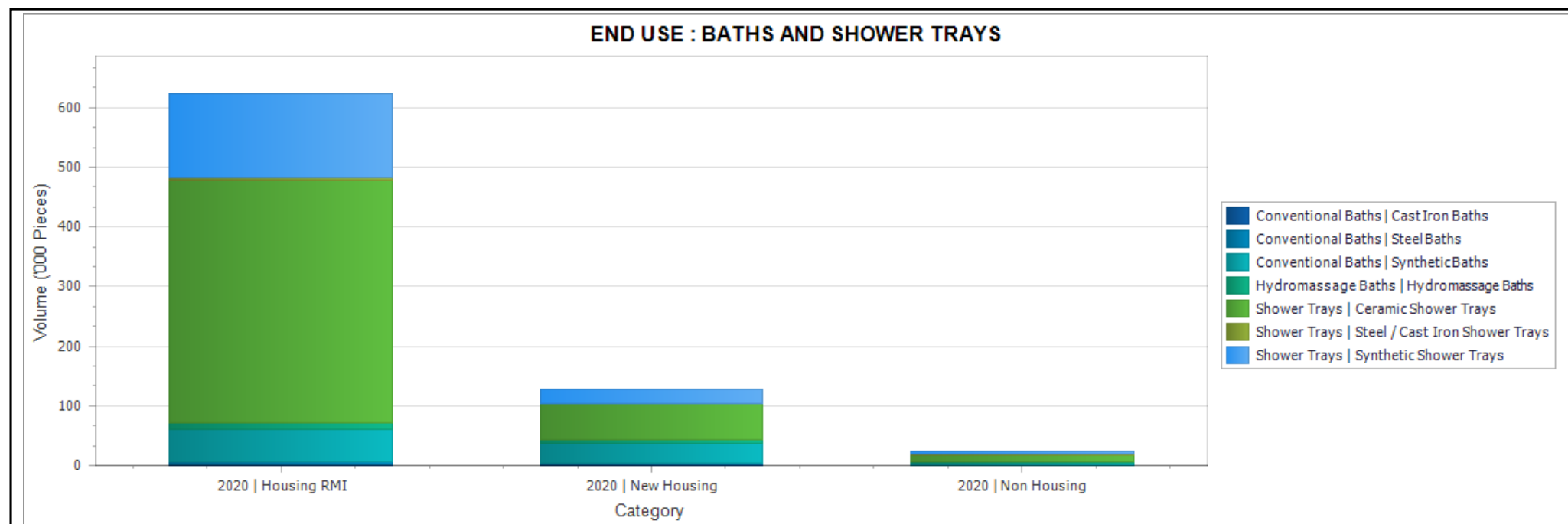
IT - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

IT - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)

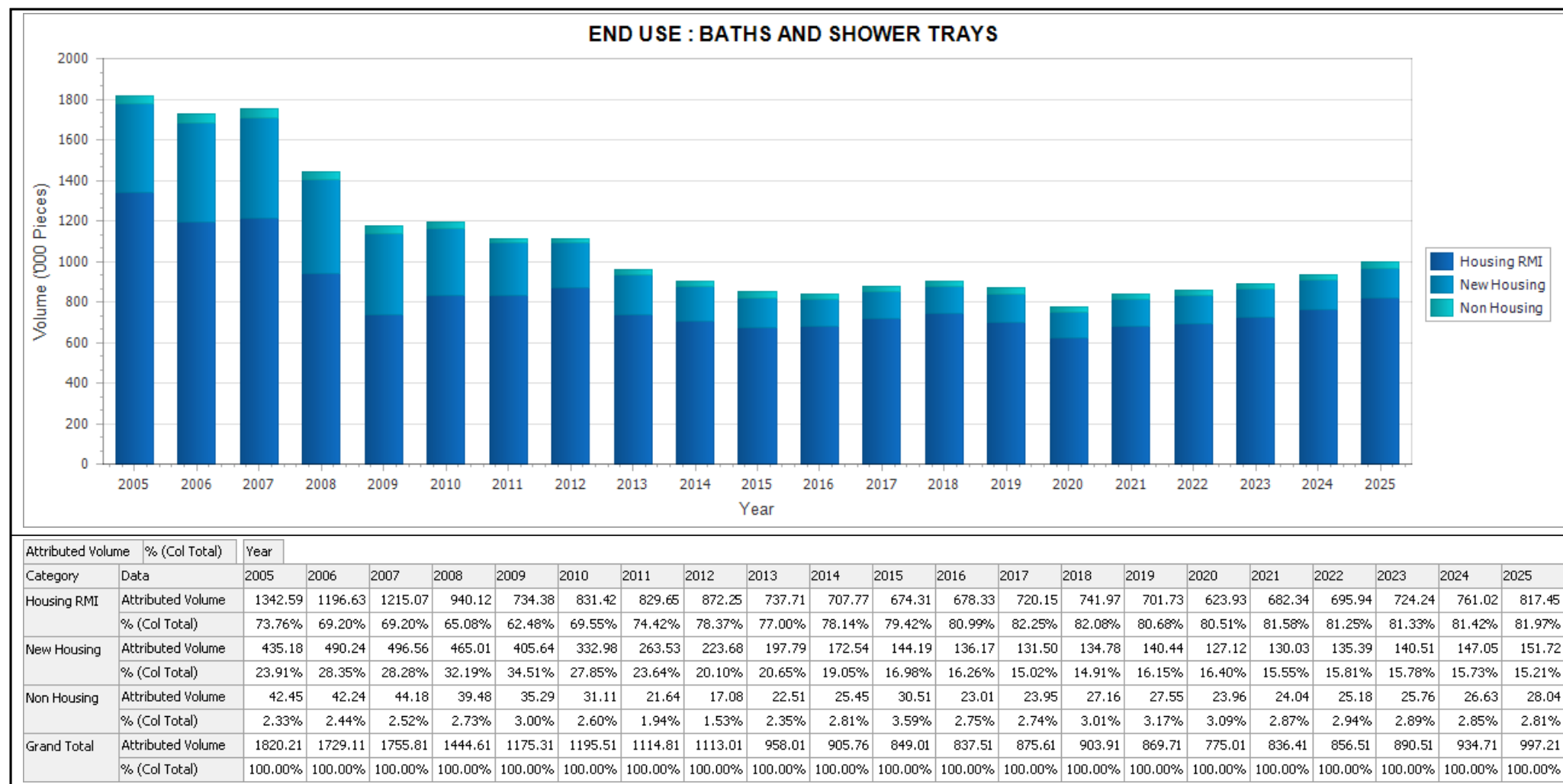


Attributed Volume		% (Col Total)	% (Row)	Year	Category	Data								
		2020												
		Housing RMI			New Housing			Non Housing			2020 Total			
Product Category	Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	
Conventional Baths	Cast Iron Baths	1.72	0.28%	53.70%	1.12	0.88%	35.05%	0.36	1.50%	11.25%	3.20	0.41%	100.00%	
	Steel Baths	5.79	0.93%	62.24%	2.84	2.23%	30.51%	0.67	2.81%	7.25%	9.30	1.20%	100.00%	
	Synthetic Baths	53.05	8.50%	59.61%	32.29	25.40%	36.28%	3.66	15.28%	4.11%	89.00	11.48%	100.00%	
Hydromassage Baths	Hydromassage Baths	11.40	1.83%	59.97%	5.99	4.71%	31.51%	1.62	6.76%	8.52%	19.00	2.45%	100.00%	
Shower Trays	Ceramic Shower Trays	407.32	65.28%	84.86%	61.66	48.51%	12.85%	11.02	45.98%	2.30%	480.00	61.93%	100.00%	
	Steel / Cast Iron Shower Trays	2.66	0.43%	59.02%	0.73	0.58%	16.30%	1.11	4.64%	24.68%	4.50	0.58%	100.00%	
	Synthetic Shower Trays	142.00	22.76%	83.53%	22.49	17.69%	13.23%	5.52	23.03%	3.25%	170.00	21.94%	100.00%	
Grand Total		623.93	100.00%	80.51%	127.12	100.00%	16.40%	23.96	100.00%	3.09%	775.01	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

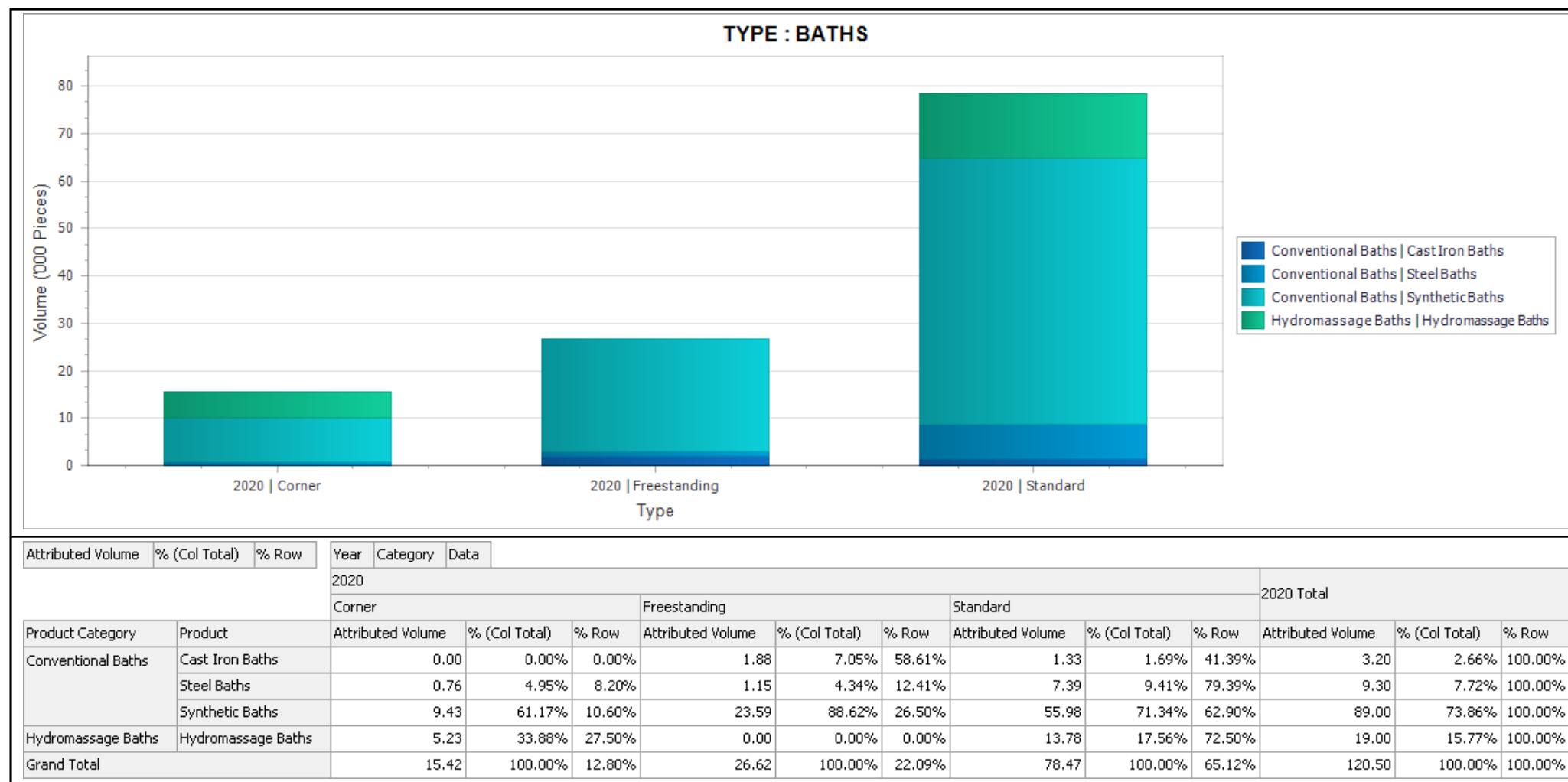
IT - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

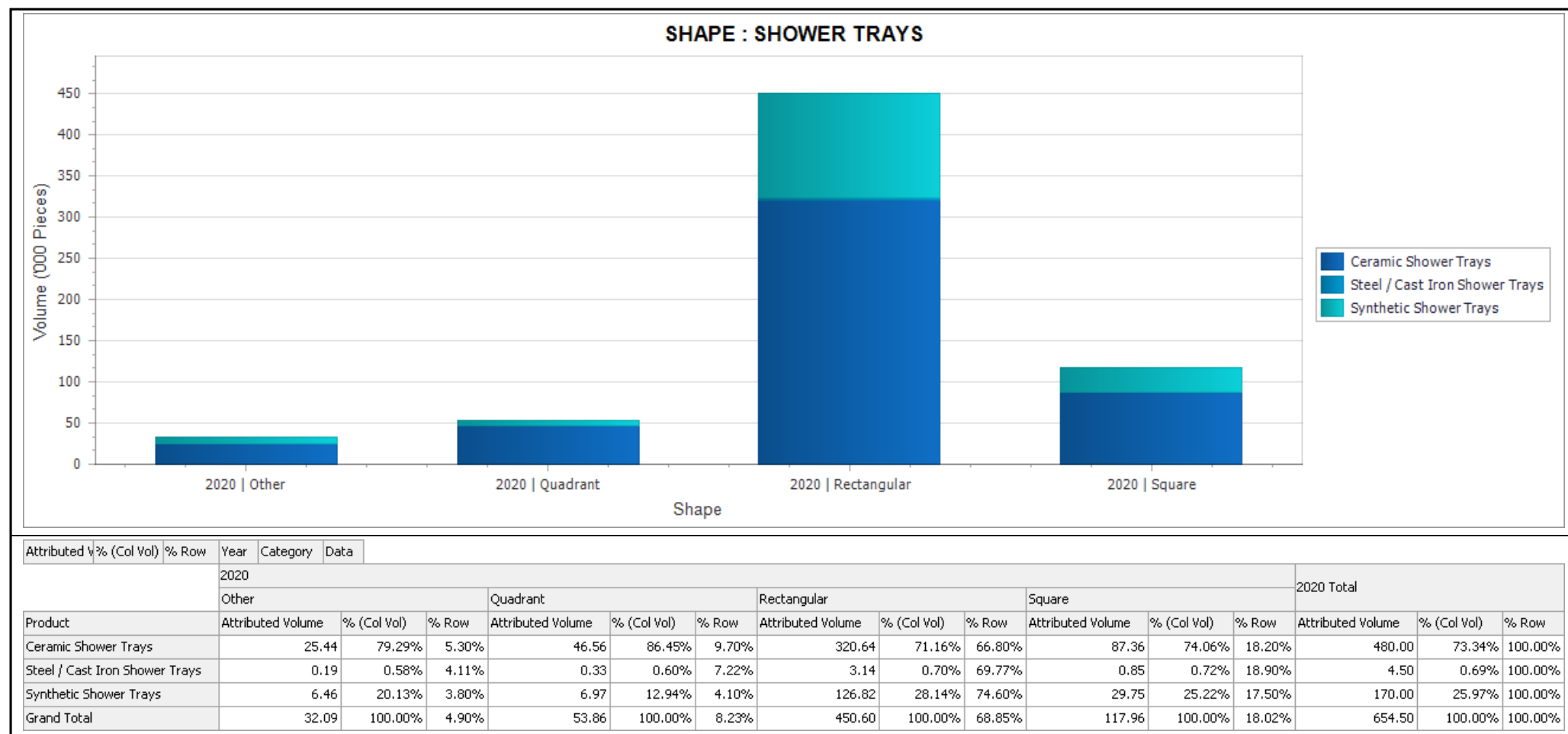
IT - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

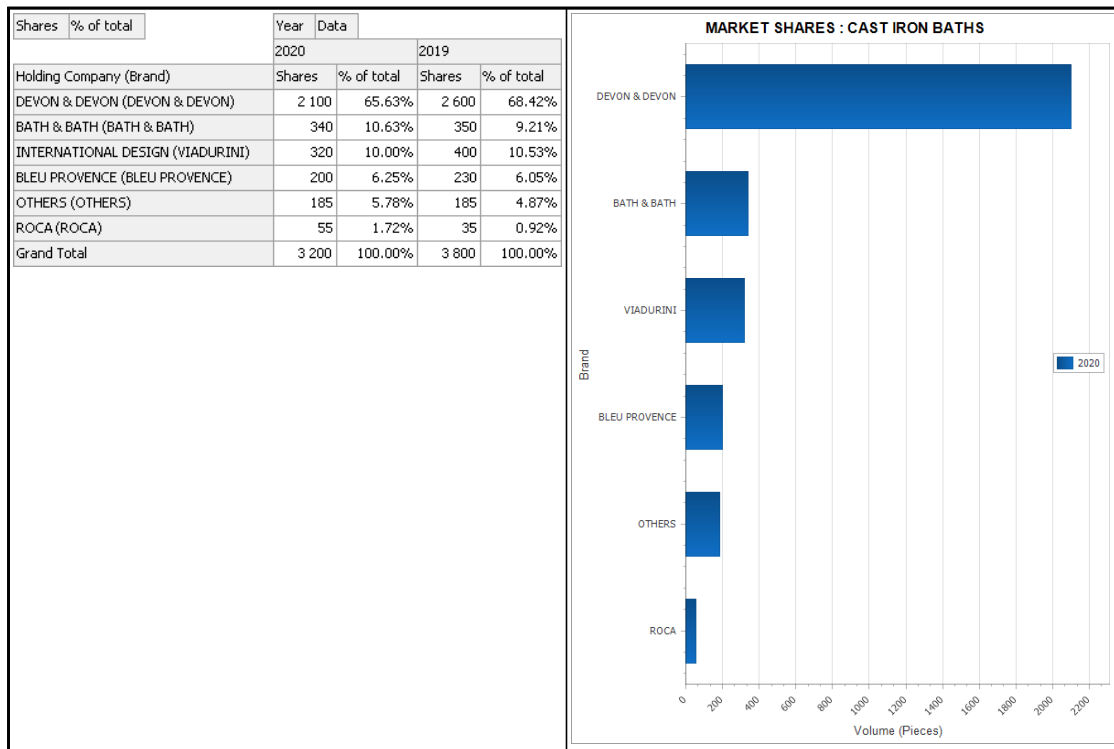
IT - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Cast Iron Baths

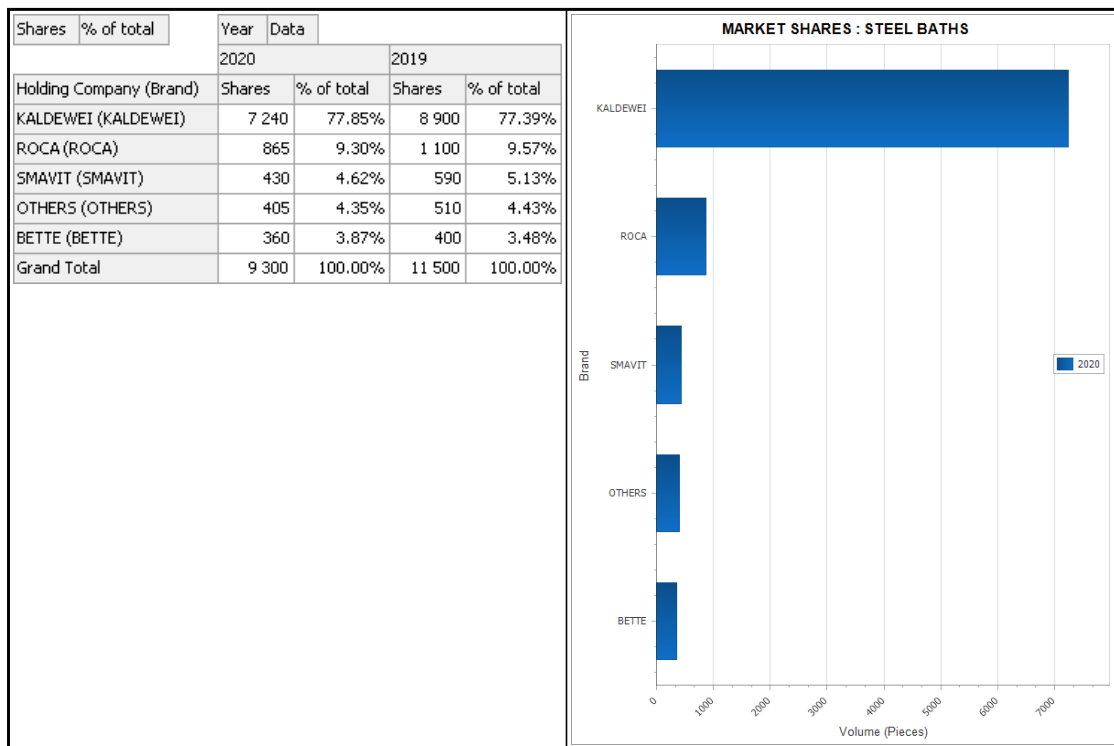
IT - ESTIMATED MARKET SHARES FOR CAST IRON BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Steel Baths

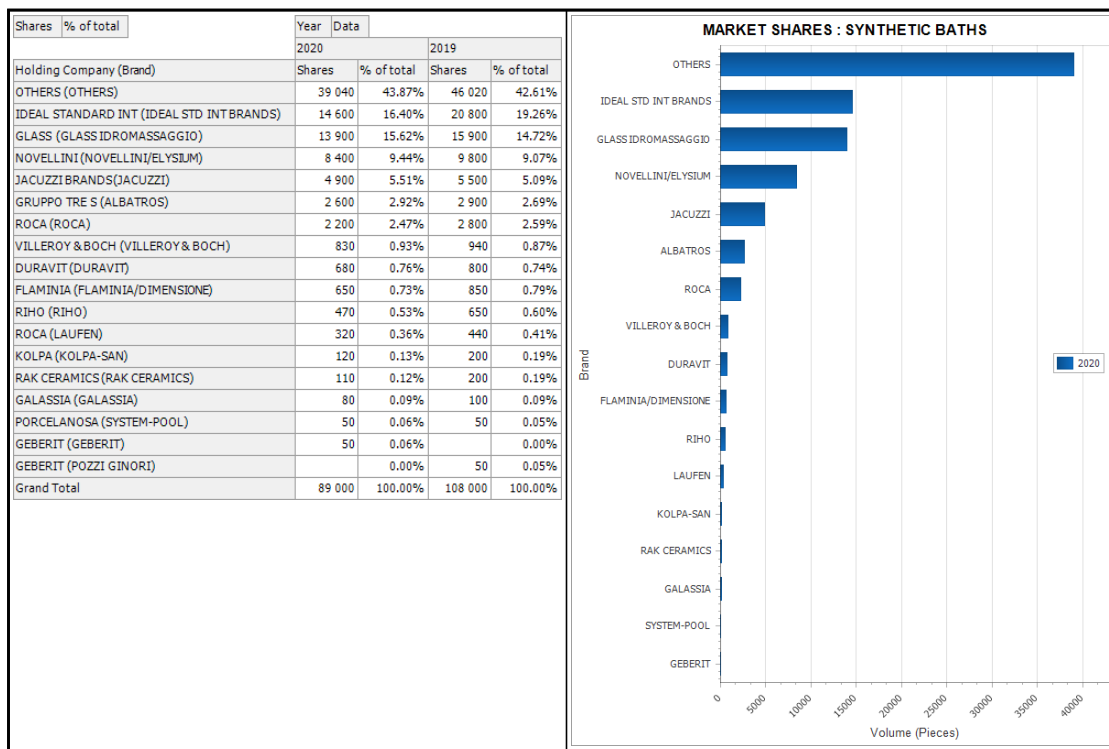
IT - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Synthetic Baths

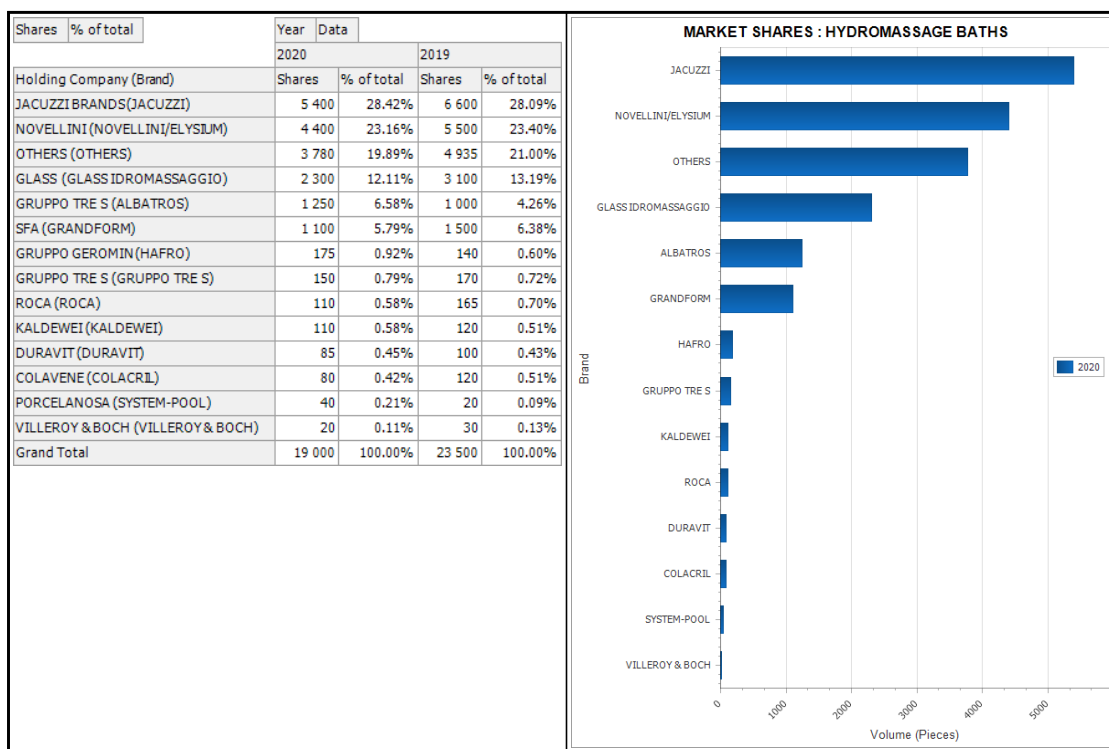
IT - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Hydromassage Baths

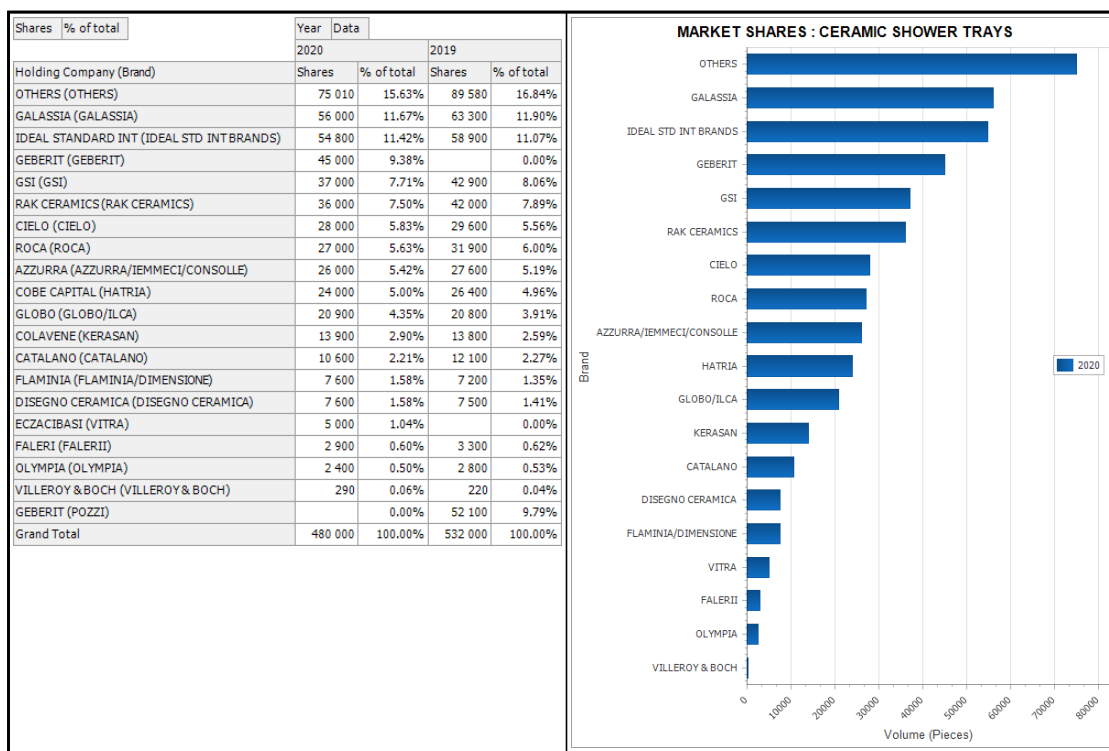
IT - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.5 Market Shares : Ceramic Shower Trays

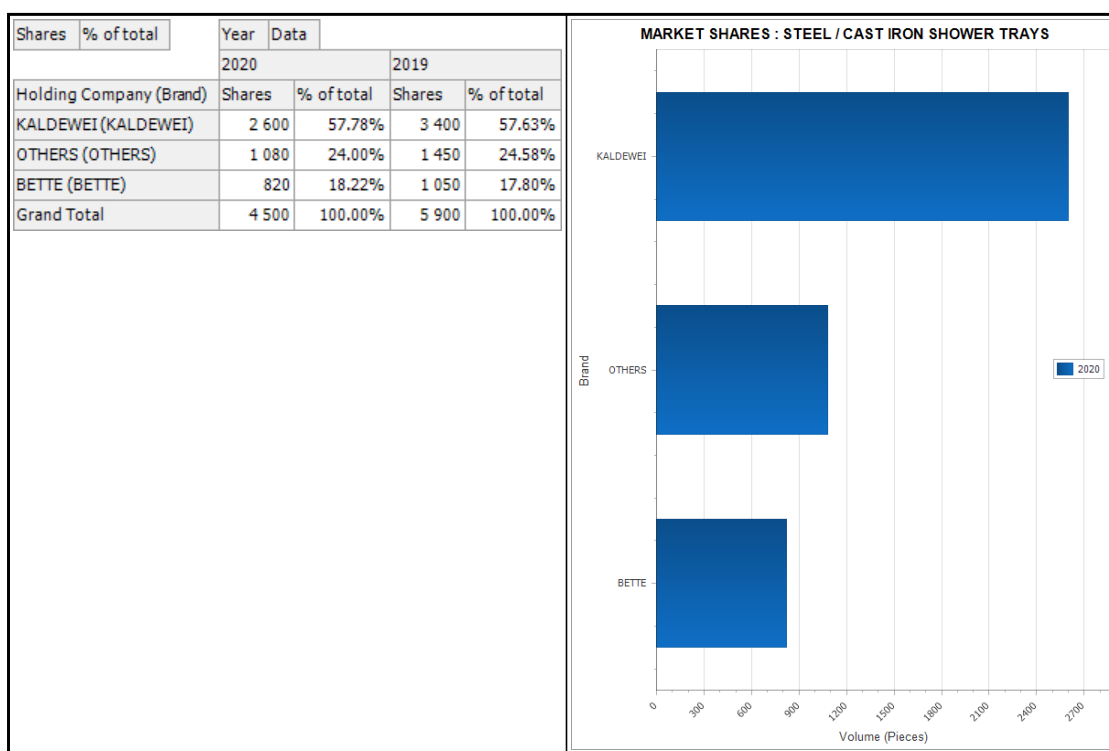
IT - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.6 Market Shares : Steel / Cast Iron Shower Trays

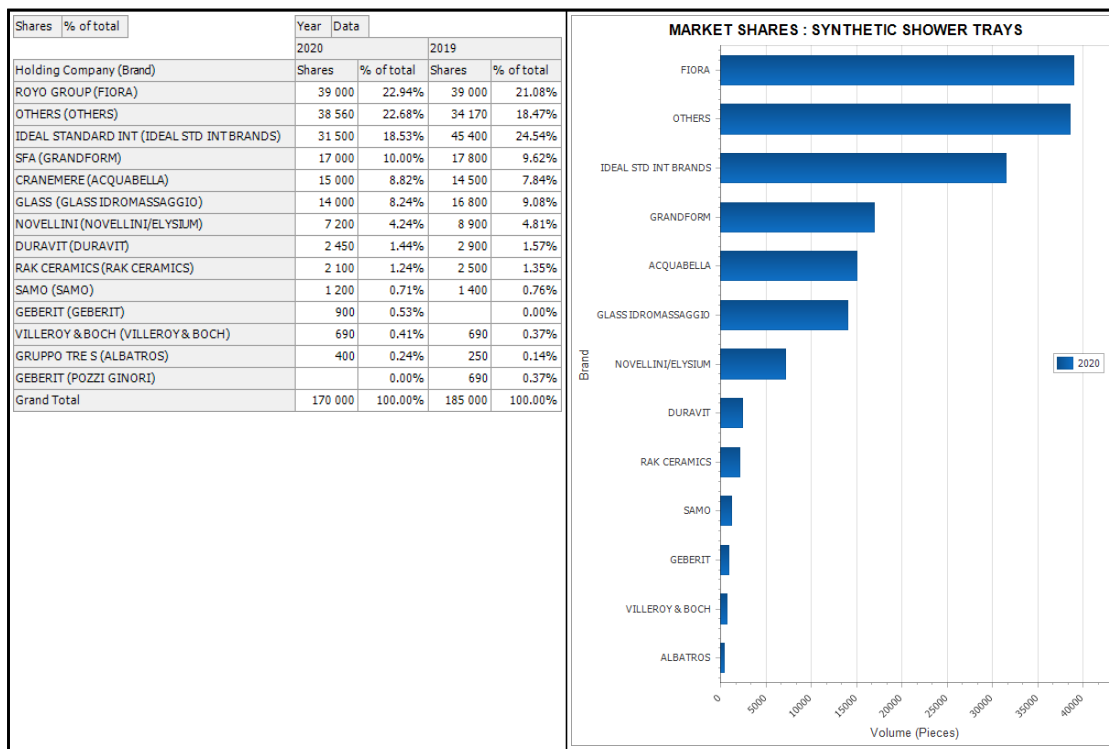
IT - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.7 Market Shares : Synthetic Shower Trays

IT - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 IT - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	53	95.6%	131	89.1%	67	94.8%	183	78.5%
Spain	2	2.7%	1	0.7%	3	3.9%	23	9.9%
Taipei, Chinese	1	1.0%	15	10.2%	0	0.0%	0	0.0%
OTHERS	0	0.7%	0	0.0%	1	1.3%	27	11.6%
Total	55	100.0%	147	100.0%	71	100.0%	233	100.0%

Source : Trademap

1.6.2 IT - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Russian Federation	12	25.1%	119	20.5%	13	27.4%	166	26.4%
Switzerland	4	7.7%	43	7.4%	3	5.6%	38	6.0%
France	3	6.9%	41	7.1%	4	7.9%	58	9.2%
Spain	3	6.9%	32	5.5%	1	2.2%	18	2.9%
Viet Nam	3	6.2%	65	11.2%	1	1.6%	11	1.7%
Belgium	2	5.1%	17	2.9%	1	1.1%	5	0.8%
China	2	4.6%	25	4.3%	2	5.0%	32	5.1%
United Kingdom	2	4.4%	50	8.6%	3	6.0%	41	6.5%
Czech Republic	1	2.6%	12	2.1%	0	1.0%	5	0.8%
Mongolia	1	2.4%	15	2.6%	0	0.0%	0	0.0%
United Arab Emirates	1	2.4%	13	2.2%	0	1.0%	4	0.6%
OTHERS	12	25.8%	148	25.5%	20	41.2%	251	39.9%
Total	46	100.0%	580	100.0%	48	100.0%	629	100.0%

Source : Trademap

1.6.3 IT - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	161	80.7%	723	92.3%	180	72.5%	889	90.1%
Spain	13	6.7%	10	1.3%	5	2.1%	7	0.7%
United Kingdom	13	6.3%	40	5.1%	5	2.1%	31	3.1%
Poland	8	3.8%	2	0.3%	1	0.6%	0	0.0%
France	2	1.0%	0	0.0%	2	1.0%	0	0.0%
OTHERS	3	1.5%	8	1.0%	54	21.8%	60	6.1%
Total	200	100.0%	783	100.0%	248	100.0%	987	100.0%

Source : Trademap

1.6.4 IT - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 940	53.8%	227	7.0%	2 241	57.2%	236	7.5%
Chile	296	8.2%	492	15.1%	219	5.6%	352	11.2%
Argentina	183	5.1%	332	10.2%	108	2.8%	184	5.8%
Spain	144	4.0%	258	7.9%	330	8.4%	232	7.4%
Poland	125	3.5%	224	6.9%	0	0.0%	0	0.0%
Malta	94	2.6%	47	1.4%	92	2.4%	38	1.2%
France	85	2.3%	194	5.9%	38	1.0%	74	2.4%
Lebanon	81	2.2%	172	5.3%	104	2.6%	202	6.4%
Ethiopia	80	2.2%	162	5.0%	15	0.4%	24	0.8%
Ukraine	71	2.0%	113	3.5%	1	0.0%	18	0.6%
Hungary	61	1.7%	106	3.2%	48	1.2%	85	2.7%
OTHERS	446	12.4%	937	28.7%	722	18.4%	1 701	54.1%
Total	3 604	100.0%	3 264	100.0%	3 919	100.0%	3 146	100.0%

Source : Trademap

1.6.5 IT - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	3 213	36.0%	10 442	34.8%	3 465	35.8%	11 339	31.0%
Spain	1 634	18.3%	3 818	12.7%	1 610	16.6%	4 560	12.5%
Croatia	627	7.0%	2 282	7.6%	743	7.7%	2 939	8.0%
Romania	596	6.7%	1 891	6.3%	429	4.4%	1 659	4.5%
France	582	6.5%	1 200	4.0%	192	2.0%	1 496	4.1%
Egypt	555	6.2%	1 356	4.5%	958	9.9%	2 401	6.6%
Bulgaria	447	5.0%	2 205	7.3%	699	7.2%	3 167	8.7%
Turkey	316	3.5%	887	3.0%	398	4.1%	1 174	3.2%
Germany	308	3.4%	2 297	7.7%	327	3.4%	2 651	7.3%
Poland	164	1.8%	538	1.8%	206	2.1%	773	2.1%
Belgium	94	1.1%	523	1.7%	82	0.9%	560	1.5%
OTHERS	390	4.4%	2 568	8.6%	571	5.9%	3 825	10.5%
Total	8 925	100.0%	30 007	100.0%	9 680	100.0%	36 544	100.0%

Source : Trademap

1.6.6 IT - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	2 173	24.0%	12 317	16.5%	2 319	26.4%	12 404	17.7%
Poland	992	10.9%	3 400	4.5%	290	3.3%	1 364	1.9%
Germany	732	8.1%	8 080	10.8%	1 393	15.9%	8 999	12.8%
Spain	624	6.9%	4 469	6.0%	693	7.9%	5 176	7.4%
United States of Amer	623	6.9%	4 603	6.2%	169	1.9%	2 079	3.0%
Belgium	589	6.5%	5 265	7.0%	502	5.7%	4 412	6.3%
Switzerland	384	4.2%	5 930	7.9%	365	4.2%	5 321	7.6%
United Kingdom	308	3.4%	2 820	3.8%	274	3.1%	2 102	3.0%
Netherlands	294	3.2%	2 030	2.7%	271	3.1%	1 888	2.7%
Romania	193	2.1%	1 851	2.5%	103	1.2%	918	1.3%
Bulgaria	147	1.6%	1 204	1.6%	140	1.6%	854	1.2%
OTHERS	2 009	22.2%	22 873	30.6%	2 259	25.7%	24 691	35.2%
Total	9 070	100.0%	74 842	100.0%	8 778	100.0%	70 208	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
IT - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

70.7%
Wholesalers / Merchants
70.7%

Retail Level

Manufacturer	Wholesaler
0.5%	4.1%
Internet Retailers	
4.6%	

Manufacturer	Wholesaler
6.5%	2.6%
DIY Retailers	
9.1%	

Manufacturer	Wholesaler
14.6%	17.2%
Specialist Retailers	
31.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
6.1%	42.4%	0.7%	1.8%	20.0%
Installers				
71.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.4%	3.8%	3.9%	7.3%	11.8%	66.6%
Residential					
94.8%					
New Build			Residential RMI		
35.0%			59.7%		
Project	Non-Project		Project	Non-Project	
10.5%	24.5%		6.0%	53.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.6%	0.0%	0.0%	0.0%	4.5%
Non-Residential					
5.2%					
New Build			Non-Residential RMI		
2.9%			2.3%		
Project	Non-Project		Project	Non-Project	
2.2%	0.7%		1.9%	0.4%	

1.7.2

Route to Market: Baths
IT - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

69.6%
Wholesalers / Merchants
69.6%

Retail Level

Manufacturer	Wholesaler
0.7%	4.9%
Internet Retailers	
5.6%	

Manufacturer	Wholesaler
7.5%	3.3%
DIY Retailers	
10.7%	

Manufacturer	Wholesaler
13.9%	16.6%
Specialist Retailers	
30.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
6.5%	40.4%	0.8%	2.1%	19.2%
Installers				
69.1%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.6%	3.8%	4.8%	8.6%	11.3%	64.0%
Residential					
94.0%					
New Build			Residential RMI		
37.9%			56.1%		
Project	Non-Project		Project	Non-Project	
11.4%	26.5%		5.6%	50.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.2%	0.7%	0.0%	0.0%	0.0%	5.1%
Non-Residential					
6.0%					
New Build			Non-Residential RMI		
3.3%			2.7%		
Project	Non-Project		Project	Non-Project	
2.5%	0.8%		2.2%	0.5%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

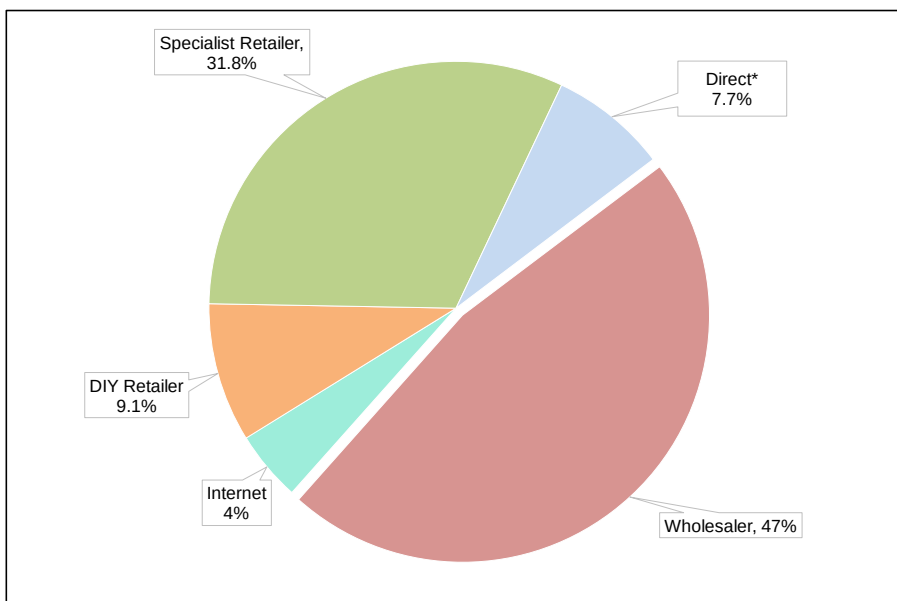
1.7.3 Route to Market - Consolidated View : Baths
IT - ESTIMATED DISTRIBUTION FOR BATHS : 2020

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
46.9%	4.6%	9.1%	31.8%	7.7%	16.5%	4.1%	78.3%	1.1%
100%					20.6%		79.4%	

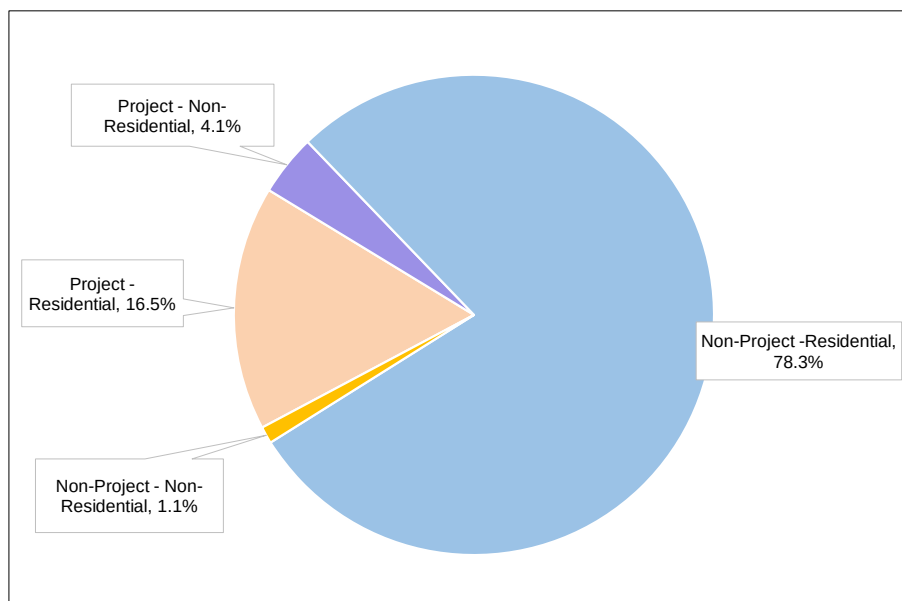
1.7.4 Route to Market - Consolidated View : Baths
IT - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
44.8%	5.6%	10.7%	30.5%	8.3%	17.0%	4.7%	77.0%	1.3%
100%					21.7%		78.3%	

IT - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5

Route to Market: Shower Trays
IT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

80.5%
Wholesalers / Merchants
80.5%

Retail Level

Manufacturer	Wholesaler
0.4%	3.1%
Internet Retailers	
3.5%	

Manufacturer	Wholesaler
4.2%	11.0%
DIY Retailers	
15.2%	

Manufacturer	Wholesaler
9.6%	16.8%
Specialist Retailers	
26.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.5%	44.3%	0.5%	2.3%	16.6%
Installers				
68.2%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.5%	4.9%	3.0%	12.9%	9.8%	66.2%
Residential					
97.3%					
New Build			Residential RMI		
13.0%			84.3%		
Project	Non-Project		Project	Non-Project	
3.9%	9.1%		8.4%	75.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.4%	0.0%	0.0%	0.0%	2.0%
Non-Residential					
2.7%					
New Build			Non-Residential RMI		
1.1%			1.6%		
Project	Non-Project		Project	Non-Project	
0.9%	0.2%		1.1%	0.5%	

1.7.6

Route to Market: Shower Trays
IT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

83.7%
Wholesalers / Merchants
83.7%

Retail Level

Manufacturer	Wholesaler
0.6%	3.9%
Internet Retailers	
4.5%	

Manufacturer	Wholesaler
4.8%	13.7%
DIY Retailers	
18.6%	

Manufacturer	Wholesaler
9.1%	16.2%
Specialist Retailers	
25.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.5%	44.3%	0.7%	3.7%	16.0%
Installers				
66.2%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	5.1%	3.8%	14.9%	9.4%	64.5%
Residential					
97.7%					
New Build			Residential RMI		
11.8%			85.9%		
Project	Non-Project		Project	Non-Project	
3.5%	8.2%		8.6%	77.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.3%	0.0%	0.0%	0.0%	1.7%
Non-Residential					
2.3%					
New Build			Non-Residential RMI		
0.9%			1.4%		
Project	Non-Project		Project	Non-Project	
0.8%	0.2%		0.9%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

IT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2020

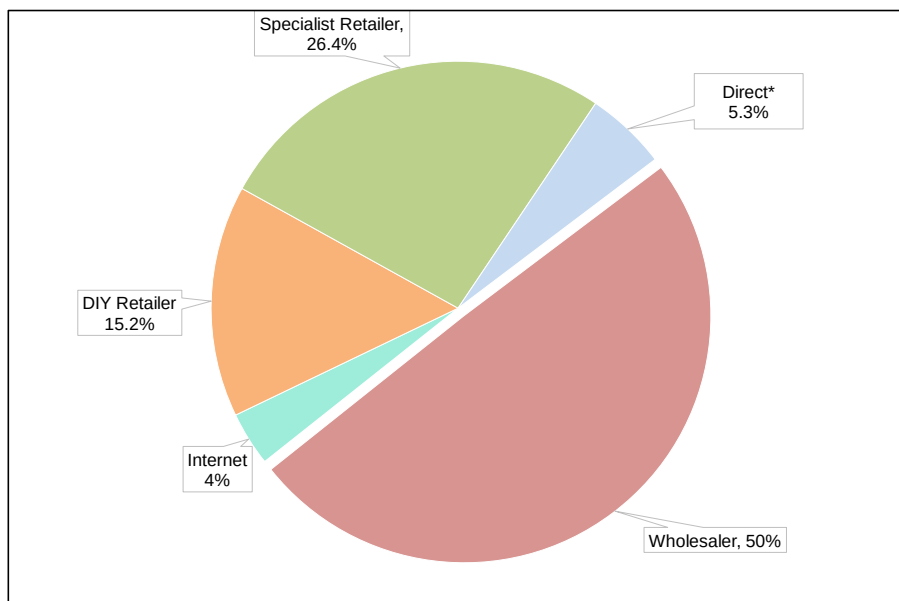
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.6%	3.5%	15.2%	26.4%	5.3%	12.3%	2.0%	85.0%	0.7%
100%					14.3%		85.7%	

1.7.8 Route to Market - Consolidated View : Shower Trays

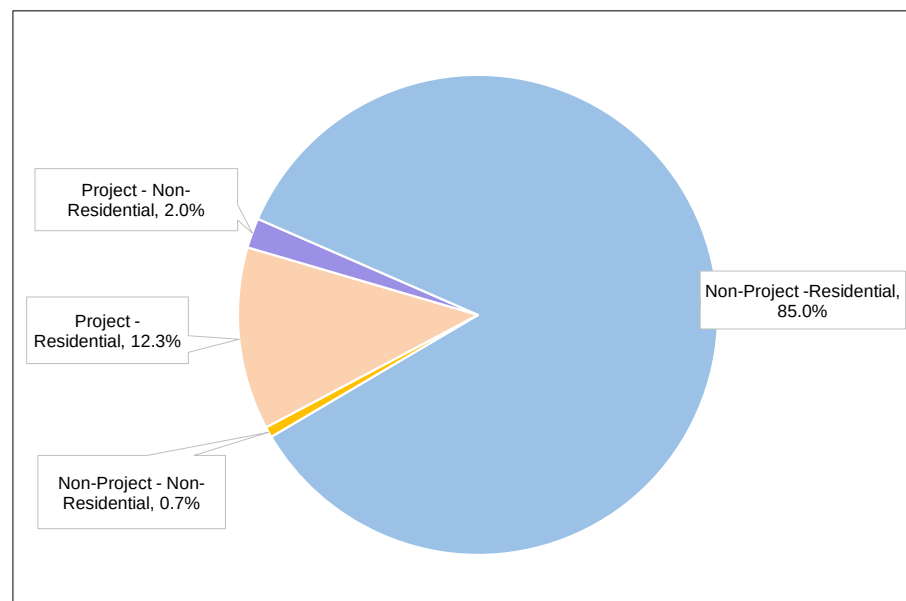
IT - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.8%	4.5%	18.6%	25.4%	1.8%	12.1%	1.7%	85.6%	0.6%
100%					13.8%		86.2%	

IT - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2020



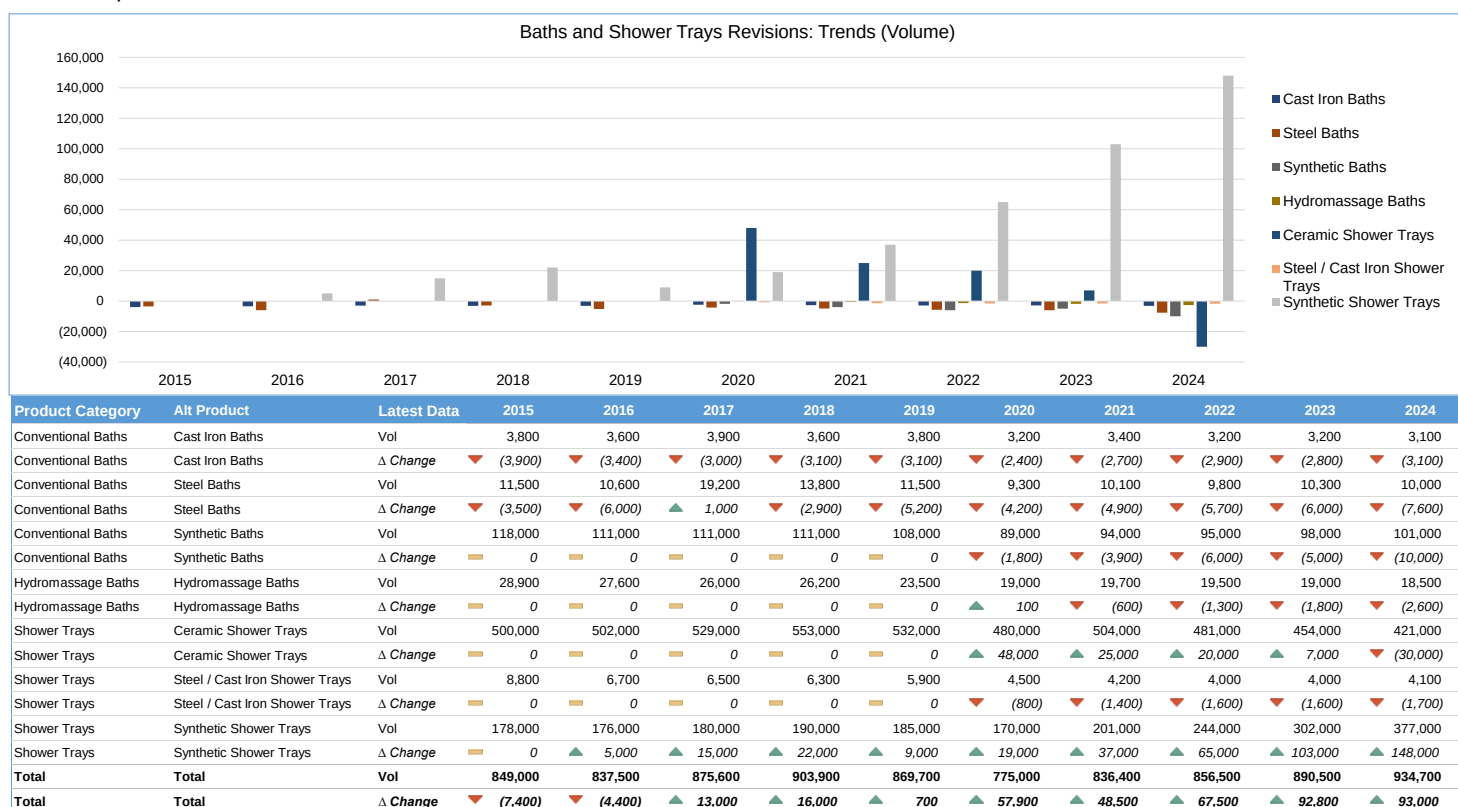
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Italian Baths and Shower Trays Market (April 2021)

IT - REVISIONS IN THE ITALIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: October 2020



Following a more detailed analysis, historical revisions have been made to the market sizes for both cast iron and steel baths. Given the importance of imports, upward revisions were made to the market size for cast irons baths for the 2005 to 2012 period, as the number of imports, mostly from Spain and Portugal, were underestimated, whereas these were revised down from 2013 onwards.

Whereas in 2005, imports of cast iron baths exceeded €2.4 million, this had already declined to €2.0 million by 2010 and had declined even more strongly in recent years, to €204,000 in 2015 to reach as little as €33,000 by 2019. The share of cast iron baths has been declining almost constantly, year after year, over the last 15 years, from 5% in 2005 to around 2.6% in 2020, although in value the market has developed differently since average prices have been increasing considerably over the last decade. Cast iron baths are today no longer basic products but have become niche products, characterised by high prices, especially the ones offered by domestic manufacturers such as DEVON & DEVON.

Both upwards and downward revisions, up for the 2005, 2013 to 2014 and 2017, but downwards for all other years, were made to the historical market size for steel baths. Spanish imports have suffered considerably since 2005, from an estimated 50% of total imports in 2005 to as little as 10% in 2019, whereas German imports, mostly KALDEWEI, have held up better and have gained share, reaching 89% of all imports in 2019. German and Spanish imports do not compete with each other since Spanish imports are accounted for by low priced products, mostly going into economy/ lower price segment, used in projects, whereas German imports are significantly higher priced, mostly aimed at the private refurbishment market.

The MSPs for cast iron and steel baths were revised up for 2019 due to revisions made to the supply structure, characterised by declining imports but growing domestic supply for cast iron baths and the growing importance of German imports, as opposed to Spanish imports, for steel baths.

The MSP for synthetic baths has been revised down for all years, largely due to revisions made to the material split for synthetic baths, characterised by a very high share of acrylic baths as opposed to mineral cast and/ or solid surface. Similar to France and Spain, the Italian market continues to be dominated by synthetic baths, which remain low priced in Italy, although prices are going up due to rising raw material costs, combined with the shift towards freestanding baths. Prices are also affected by the growing share of non-acrylic materials such a mineral cast and to a lesser extent, solid surface baths.

No historical revisions were made to the market sizes for ceramic and steel shower trays, whereas synthetic shower trays were revised up for the 2016 to 2019 period. The synthetic shower tray market, similar to France, has seen an influx of new players in recent years, mostly from Spain and France, due to a growing preference for synthetic shower trays, especially mineral cast, as opposed to ceramic shower trays. Ceramic shower trays are in long term decline and the market should develop quickly in favour of synthetic models. Domestic players, as well as imported brands such as IDEAL STANDARD, GEBERIT and DURAVIT, are increasingly focusing more on the supply of synthetic shower trays.

Minor historical revisions were made to the MSPs for ceramic shower trays due to changes made to the sales per price, including average prices per price segment, for the 2012 to 2017 period.

ITALY

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Italian sanitary ware market is the largest of the bathroom product segments, and among the most mature, incorporating ceramic sanitary ware (CSW) and exposed/concealed plastic cisterns. CSW in turn includes WCs, washbasins, bidets and other products. In recent years, the general market trend has favoured WCs and other CSW, such as shower trays and bidets, as the most popular sub-segments. Due to the maturity of the market, sanitary ware relies mostly on housing RMI sales, in turn dependent on the general macroeconomic trend of the country. New construction is also a key driver, especially in CSW and concealed plastic cisterns, which are both popular categories in new housing.

For WCs, wall-hung models have progressively grown in popularity as they facilitate bathroom floor cleaning and are generally associated with better design and quality. Bidets follow WC sales relatively closely, and have traditionally been a very popular product in all households; however, the gap is currently widening between WC and bidet sales as apartments become smaller and space becomes limited. Ceramic shower trays make up the bulk of other CSW, but have faced stiff competition from cast iron, steel and synthetic substitutions in recent years, as a result of the various disadvantages of ceramic, such as heaviness and fragility.

The cistern product mix has generally seen a shift away from exposed plastic cisterns and towards the more popular concealed, in increasingly elaborate designs and shapes. There is strong evidence of regional preference, with the southern regions favouring more the external cisterns, of ceramic rather than plastic and often in a mono-block formation, whereas the northern ones prefer concealed models. Significant shifts in trends like this have had a large effect on the product mix in recent years; an example is the increasing popularity of base units, as opposed to half and full pedestals, which has continued in recent years.

Recent Market Trends

The outbreak of the COVID-19 pandemic crucially affected the development of the Italian economy in 2020. The cessation of activity across diverse sectors of the economy, which took place from 11 March until 4 May, had a great impact on private investment, construction activities and RMI demand.

An inevitable consequence of the above has been the negative impact on the sanitary ware market.

Sales of ceramic shower trays experienced an important decrease in 2020 when compared to the previous year, partially due to the rise in preference for synthetic materials but mainly due to the erosion of the RMI segment.

With regard to ceramic washbasins, even though there was an important decline in demand deriving from the new housing and non-housing segments,

postponements in renovation works were the main reason for the drop in sales in 2020. However, countertop washbasins continued to account for the majority of sales, followed by wall-hung models.

A similar degree of decline has been observed for other CSW, with floor-standing WC bowls and kitchen sinks losing a greater share when compared to the other products, while shower trays and bidets continued to dominate the other CSW product mix in 2020.

Sales of WCs/toilets experienced a significant drop in 2020 when compared to the previous year; in fact this was the product category that lost the greatest share in the sanitary ware market, and this was mainly due to the RMI segment – which is responsible for the largest share of sales in the past five years. In terms of model preference, the floor-standing WC bowls remain by far the first choice in Italy.

Sales of concealed plastic cisterns followed the drop of other CSW, with a similar decline rate deriving from RMI demand, while sales of exposed plastic cisterns/tanks only experienced a marginal decline in 2020 when compared to the previous year – mainly due to their more affordable prices and ease and speed of installation.

Prices and Market Values

In 2020, the market value for CSW decreased due to the overall decrease in sales volume, while the average MSP slightly increased in comparison to the previous year.

Within the other CSW product category, the average MSPs increased, mainly driven by the rise of ceramic shower trays' prices in 2020.

MSPs of ceramic washbasins slightly increased in 2020, despite the fact that prices for hand washbasins as well as wall-hung and pedestal washbasins were reduced, and the average MSP for non-ceramic washbasins / bathroom sinks recorded a marginal drop, mainly due to the change in the product mix.

Despite the fast uptake in recent years of wall-hung and rimless models that have higher MSPs than other traditional models, the average MSP of WCs decreased in 2020, mainly due to the reduction of the lower and middle segmentation prices that together represent the bulk of sales.

As regards WC cisterns, prices of concealed plastic cisterns are consistently higher than those of exposed cisterns, mainly due to the fact that their average MSP also includes their relatively high installation modules price. In 2020, the average MSPs slightly increased for both product categories.

New Housing

Due to their centrality in the bathroom and the high number of dwellings that are equipped with two or more bathrooms, the penetration of WC and washbasin products has remained relatively high in new housing in Italy. A typical new house has a shower tray, a bidet, one or two WCs, and usually two washbasins.

Cisterns are closely tied to WCs for new housing, with an average of around 1.3 cisterns per new dwelling. Concealed plastic cisterns remain by far the most popular type in new housing, confirming the ever-increasing preference of consumers for the more minimalist design that the concealed cistern presents.

In 2020, the penetration of CSW in new housing significantly decreased, in line with the new housing construction output.

Housing RMI

The Italian sanitary ware market is mature and, as such, relies on housing RMI for most of its sales. Other CSW is one the most replaced product types, due primarily to the large park of ceramic shower trays and bidets in existing dwellings. In terms of volume, WCs account for the bulk of replacement with a high reliance on the replacement segment, as a WC breakage tends to require immediate replacement.

Demand for plastic cisterns also relies on housing RMI demand, with exposed cisterns have the highest share of sales in the RMI segment, reflecting the maturity of this market segment. In 2020 seven out of 10 sales of concealed plastic cisterns derived from RMI while the share of exposed plastic cisterns was even higher, accounting for nine out of 10 sales.

Non-Housing

The hospitality and health sectors remain the main sources of demand within the non-housing market. There is a relatively large market in offices and commercial buildings for WCs and washbasins, allowing these products to count for the bulk of sales. In new non-housing constructions, wall-hung toilets and concealed cisterns are becoming the default choice, while sales of bidets and ceramic shower trays are increasing due to the interest in ceramic product variants.

After three consecutive years of growing demand deriving from the non-housing segment for WCs, washbasins and other CSW, the 2020 crisis related to the COVID-19 pandemic reversed this growth trend.

Supply Structure

The Italian CSW market is led by several multinational manufacturers, such as IDEAL STANDARD, GEBERIT, and RAK CERAMICS, which provide a wide variety of products. These multinational players share the market with long-established

specialists in the ceramic industry that are primarily based in the Civita Castellana district, and include names such as GLOBO, GALASSIA, and FLAMINIA.

In 2020, despite the decline in demand, GEBERIT maintained its market position, through a constant diversification of products and a higher degree of personalisation, as well as an effective pricing strategy. Remarkable in a market that is very much fragmented is the success of RAK CERAMICS (RAK), which, despite the economic crisis experienced last year, has managed not only to consolidate its presence in the Italian sanitary ware market but also to gain more share and further erode the positions of domestic manufacturers.

Moreover, players such as GLOBO and CATALANO, operating in both the lower and upper price segments, as well as players such as DURAVIT, focusing on the high-end segments, narrowed their market presence in 2020.

No major changes have been observed in the plastic cisterns market, which is considerably less fragmented than the CSW market, with GEBERIT and KARIBA dominating the exposed and concealed markets respectively, thus constraining any development in price and distribution. In the context of the concealed cistern market, prior to the economic downturn due to the COVID-19 pandemic, the overall market had shown steady growth for four consecutive years – due to increased product research and innovation that matched consumer needs. Such success has been further fuelled by product development around the mechanism of the plate, which in most cases is becoming the main ground of choice for the cistern (combined purchase). On the other hand, most players in the exposed cistern market managed to retain market share in 2020, as demand remained rather stable.

In 2020, the rise of the DIY and internet channels at the expense of specialist retailers and showrooms continued. The DIY channel is currently witnessing a strong expansion, with more outlets and better after-sales assistance, transportation and installation option services. The channel is noticeably targeting installers who normally purchase wholesale, and many installers are switching as a result. The showroom market slightly decreased in 2020, mainly due to the long periods of lockdown in the country when it was not possible to visit such showrooms, while the internet channel is experiencing slow but steady growth.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

In 2021, sales of ceramic washbasins / bathroom sinks, as well as sales of WCs/toilets, concealed plastic cisterns and non-ceramic washbasins / bathroom sinks, are expected to increase in line with the increase in private investment, as

well as the resumption in construction activity and improvement in RMI demand. On the other hand, sales of other CSW and exposed plastic cisterns/tanks are expected to slow down, due to a less dynamic demand deriving from RMI and new housing respectively.

In 2022, BRG expects a rise in sales of all sanitary ware product categories, with RMI demand driving the market also – due to the Superbonus 110% incentive scheme, at present considered to be effective until 30 June 2022.

The improvement of new build construction and the non-housing performance from 2023 onwards is expected to further boost the growth of the market. The only product category that is likely to decline from 2023 onwards is other CSW, and that is mainly due to the expected decrease in RMI demand for ceramic shower trays – due to the more widespread preference for synthetic materials.

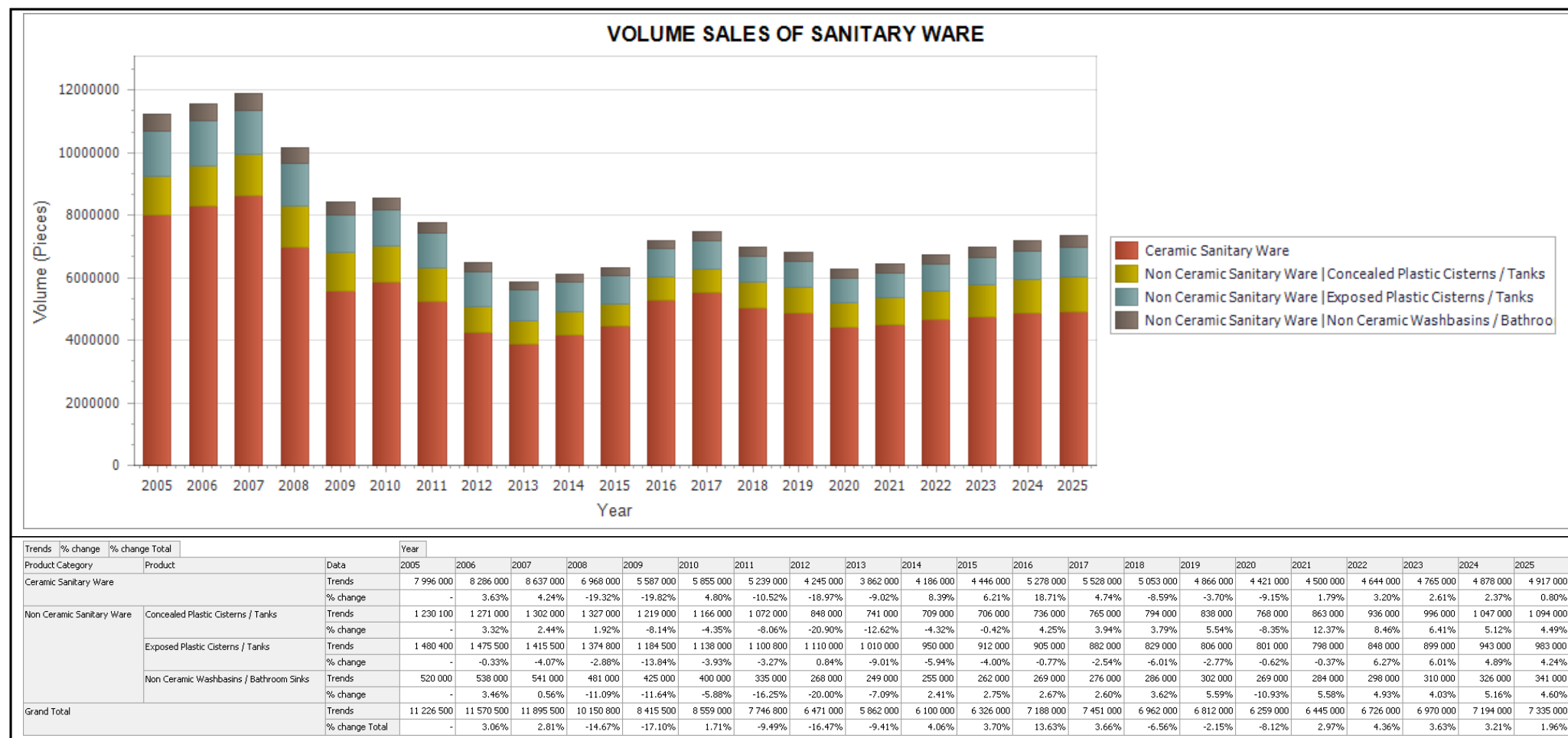
With regard to product mix, some changes are expected throughout the forecast period, also due to reasons attached to more minimalist designs that aim to improve hygiene and sanitation. Demand is expected to shift slightly away from floor-standing WC bowls and close-coupled WC bowls, towards wall-hung WC bowls. Demand for new products such as rimless WCs and shower toilets (also referred to as 'bidet seats') should increase their presence on the Italian market, although these are expected to remain niche products during the forecast period.

As with most bathroom products, the outlook for the distribution structure is a growth in DIY and internet sales, as the service offered by DIY chains improves and more and more installers switch from wholesale. Along with such a trend, it is expected that manufacturers will increase their reliance on showroom sales as products increasingly combine design with innovation, as well as increase the final end-use consumer engagement in the choice of the product, thus bypassing the installer in the choice and purchasing phases.

These are expected to be the main factors to influence the development of average prices in years to come, with a continued light drop in overall prices driven by increasing sales through DIY, somewhat compensated by consumers buying more from the upper and medium price segments, due to greater attention to quality and the durability of products.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

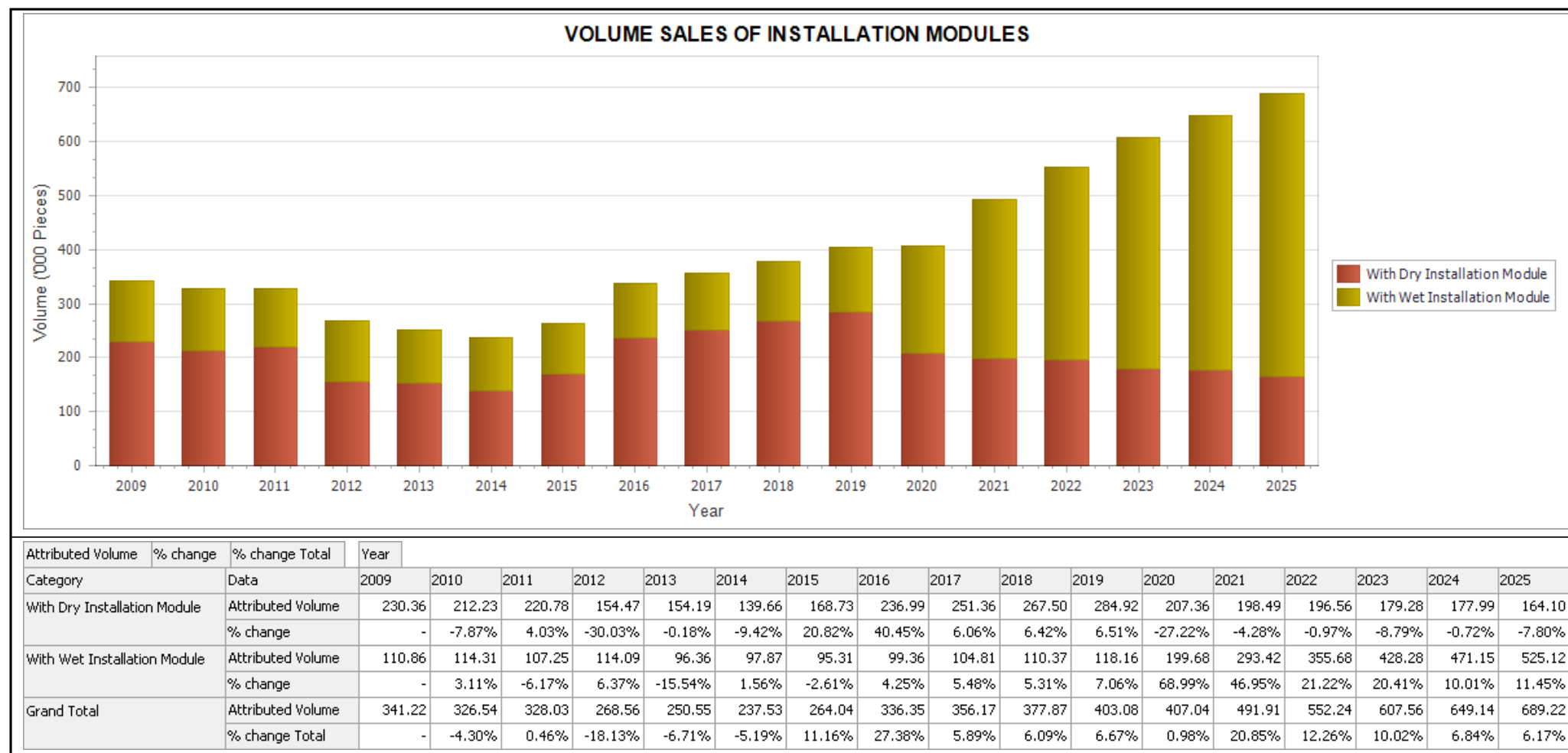
IT - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

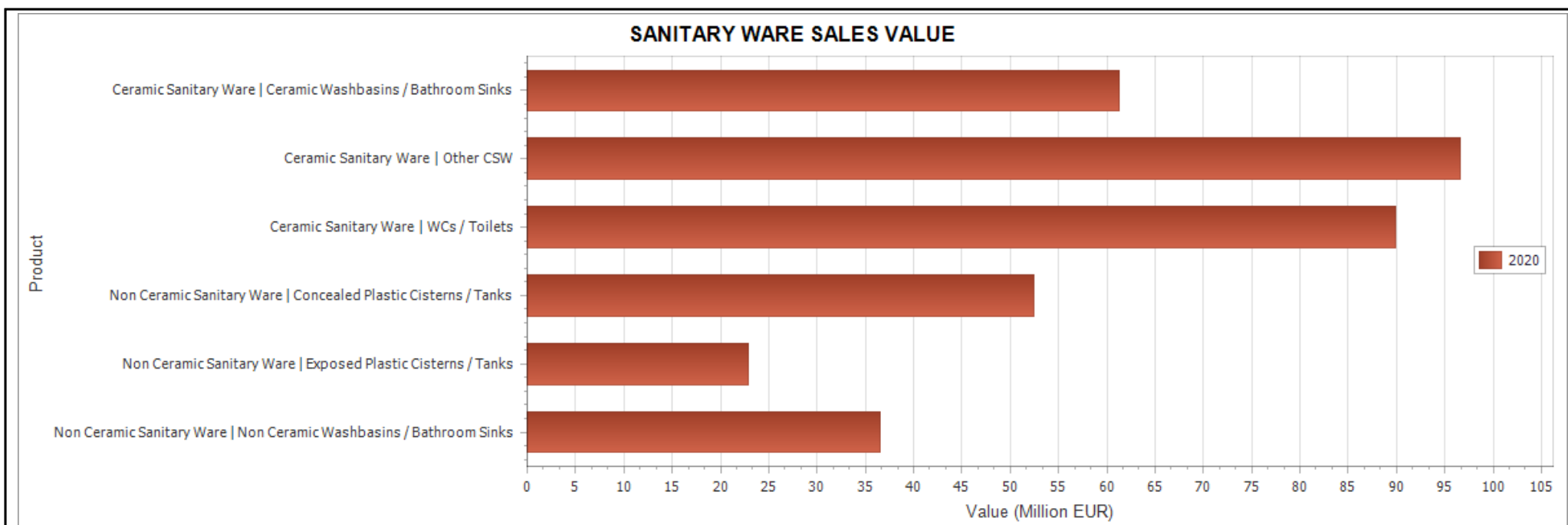
IT - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

IT - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
			2020			2019		
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Ceramic Sanitary Ware	Ceramic Washbasins / Bathroom Sinks	1 105 000	55.43	61.25	1 193 000	54.65	65.20	
	Other CSW	1 757 000	54.96	96.56	1 914 000	53.70	102.78	
	WCs / Toilets	1 559 000	57.68	89.92	1 759 000	58.20	102.37	
Non Ceramic Sanitary Ware	Concealed Plastic Cisterns / Tanks	768 000	68.21	52.39	838 000	67.01	56.15	
	Exposed Plastic Cisterns / Tanks	801 000	28.53	22.85	806 000	27.94	22.52	
	Non Ceramic Washbasins / Bathroom Sinks	269 000	135.98	36.58	302 000	136.69	41.28	
Grand Total		6 259 000	57.45	359.55	6 812 000	57.30	390.31	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

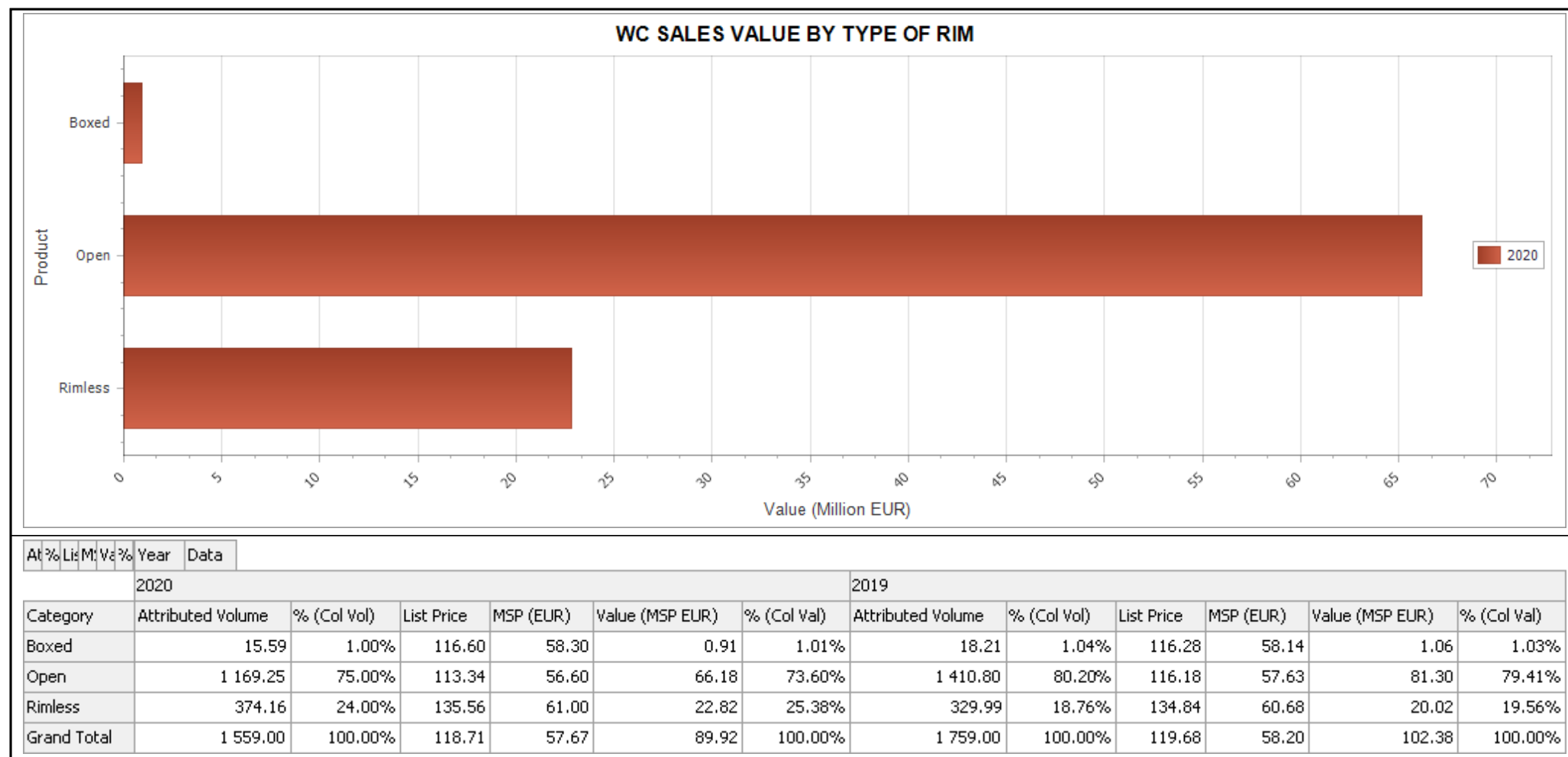
IT - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed %	% (Col Vol)	List Price	MSP (EUR)	Value (MSP	% (Col Val)	Year	Data						
2020								2019					
Alt Product	Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	430.39	38.95%	151.35	72.65	31.27	51.05%	444.48	37.26%	149.29	71.66	31.85	48.85%
	Hand Washbasins	76.80	6.95%	41.42	19.88	1.53	2.49%	83.99	7.04%	41.96	20.14	1.69	2.59%
	Inset Washbasins	74.59	6.75%	116.25	55.80	4.16	6.80%	75.94	6.37%	115.09	55.24	4.20	6.43%
	Pedestal Washbasins	217.13	19.65%	78.94	37.89	8.23	13.43%	238.60	20.00%	79.67	38.24	9.12	13.99%
	Semi-Recessed Washbasins	37.80	3.42%	166.88	80.10	3.03	4.94%	42.25	3.54%	163.86	78.65	3.32	5.10%
	Undermount Washbasins	30.72	2.78%	136.46	65.50	2.01	3.29%	33.60	2.82%	134.04	64.34	2.16	3.32%
	Wall Hung Washbasins	237.58	21.50%	96.70	46.42	11.03	18.00%	274.15	22.98%	97.68	46.89	12.85	19.71%
Other CSW	Bidets	696.48	39.64%	87.27	41.89	29.18	30.21%	763.69	39.90%	89.52	42.97	32.82	31.93%
	Close-Coupled Cisterns	235.95	13.43%	72.41	34.76	8.20	8.49%	237.40	12.40%	70.10	33.65	7.99	7.77%
	Kitchen Sinks	9.80	0.56%	232.28	111.77	1.10	1.13%	11.80	0.62%	230.47	110.69	1.31	1.27%
	Others	4.99	0.28%	61.56	29.55	0.15	0.15%	5.44	0.28%	61.46	29.50	0.16	0.16%
	Pedestals & Half Pedestals	222.79	12.68%	599.24	23.97	5.34	5.53%	244.99	12.80%	574.53	22.98	5.63	5.48%
	Shower Trays	480.00	27.32%	207.67	102.22	49.06	50.81%	532.00	27.80%	194.12	95.82	50.98	49.60%
	Urinals	51.83	2.95%	88.54	42.50	2.20	2.28%	58.97	3.08%	86.78	41.65	2.46	2.39%
WCs / Toilets	Utility / Laundry Sinks	55.17	3.14%	50.50	24.24	1.34	1.38%	59.72	3.12%	50.35	24.17	1.44	1.40%
	Close-Coupled WC Bowls	191.82	12.30%	122.80	58.94	11.31	12.57%	190.68	10.84%	125.52	60.25	11.49	11.22%
	Floor Standing WC Bowls	992.70	63.68%	109.50	53.66	53.26	59.24%	1 197.49	68.08%	110.66	54.22	64.93	63.43%
Grand Total	Wall Hung WC Bowls	374.48	24.02%	141.01	67.68	25.35	28.19%	370.83	21.08%	145.79	69.98	25.95	25.35%
		4 421.01	100.00%	143.33	56.03	247.73	100.00%	4 866.01	100.00%	141.09	55.56	270.35	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

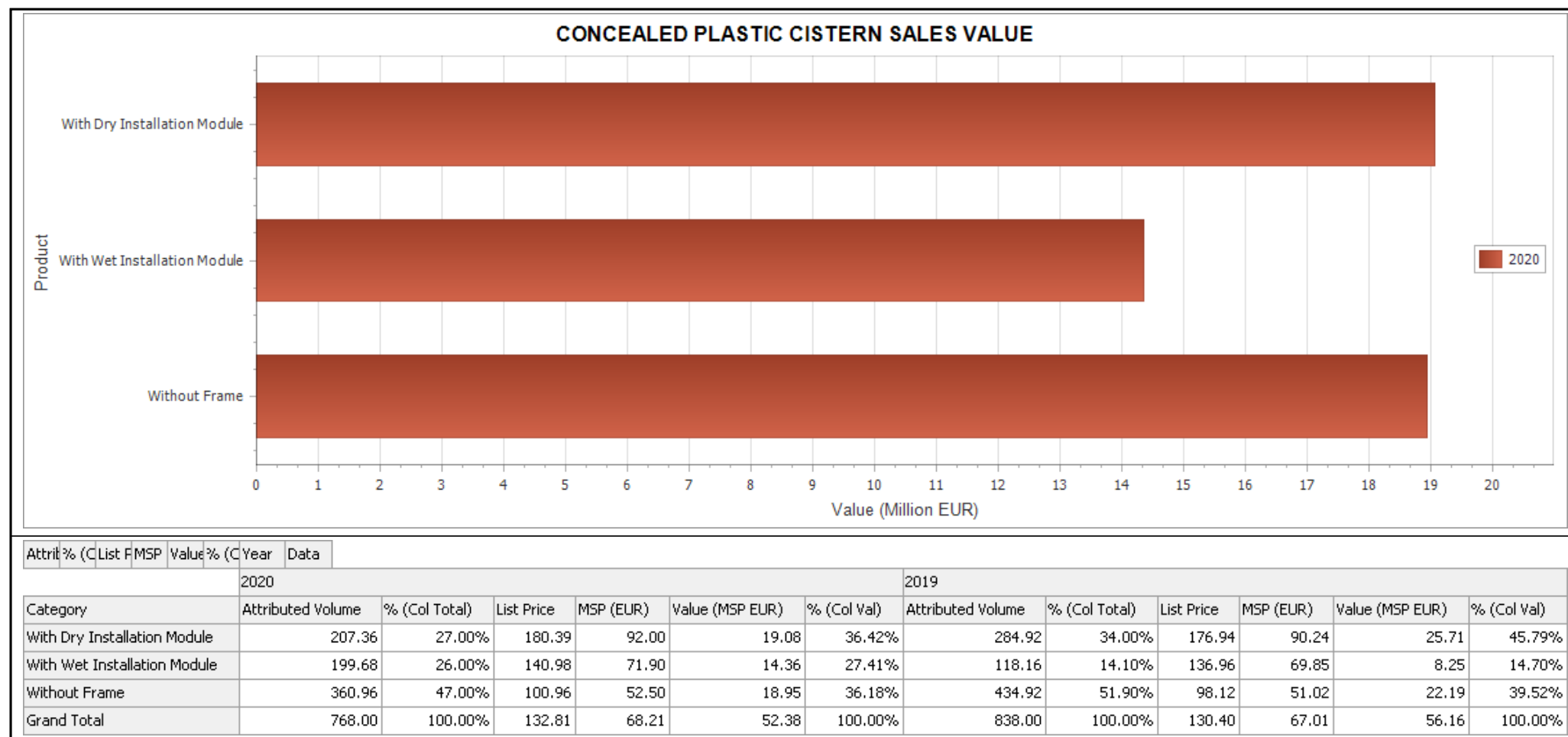
IT - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

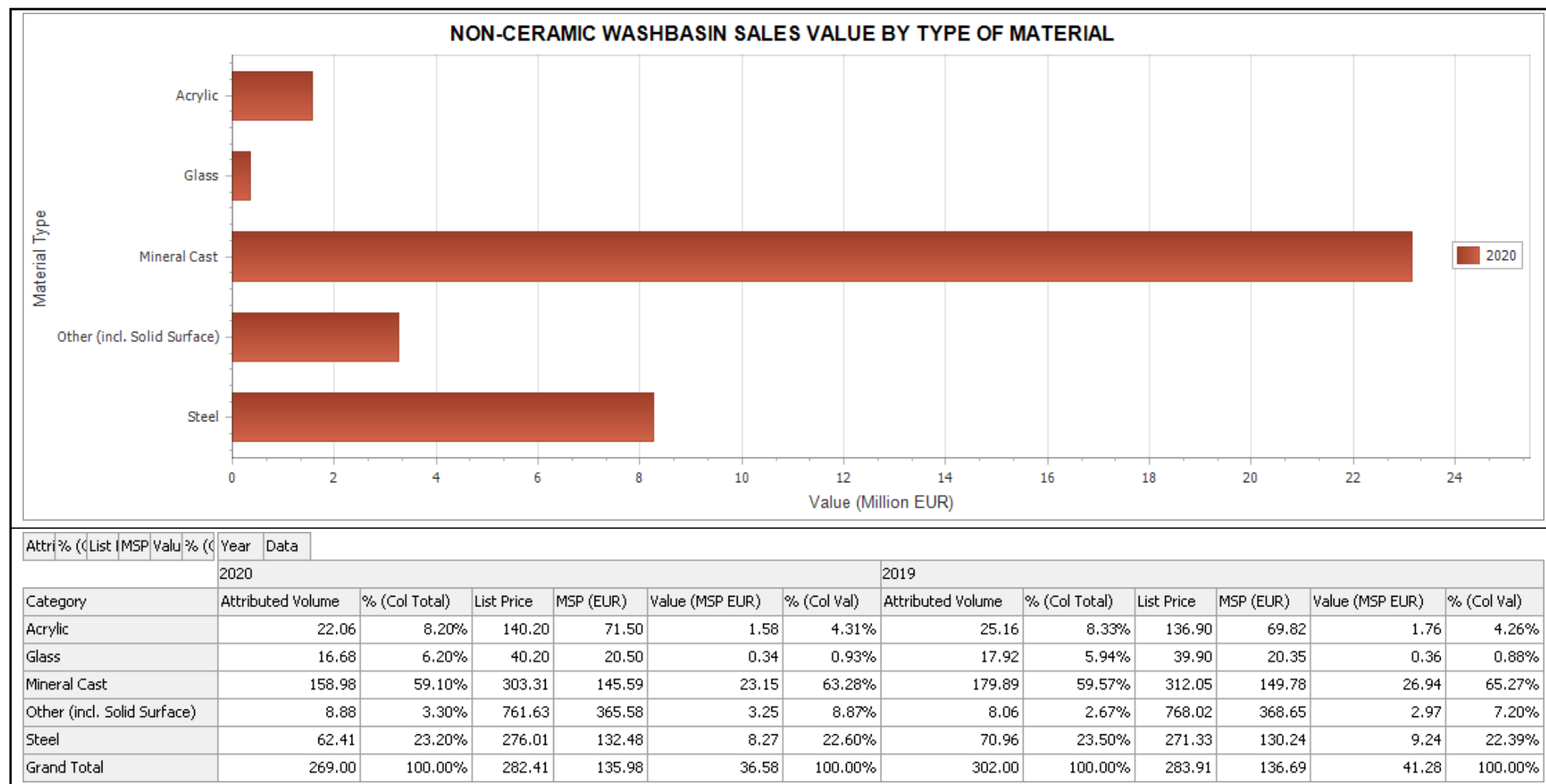
IT - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

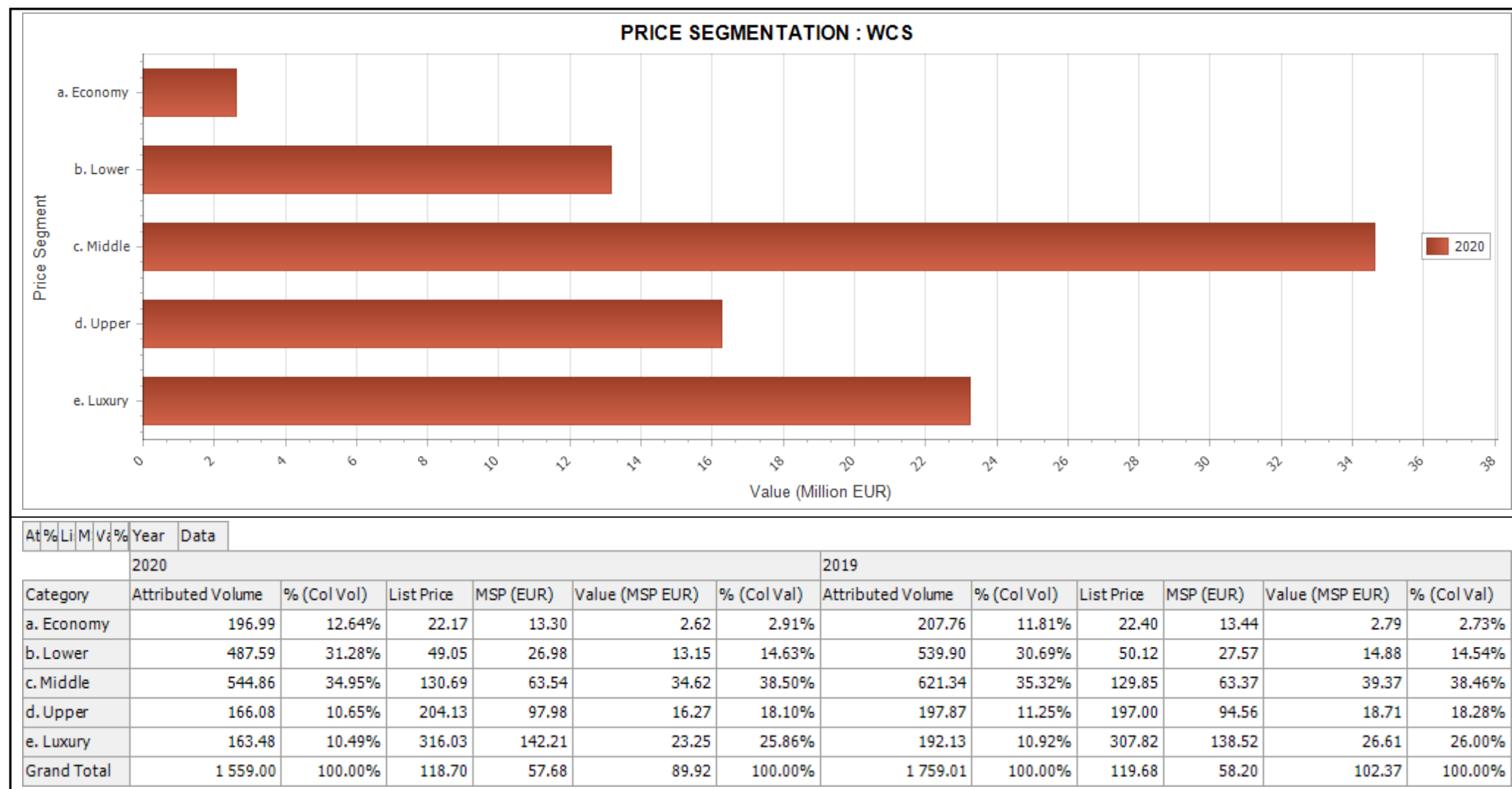
IT - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

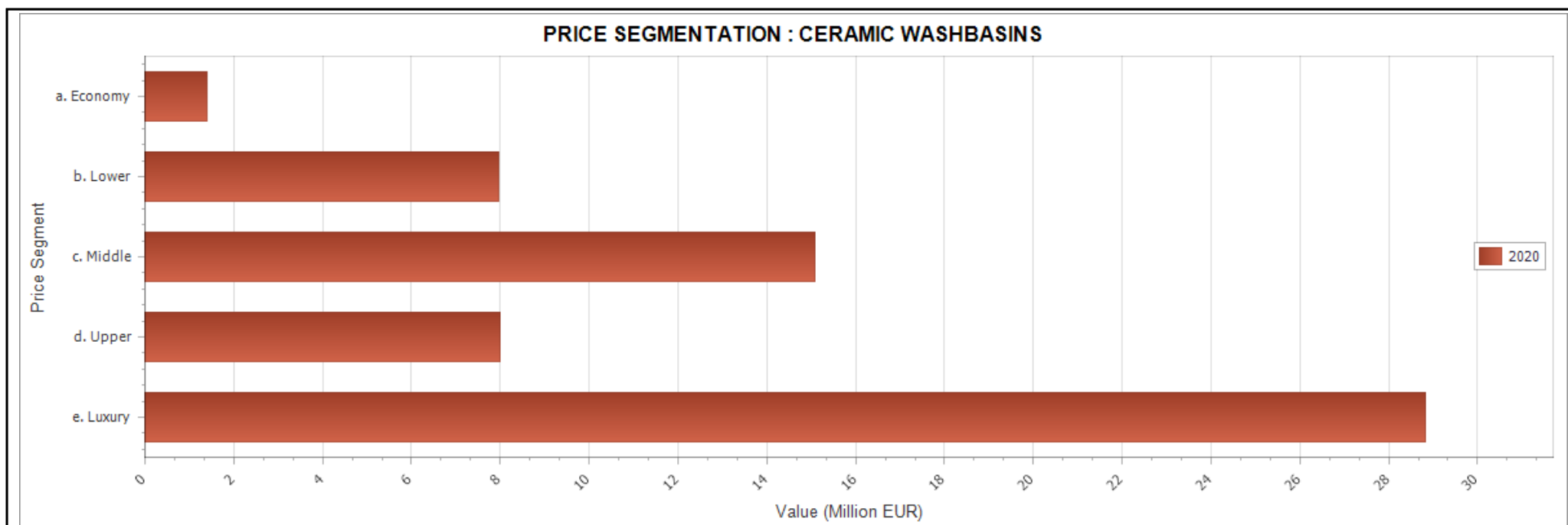
IT - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€80, Upper €80-€120, Luxury >€120

2.3.7 Price Segmentation : Ceramic Washbasins

IT - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS

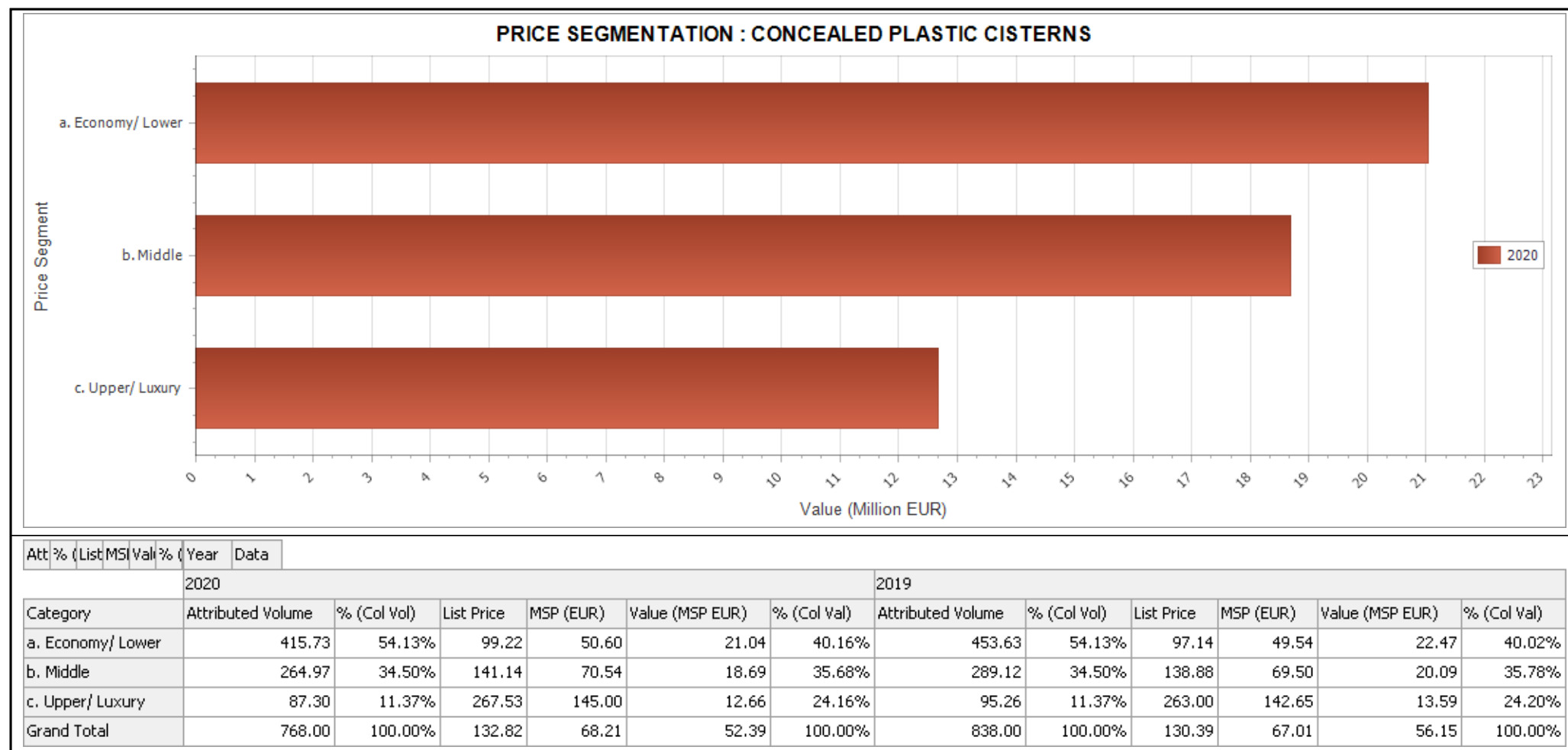


At%	Li	M	V	%	Year	Data							
					2020					2019			
Category	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	List Price	MSP (EUR)	Value (MSP EUR)	% (Col Val)	
a. Economy	140.54	12.72%	15.34	9.97	1.40	2.29%	143.39	12.02%	15.35	9.98	1.43	2.19%	
b. Lower	339.02	30.68%	42.64	23.45	7.95	12.98%	358.97	30.09%	42.22	23.22	8.34	12.79%	
c. Middle	369.64	33.45%	78.98	40.82	15.09	24.63%	400.50	33.57%	77.95	40.37	16.17	24.80%	
d. Upper	110.74	10.02%	160.31	72.14	7.99	13.04%	124.08	10.40%	148.60	66.87	8.30	12.73%	
e. Luxury	145.05	13.13%	441.53	198.69	28.82	47.05%	166.06	13.92%	414.41	186.48	30.97	47.50%	
Grand Total	1 105.00	100.00%	115.48	55.43	61.25	100.00%	1 193.00	100.00%	113.86	54.65	65.20	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80, Luxury >€80

2.3.8 Price Segmentation : Concealed Plastic Cisterns

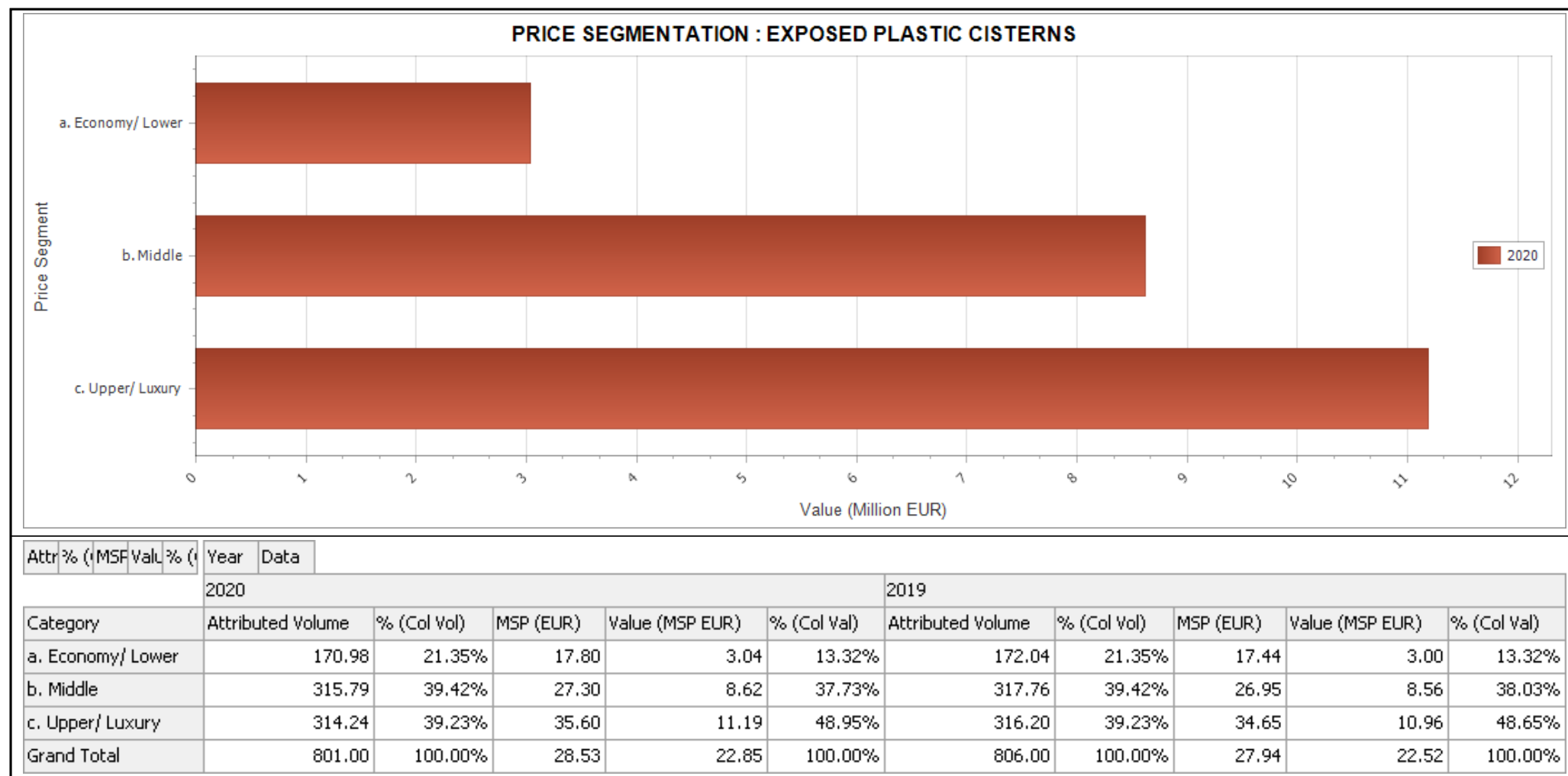
IT - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Exposed Plastic Cisterns

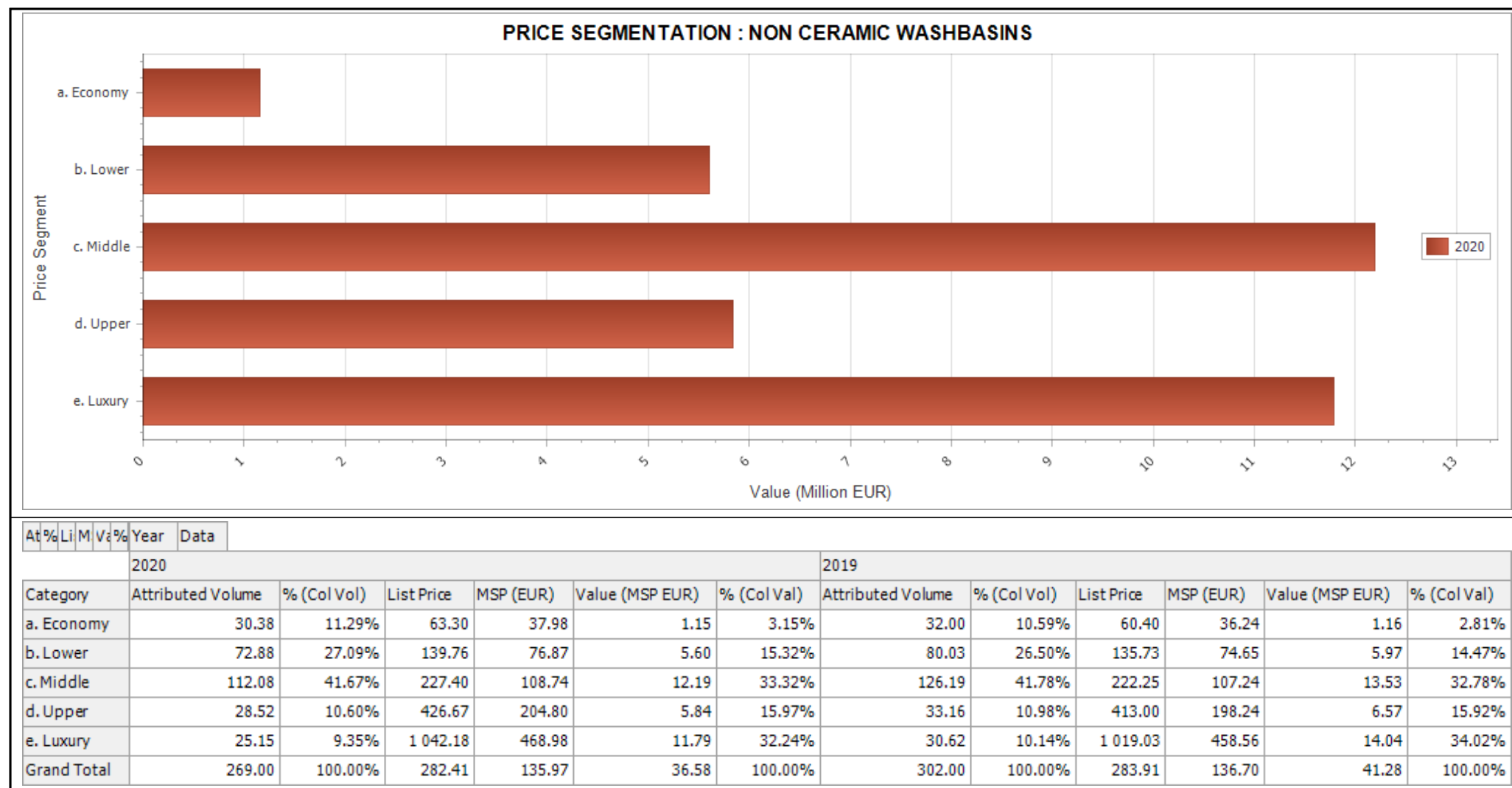
IT - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€30, Upper/ Luxury >€30

2.3.10 Price Segmentation : Non Ceramic Washbasins

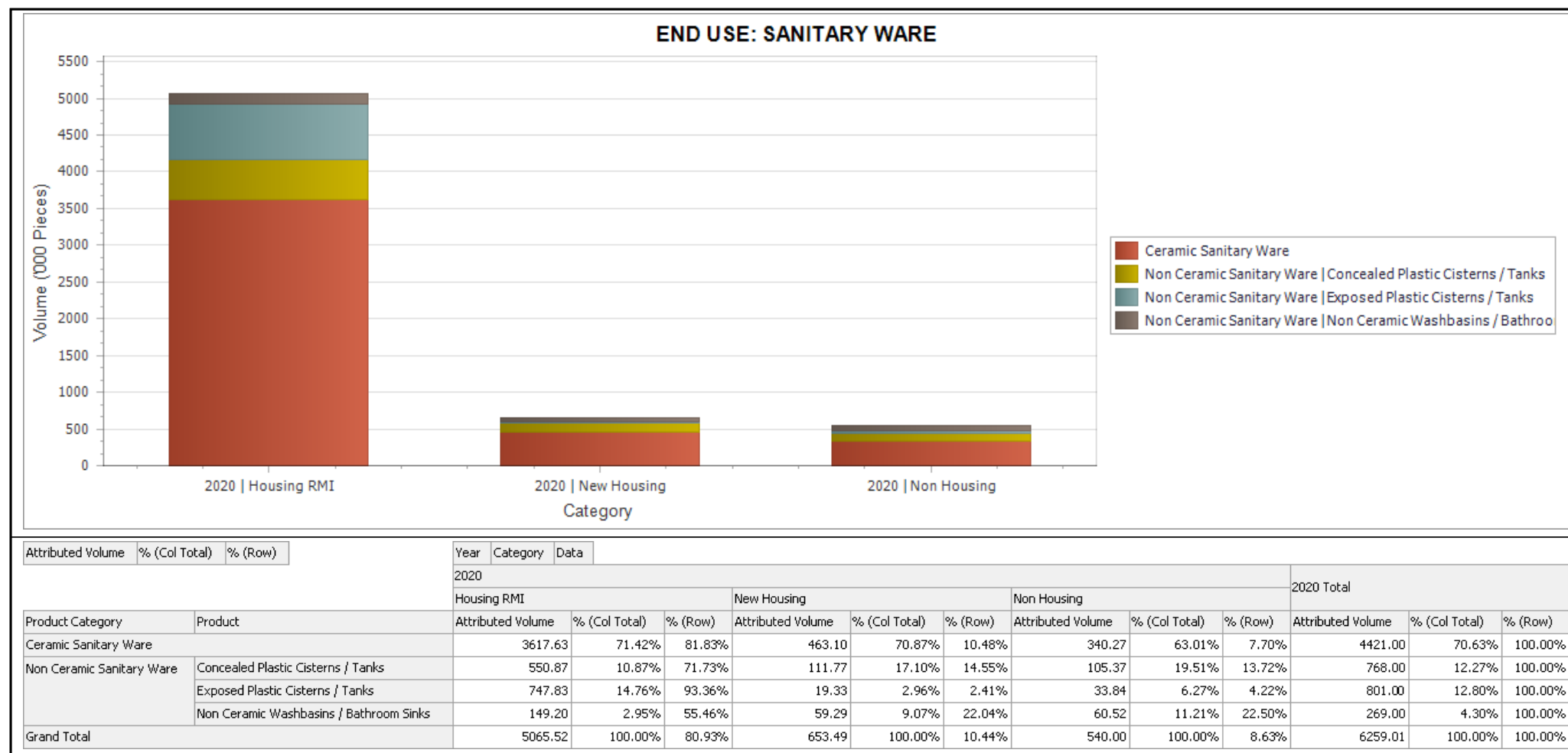
IT - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€50, Lower €50-€80, Middle €80-€160, Upper €160-€240, Luxury >€240

2.4.1 End Use : Base Year

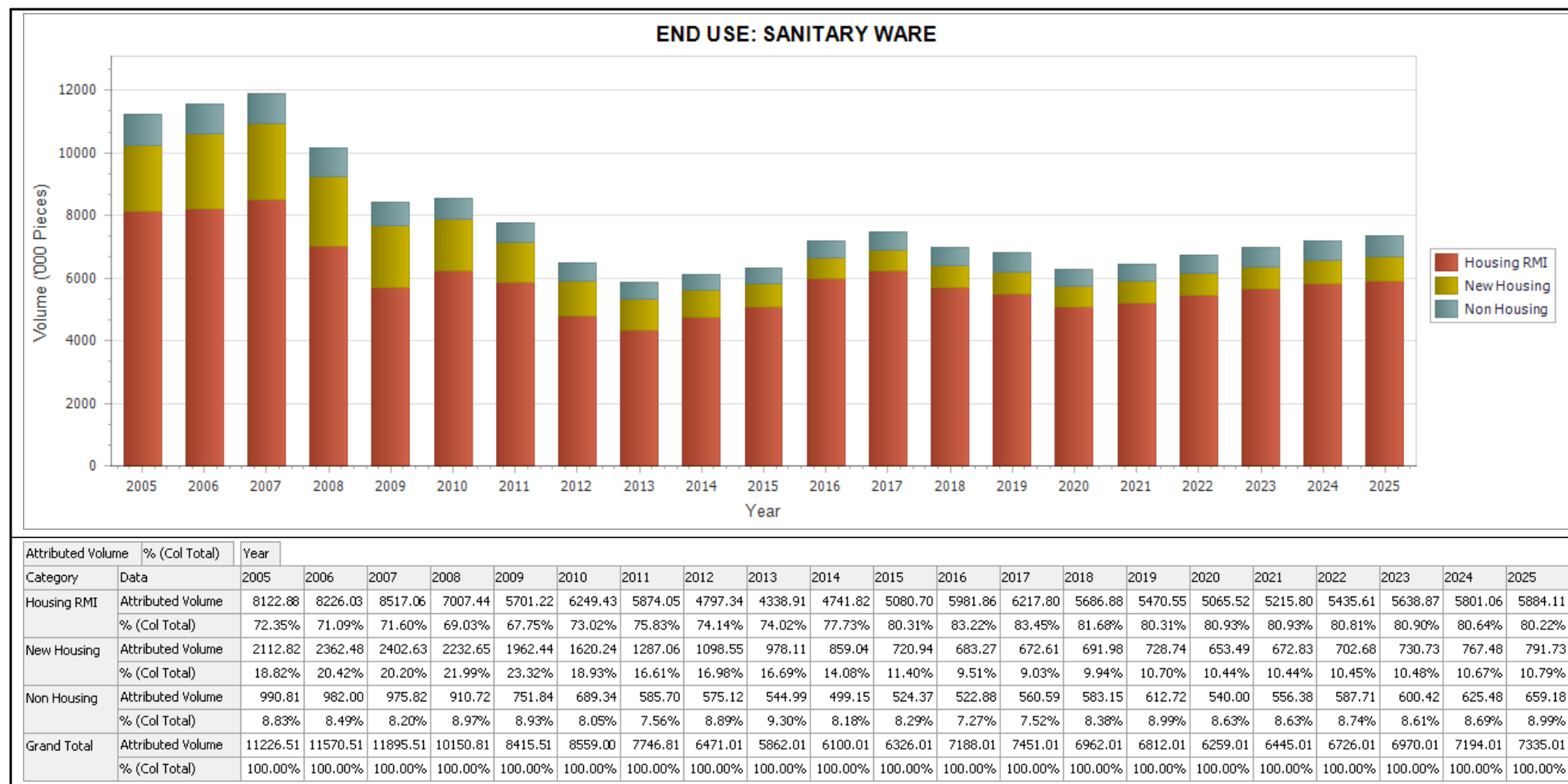
IT - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

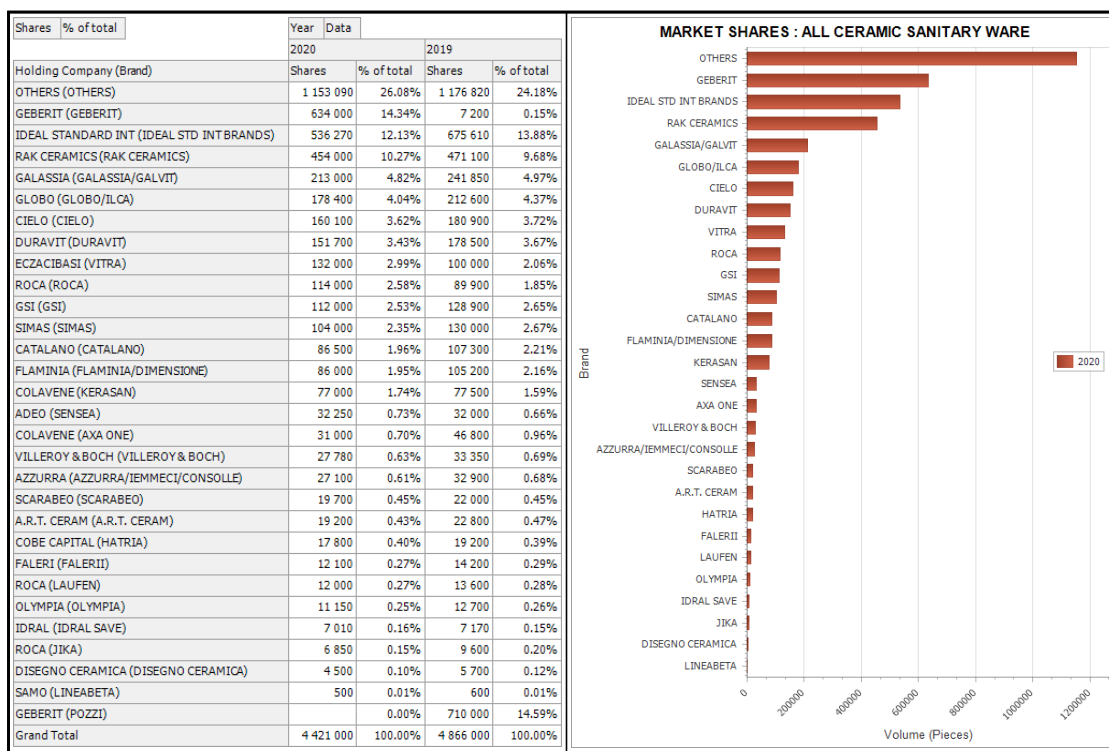
IT - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

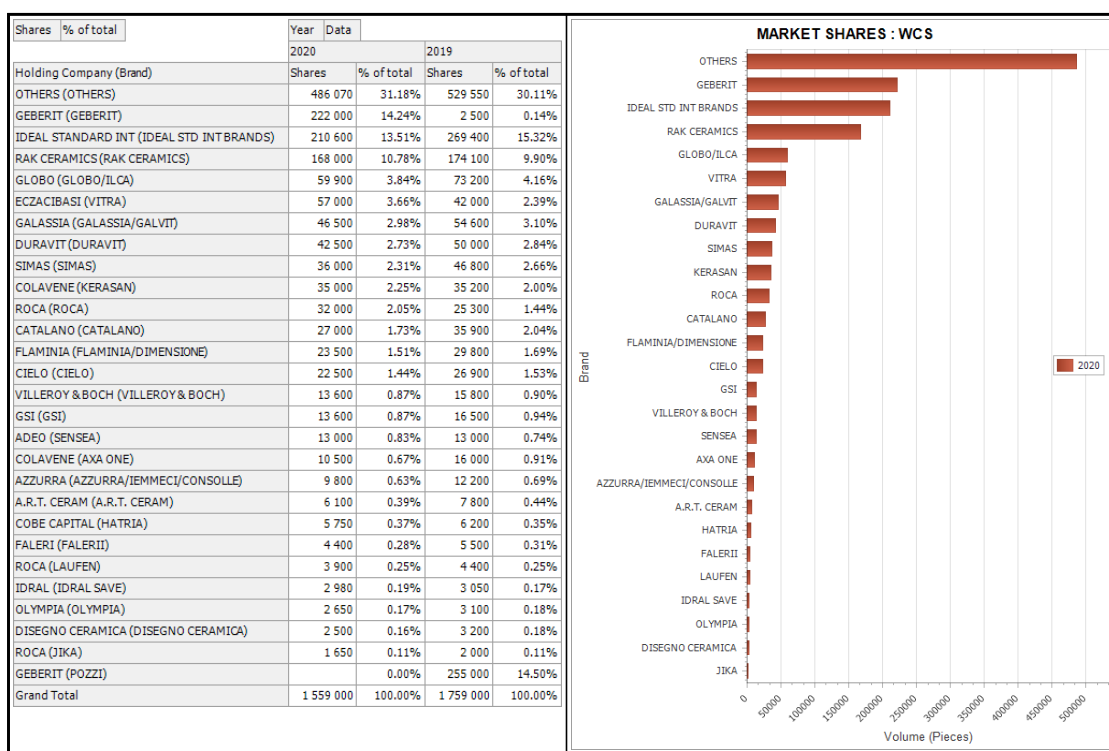
IT - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

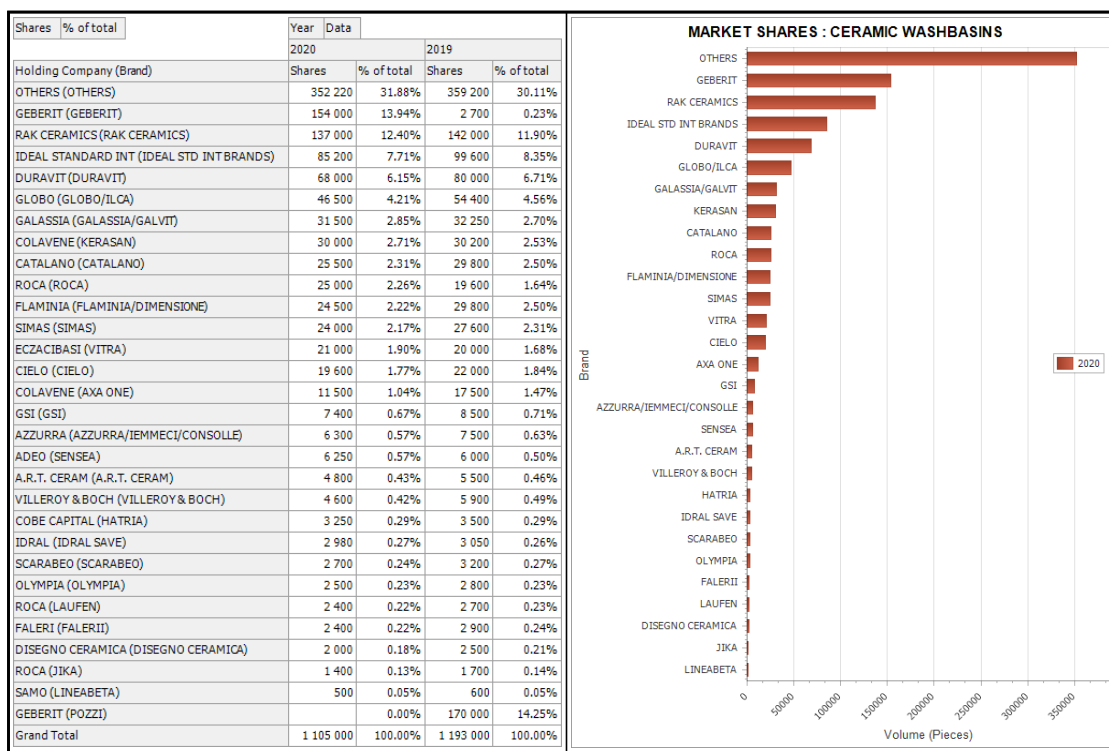
IT - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

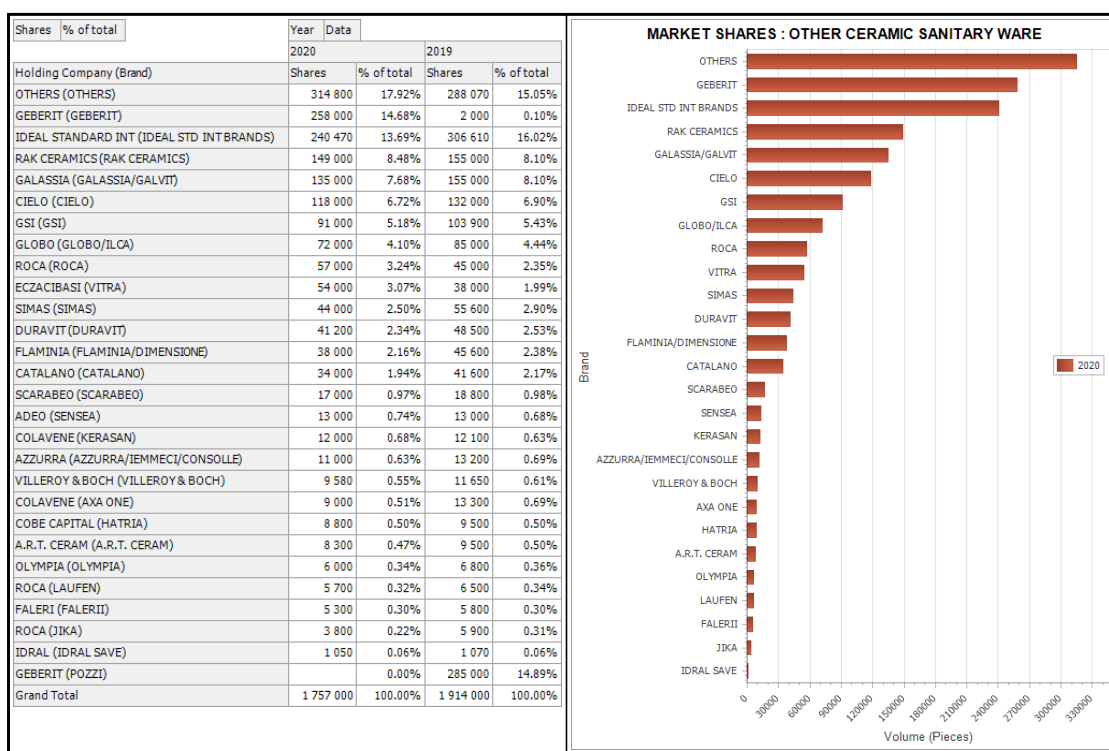
IT - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

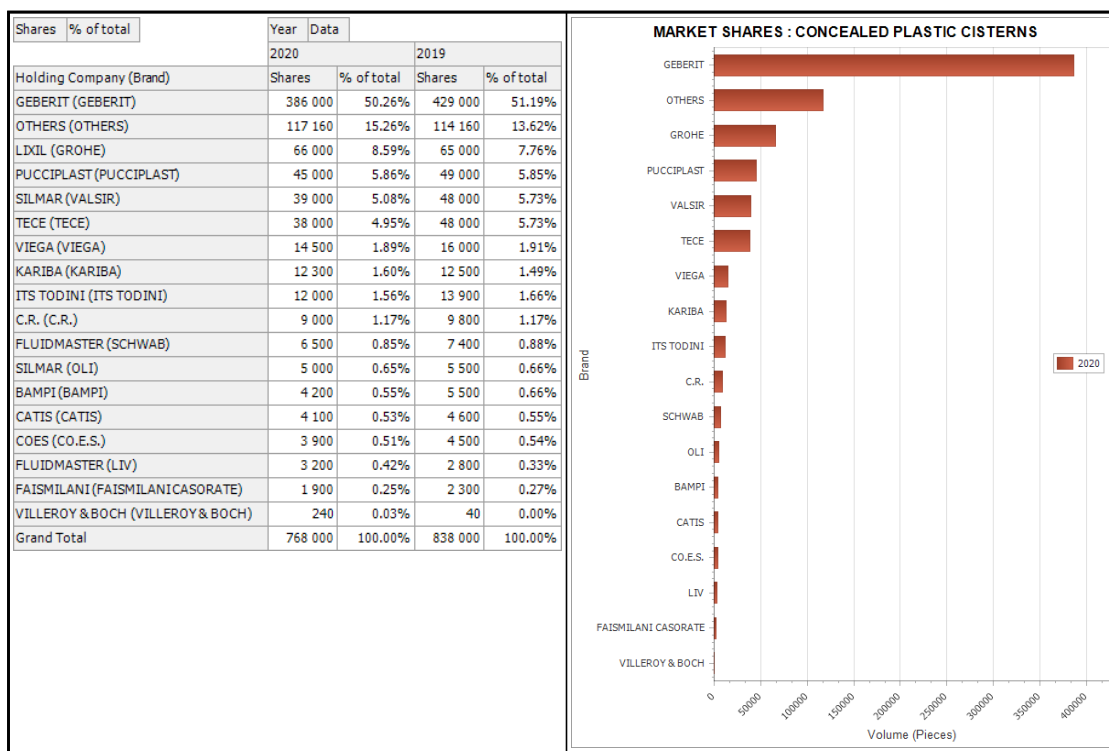
IT - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

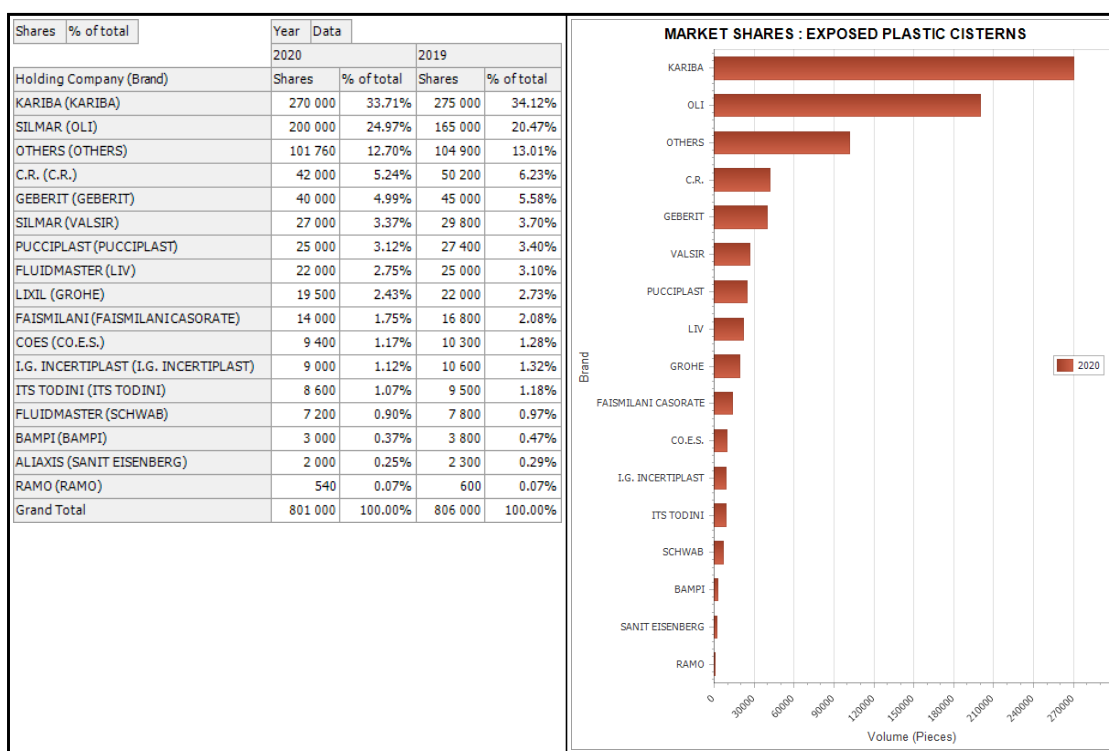
IT - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

IT - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 IT - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	15 411	22.7%	20 865	18.2%	16 716	22.7%	23 365	18.8%
Turkey	11 662	17.2%	15 484	13.5%	13 178	17.9%	17 526	14.1%
Bulgaria	9 558	14.1%	16 113	14.1%	11 263	15.3%	19 069	15.3%
United Arab Emirates	5 680	8.4%	7 702	6.7%	5 890	8.0%	7 387	5.9%
Portugal	4 869	7.2%	8 807	7.7%	3 854	5.2%	7 322	5.9%
Egypt	4 647	6.8%	4 601	4.0%	5 080	6.9%	4 891	3.9%
Poland	3 647	5.4%	6 213	5.4%	4 107	5.6%	6 731	5.4%
Germany	2 567	3.8%	12 472	10.9%	2 688	3.6%	13 099	10.5%
Tunisia	1 867	2.7%	1 892	1.7%	1 471	2.0%	1 669	1.3%
Czech Republic	1 501	2.2%	4 200	3.7%	2 848	3.9%	8 075	6.5%
India	1 409	2.1%	1 041	0.9%	737	1.0%	588	0.5%
OTHERS	5 095	7.5%	15 045	13.1%	5 823	7.9%	14 802	11.9%
Total	67 913	100.0%	114 435	100.0%	73 656	100.0%	124 524	100.0%

Source : Trademap

2.6.2 IT - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
United Kingdom	5 672	13.4%	41 593	18.6%	7 721	15.5%	52 167	21.1%
France	5 291	12.5%	20 678	9.2%	6 758	13.6%	23 248	9.4%
Poland	4 497	10.6%	15 076	6.7%	1 674	3.4%	7 397	3.0%
Germany	4 059	9.6%	20 900	9.3%	7 637	15.3%	29 577	12.0%
Austria	1 943	4.6%	10 798	4.8%	1 705	3.4%	9 457	3.8%
United States of Amer	1 885	4.4%	9 009	4.0%	2 530	5.1%	12 719	5.1%
Switzerland	1 766	4.2%	14 334	6.4%	1 574	3.2%	13 198	5.3%
Netherlands	1 695	4.0%	10 338	4.6%	1 476	3.0%	8 018	3.2%
Spain	1 590	3.7%	6 249	2.8%	2 934	5.9%	10 896	4.4%
Bulgaria	1 585	3.7%	4 953	2.2%	1 693	3.4%	5 229	2.1%
Sweden	1 483	3.5%	5 957	2.7%	1 581	3.2%	6 062	2.4%
OTHERS	10 949	25.8%	63 853	28.5%	12 510	25.1%	69 536	28.1%
Total	42 416	100.0%	223 738	100.0%	49 792	100.0%	247 504	100.0%

Source : Trademap

2.6.3 IT - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	4 602	52.6%	56 062	69.3%	5 121	59.0%	62 725	72.5%
China	1 064	12.2%	5 854	7.2%	911	10.5%	5 245	6.1%
Portugal	870	9.9%	3 938	4.9%	863	9.9%	3 916	4.5%
Slovenia	465	5.3%	2 900	3.6%	400	4.6%	2 553	3.0%
Netherlands	379	4.3%	5 216	6.4%	286	3.3%	4 136	4.8%
Romania	374	4.3%	1 360	1.7%	288	3.3%	1 155	1.3%
Turkey	180	2.1%	953	1.2%	197	2.3%	1 017	1.2%
Austria	159	1.8%	271	0.3%	24	0.3%	657	0.8%
France	133	1.5%	687	0.8%	177	2.0%	1 057	1.2%
Spain	102	1.2%	707	0.9%	92	1.1%	801	0.9%
Poland	98	1.1%	293	0.4%	53	0.6%	173	0.2%
OTHERS	323	3.7%	2 655	3.3%	264	3.0%	3 105	3.6%
Total	8 751	100.0%	80 896	100.0%	8 677	100.0%	86 540	100.0%

Source : Trademap

2.6.4 IT - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 301	18.0%	11 859	22.3%	1 215	17.2%	10 717	20.2%
France	651	9.0%	4 567	8.6%	624	8.8%	4 197	7.9%
Romania	577	8.0%	2 342	4.4%	466	6.6%	2 153	4.1%
Spain	402	5.5%	1 486	2.8%	322	4.6%	2 478	4.7%
Israel	339	4.7%	2 574	4.8%	143	2.0%	1 167	2.2%
Austria	293	4.0%	2 959	5.6%	290	4.1%	3 301	6.2%
Egypt	261	3.6%	1 101	2.1%	293	4.2%	1 397	2.6%
Greece	227	3.1%	1 531	2.9%	189	2.7%	1 245	2.3%
India	214	2.9%	3 306	6.2%	160	2.3%	2 382	4.5%
United Kingdom	210	2.9%	1 518	2.9%	222	3.1%	1 704	3.2%
Cameroon	190	2.6%	160	0.3%	13	0.2%	37	0.1%
OTHERS	2 585	35.7%	19 673	37.1%	3 121	44.2%	22 245	42.0%
Total	7 249	100.0%	53 076	100.0%	7 056	100.0%	53 023	100.0%

Source : Trademap

2.7.1

Route to Market: Ceramic Sanitary Ware
IT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

78.8%
Wholesalers / Merchants
78.8%

Retail Level

Manufacturer	Wholesaler
1.4%	4.1%
Internet Retailers	
5.5%	

Manufacturer	Wholesaler
4.6%	9.1%
DIY Retailers	
13.7%	

Manufacturer	Wholesaler
9.3%	10.8%
Specialist Retailers	
20.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.9%	48.8%	0.9%	3.2%	4.5%
Installers				
61.3%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.9%	5.4%	4.6%	9.3%	15.1%	57.0%
Residential					
92.3%					
New Build			Residential RMI		
10.5%			81.8%		
Project	Non-Project		Project	Non-Project	
3.1%	7.3%		8.2%	73.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.0%	0.6%	0.0%	1.2%	0.5%	4.4%
Non-Residential					
7.7%					
New Build			Non-Residential RMI		
3.2%			4.5%		
Project	Non-Project		Project	Non-Project	
3.0%	0.2%		1.9%	2.6%	

2.7.2

Route to Market: Ceramic Sanitary Ware
IT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

78.4%
Wholesalers / Merchants
78.4%

Retail Level

Manufacturer	Wholesaler
1.9%	4.9%
Internet Retailers	
6.8%	

Manufacturer	Wholesaler
5.3%	11.3%
DIY Retailers	
16.7%	

Manufacturer	Wholesaler
8.9%	10.4%
Specialist Retailers	
19.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.6%	45.5%	1.2%	3.8%	4.8%
Installers				
58.9%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	5.6%	5.7%	12.8%	14.5%	52.3%
Residential					
91.7%					
New Build			Residential RMI		
11.1%			80.6%		
Project	Non-Project		Project	Non-Project	
3.3%	7.8%		8.1%	72.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.1%	0.6%	0.0%	0.0%	0.0%	6.6%
Non-Residential					
8.3%					
New Build			Non-Residential RMI		
2.2%			6.1%		
Project	Non-Project		Project	Non-Project	
1.7%	0.5%		2.2%	3.9%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

IT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

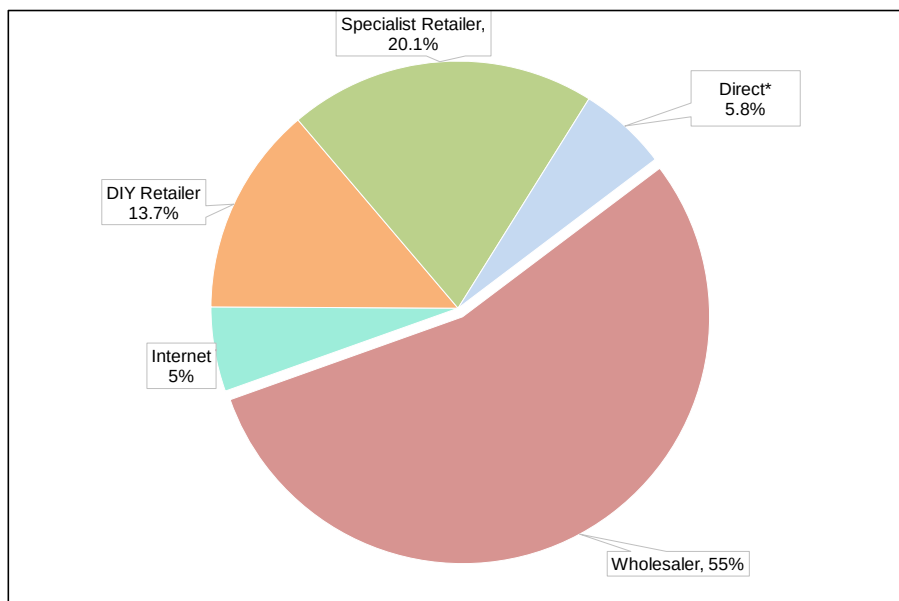
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
54.8%	5.5%	13.7%	20.1%	5.8%	11.3%	4.9%	81.0%	2.8%
100%					16.2%		83.8%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

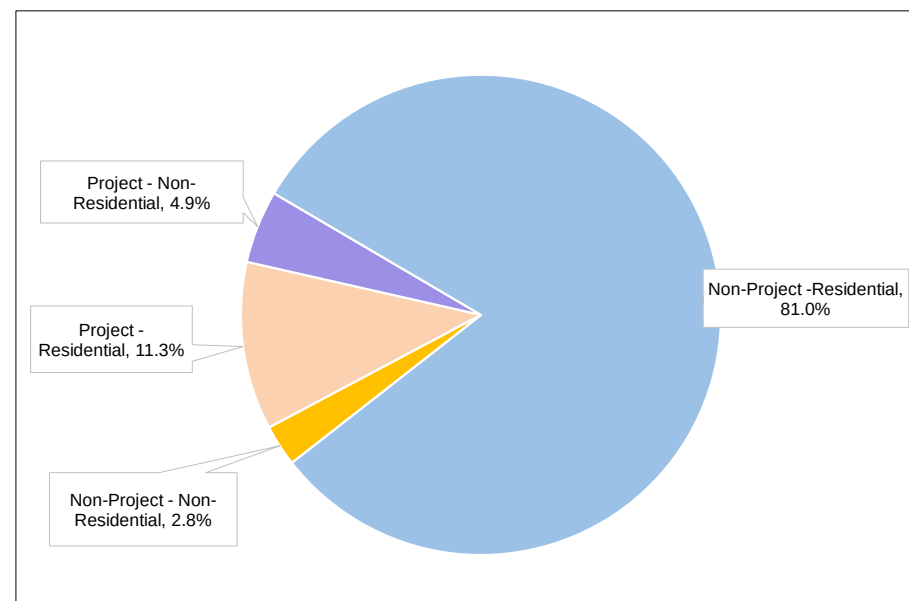
IT - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.7%	6.8%	16.7%	19.3%	5.4%	11.4%	3.9%	80.3%	4.4%
100%					15.3%		84.7%	

IT - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
IT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	81.7%
	Wholesalers / Merchants
	81.7%

Retail Level	Manufacturer 0.0%	Wholesaler 3.4%	Manufacturer 2.1%	Wholesaler 0.4%	Manufacturer 9.7%	Wholesaler 18.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.4%		2.5%		27.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.6%	44.9%	0.6%	0.6%	17.2%
Installers				
66.9%				

End Use Level	Manufacturer 1.8%	Wholesaler 12.9%	Internet 2.8%	DIY 1.7%	Specialist 10.6%	Installer 61.2%	Manufacturer 1.1%	Wholesaler 1.8%	Internet 0.0%	DIY 0.2%	Specialist 0.1%	Installer 5.7%
	Residential						Non-Residential					
	91.1%						8.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.4%			82.8%			6.2%			2.7%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	2.5%	5.8%		8.3%	74.5%		4.6%	1.6%		0.6%	2.1%	

2.7.6 Route to Market: Plastic Cisterns
IT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	81.8%
	Wholesalers / Merchants
	81.8%

Retail Level	Manufacturer 0.0%	Wholesaler 4.1%	Manufacturer 2.4%	Wholesaler 0.5%	Manufacturer 9.3%	Wholesaler 17.6%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.1%		2.9%		26.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.8%	45.8%	0.7%	0.7%	16.7%
Installers				
67.6%				

End Use Level	Manufacturer 1.7%	Wholesaler 12.0%	Internet 3.4%	DIY 2.2%	Specialist 10.2%	Installer 61.9%	Manufacturer 1.0%	Wholesaler 1.7%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 5.7%
	Residential						Non-Residential					
	91.5%						8.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.1%			83.4%			6.1%			2.4%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	2.4%	5.7%		8.3%	75.1%		4.4%	1.7%		0.7%	1.7%	

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

IT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

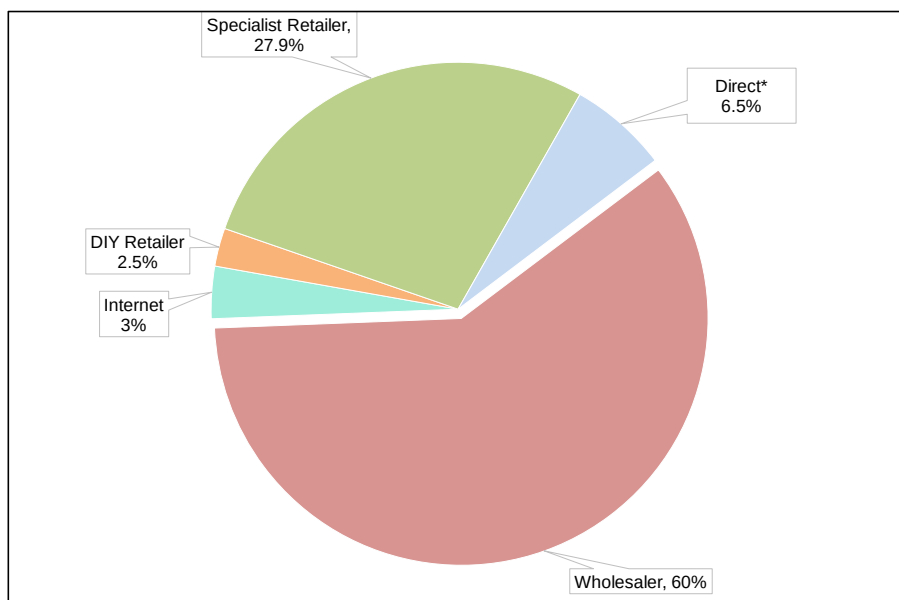
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
59.6%	3.4%	2.5%	27.9%	6.5%	10.8%	5.2%	80.3%	3.7%
100%					16.0%		84.0%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

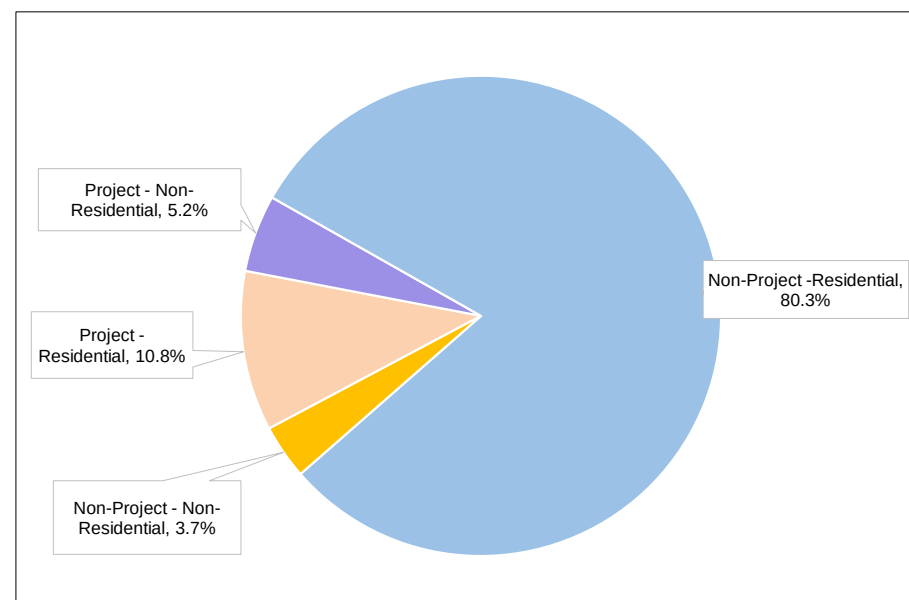
IT - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
59.5%	4.1%	2.9%	26.9%	6.5%	10.8%	5.1%	80.8%	3.4%
100%					15.9%		84.1%	

IT - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



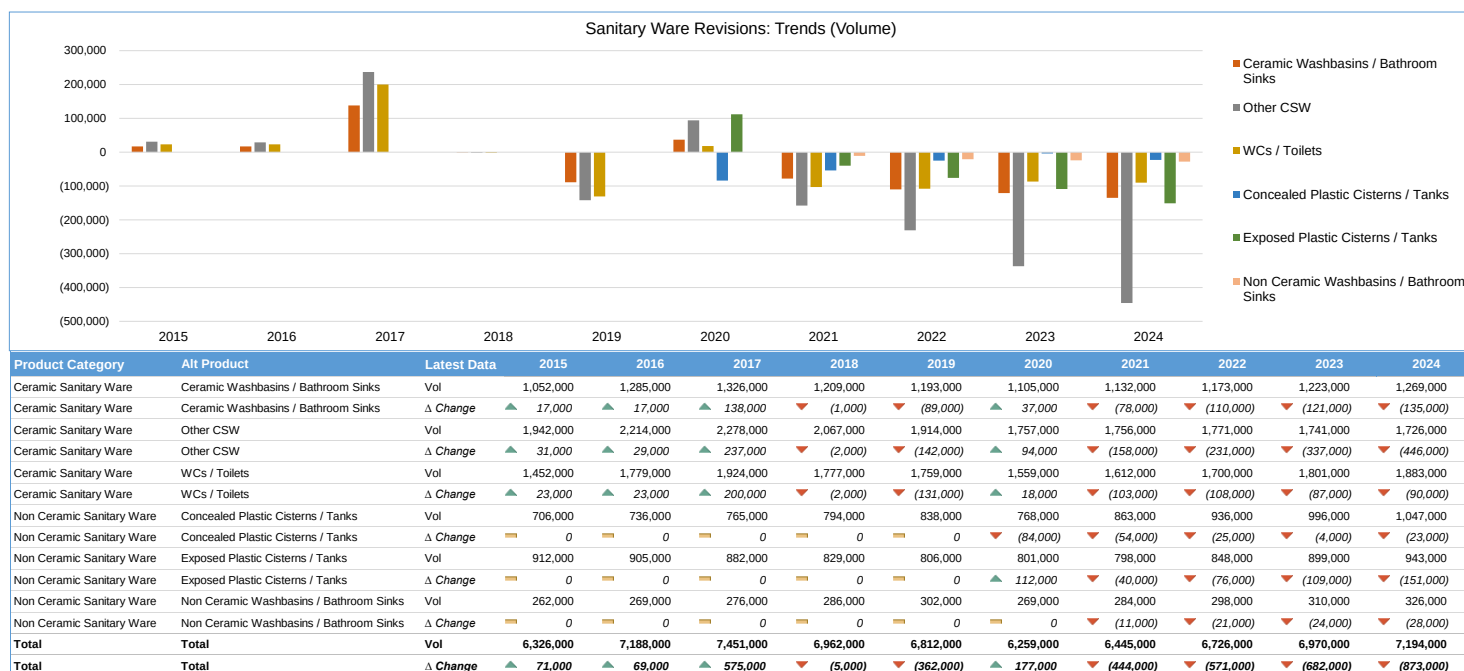
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Italian Sanitary Ware Market (April 2021)

IT - REVISIONS IN THE ITALIAN SANITARY WARE MARKET

Data Comparison: October 2020



Revisions were made to the historical market sizes for ceramic sanitary ware following an analysis of domestic production, combined with detailed import statistics, which were revised up for the 2005 to 2008 period, 2012 and 2014 to 2017 period but revised down for all other years. Domestic supply has weakened in recent years, especially in 2018 and 2019, whereas imports have fared a lot better. Italian manufacturers predominantly produce more luxury products, sold into the middle to luxury price segments, whereas imports are accounted for by more 'basic' products, sold largely into the economy to middle price segments. Overall, the share of domestic supply has decreased considerably since 2006 when domestic manufacturers were still responsible for over 75% of total supply but its share had already fallen to 60% by 2011, to 55% by 2016 and reached just above 50% in 2020, which is expected to drop even further in the coming years.

No revisions were made to the historical market size for non-ceramic sanitary, including plastic cisterns and washbasins.

Upward revisions were made to the MSP for all types of ceramic sanitary ware, most notably WCs, and non-ceramic washbasins, due to a more detailed analysis of domestically produced products vs. imported brands. CSW produced domestically in Italy, as previously mentioned, is relatively high priced, although significantly cheaper compared to Germany, with average prices varying between €65 to €80 depending on the year. Imported CSW, on the other hand, is lower priced, largely due to the importance of imports coming from China, Bulgaria and Turkey, which prices varying between €34 to €38 in recent year. Given the fact that around 50% of the market is in the hands of domestic players, even higher for historical years, the MSP was previously slightly understated and consequently revised up.

The MSP for non-ceramic washbasins was revised up as the previously published MSP was considered too low. Non-ceramic washbasins are predominantly sold onto base units and are quite high priced given the importance of mineral cast and solid surface materials.

ITALY

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Italian tap and mixer market may be defined as mature, after sustaining a strong expansion since the early 1990s. It is the largest bathroom product market in terms of volumes of sales, comparable only to CSW due to the more discretionary nature of tap and mixer replacement. Housing RMI is the main end-use source of demand, following the strong contraction of new housing construction over the past decade. The economic cycle highly affects the evolution of domestic demand. Elements such as disposable income, the unemployment rate and increases in wages, as well as the growth of disposable revenues, are the key decision-making variables behind discretionary replacements.

The one-head mixer is the preferred product type and still enjoys constant growth, representing the cheapest option on the market in terms of average price (excluding pillar taps). Thermostatic mixers, a relatively new category, have been growing mainly in the new housing market, with development being affected in different parts of the country by the hardness of tap water. In particular, areas close to the coast are known to have particularly sandy water, which deteriorates the thermostatic models much faster than others, making them an unpopular choice in homes where a water filtration system is not present.

The newest categories on the market, self-closing and electronic taps, have enjoyed almost continuous growth in share since their introduction (primarily through non-housing), and have increased their penetration in residential dwellings as a result of a greater focus on water-saving considerations.

Flushing valves are directly connected to the water pipes and demand a certain pressure in pipe work, which cannot be reached across all dwellings. This system also uses more water than the cistern. As a result, over the years cisterns have been growing at the expense of flushing valves in residential buildings. Commercial and public buildings tend to have this type of system more often because it is less likely to be subject to wear, results in lower water wastage, and requires no waiting time between uses. Public urinals are often equipped with flushing valves, whereas the Italian market remains dominated by manual flushing valves.

Outside of the product family, substitutions are minimal in the tap and mixer market. In the past, there was a trend of choosing a hydrotherapy shower panels rather than thermostatic mixers; however, this was seen mostly in new housing, and the trend has since lost pace considerably.

Recent Market Trends

As with the other bathroom and kitchen products in 2020, the cessation of activity across diverse sectors of the economy, which took place from 11 March until 4 May due to the outbreak of the pandemic, has crucially affected the development of the Italian taps and mixers market.

The overall taps and mixers market declined in 2020, mainly due to the decline in demand from the renovation segment, which represents the majority of sales.

The product mix between sanitary and kitchen taps remains relatively stable, with both types having become essential elements in the replacement and upgrade segments. Most consumers – when they choose to renovate – are likely to do so in both the bathroom and the kitchen. Within the sanitary tap models market, the shift away from two-head in favour of one-head mixers continues, while one-head mixers are favoured for kitchen applications.

Moreover, the shift towards concealed taps remained unchallenged last year, driven by the higher penetration in the shower market – as end-use consumers become increasingly aware of the aesthetic and functionality variables of their shower mixers.

The market development of WC flushing valves has followed the WC trend quite closely, although there is a slightly higher replacement rate in favour of the electric product type in non-housing applications.

Prices and Market Values

Despite the fact that prices of sanitary taps and mixers slightly increased in 2020 compared to the previous year, average prices decreased, mainly due to the change in the product mix. Regarding the kitchen taps and mixers market, the decrease in prices in the economy, lower and middle segments due to competition from imported, low-cost products, resulted in a general decline in average prices.

Prices in the luxury segment of sanitary taps and mixers increased in 2020, whereas those of kitchen taps and mixers remained stable. This marginal increase in list prices reveals the growing intention of manufacturers to remain competitive in the higher-priced segment also, so as to further increase their appeal to end-use consumers.

This move towards the higher-price segment has also been reflected in the product diversification available through the DIY distribution channel, wherein taps and mixers are by far the biggest market. Moreover, the strengthening of the e-commerce platform is leading to an important change in the interaction between manufacturers and end-use customers, paving the way for higher price transparency at all levels of the distribution chain, and increasing the ability to both adapt prices based on the buyer's expectations and increase the degree of personalisation.

However, the considerable appeal of the low-cost category is confirmed also by the appearance of products in the showroom/specialist channel, which had previously only been distributed through the wholesaler channel. This is a clear indication that distributors within the showroom channel are attempting to offer a wider range of price choices to accommodate consumers who want more diversified price ranges.

New Housing

The new construction recovery in recent years has sustained demand to this end-use segment, which however remains the weakest within the overall tap and mixer market. In 2020, demand deriving from this segment significantly decreased in line with new housing construction output. One-head mixers clearly dominate the new housing market, although thermostatic models are gaining share – especially for showers. Sales of two-head mixers slightly increased in 2020 compared to the previous year, particularly within the upper and luxury price segments. The latest trend supporting the popularity of such products is their capacity to combine functionality (in terms of water saving and temperature regulation) with design.

Housing RMI

As the Italian tap and mixer market is mature, like-for-like demand from the renovation segment is the primary driver of one-head mixers demand, as they have the largest presence in existing dwellings, with two-head mixers coming a distant second. Thermostatic mixers in showers have increased their penetration in upgrade-type renovations, since their integration of technological innovation in terms of temperature regulation, water-saving and energy efficiency is gaining further recognition among consumers. To this extent, all major manufacturers have created various thermostatic models for all price segment ranges. Despite the fact that sales of automatic flushing valves are mainly deriving from the non-housing segment, in 2020 the COVID-19 pandemic was responsible for the increase in demand for such products in housing RMI.

Non-Housing

Non-housing sales tend to be much more diversified compared to the other end-use segments, since the applications span across different types of buildings, ranging from hotels and offices to hospitals. Non-housing is also the segment more prone to invest in technologically-advanced product types such as electronic and self-closing, in order to minimise water waste and reduce costs.

Automatic flushing valves can mainly be found in public places such as airports, stadiums, etc., due to their high frequency of usage. As a result, the market for flushing valves is mainly driven by replacement sales in the commercial sector. Furthermore, in the case of extraordinary repair of existing residential dwellings, the Italian homeowner is usually likely to replace the flushing valve with a cistern.

Supply Structure

The Italian tap and mixer market is highly fragmented, with ongoing fierce competition between foreign players such as GROHE, IDEAL STANDARD, and CISAL, and Italian players such as PAFFONI, PAINI, FRATELLI FRATTINI, MAMMOLITI, and GATTONI. In response to the transformation of the market, wherein brand visibility and efficient distribution play a vital role, several

manufacturers have exited the market and competition is shifting away from product diversification to product specialisation, particularly in the upper and luxury price segments. Among strategies adopted to enhance growth, a careful selection of the distribution channels has become increasingly important, with an eye to the credit repayment ability and liquidity availability.

Domestic supply continues to be very strong in this market, with around 90 domestic manufacturers involved in the production of taps and mixers, which can be characterised into large players including PAINI and PAFFONI, medium-sized players including ZUCCHETTI and NEWFORM, and the majority – small sized players – including BUGNATESE, FIORA, and IB.

Although many Italian manufacturers have focused increasingly on exports in order to maintain revenues and compensate the past decline in demand, such a trend is being to some extent reverted through a greater attention to product development, resulting in a higher turnover derived from the domestic market.

The leading players in the WC and urinal flushing valve market are foreign companies such as GROHE and FRANKE, but also historically domestic manufacturers such as SOEMA and ITS TODINI – which continue to retain considerable market shares.

The higher relevance acquired by DIY and e-commerce has had a major impact on the price development of tap and mixers, with these channels becoming focal points in shaping the consumer choice of economy and lower-price products. The DIY channel is widening its product offering, as well as offering a greater choice of brands and number of outlets. Meanwhile the number of players distributing through internet specialists such as AMAZON, DESIVERO, and MANOMANO continues to grow. The expansion of e-commerce sales is further enhanced by the trend set by some manufacturers, which have begun to introduce their own online platforms, although these are primarily aimed at selling components without cannibalising their existing internet sales through online distributors.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

In 2021 sales of taps and mixers are expected to increase in line with the increase in private investment, as well as the resumption in construction activity and improvement in RMI demand.

The taps and mixers market is mature, and rapid growth is usually difficult to achieve. However, the continuous investment by the manufacturers into new technologies and colours is expected to continue to boost demand throughout the

forecast period. In 2021, the chromatic spectrum of sanitary taps and mixers opens to natural and precious shades such as antique pink, caviar black, sparkling gold and matt white. Companies specialising in taps and mixers, as well as shower systems, are also opening up to aesthetic experimentation by introducing progressively more chrome polishes, translucent films and pop coatings.

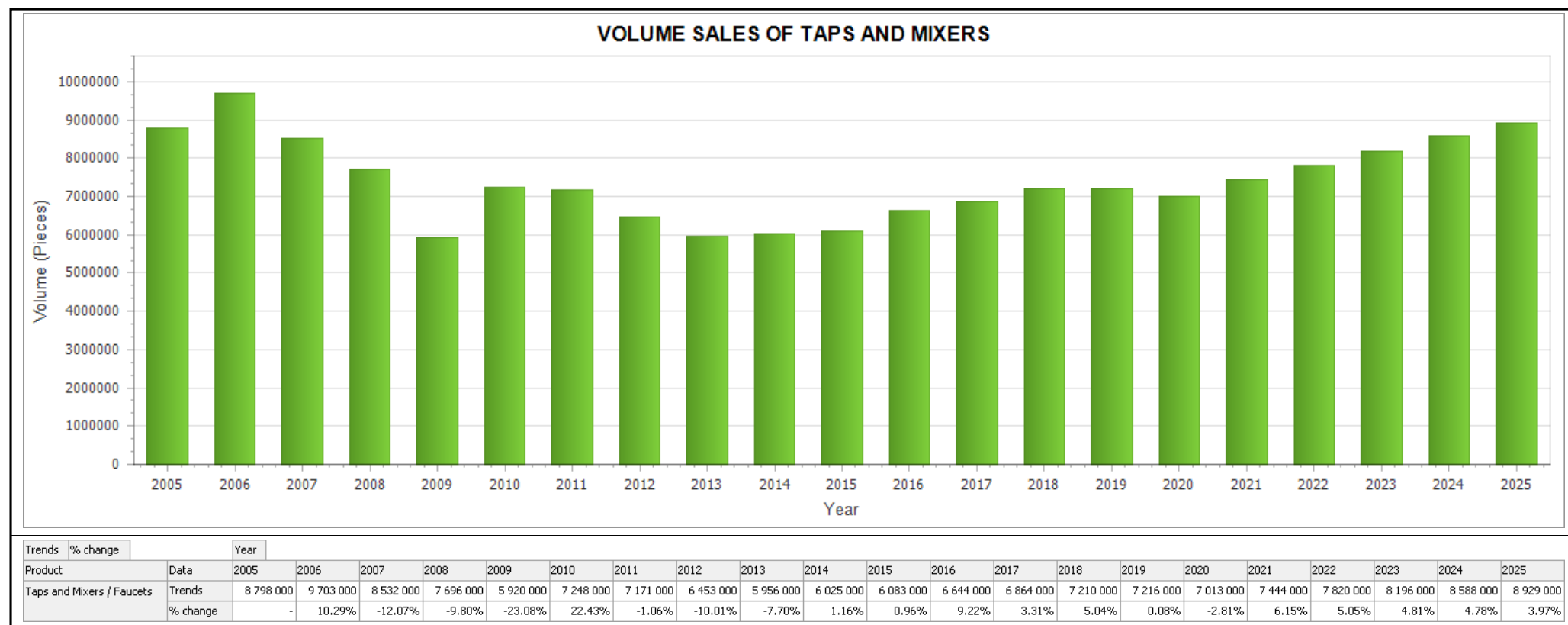
From 2022 and onwards, an increase in sales of all taps and mixers product categories is expected, mainly driven by RMI demand.

Within the product mix, the share of one-head mixers is expected to increase marginally, while the trend of newer technologies should be in line with the fluctuation of non-housing and new-housing demand. The taps and mixers market is more sensitive to technological developments than those of other bathroom products, due to the recent influx of modern products that are slowly shifting consumer attitudes.

The distribution structure for taps and mixers is likely to be shifting further towards internet and DIY channels, with all principal manufacturers already expanding their presence online, either directly or via partnerships with online retailers. This trend is expected to follow the increased attention given to product functionality and design, with an effect on prices, further polarising the lowest and highest price ranges.

3.2 Historical Trends and Forecasts : Taps and Mixers

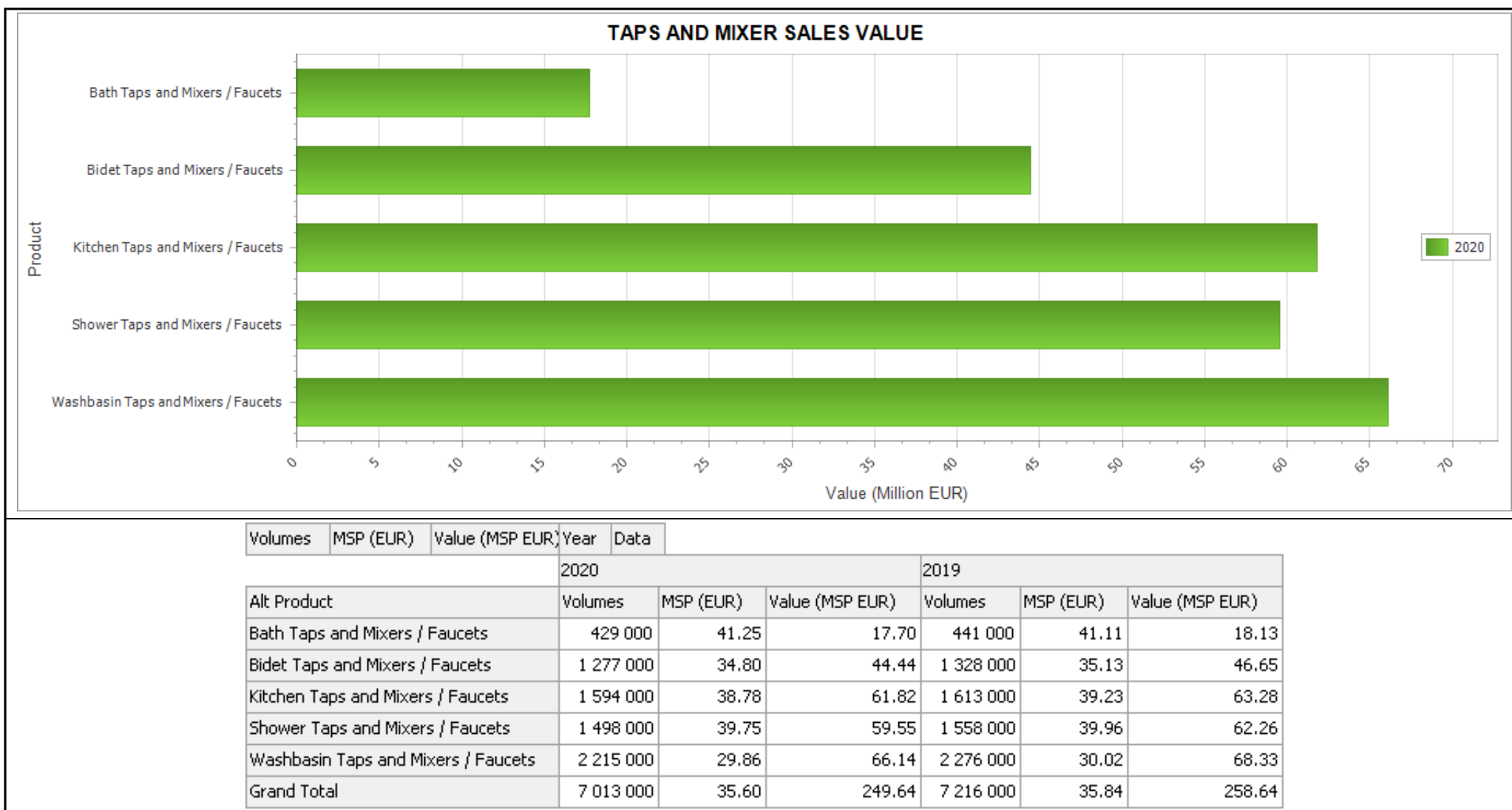
IT - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

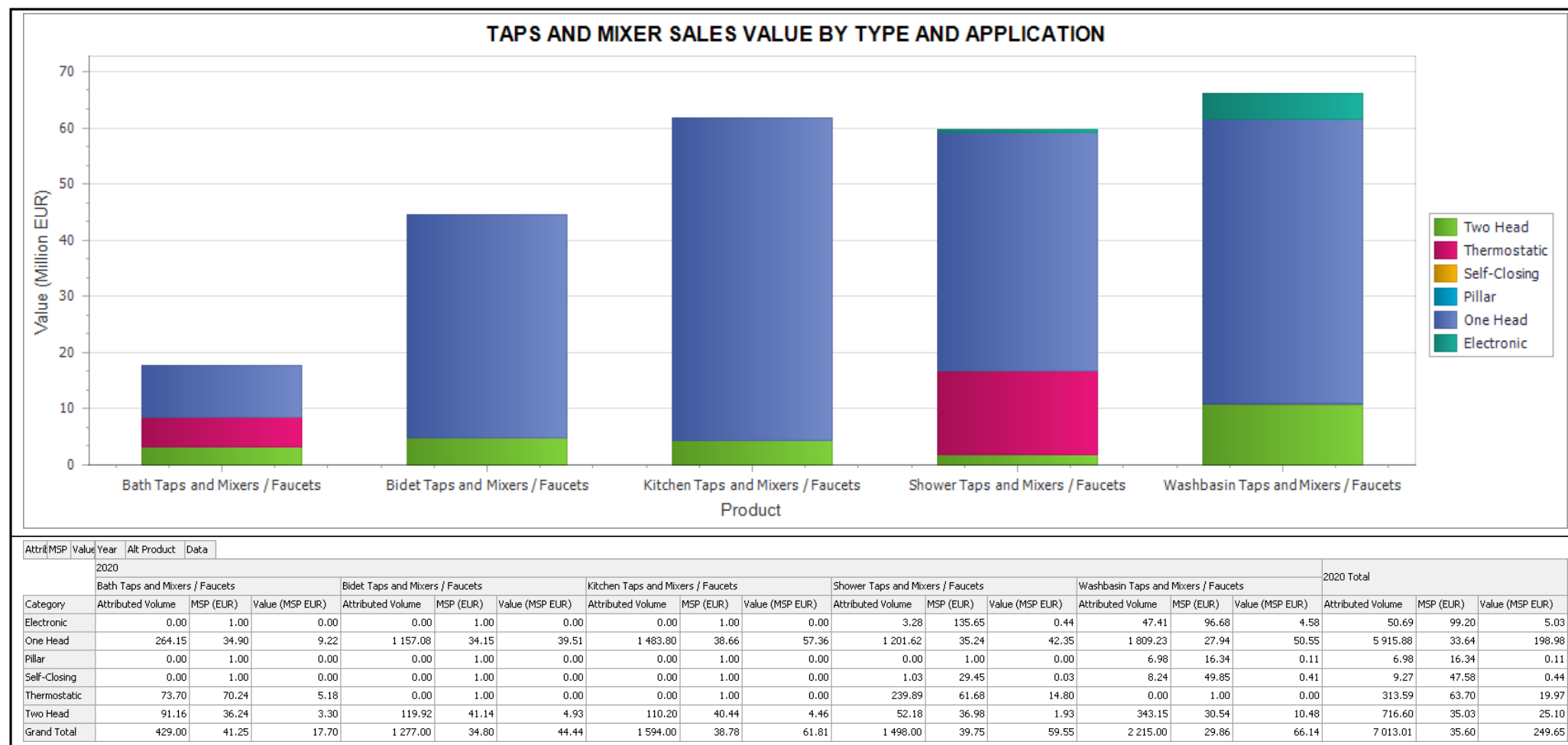
IT - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

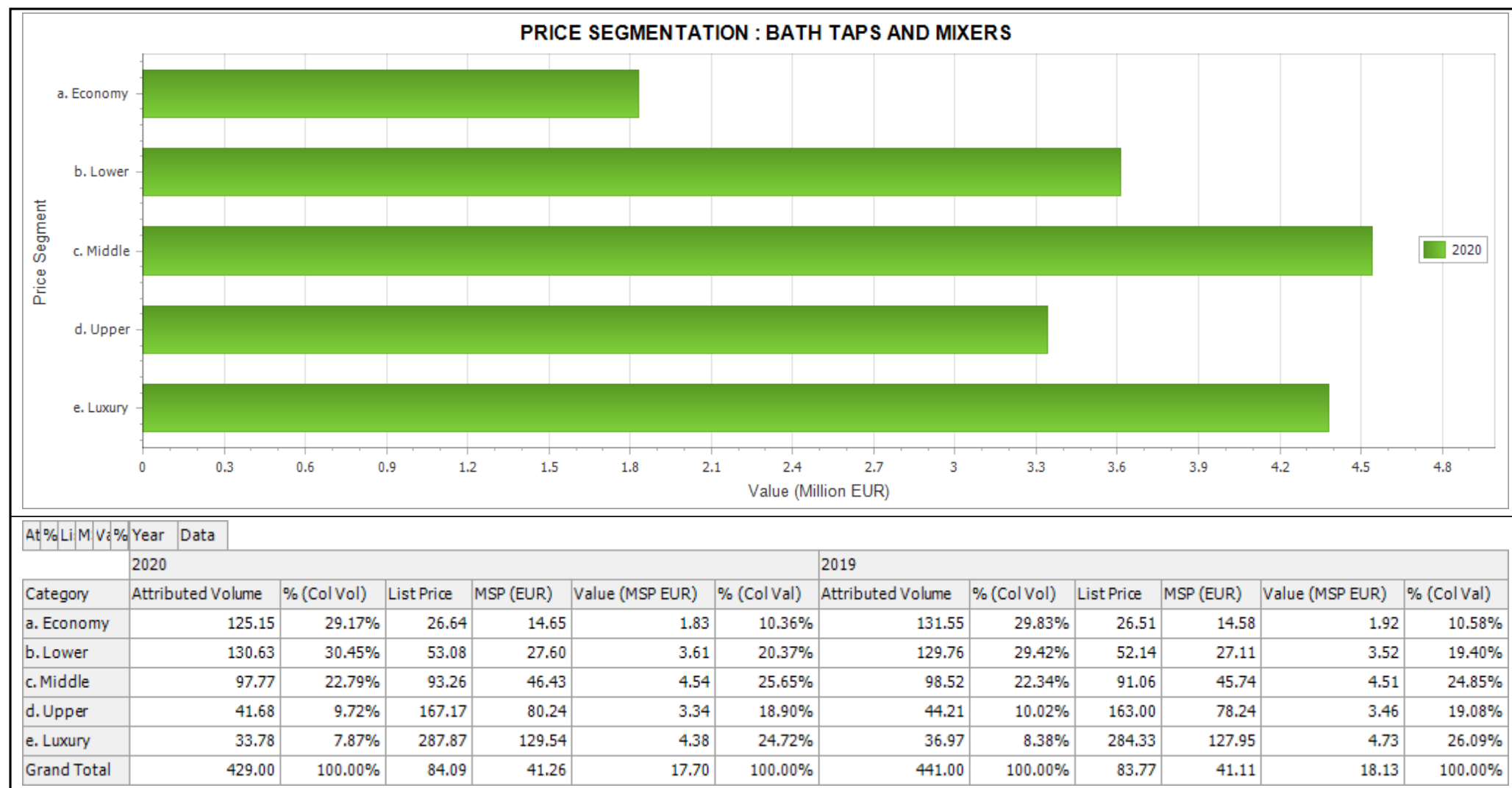
IT - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

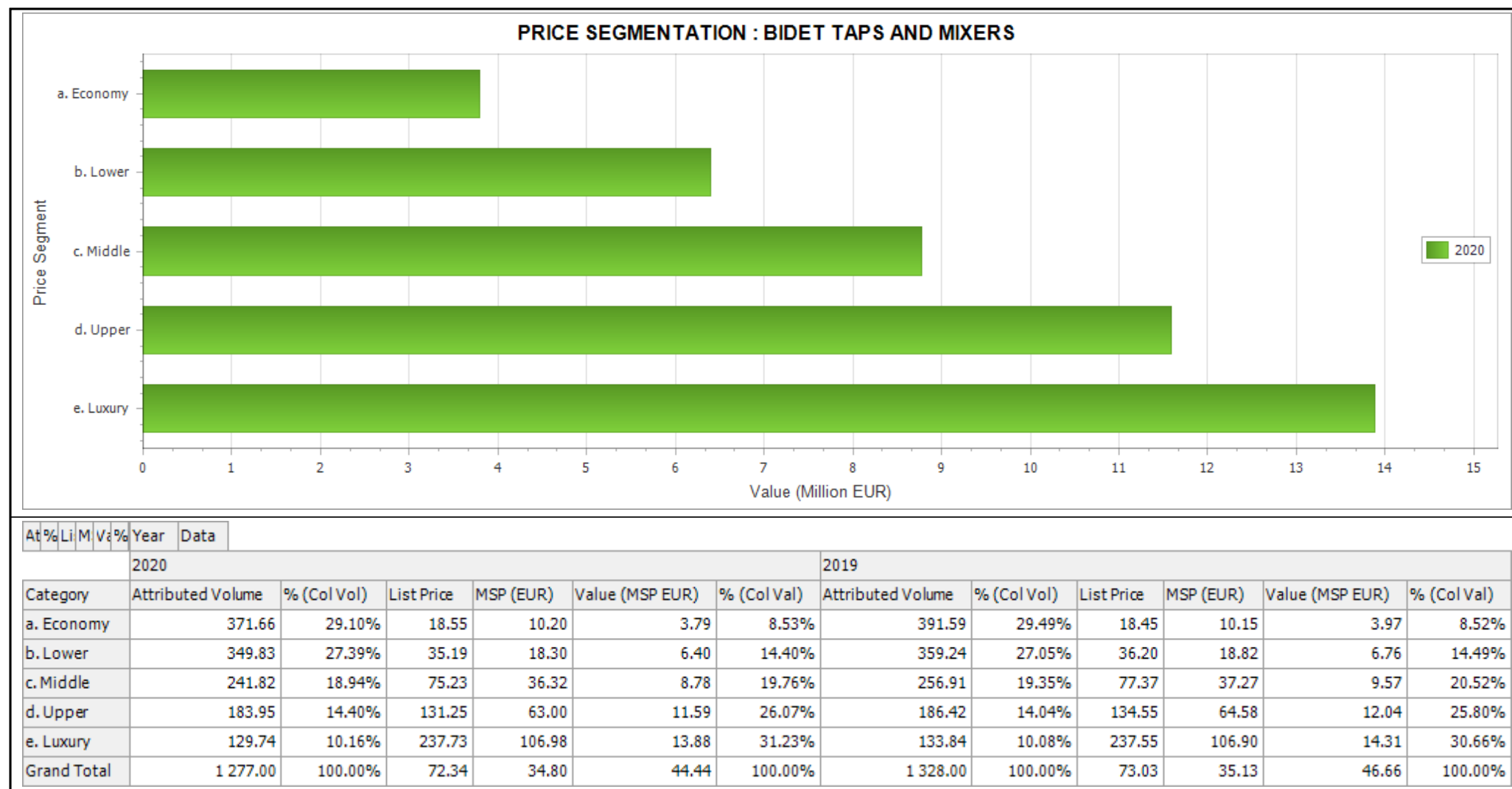
IT - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.4 Price Segmentation : Bidet Taps and Mixers

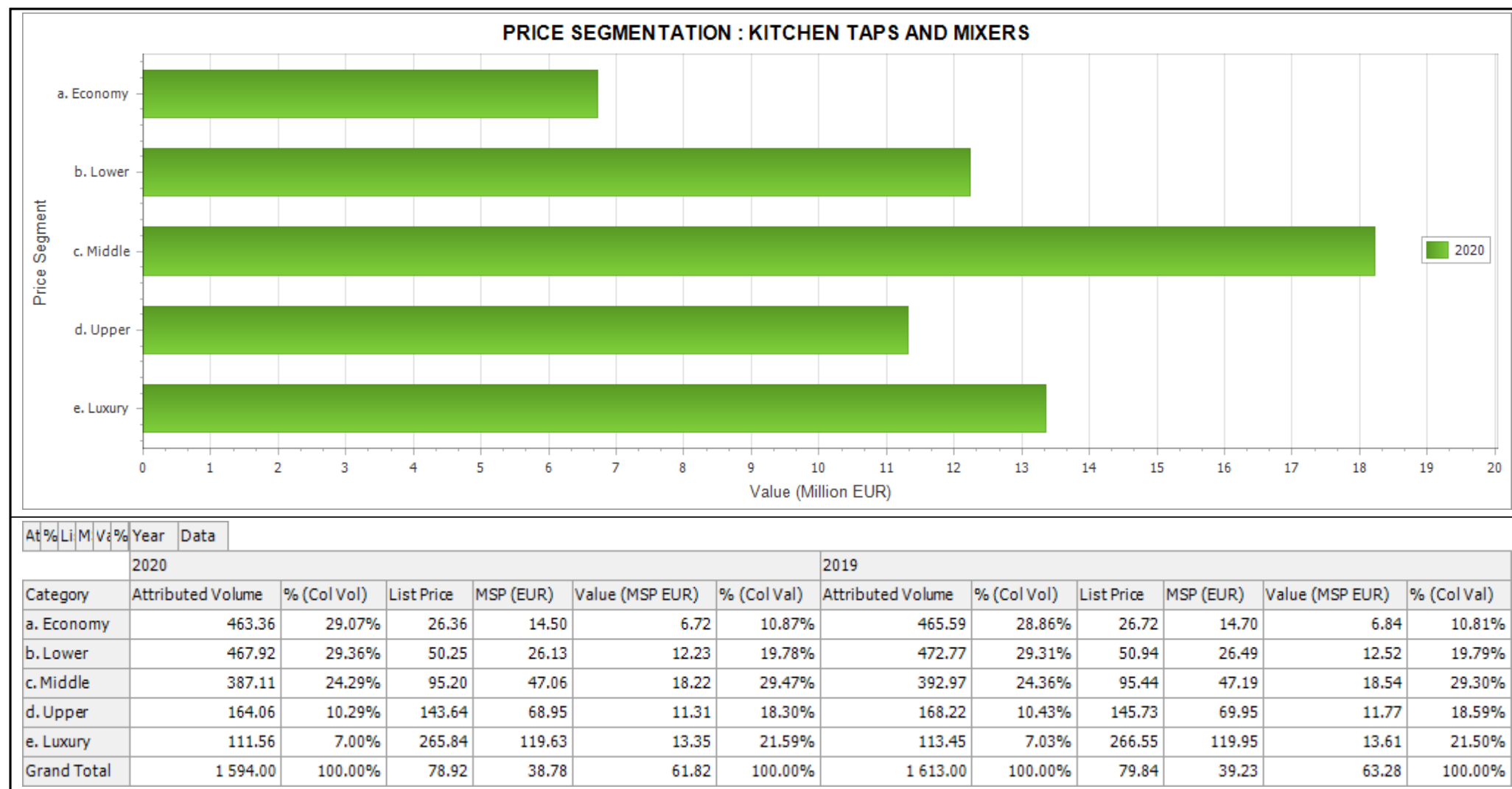
IT - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Taps and Mixers

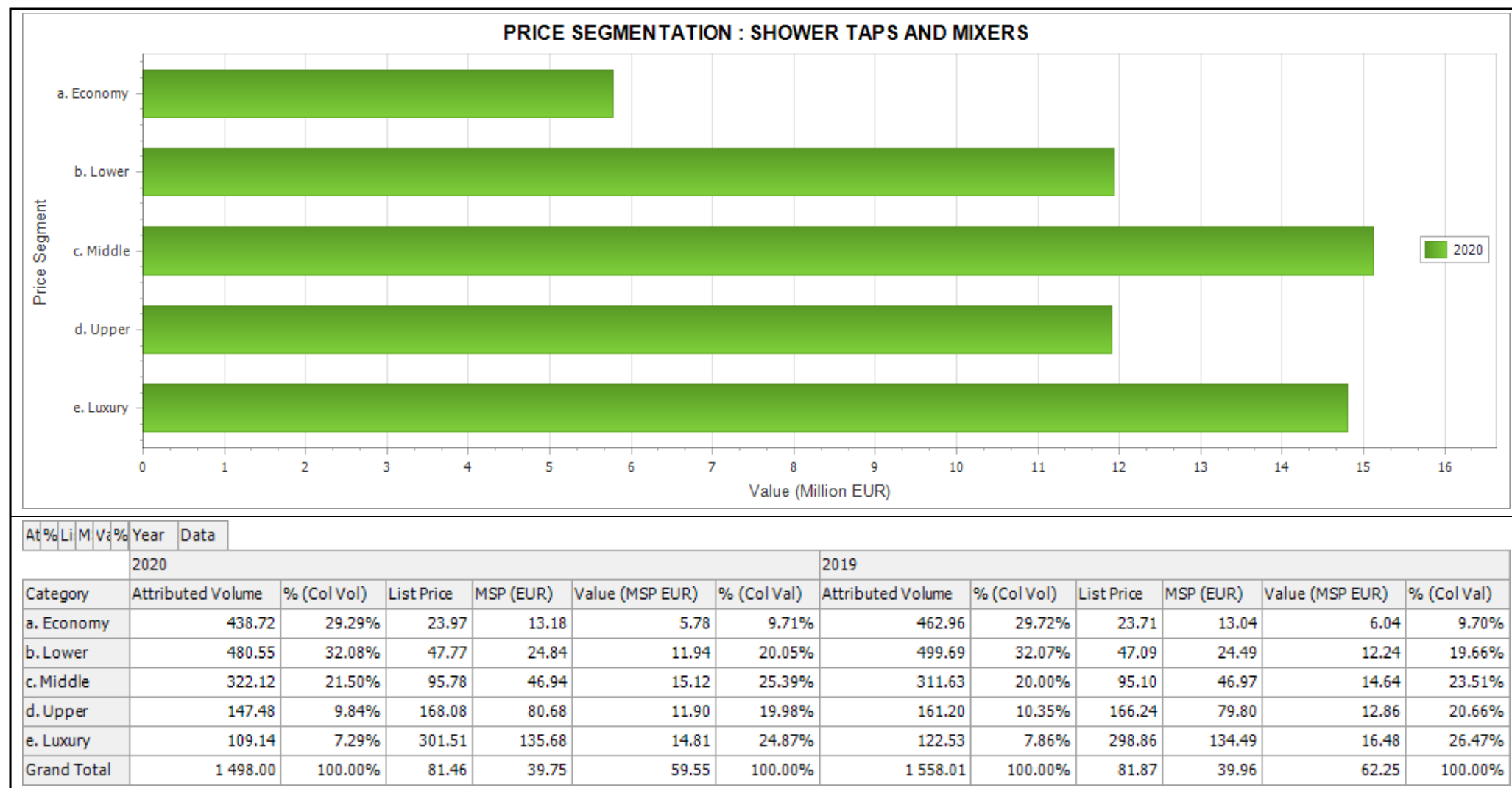
IT - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

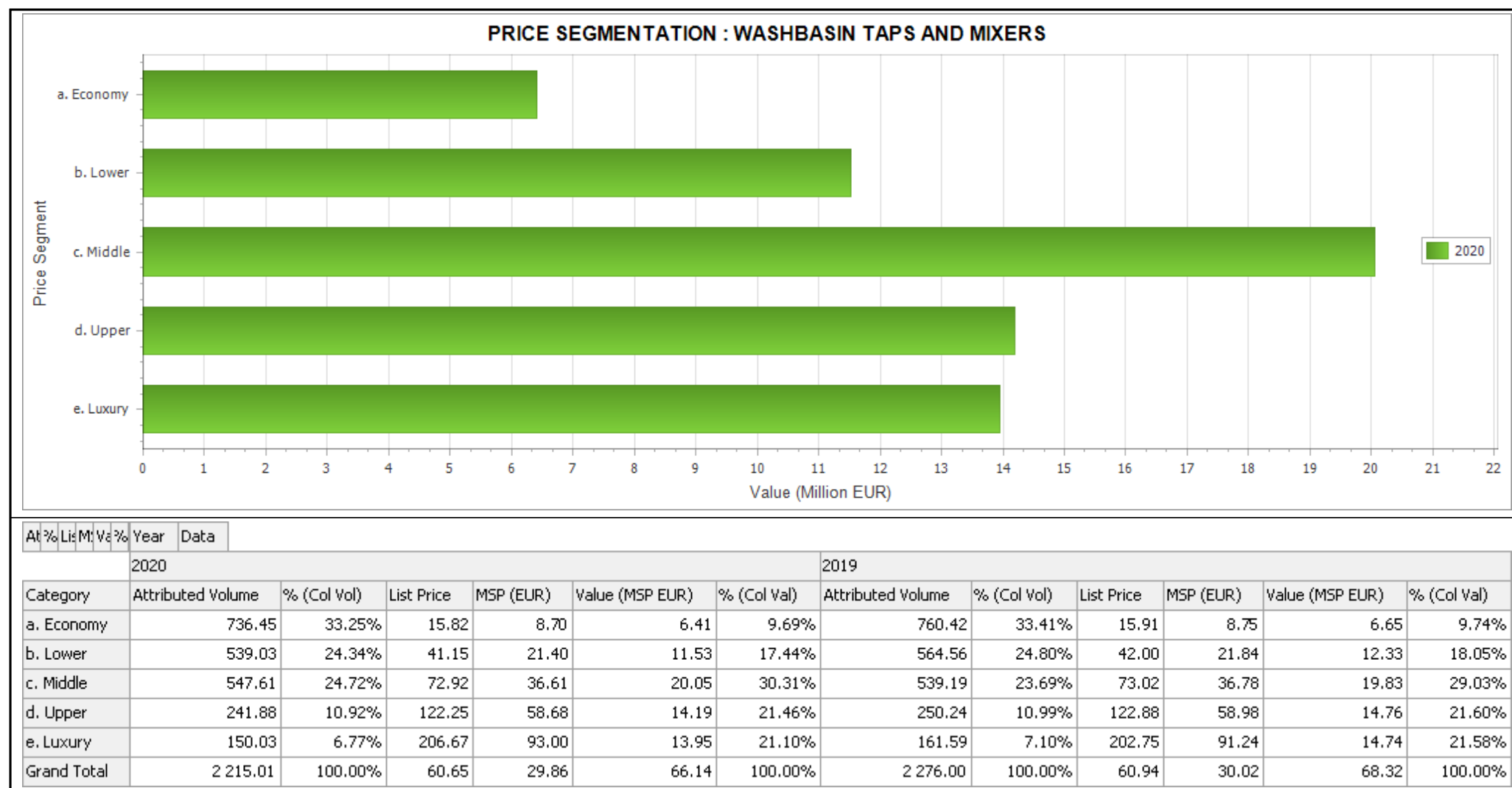
IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€100 and Luxury >€100

3.3.7 Price Segmentation : Washbasin Taps and Mixers

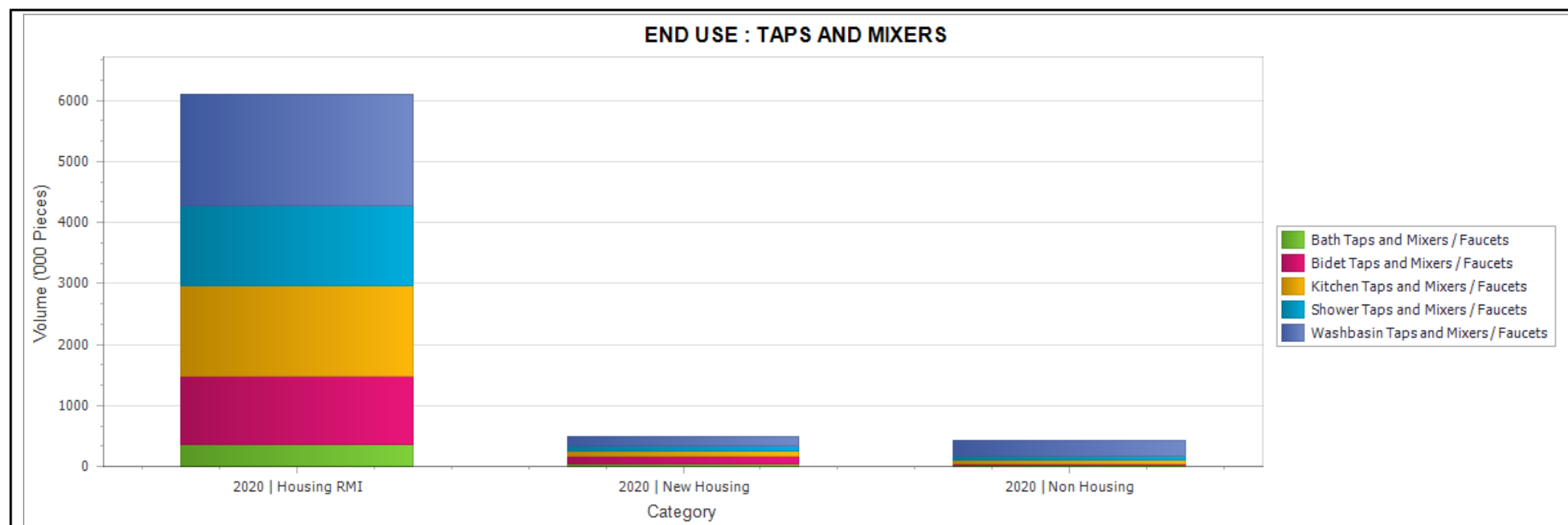
IT - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.4.1 End Use : Base Year

IT - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)

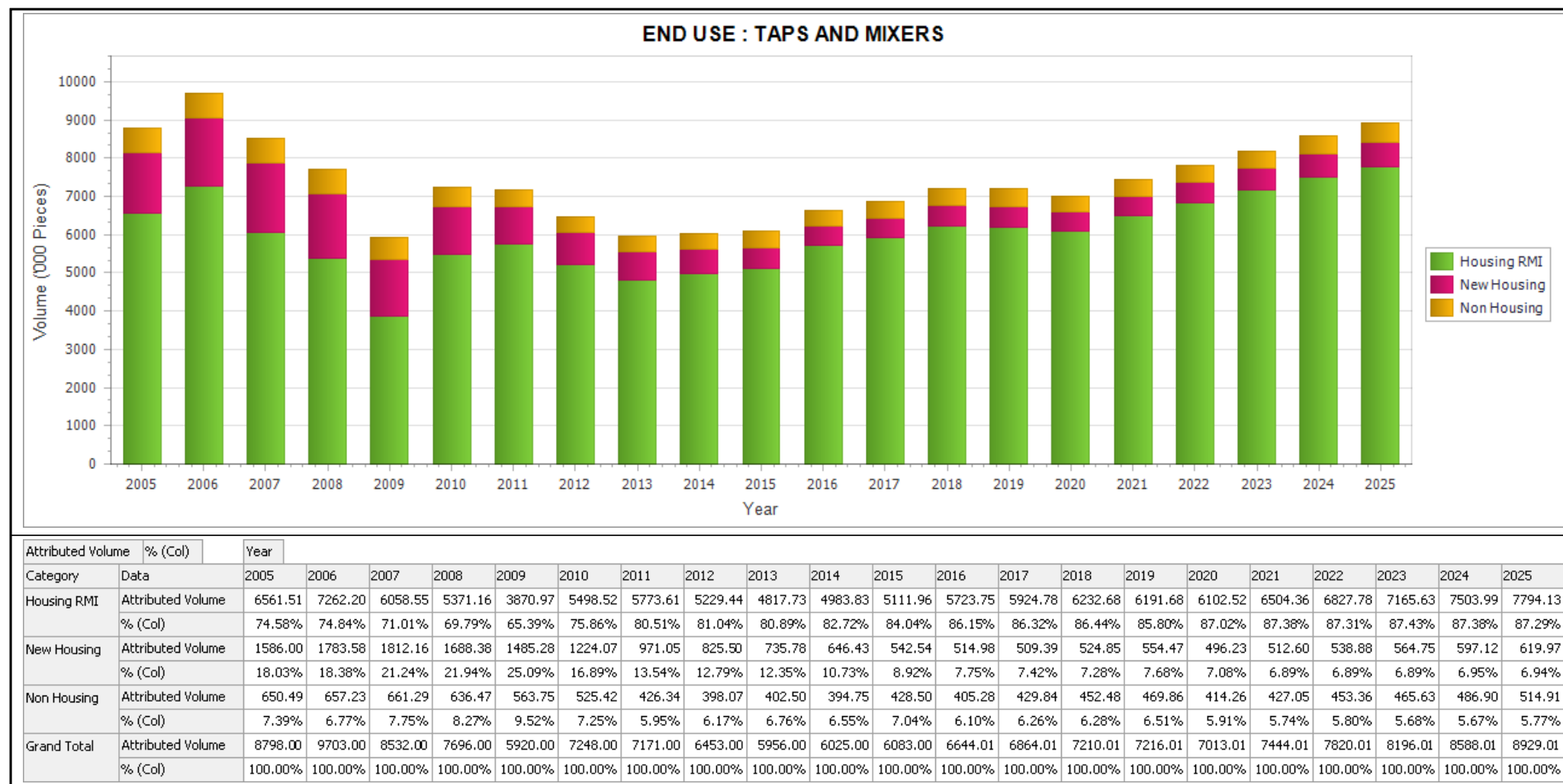


Attributed Volume	% (Col)	% (Row)	Year	Category	Data								
			2020								2020 Total		
			Housing RMI			New Housing		Non Housing					
Alt Product	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	Attributed Volume	% (Col)	% (Row)	
Bath Taps and Mixers / Faucets	367.69	6.03%	85.71%	42.23	8.51%	9.84%	19.08	4.61%	4.45%	429.00	6.12%	100.00%	
Bidet Taps and Mixers / Faucets	1122.68	18.40%	87.92%	123.38	24.86%	9.66%	30.95	7.47%	2.42%	1277.00	18.21%	100.00%	
Kitchen Taps and Mixers / Faucets	1466.97	24.04%	92.03%	78.92	15.90%	4.95%	48.11	11.61%	3.02%	1594.00	22.73%	100.00%	
Shower Taps and Mixers / Faucets	1315.67	21.56%	87.83%	104.73	21.11%	6.99%	77.60	18.73%	5.18%	1498.00	21.36%	100.00%	
Washbasin Taps and Mixers / Faucets	1829.51	29.98%	82.60%	146.97	29.62%	6.64%	238.53	57.58%	10.77%	2215.00	31.58%	100.00%	
Grand Total	6102.52	100.00%	87.02%	496.23	100.00%	7.08%	414.26	100.00%	5.91%	7013.01	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

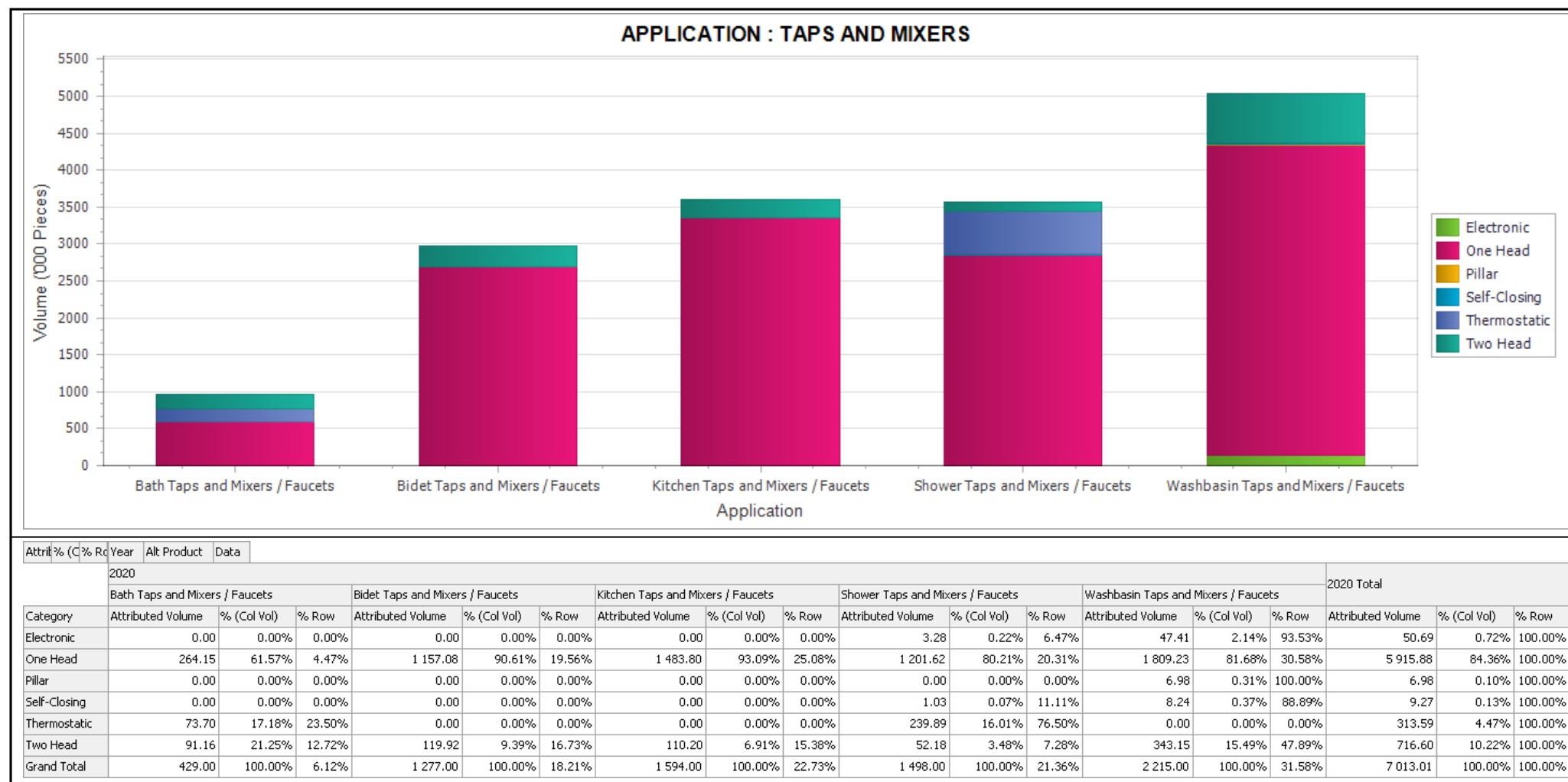
IT - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

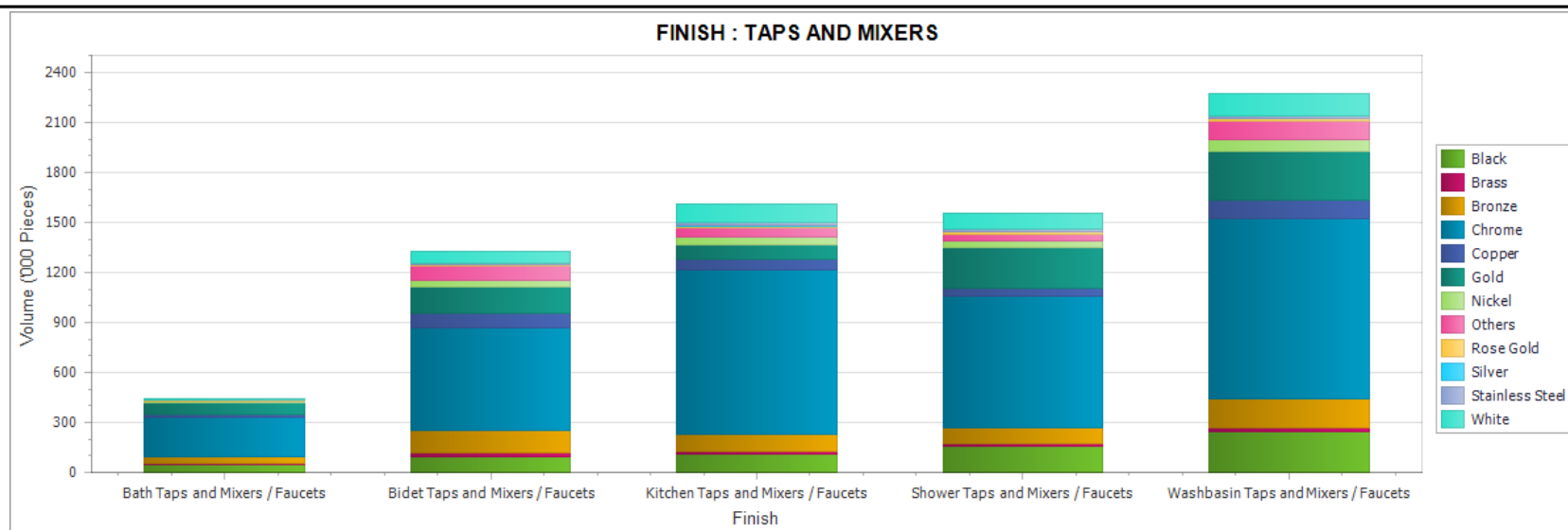
IT - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

IT - TAP AND MIXER SALES BY FINISH AND APPLICATION ('000 PIECES)

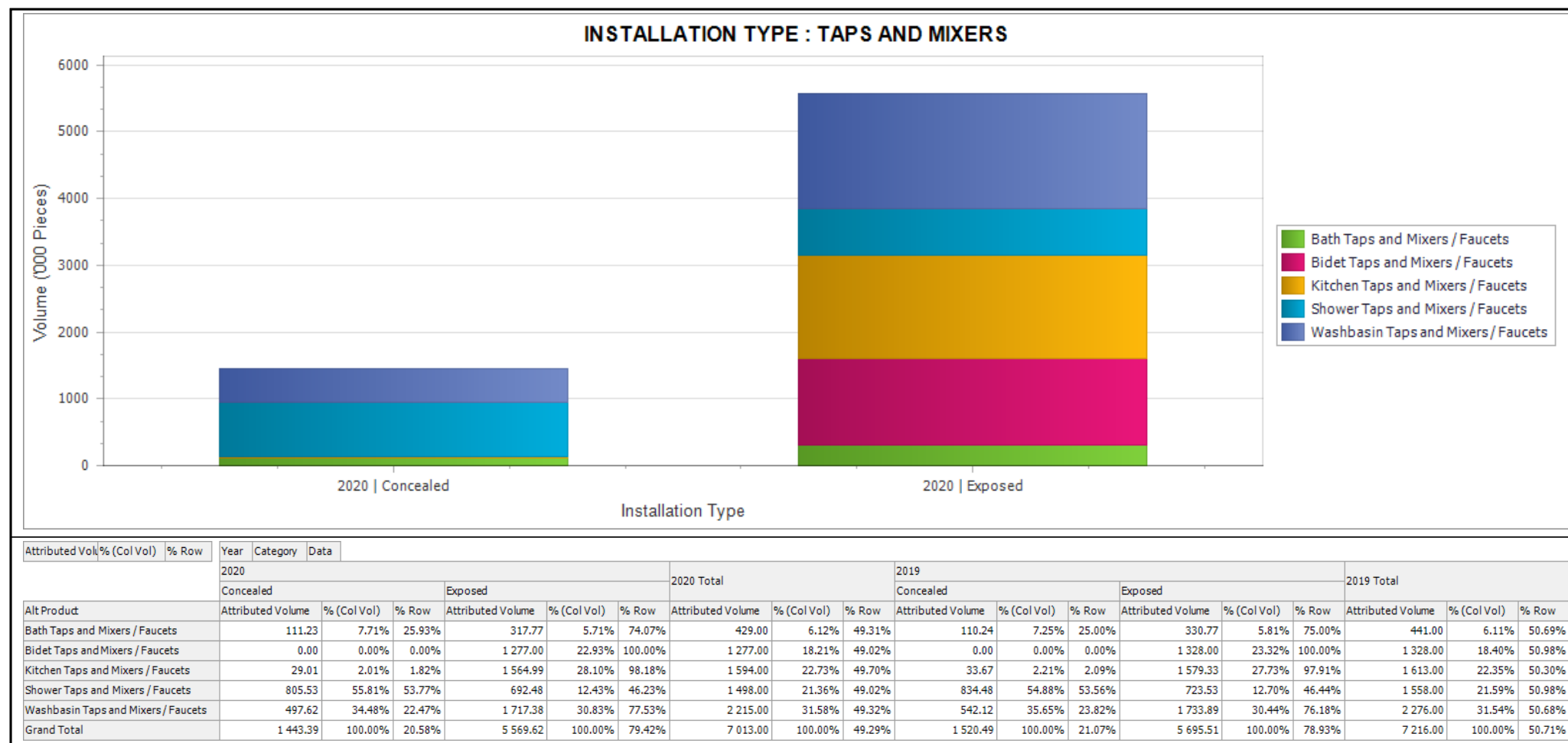


Attribut	% (Col	Year	Alt Product	Data										
					2020						2020 Total			
					Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets				Shower Taps and Mixers / Faucets	
Category	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)	Attributed Volume	% (Col Vol)		
Black	54.91	12.80%	94.50	7.40%	121.14	7.60%	155.79	10.40%	256.94	11.60%	683.29	9.74%		
Brass	6.44	1.50%	22.99	1.80%	15.94	1.00%	13.48	0.90%	19.65	0.89%	78.49	1.12%		
Bronze	37.75	8.80%	120.04	9.40%	87.67	5.50%	86.88	5.80%	157.27	7.10%	489.61	6.98%		
Chrome	219.22	51.10%	601.33	47.09%	967.61	60.70%	767.00	51.20%	1 076.58	48.60%	3 631.74	51.79%		
Copper	18.45	4.30%	75.34	5.90%	62.17	3.90%	47.94	3.20%	90.82	4.10%	294.71	4.20%		
Gold	65.21	15.20%	155.79	12.20%	92.45	5.80%	233.69	15.60%	285.74	12.90%	832.88	11.88%		
Nickel	12.44	2.90%	45.97	3.60%	55.79	3.50%	35.95	2.40%	68.67	3.10%	218.82	3.12%		
Others	0.00	0.00%	83.01	6.50%	50.28	3.15%	48.60	3.24%	110.34	4.98%	292.22	4.17%		
Rose Gold	6.44	1.50%	5.42	0.42%	7.31	0.46%	8.15	0.54%	15.23	0.69%	42.53	0.61%		
Silver	0.86	0.20%	0.00	0.00%	3.26	0.20%	1.65	0.11%	0.00	0.00%	5.77	0.08%		
Stainless Steel	2.15	0.50%	6.22	0.49%	19.13	1.20%	17.98	1.20%	14.18	0.64%	59.64	0.85%		
White	5.15	1.20%	66.40	5.20%	111.26	6.98%	80.89	5.40%	119.61	5.40%	383.32	5.47%		
Grand Total	429.00	100.00%	1 277.00	100.00%	1 594.01	100.00%	1 498.00	100.00%	2 215.00	100.00%	7 013.02	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

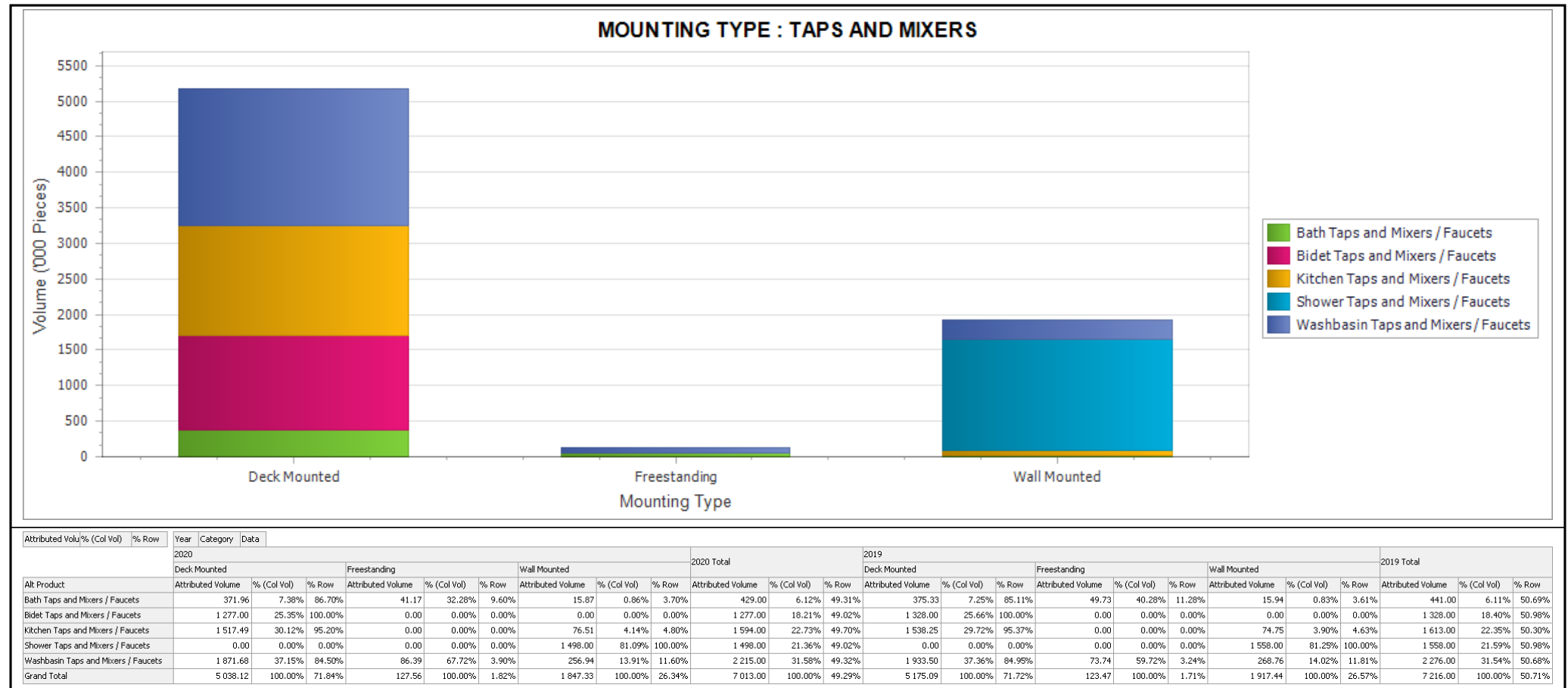
IT - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

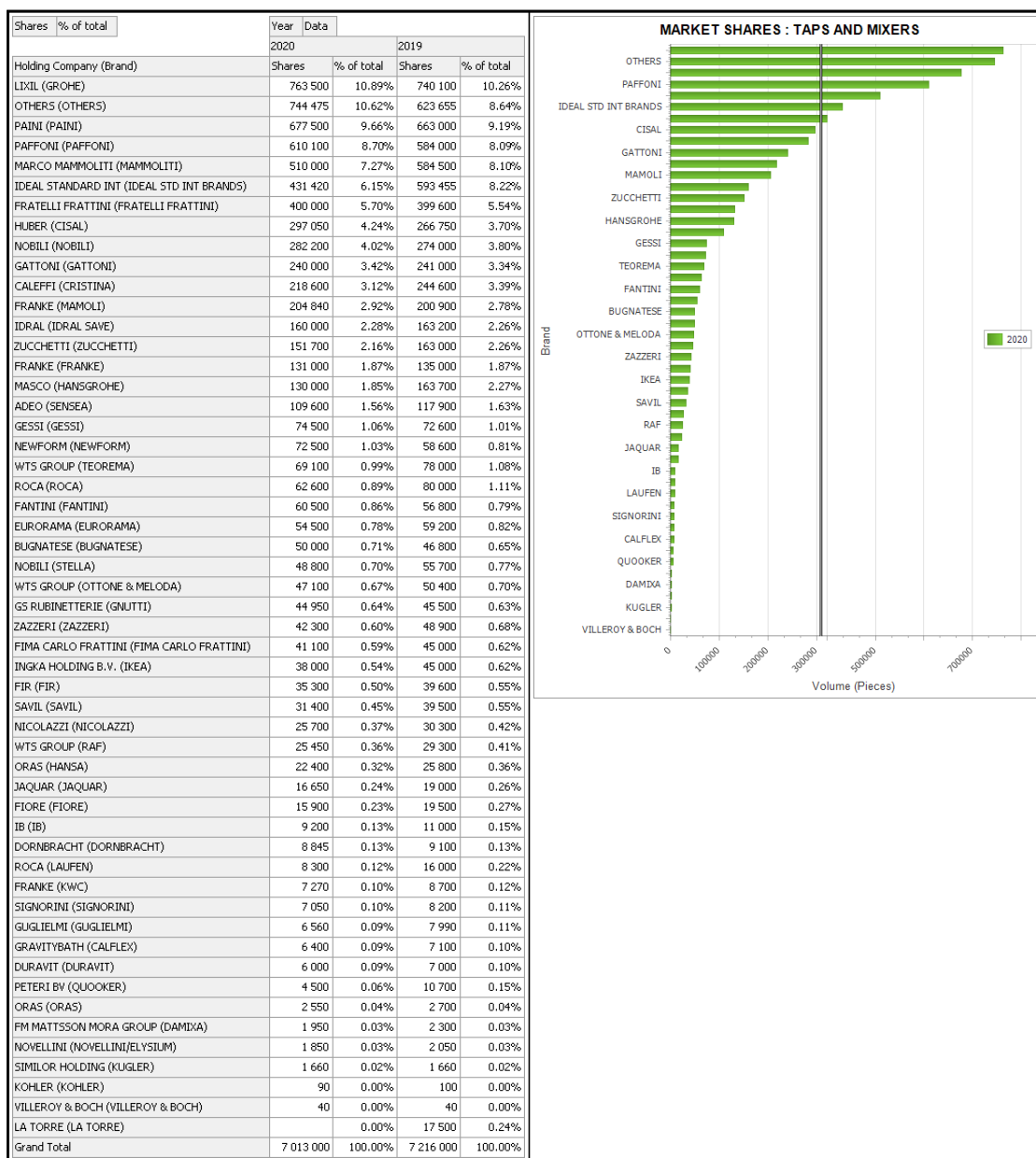
IT - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

IT - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 IT - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	6 476	60.3%	65 751	40.7%	6 724	57.7%	68 359	38.3%
Germany	2 597	24.2%	62 702	38.8%	2 926	25.1%	72 864	40.8%
Bulgaria	852	7.9%	13 675	8.5%	1 123	9.6%	16 969	9.5%
Austria	158	1.5%	1 069	0.7%	112	1.0%	1 248	0.7%
OTHERS	660	6.1%	18 466	11.4%	766	6.6%	18 940	10.6%
Total	10 743	100.0%	161 663	100.0%	11 651	100.0%	178 380	100.0%

Source : Trademap

3.6.2 IT - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	5 367	18.4%	108 588	16.5%	7 492	21.9%	107 098	15.6%
France	4 647	16.0%	108 466	16.4%	4 752	13.9%	110 024	16.0%
United Kingdom	1 747	6.0%	40 052	6.1%	2 058	6.0%	47 753	6.9%
Spain	1 176	4.0%	28 771	4.4%	1 503	4.4%	33 152	4.8%
Belgium	1 020	3.5%	28 815	4.4%	859	2.5%	24 202	3.5%
Saudi Arabia	973	3.3%	15 168	2.3%	1 005	2.9%	16 369	2.4%
Netherlands	831	2.9%	27 177	4.1%	852	2.5%	24 306	3.5%
Greece	762	2.6%	15 381	2.3%	880	2.6%	16 361	2.4%
Switzerland	735	2.5%	23 982	3.6%	859	2.5%	24 748	3.6%
United States of Amer	631	2.2%	21 749	3.3%	720	2.1%	24 558	3.6%
Romania	576	2.0%	8 012	1.2%	457	1.3%	7 133	1.0%
OTHERS	10 647	36.6%	233 879	35.4%	12 792	37.4%	252 705	36.7%
Total	29 112	100.0%	660 040	100.0%	34 230	100.0%	688 409	100.0%

Source : Trademap

3.7.1

Route to Market: Kitchen Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

84.1%
Wholesalers / Merchants
84.1%

Retail Level

Manufacturer	Wholesaler
1.1%	2.5%
Internet Retailers	
3.6%	

Manufacturer	Wholesaler
5.1%	13.1%
DIY Retailers	
18.2%	

Manufacturer	Wholesaler
7.8%	36.0%
Specialist Retailers	
43.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	26.9%	0.7%	4.6%	10.9%
Installers				
44.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.7%	5.3%	2.9%	13.4%	32.8%	42.0%
Residential					
97.0%					

New Build			Residential RMI		
5.0%			92.0%		
Project	Non-Project		Project	Non-Project	
1.5%	3.5%		9.2%	82.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	0.3%	0.0%	0.3%	0.0%	2.0%
Non-Residential					
3.0%					

New Build			Non-Residential RMI		
1.0%			2.0%		
Project	Non-Project		Project	Non-Project	
0.9%	0.1%		0.5%	1.5%	

3.7.2

Route to Market: Kitchen Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

83.5%
Wholesalers / Merchants
83.5%

Retail Level

Manufacturer	Wholesaler
1.5%	3.0%
Internet Retailers	
4.4%	

Manufacturer	Wholesaler
5.9%	16.4%
DIY Retailers	
22.2%	

Manufacturer	Wholesaler
7.4%	34.8%
Specialist Retailers	
42.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	24.2%	0.9%	5.6%	9.2%
Installers				
40.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	4.8%	3.5%	16.7%	33.0%	38.5%
Residential					
97.2%					

New Build			Residential RMI		
5.0%			92.2%		
Project	Non-Project		Project	Non-Project	
1.5%	3.5%		9.2%	83.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	0.3%	0.0%	0.0%	0.0%	2.2%
Non-Residential					
2.8%					

New Build			Non-Residential RMI		
1.1%			1.7%		
Project	Non-Project		Project	Non-Project	
0.9%	0.2%		0.6%	1.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

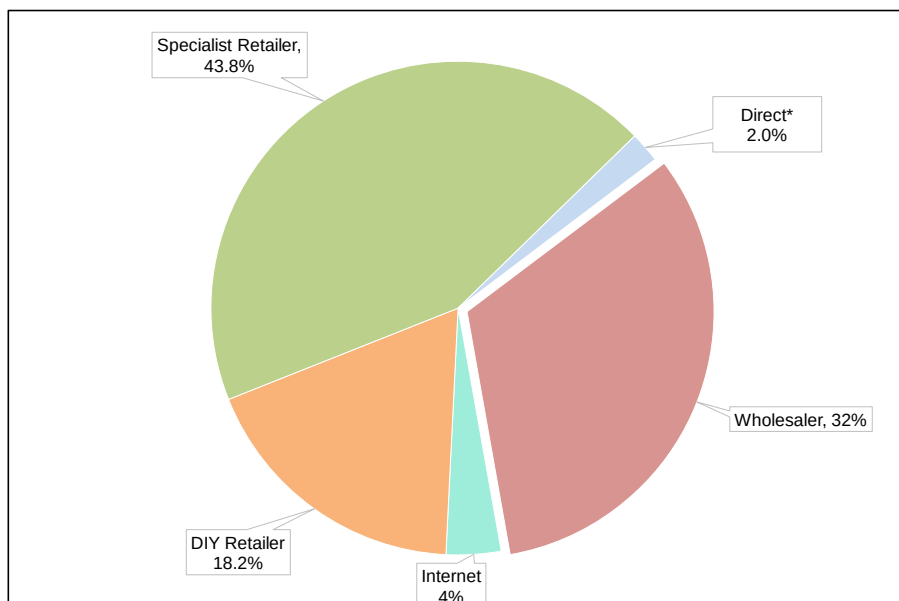
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.5%	3.6%	18.2%	43.8%	2.0%	10.7%	1.4%	86.3%	1.6%
100%					12.1%		87.9%	

3.7.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

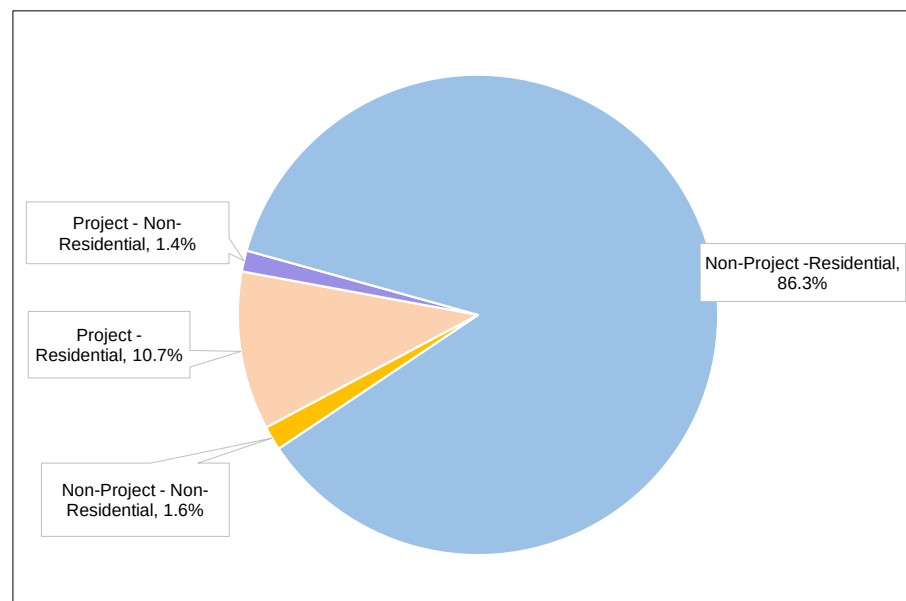
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.3%	4.4%	22.2%	42.2%	1.8%	10.7%	1.5%	86.5%	1.3%
100%					12.2%		87.8%	

IT - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.7.5

Route to Market: Sanitary Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

75.3%
Wholesalers / Merchants
75.3%

Retail Level

Manufacturer	Wholesaler
1.2%	3.2%
Internet Retailers	
4.4%	

Manufacturer	Wholesaler
8.0%	10.2%
DIY Retailers	
18.2%	

Manufacturer	Wholesaler
13.1%	14.2%
Specialist Retailers	
27.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.4%	40.7%	0.9%	4.6%	6.0%
Installers				
53.6%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.7%	6.9%	3.5%	11.5%	20.5%	50.3%
Residential					
93.2%					
New Build			Residential RMI		
7.7%			85.5%		
Project	Non-Project		Project	Non-Project	
2.3%	5.4%		8.6%	77.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.2%	0.0%	2.2%	0.8%	3.3%
Non-Residential					
6.8%					
New Build			Non-Residential RMI		
3.6%			3.2%		
Project	Non-Project		Project	Non-Project	
3.5%	0.1%		0.5%	2.7%	

3.7.6

Route to Market: Sanitary Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR SANITARY TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

73.2%
Wholesalers / Merchants
73.2%

Retail Level

Manufacturer	Wholesaler
1.6%	3.8%
Internet Retailers	
5.4%	

Manufacturer	Wholesaler
9.2%	12.7%
DIY Retailers	
21.9%	

Manufacturer	Wholesaler
12.5%	13.7%
Specialist Retailers	
26.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.4%	36.2%	1.1%	5.5%	6.6%
Installers				
51.8%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	6.5%	4.3%	16.5%	19.7%	45.6%
Residential					
93.4%					
New Build			Residential RMI		
7.5%			85.9%		
Project	Non-Project		Project	Non-Project	
2.3%	5.3%		8.6%	77.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.2%	0.0%	0.0%	0.0%	6.1%
Non-Residential					
6.6%					
New Build			Non-Residential RMI		
4.2%			2.4%		
Project	Non-Project		Project	Non-Project	
4.0%	0.2%		0.8%	1.6%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

3.7.7 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

IT - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2020

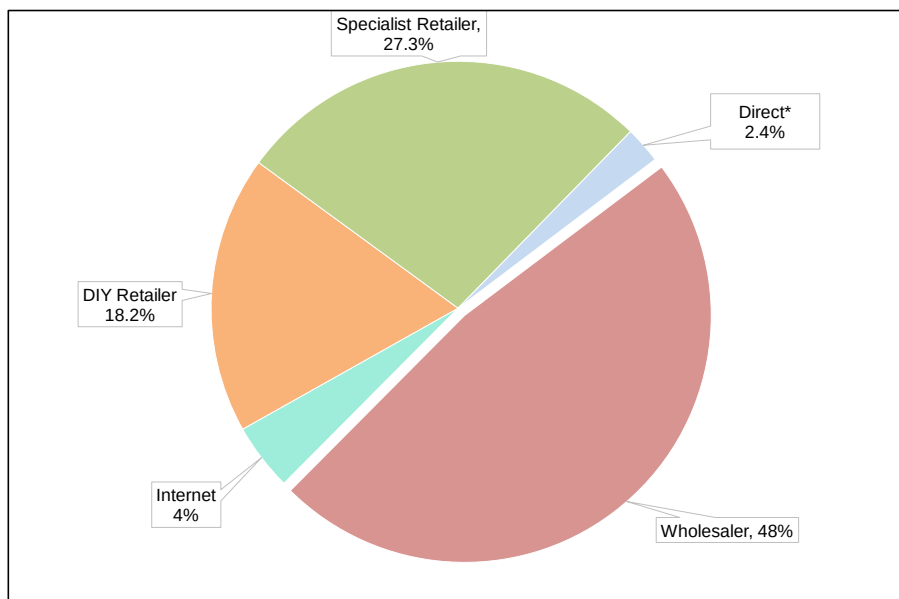
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
47.7%	4.4%	18.2%	27.3%	2.4%	10.9%	4.0%	82.4%	2.8%
100%					14.9%		85.1%	

3.7.8 Route to Market - Consolidated View : Sanitary Taps and Mixers / Faucets

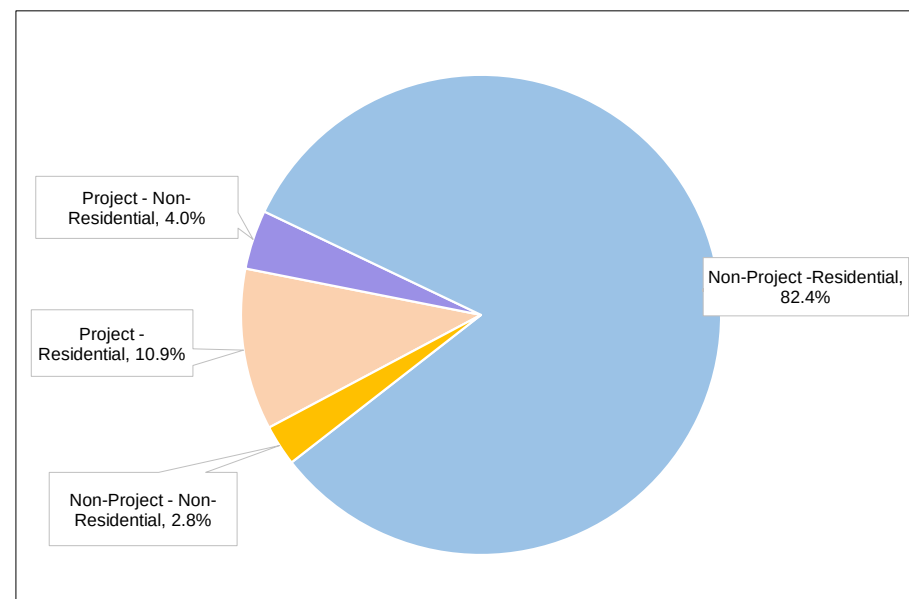
IT - ESTIMATED DISTRIBUTION FOR SANITARY TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
42.9%	5.4%	21.9%	26.2%	3.5%	10.8%	4.8%	82.5%	1.8%
100%					15.6%		84.4%	

IT - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF SANITARY TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



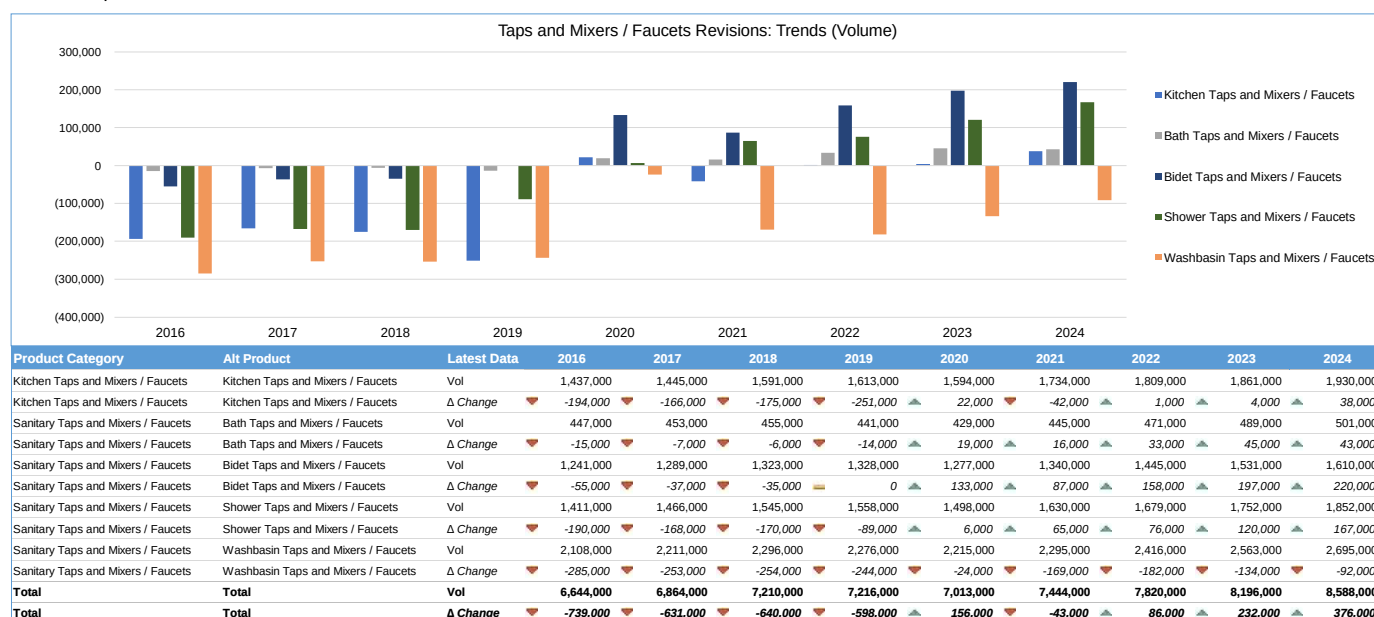
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Italian Taps and Mixers / Faucets Market (April 2021)

IT - REVISIONS IN THE ITALIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: October 2020



Following feedback from manufacturers, it has been necessary to make some minor downward revisions to the market volumes for taps and mixers, mostly related to washbasin, shower and kitchen taps and mixers. This was largely the result of an overstatement of imports from China and less so from other European countries. Most leading manufacturers, notably PAINI, NOBILI and PAFFONI, also produce in (South East) Asia, as well as producing locally in Italy, so some volumes were double counted in previously published data. These volumes have now been removed from the market.

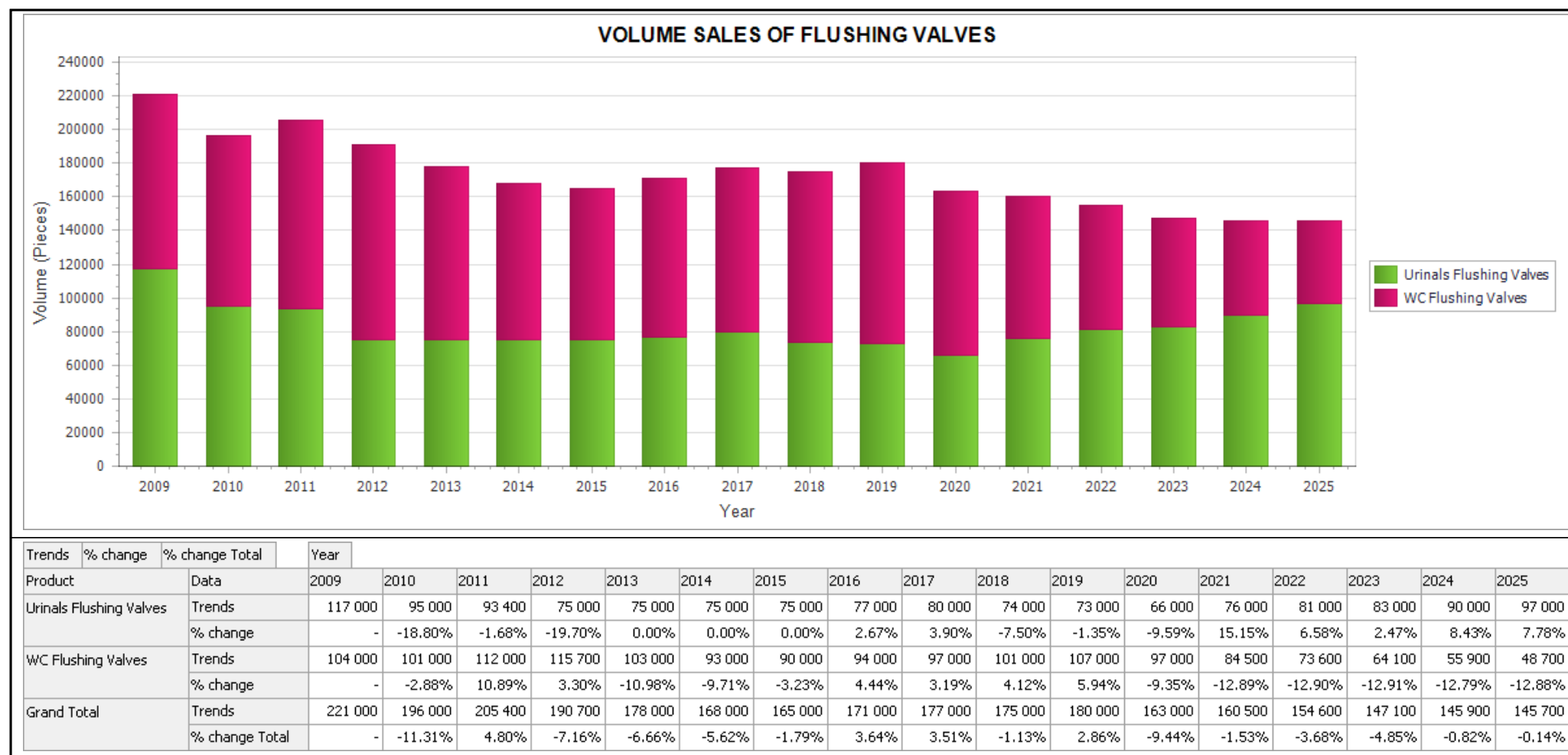
Domestic supply remains very strong in the Italian market for taps and mixers, with around 90 domestic manufacturers involved in the production of taps and mixers, which can be characterised into 16 large players, including PAINI and PAFFONI, 11 medium sized players, including ZUCCHETTI and NEWFORM and around 50 small sized players, including BUGNATESE, FIORA and IB. These players have a combined turnover of €1.1 billion, including exports, of which an estimated 52% are accounted for by taps and mixers and 57% is aimed at the export market.

Strong downward revisions have been made to the MSP for all types of taps and mixers following a more detailed analysis of average prices produced locally in Italy as well as the ones imported from other European countries and the Far East. Italy is, similarly to Spain, a relatively low-priced market, characterised by a very high share of sales into the economy to middle price segments, which hold a combined share of around 80% per annum.

As in Spain, average prices in Italy are also kept low because DIY sales are gaining share, the importance of Chinese imports remain high, and continues to grow, both private label and the ones sourced by domestic players from Asia, combined with the fact that, unlike France, the share of thermostatic mixers remains very low, still below 5% of total tap and mixer sales. Average prices in Italy remain to be above of those seen on the Spanish market but are generally low in comparison to France and Germany, with an average MSP of around €20 per kilogram. Imported mixers are even lower priced, despite the influence of German imports on average prices, which, on average, cost around €14 to €16 per kilogram. This means that prices for taps and mixers vary between €35 to €38 for domestically produced mixers but below €30 for imported mixers, with imports from Germany being the highest priced and China the lowest.

3.9.1 Historical Trends and Forecasts : Flushing Valves

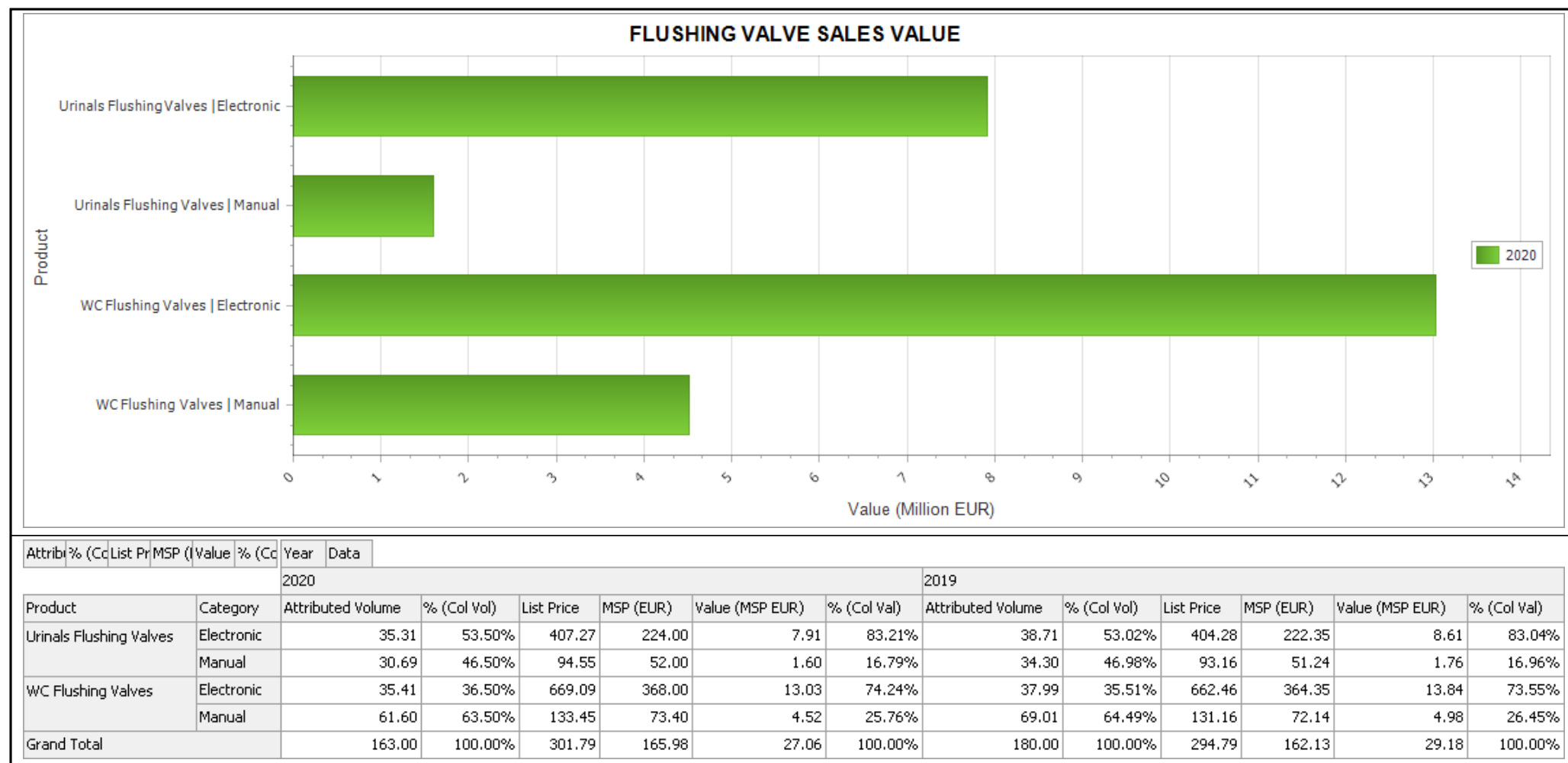
IT - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

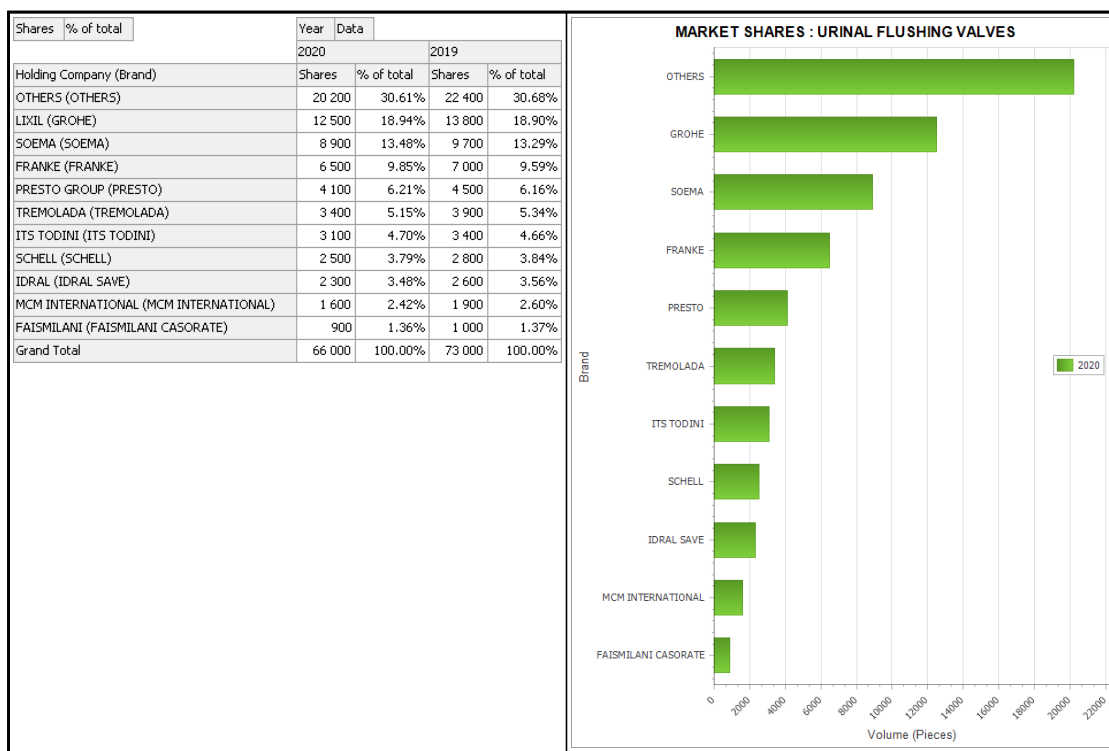
IT - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

3.9.3 Market Shares : Urinal Flushing Valves

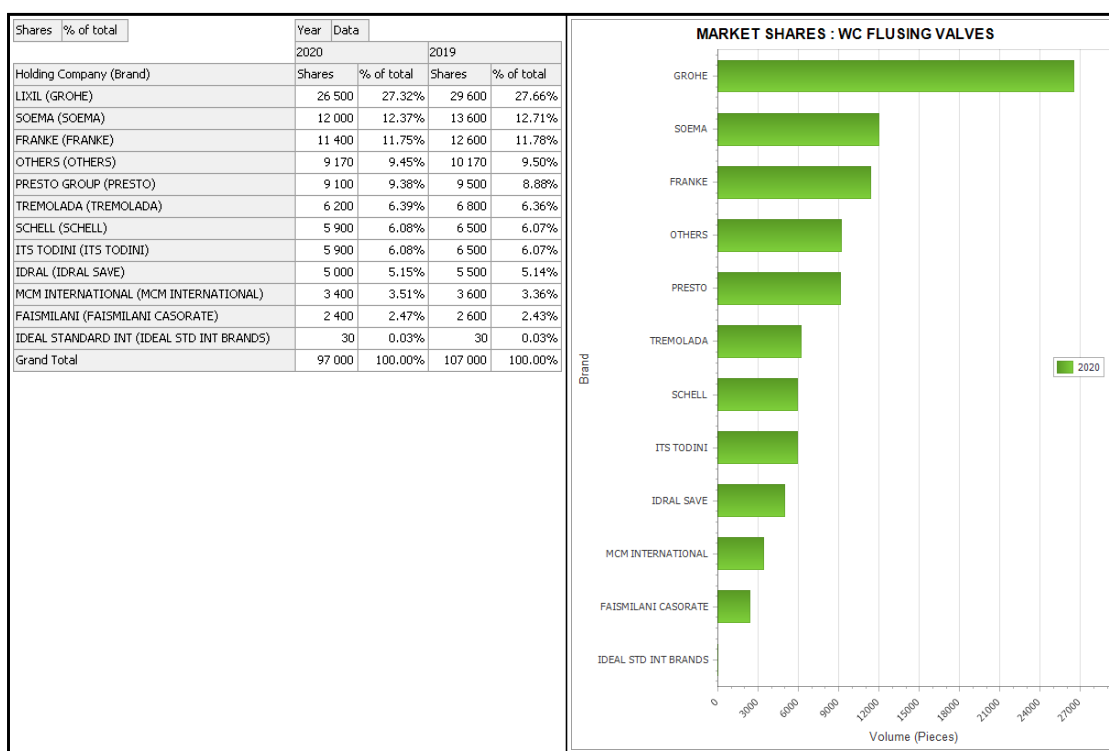
IT - ESTIMATED MARKET SHARES FOR URINAL FLUSHING VALVES



Source: BRG based on industry interviews.

3.9.4 Market Shares : WC Flushing Valves

IT - ESTIMATED MARKET SHARES FOR WC FLUSHING VALVES

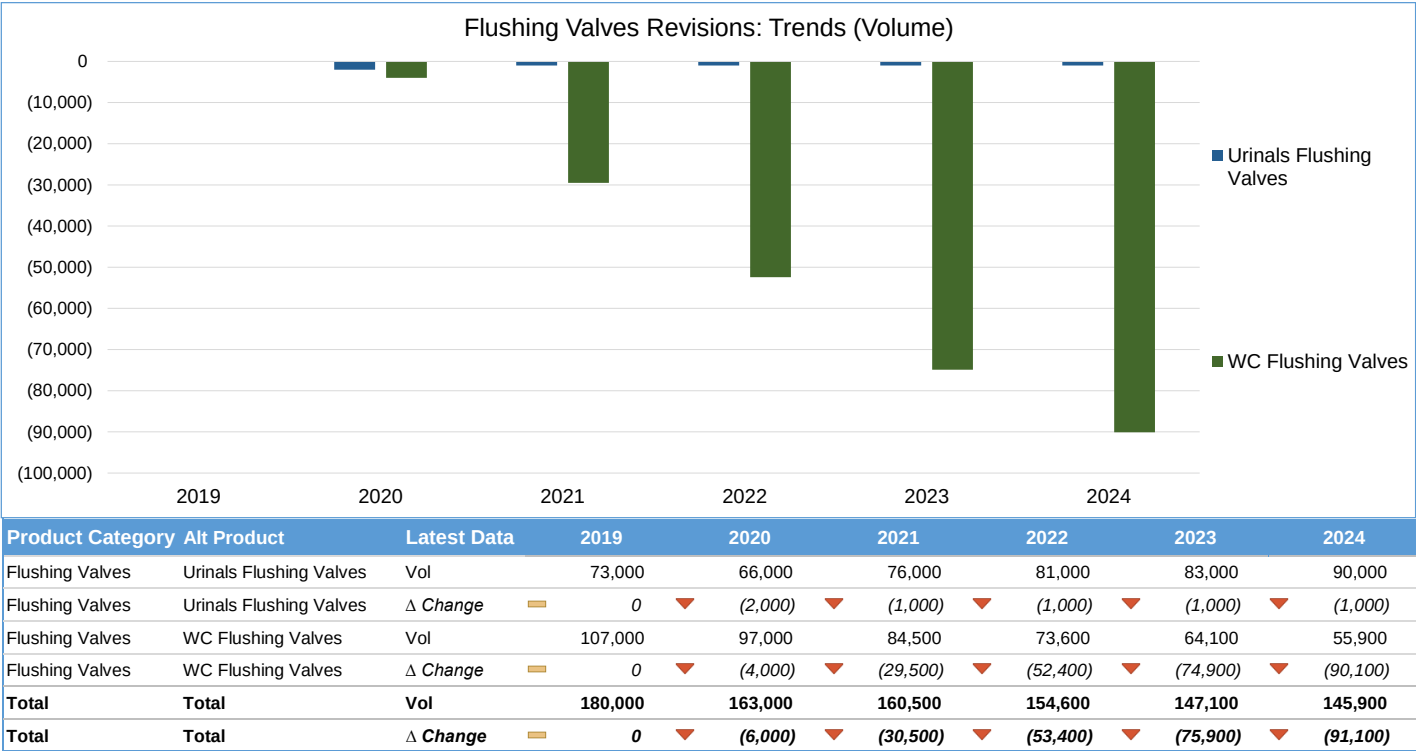


Source: BRG based on industry interviews.

3.10 Revisions in the Italian Flushing Valves Market (April 2021)

IT - REVISIONS IN THE ITALIAN FLUSHING VALVES MARKET

Data Comparison: October 2020



No revisions have been made to historical volumes for this market.

ITALY

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The shower wall market, together with the shower trays market, has epitomised the advent of the bathroom as a space where safety and accessibility can be achieved. To this extent, shower wall sales are linked strongly to those of shower trays and, to a lesser extent, walk-in showers.

A further trend connected with the rise of the shower wall is the reduction of the space dedicated to the bathroom in new housing, so as to double its number per each household. With the reduction of the space available, the optimisation of this space has led to the creation of an environment wherein function and comfort have become fundamental. The round entry with a hinged door, along with the corner entry with a sliding door, remain the most popular types of shower enclosure due to their space-saving nature and relatively cheap prices. The thickness of the glass has also recently become of interest to the consumer, with thicknesses ranging from the budget three-millimetre-thick glass to the luxury eight-millimetre-thick models.

The demand for bath screens has been subject to a high variability in recent years, because of the intense competition from product alternatives to curtains at the lower price ranges, and the substitution trend from baths to shower trays has reached a peak in the last few years. Conventional shower cubicles have certainly suffered the worst over recent years, and represent a marginal share of the total market. However, given that the main application for a full four-wall solution is to be installed in the bedroom, space-saving considerations have pushed bathrooms into having fully-equipped solutions.

The market is on its way to maturity, helped along by the substitution trend of baths to showers, pushed by the need to save space, water and money, and thus most sales come from the RMI segment. The main drivers for a housing RMI-focused market have often been housing transactions and consumer disposable income. Therefore, the recovery from the economic crisis of 2008/09 did not impact the sales of shower walls significantly, confirming the moderate development of the expenditure for extraordinary repair of existing residential dwellings – as well as the weak performance of new housing.

Another impact worth mentioning is Italy's ageing population, which prompts higher sales of showers than baths because they are safer and easier to get in and out of. Since birth rates are relatively static at the moment, this trend is set to continue. Similarly, hydrotherapy cubicles have performed better than baths given the overall substitution trend between the two, despite the market of such products being subject to major fluctuations in recent years.

Recent Market Trends

The outbreak of the COVID-19 pandemic crucially affected the development of the Italian economy in 2020. The cessation of activity across diverse sectors of the economy, which took place from 11 March until 4 May, had a great impact on private investment, construction activities and RMI demand.

An inevitable consequence of the above has been the negative impact on the shower wall market.

Sales of bath screens experienced an important decrease in 2020 when compared to the previous year, partially due to the rise in preference for shower trays but mainly due to the erosion of the RMI segment. At a technical level, single doors continued to dominate the market in the year, while folding doors slightly increased at the expense of double doors.

Within the hydrotherapy segment, hydrotherapy shower cubicles further declined in 2020, continuing the past pattern of constant falls in demand, with renovation being the primary driver.

A similar degree of decline has been observed within the conventional shower cubicles market, with demand deriving from RMI declining by one quarter in 2020 when compared to the previous year.

Finally, sales of shower enclosures/doors also declined in 2020, following the general trend, but to a much lesser extent when compared to all the other product categories.

At the level of technical product preferences, the shift towards glass enclosures continued in 2020, as glass prices are now at parity with plastic, due to the higher availability of cheap imports of glass enclosures and bath screens.

The penetration of walk-in showers as an outside-of-product-family substitution was noted to have gained further traction in 2020, primarily as an aesthetic choice on the part of the consumer, and shower enclosure manufacturers are adapting the development of products to further accommodate such demand, with the clear expectation that the trend will not lose pace in the foreseeable future.

Prices and Market Values

In 2020, the average prices for shower wall products increased in line with inflation, while there was a concurrent movement towards the lower range prices.

Overall, it seems that the DIY channel is consistently gaining a leading position in commercialising economy lines with Chinese imports, while the middle price segment is characterised by the presence of wholesalers that are supplied by manufacturers that also use imported materials in an effort to remain competitive.

The luxury segment continues to be supplied by the specialist retailer and showroom segment, wherein companies such as VISMARAVETRO, SAMO, and BOX DOCCE 2B are investing in aesthetics and quality so as to carve out a high-value niche market.

New Housing

It has become clear in recent years that most new houses have at least one type of shower wall. This evolution has been driven by sales of shower enclosures, as these represent the biggest market with the highest growth rate.

In 2020, the penetration of shower wall products in new housing was significantly decreased, in line with the new housing construction output.

Housing RMI

In 2020, the incidence of the replacement of shower enclosures compared to shower trays, as well as walk-in showers, continued its trend of expansion. This trend is sustained by the fact that the lifespan of around 10 years (compared to around 15 for shower trays) has meant that replacement continues to be, by far, the largest segment for shower enclosure sales.

The replacement rate is different for bath screens, as the replacement of bath screens with curtains has meant a stable trend of around half a bath screen for every bath sold in the last few years.

Non-Housing

Shower enclosures remain the most popular shower wall product within the hospitality sector. This is partly due to the general popularity of the product, but also because hotels rely more on customers who are away on business rather than holiday. This means that clients spend less time at the hotel and have a preference for showers over baths, because they are quicker and easier to use.

In 2020, all shower wall products experienced strong declines within the non-housing market, due to delays in investment in the hospitality segment and renovation.

Supply Structure

The Italian shower wall market is characterised by a high degree of fragmentation, with many small regional companies making up a large part of the 'others' category. Despite holding positions of leadership, both NOVELLINI and SAMO have suffered huge contractions due to major changes of product lines and sales distribution. Most manufacturers are Italian companies, although there is a presence of foreign players such as IDEAL STANDARD, which have struggled to penetrate the market in a meaningful way, owing to the importance placed on Italian brands in the shower wall market.

The performance of market players has varied greatly, with GLASS, DUKA, and ARBLU continuing to gain share from players that have led the development of their industrial strategy away from the domestic market towards the foreign ones, such as TDA, SAMO, and MEGIUS. Many manufacturers are facing the dilemma of either to opt for larger distributors, which have more liquidity and stability but represent a higher risk if they fail, or to choose smaller wholesalers or installer companies with low liquidity and stability – but which would be a smaller risk to take on. In general, the first option is chosen by many companies, opting for stability and large size rather than for smaller, more flexible channels.

As in previous years, in terms of distribution the Italian shower wall market has been slow to move away from the traditional wholesaler and specialist retailer/showroom channel towards the growing DIY channel, where consumers are increasingly looking for cheaper products. Many local manufacturers are even exiting the DIY channel, as the competition from Chinese imports is too strong and they have struggled to maintain their revenues. Previously the price and installation complexity, particularly for shower cubicles and enclosures, has meant limited growth in this channel; however, DIY stores are noticeably improving their product knowledge, after-sales service and installation, which is likely to lead to increasing growth in this channel in the coming years.

It has been noted that there are an increasing number of local manufacturers that are importing Chinese products in order to reduce costs (among them is TAMANACO), but these are struggling to gain popularity as consumers remain highly quality-conscious.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

In 2021 sales of all shower wall product categories are expected to increase in line with the increase in private investment, as well as the resumption in construction activity and improvement in RMI demand.

With the impact of the crisis in 2020, the accumulated number of new housing projects increased. It is difficult to predict how the slowdown of the economy will impact the new housing market in the short term. It is expected that new housing will start increasing from 2021, although the effects of the crisis are expected to be carried over into 2022. However, from 2023 onwards an important rebound in new housing completions is expected, which should boost demand for shower walls.

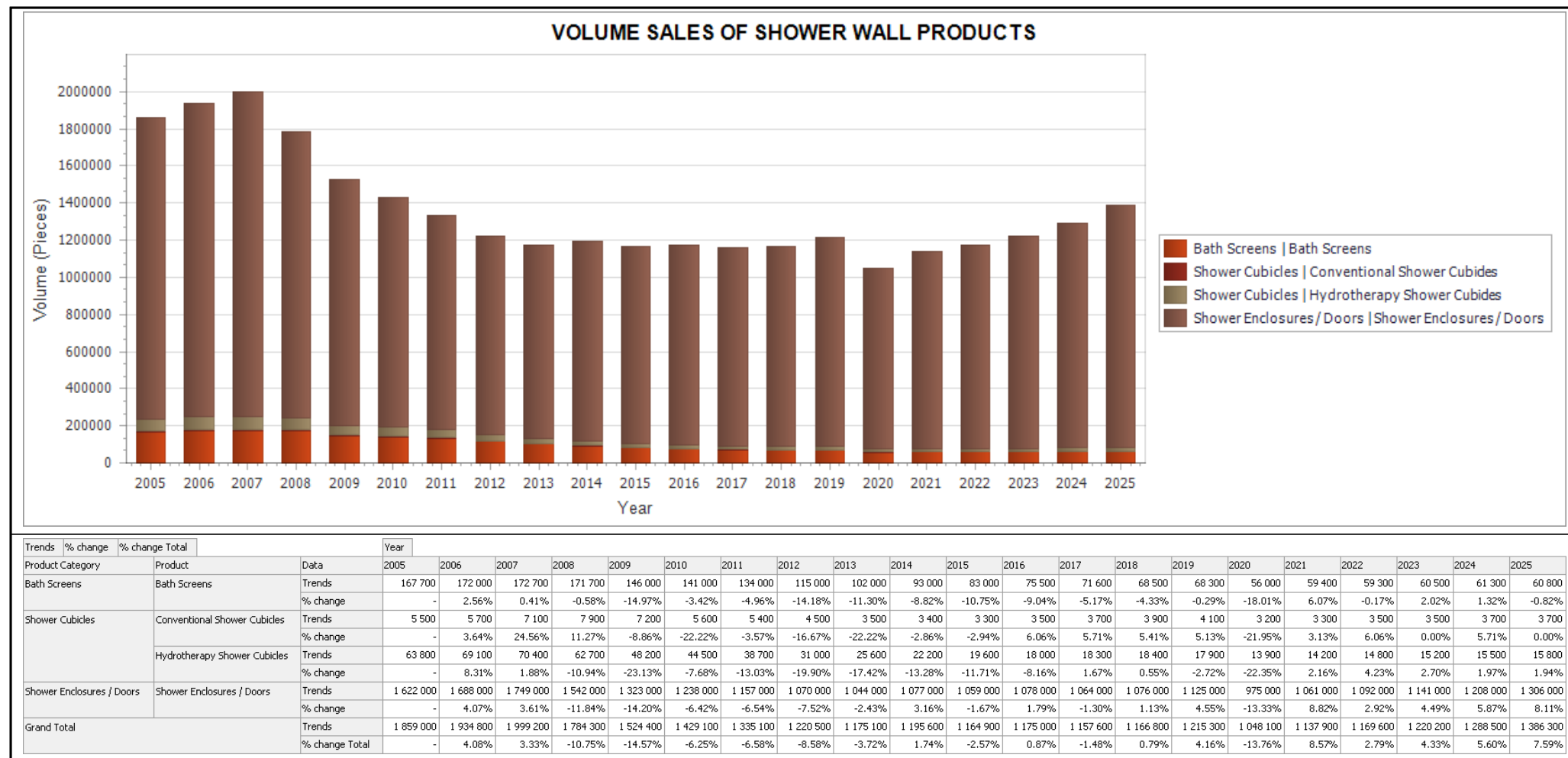
In terms of product mix, from 2022 onwards shower enclosures should continue to gain share over bath screens, following the shift away from baths towards shower

trays as considerations of space, time saving and budget gain further ground in orienting the purchasing behaviour of the end-use consumer. Sales of hydrotherapy shower enclosures are expected to continue to increase over the forecast period, as investment in luxury products should resume. Sales of conventional shower cubicles should remain fairly stable over the forecast period, depending mainly on RMI demand, while sales of shower enclosures/doors should experience a greater growth over the forecast period, with increasing demand deriving from all end-use segments.

As with most bathroom products, distribution during the forecast period is expected to shift increasingly towards a polarisation of price segments, whereby showrooms and internet distribution will gain relevance, as more and more manufacturers choose e-commerce platforms as distributors do, thus widening the online product range and availability. DIY sales should adapt to the increased competition of e-commerce, with an improvement of products.

4.2 Historical Trends and Forecasts : Shower Wall

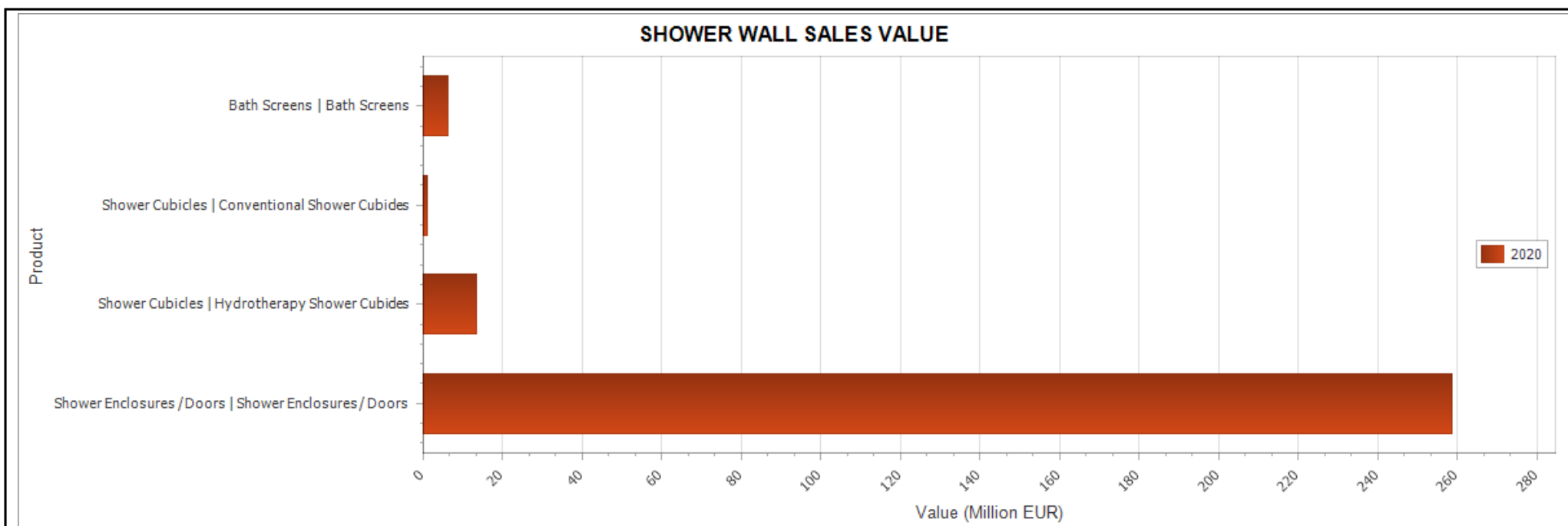
IT - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

IT - ESTIMATED VALUES OF THE SHOWER WALL MARKET

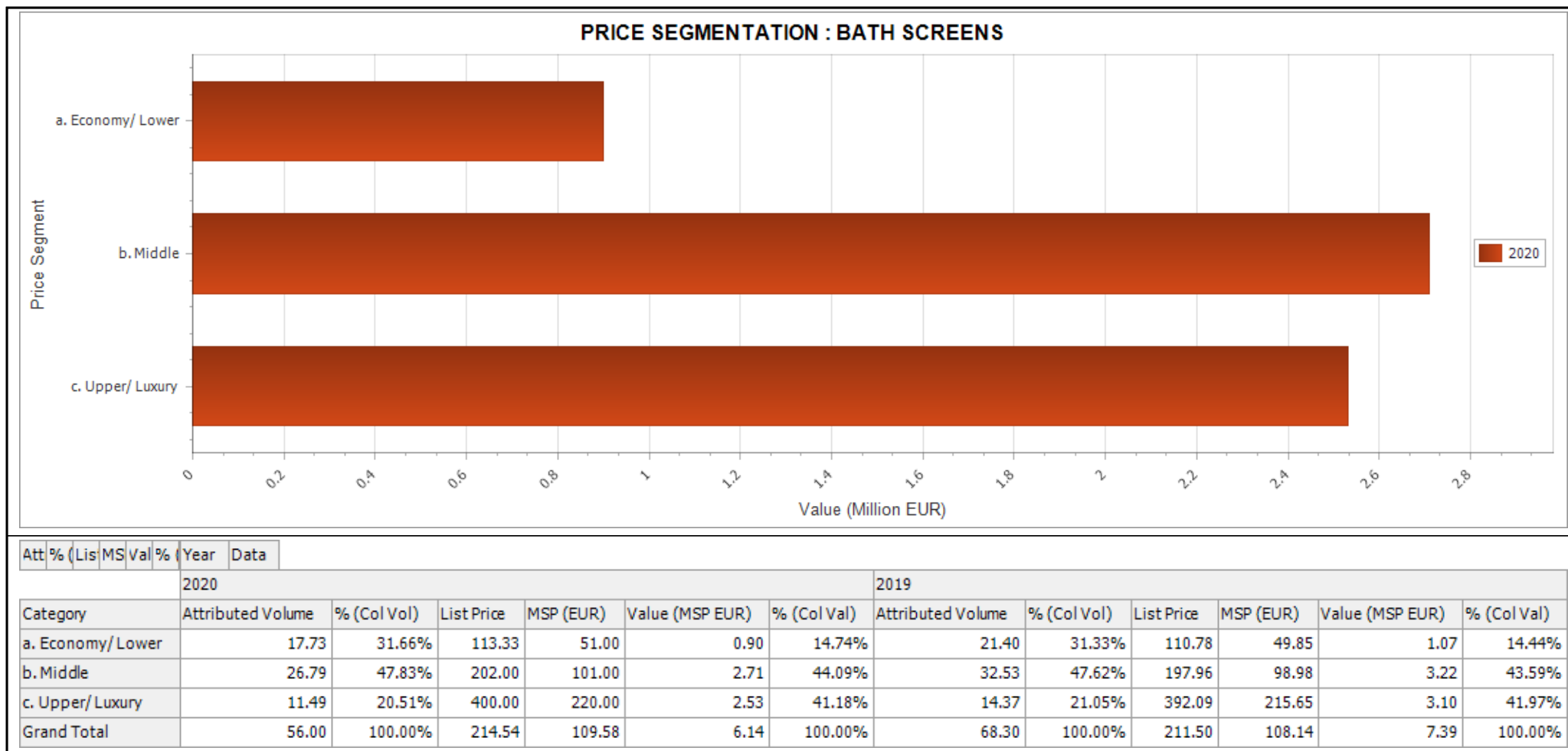


Volumes	MSP (EUR)	Value (MSP EUR)	Year	Data				
		2020			2019			
Product Category	Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)	
Bath Screens	Bath Screens	56 000	109.58	6.14	68 300	108.14	7.39	
Shower Cubicles	Conventional Shower Cubides	3 200	261.90	0.84	4 100	256.47	1.05	
	Hydrotherapy Shower Cubides	13 900	966.41	13.43	17 900	946.77	16.95	
Shower Enclosures / Doors	Shower Enclosures / Doors	975 000	265.40	258.77	1 125 000	262.43	295.23	
Grand Total		1 048 100	266.36	279.17	1 215 300	263.82	320.62	

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

IT - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

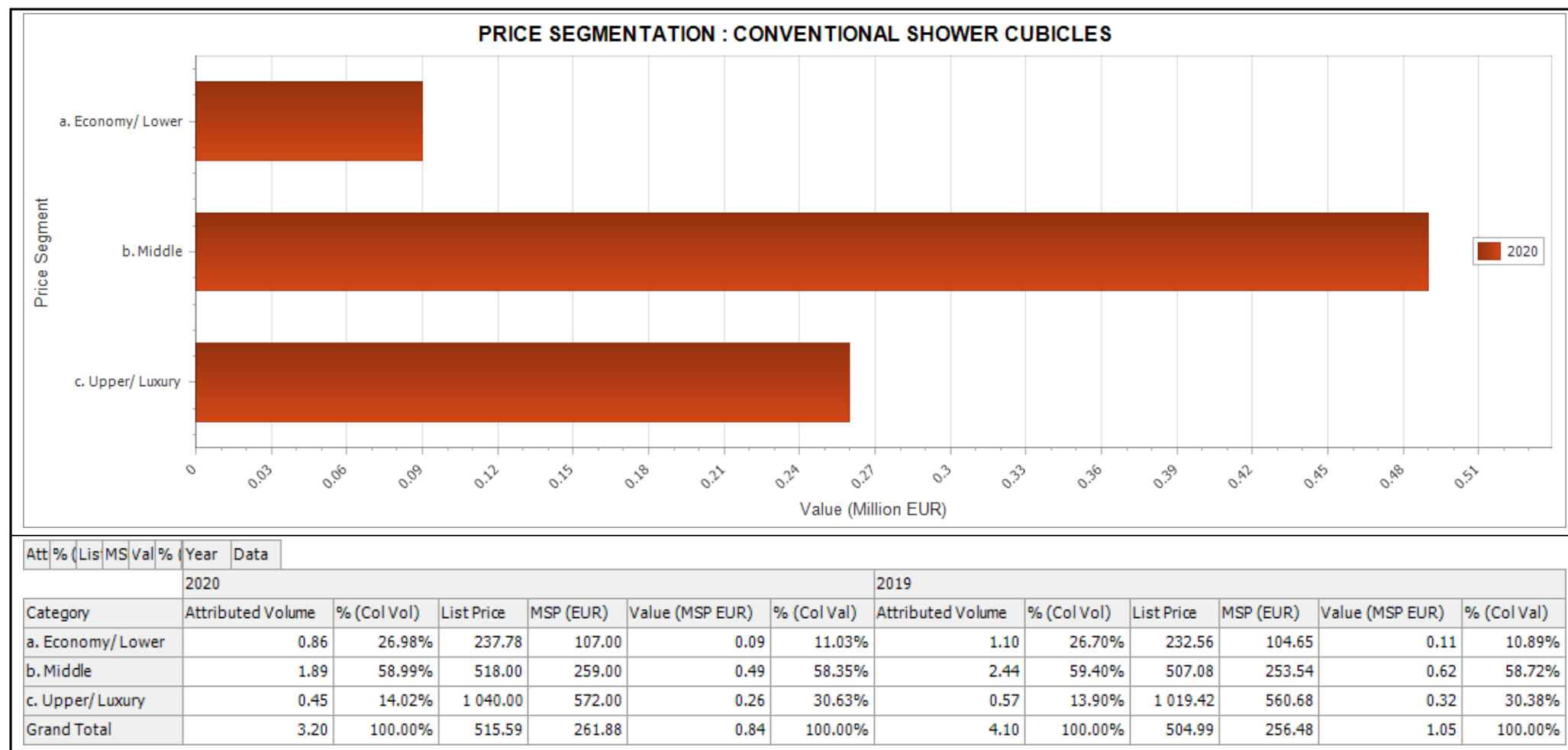


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

4.3.3 Price Segmentation : Conventional Shower Cubicles

IT - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

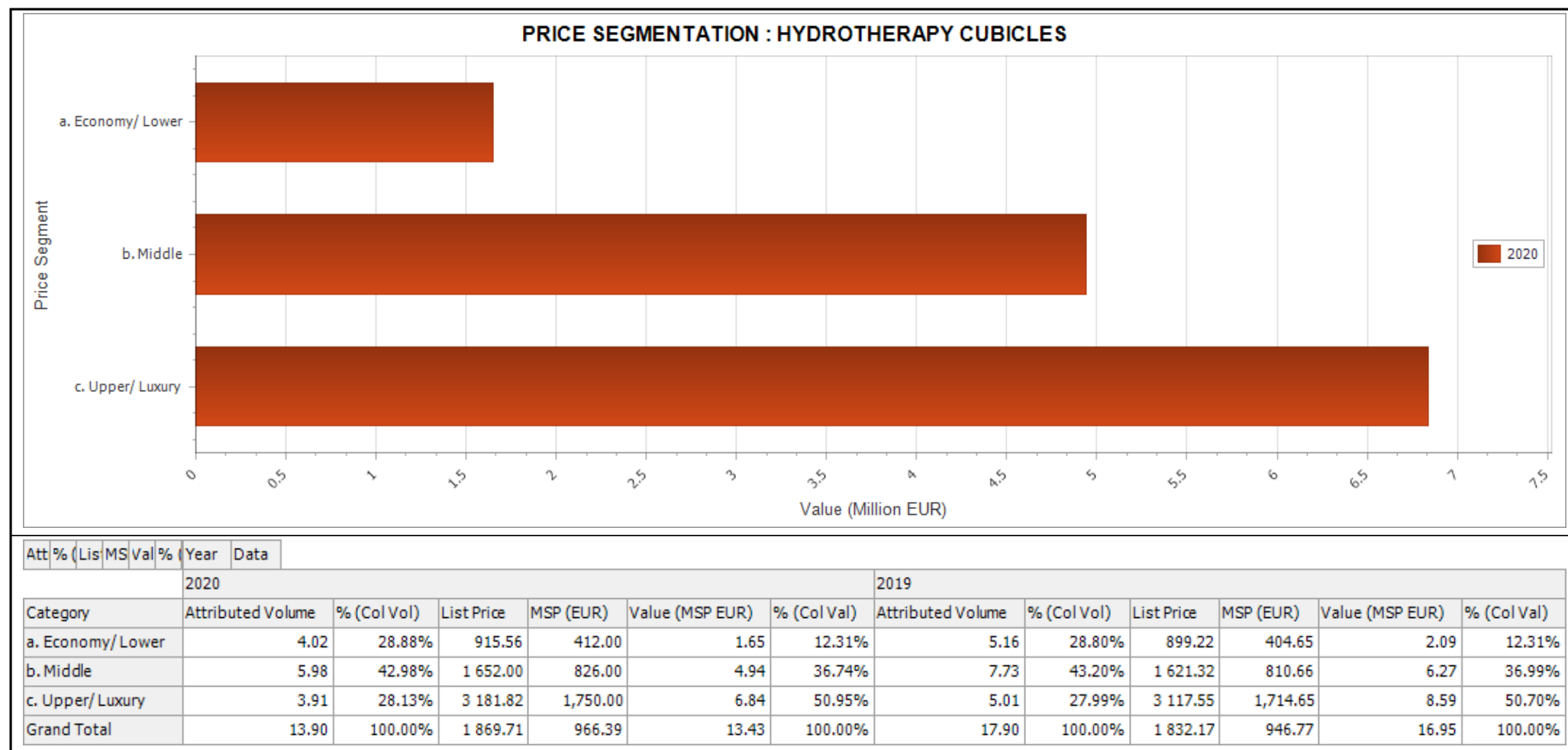


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

IT - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

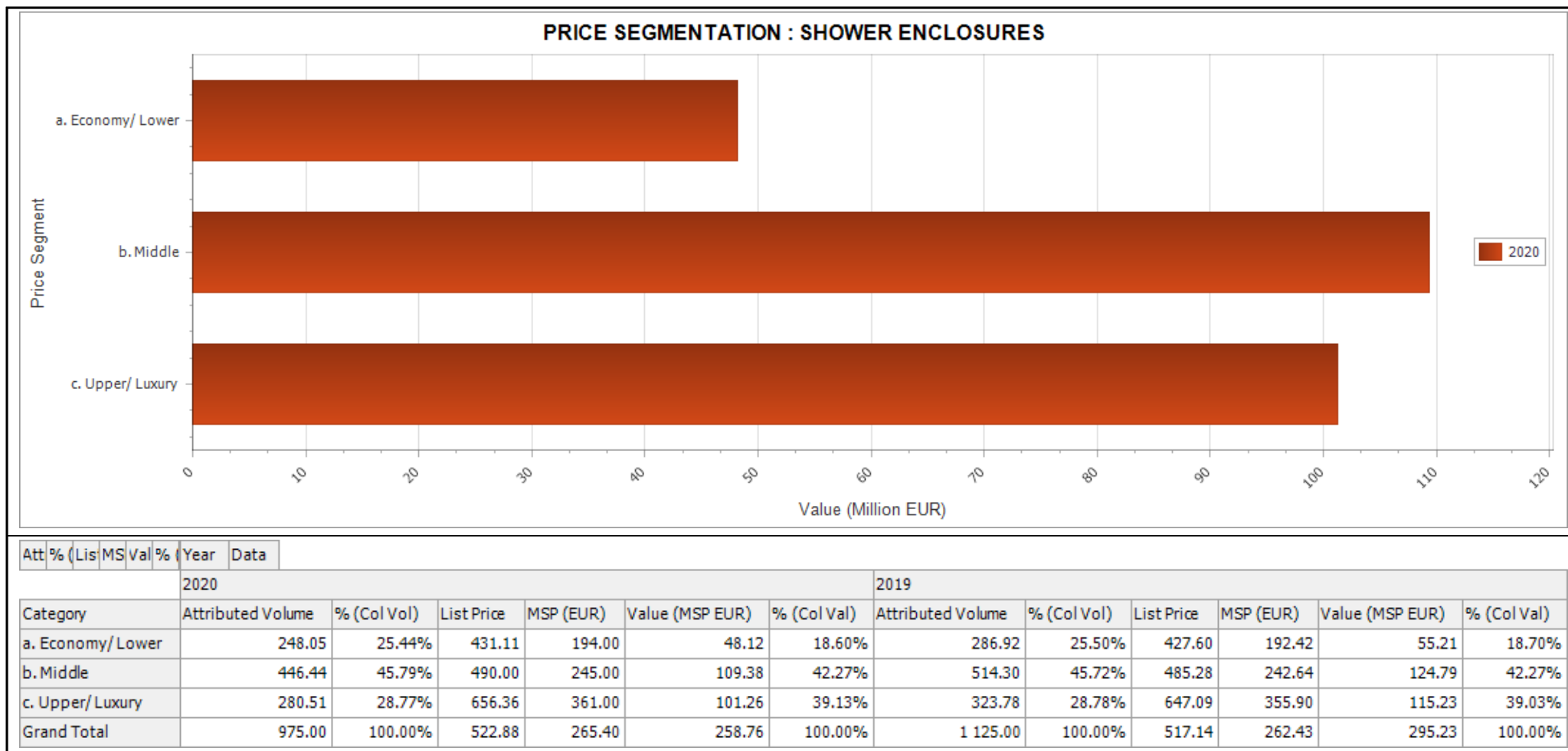


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€600, Middle €600-€1,200, Upper/ Luxury >€1,200

4.3.5 Price Segmentation : Shower Enclosures

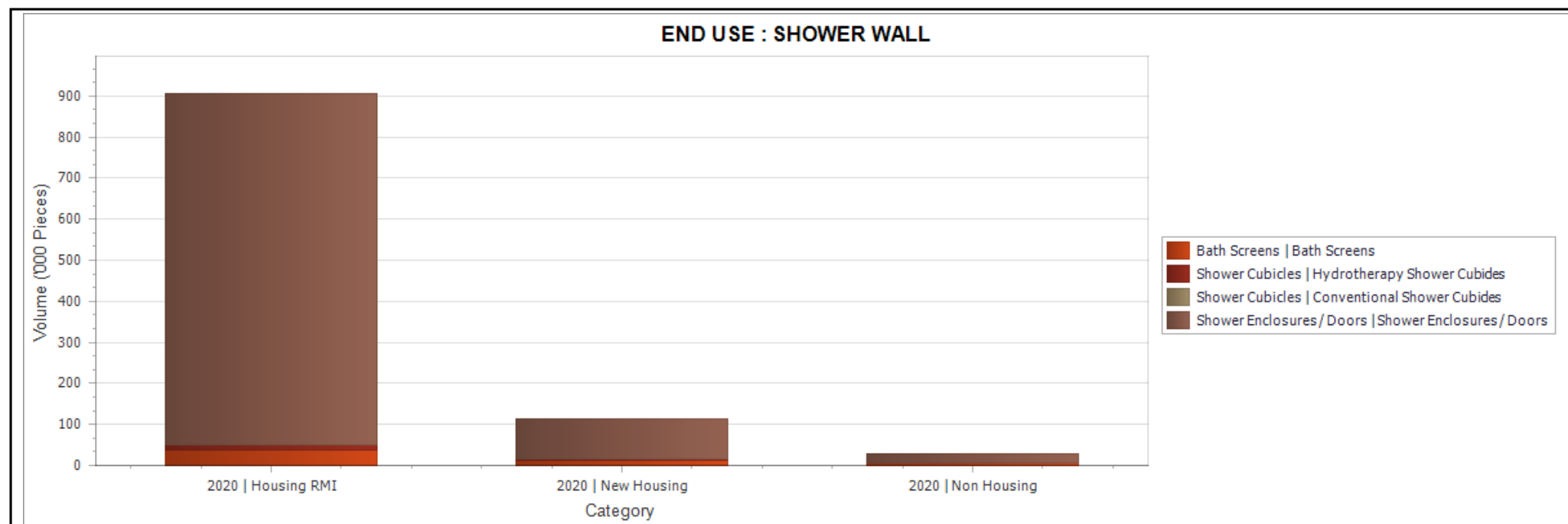
IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

IT - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)

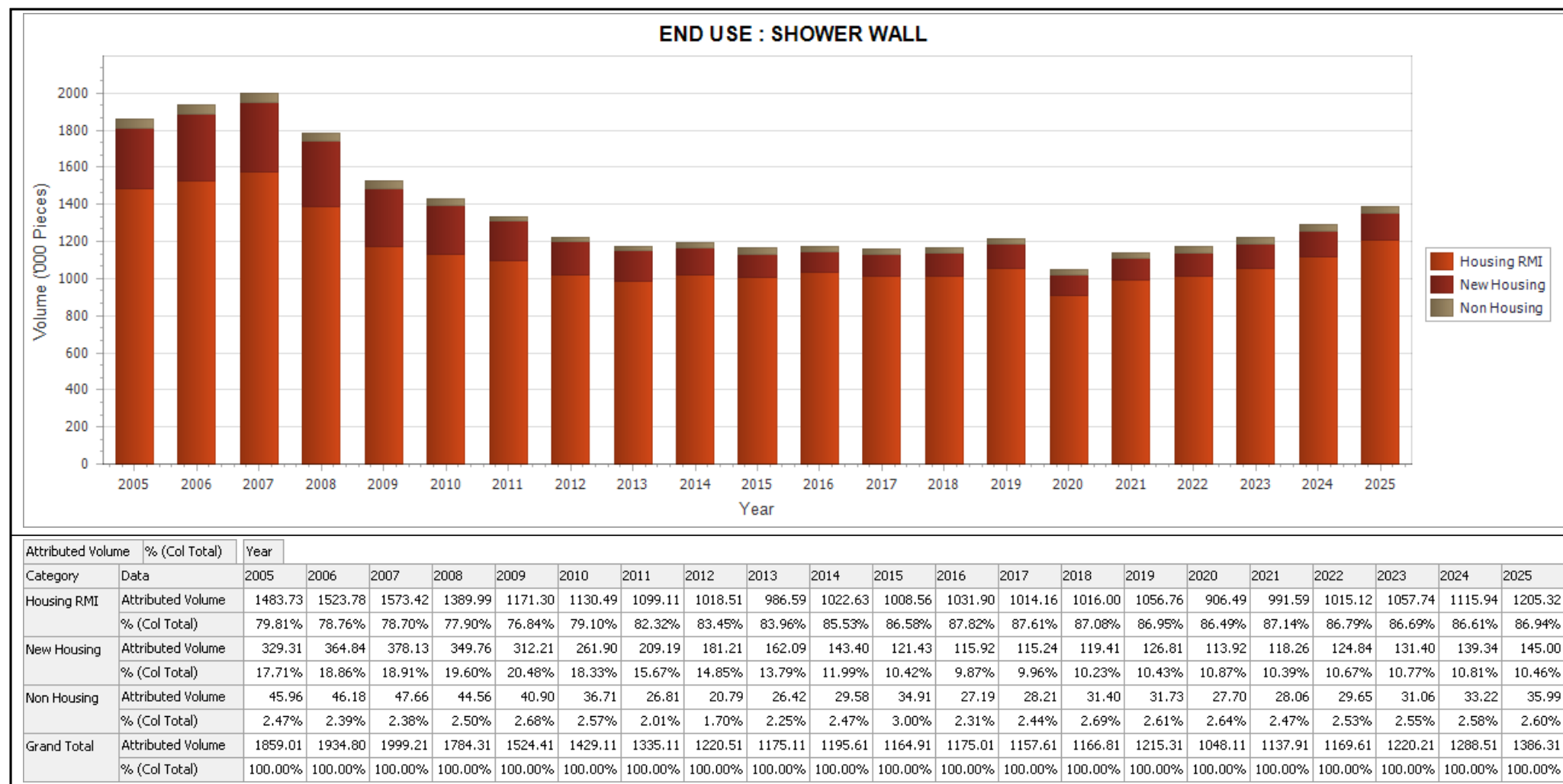


Attributed Volume		%	(Col Total)	%	(Row)												
		Year	Category	Data													
		2020															
		Housing RMI			New Housing			Non Housing			2020 Total						
Product Category		Product	Attributed Volume	%	(Col Total)	%	(Row)	Attributed Volume	%	(Col Total)	%	(Row)	Attributed Volume	%	(Col Total)	%	(Row)
Bath Screens		Bath Screens	37.91	4.18%	67.69%	12.04	10.57%	21.49%	6.06	21.87%	10.82%	56.00	5.34%	100.00%			
Shower Cubicles		Conventional Shower Cubicles	2.44	0.27%	76.05%	0.40	0.35%	12.40%	0.37	1.34%	11.56%	3.20	0.31%	100.00%			
		Hydrotherapy Shower Cubicles	11.08	1.22%	79.68%	2.48	2.17%	17.80%	0.35	1.26%	2.52%	13.90	1.33%	100.00%			
Shower Enclosures / Doors		Shower Enclosures / Doors	855.07	94.33%	87.70%	99.01	86.91%	10.15%	20.92	75.53%	2.15%	975.00	93.03%	100.00%			
Grand Total			906.49	100.00%	86.49%	113.92	100.00%	10.87%	27.70	100.00%	2.64%	1048.11	100.00%	100.00%			

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

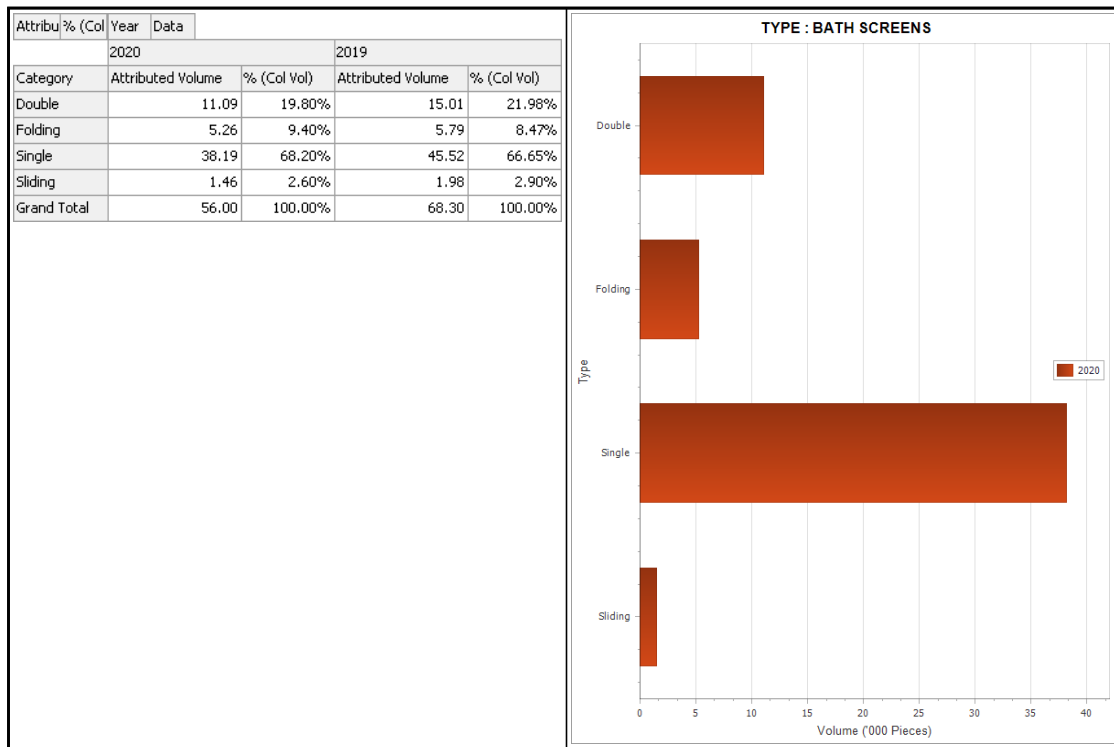
IT - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

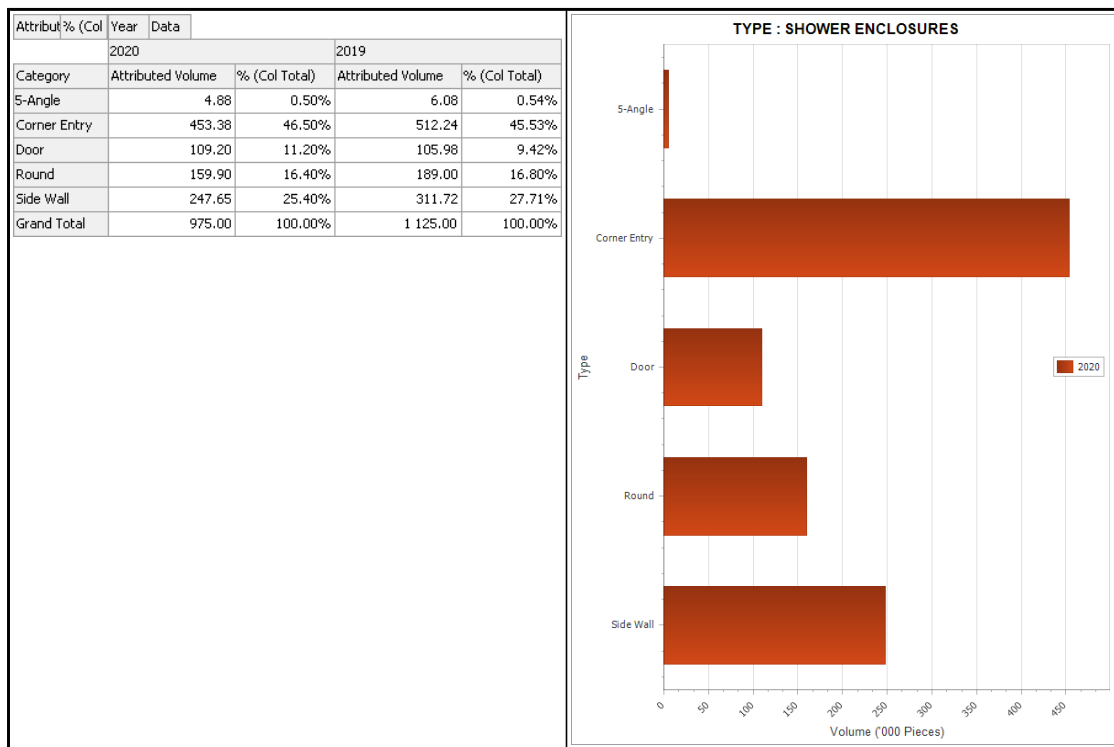
IT - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

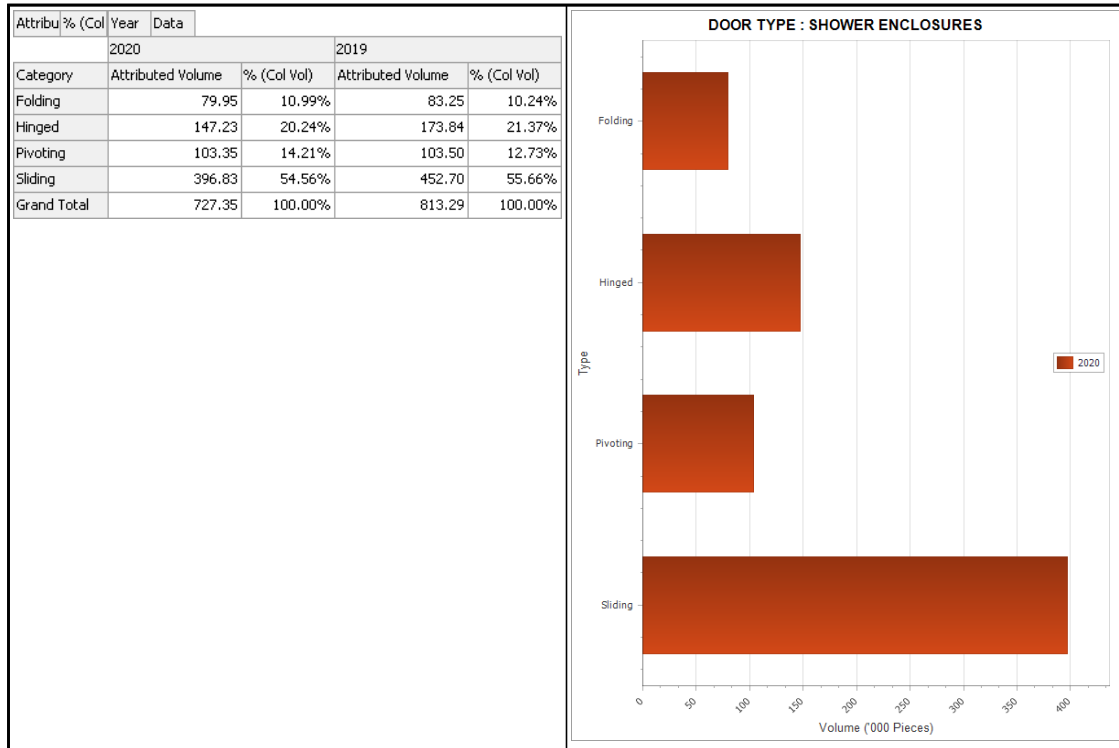
IT - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

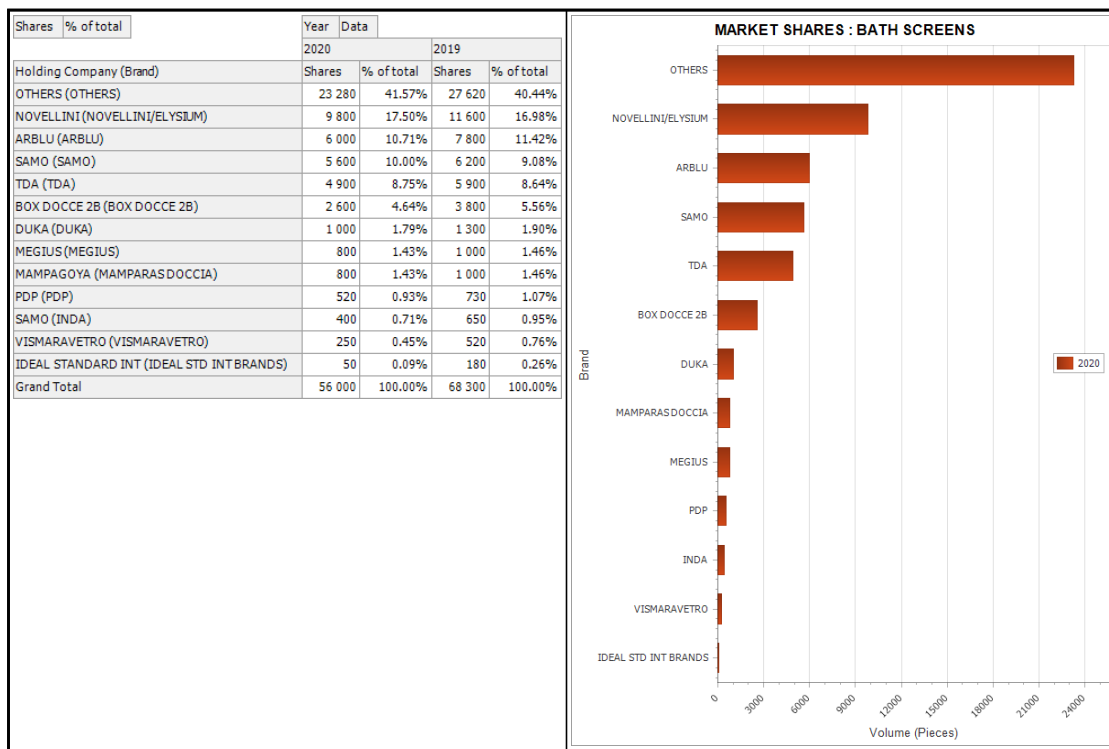
IT - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

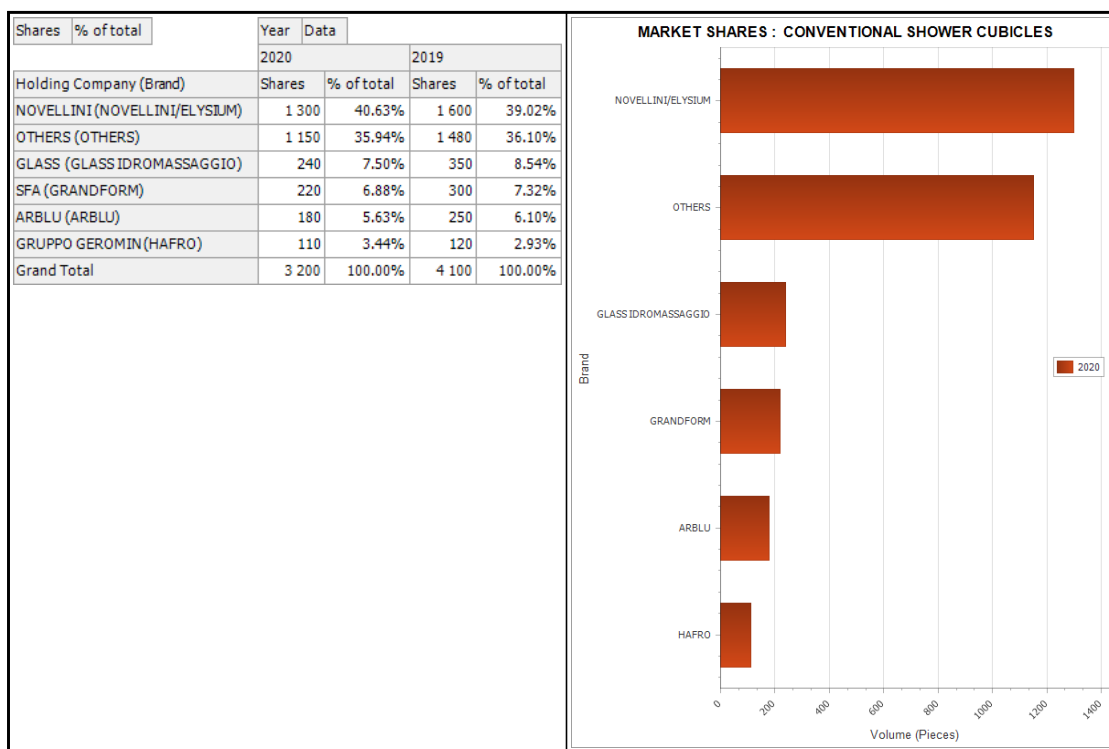
IT - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

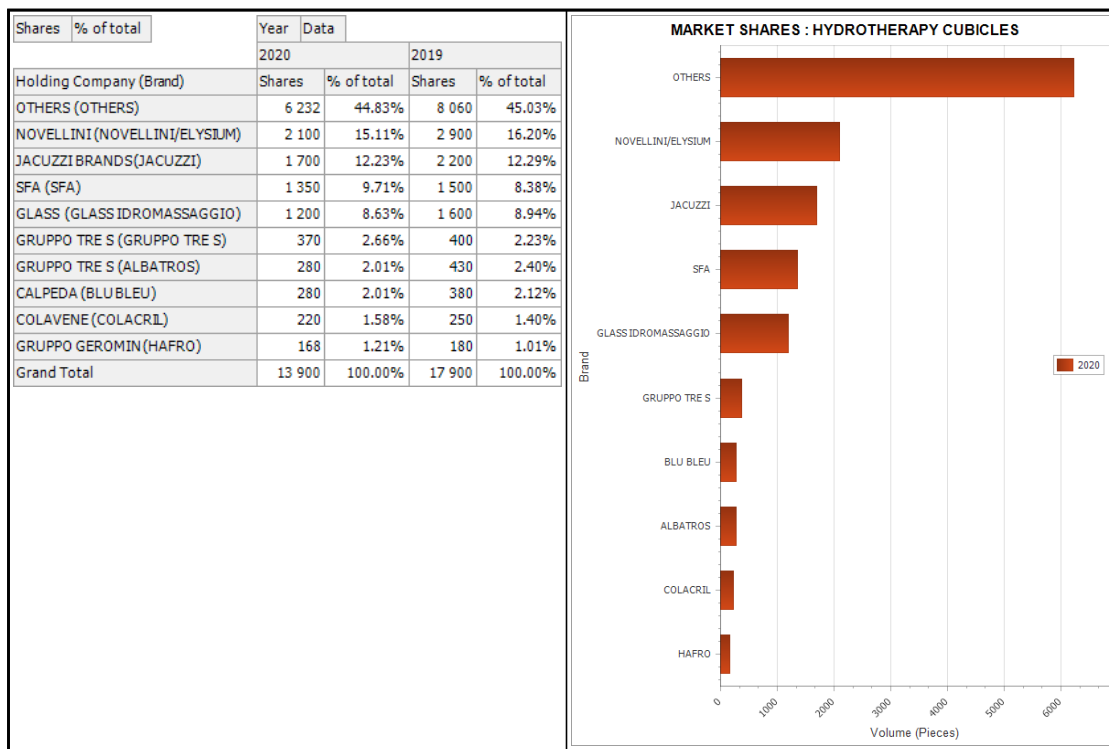
IT - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

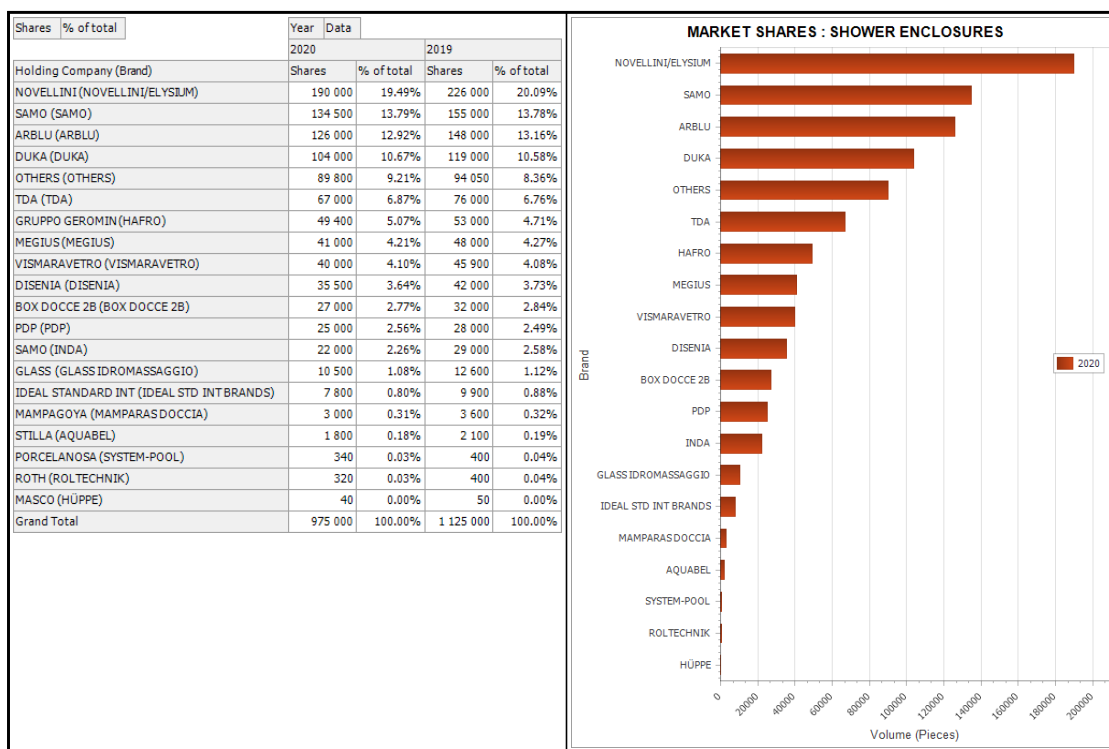
IT - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

IT - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
IT - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	65.7%
	Wholesalers / Merchants
	65.7%

Retail Level	Manufacturer 0.6%	Wholesaler 2.1%	Manufacturer 8.6%	Wholesaler 11.1%	Manufacturer 10.1%	Wholesaler 11.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.7%		19.7%		21.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
13.4%	36.1%	0.5%	3.0%	15.0%
Installers				
67.9%				

End Use Level	Manufacturer 1.1%	Wholesaler 4.9%	Internet 2.2%	DIY 16.7%	Specialist 6.2%	Installer 66.2%	Manufacturer 0.5%	Wholesaler 0.4%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 1.7%
	Residential						Non-Residential					
	97.4%						2.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.9%			86.5%			1.2%			1.4%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	6.2%	4.7%		4.1%	82.4%		1.0%	0.2%		1.2%	0.2%	

4.6.2 Route to Market: Shower Wall
IT - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	64.9%
	Wholesalers / Merchants
	64.9%

Retail Level	Manufacturer 0.8%	Wholesaler 2.7%	Manufacturer 9.5%	Wholesaler 12.4%	Manufacturer 9.6%	Wholesaler 10.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.5%		21.9%		20.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
13.2%	34.4%	0.5%	3.3%	14.2%
Installers				
65.6%				

End Use Level	Manufacturer 1.5%	Wholesaler 4.3%	Internet 3.0%	DIY 18.6%	Specialist 6.1%	Installer 63.9%	Manufacturer 0.5%	Wholesaler 0.4%	Internet 0.0%	DIY 0.0%	Specialist 0.0%	Installer 1.7%
	Residential						Non-Residential					
	97.4%						2.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.5%			86.9%			0.4%			2.2%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	3.1%	7.3%		8.7%	78.3%		0.3%	0.1%		1.8%	0.4%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

IT - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

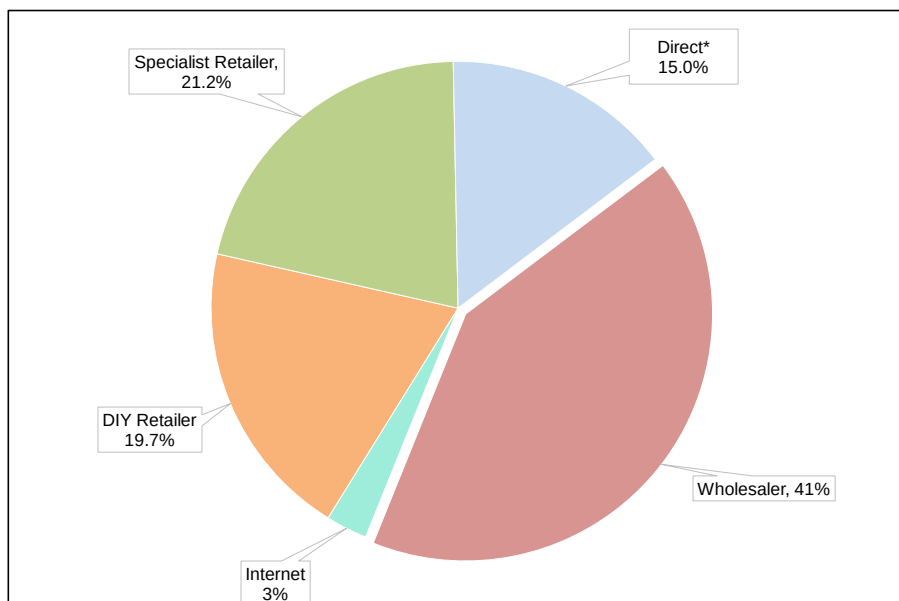
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
41.4%	2.7%	19.7%	21.2%	15.0%	10.3%	2.2%	87.1%	0.4%
100%					12.5%		87.5%	

4.6.4 Route to Market - Consolidated View : Shower Wall

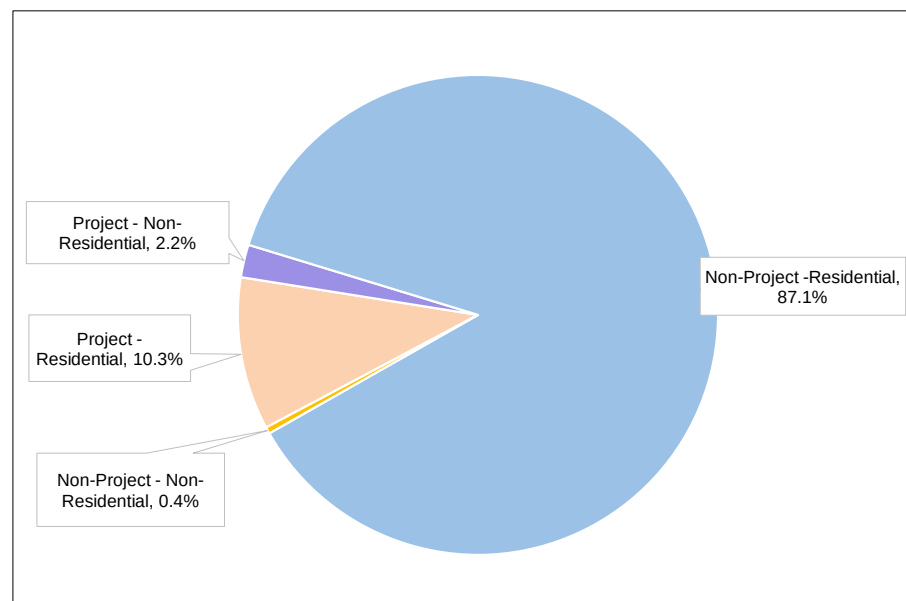
IT - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
39.1%	3.5%	21.9%	20.3%	15.2%	11.8%	2.2%	85.6%	0.4%
100%					14.0%		86.0%	

IT - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



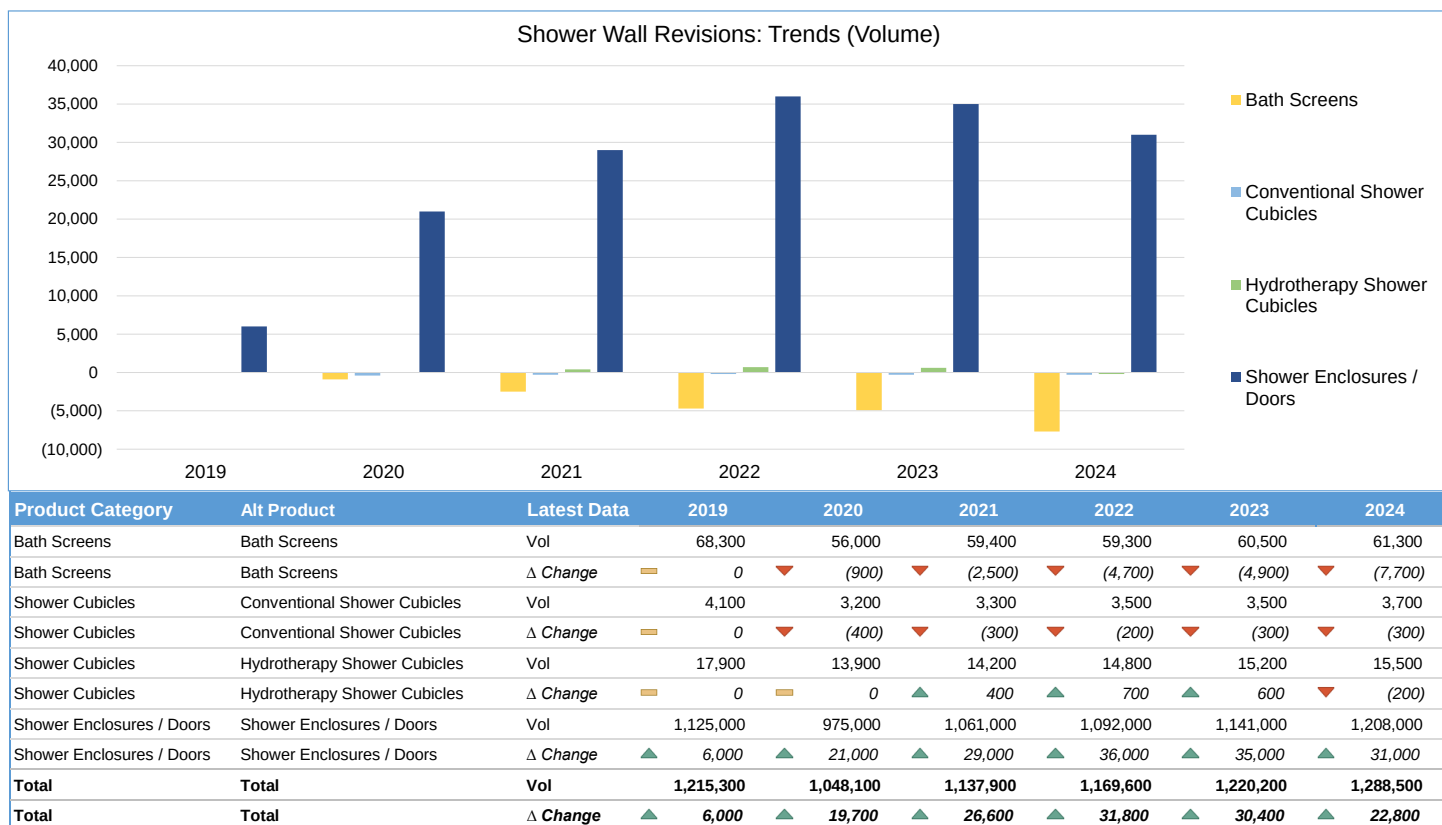
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Italian Shower Wall Market (April 2021)

IT - REVISIONS IN THE ITALIAN SHOWER WALL MARKET

Data Comparison: October 2020



Only minor revisions were made to the historical market size for shower enclosures. No other revisions were made.

The MSP for shower enclosures was revised up for 2019, and all historical years, due to comparison in average prices between France, Spain and Italy with all three having similar market characteristics, but prices were quite different and were consequently revised up.

ITALY

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Italian bathroom furniture market is known to be a mature one, which grew consistently from the 1980s to the early 2000s. Due to the maturity of the market, underlying growth is relatively marginal, as most existing houses already have some kind of bathroom furniture installed. However, there have been changes to the product mix in recent years, due to the insurgence of several concurring causes.

In the past, the base unit was the product most associated with new housing and has often followed the general declines of the sanitary ware market, due to a trend of inclusion of washbasins in all base units. Popular options of base units were those with a countertop basin in either glass, marble or synthetic material, whereas the monobloc has been less popular because of its link to ceramic and synthetic materials, which were less fashionable. Both mirror cabinets and separate cupboard units were popular in wood derivatives such as MDF and chipboard, with mirror cabinets being much more affected by the fluctuations of new housing construction output than separate cupboards, which have relied more on ordinary and extraordinary replacement and upgrade activity.

An increased competition between traditional bathroom channels and more specialised furniture distribution has been noted at the level of commercialising bathroom furniture sets apart from other bathroom products. However, specialist retailers still play a considerable role, but this role has been decreasing in the distribution chain because they are uniformly widespread throughout Italy and, therefore, there is no territorial variability in the visibility among the final clients. Moreover, due to the high relevance of the middle to high price ranges, within the specialist channel of distribution, sales are more exposed to the variations of wage development and the household purchasing power.

Even though sales through DIY stores traditionally accounted for only a fraction of the total sales, in the recent past the weight of such stores has increased, in the light of the shift of consumer preference towards cheaper products. Such a shift is likely to have been influenced by the structural development of expenditure for current and extraordinary renovation of the existing building stock, a reduction of unemployment, and real salaries allowing for a higher budget to be allocated from households. The improvement of such indicators should cause the increase of the bathroom furniture market size in terms of volumes traded through the distribution chain, with the exception of 2020 and 2021.

Wholesalers are the main distribution channel for furniture manufacturers, because the Italian building material market is traditionally structured in a two-step chain (manufacturer to wholesalers, which in turn distribute to retailers). This chain is starting to see changes, however, as more and more wholesalers are beginning to manage their own showrooms in a bid to sell directly to contractors and installers to avoid the further purchasing passage through the retailer.

Recent Market Trends

The outbreak of the COVID-19 pandemic crucially affected the development of the Italian economy in 2020. The cessation of activity across diverse sectors of the economy, which took place from 11 March until 4 May, had a great impact on private investment, construction activities and RMI demand.

An inevitable consequence of the above has been the negative impact in the bathroom furniture market. After six consecutive years of growth, in 2020 sales of bathroom furniture experienced a decline, in line with the erosion of the RMI, new housing and non-housing segments.

With regard to base units / vanities, the 2020 decline in sales was very close to a double-digit percentage when compared to the previous year. Even though in 2020 there was an increase in demand for solid wood products in the upper price segments, when compared to the previous year, MDF continued to be the most popular material – mainly due to its lower cost. In terms of colours, white continued to account for the bulk of sales in 2020, and there has been an increase in demand for oak.

The same degree of decline has been observed for mirrors and mirror/medicine cabinets, since sales for these products are strongly dependent on the RMI segment. In terms of product type, in 2020 there was an increase in demand for mirror cabinets, although mirrors continue to account for most sales.

Although sales of separate cabinets declined in 2020, in line with the erosion of the RMI segment, the degree of decline was less severe when compared to the other product categories within the bath furniture market. This may be due to the fact that separate cabinets often represent an easy and elegant solution for bathroom storage. In terms of materials, in 2020 there was an increase in demand for solid wood products at the expense of chipboard, whereas MDF continued to account for the majority of sales. In terms of colours, white continues to be the number one choice, followed by oak and to a lesser extent black.

Prices and Market Values

In 2020, the MSPs of bathroom furniture experienced minor increases, mainly due to inflation.

Although in recent years the upper price segment has been gaining ground over the economy and lower price categories, indicating a future turn back to specialist showrooms at the expense of the wholesaler channel, in 2020 there was a shift towards the more economic products – due to better accessibility, as these can be found mainly in DIY stores and online.

According to IDEALO, 2020 was a special year for e-commerce, with an increase in online searches and purchases, on their Italian portal, of +98.7%. This growth was

due to the new needs dictated by the provisions needed to deal with the COVID-19 pandemic, and the increased offer by small and medium-sized companies that opted for web sales. The long days spent at home during the lockdown periods have re-stimulated the passion of Italians for furniture, DIY, and gardening. In fact, in 2020 the product categories that grew the most when compared to 2019 were those related to furniture and gardening (+190.5%).

New Housing

Despite the high level of penetration of separate cabinets in new housing, the base unit market has the highest percentage of sales within the product mix going into new housing. As most existing dwellings have a base unit and the need for replacement does not emerge as soon as for other products, the replacement market for base units is less significant. Medicine cabinets are the least reliant on new housing, partly because of a higher preference for more space-saving solutions than with the base units and (to a lesser extent) separate cabinets, due to the reduction of the available space of each bathroom in new dwellings.

Housing RMI

Replacement sales continue to be the catalyst of the market development of the bathroom furniture segment, with separate cabinets being by far the most popular product, as they have benefitted from the substitution trend of baths towards showers – freeing-up both floor and wall space. Base units, as stated above, benefitted considerably from the RMI 50% rebate as they are the most expensive product category and, therefore, more likely to be included when considering an application for a rebate of extraordinary repair in an existing residential dwelling.

Non-Housing

The non-housing segment is a relatively small market for bathroom furniture, due to the penetration of luxury and non-essential products in hotel rooms that might prefer a pedestal to a base unit, and shower storage as opposed to wall-hung cupboards. Bathroom furniture tends to be more prevalent in upper/luxury-priced hotels, which in 2020 were significantly damaged by the crisis that affected the global tourism industry – and to this date it is still not very clear when travel can return to the levels seen pre-pandemic.

Supply Structure

The Italian bathroom furniture market is extremely fragmented, with much competition from suppliers manufacturing products in countries such as China and those in Latin America, producing at low cost and competing on the price front. An increase in OEM manufacturing within base units was first noted in 2018, particularly from Poland and Romania, which had an impact on the drop of MSPs during that year.

The market leaders across all categories remain BADEN HAUS, the ATMA GROUP, and the IDEA GROUP, which collectively have further aggregated market shares of roughly one third. The manufacturers that have widened their distribution towards the DIY and wholesaler channels, BADEN HOUSE and ATMA GROUP, have seen a greater propensity to growth, with further consolidation and expansion of shares in the market.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

In 2021 sales of bathroom furniture are expected to increase, in line with the increase in private investment as well as the resumption in construction activity and improvement in RMI demand.

The bathroom furniture market is, however, likely to continue to grow from 2022 onwards, supported by the expected increase in housing completions – whereby replacement sales are expected to start growing faster as household investment levels recover. Non-housing sales are also expected to see an accelerated expansion of demand from 2022, supported by improved levels of domestic and foreign tourism, whereas occupancy levels in hotels should finance ongoing completions and renovations in the hospitality sector.

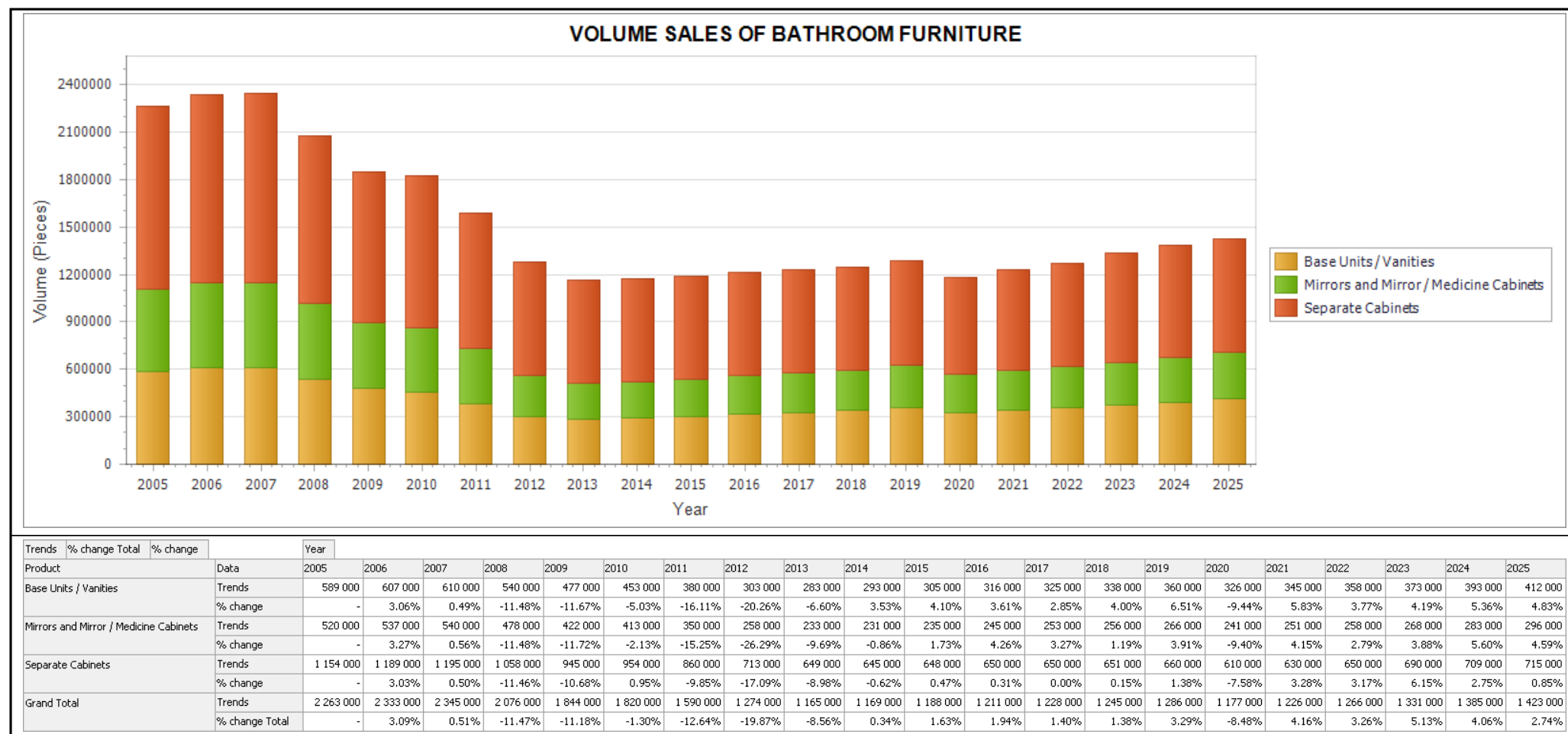
This positive scenario should be also favoured by several concurrent economic indicators, such as the expected increase in housing transfers and incentive schemes such as *Bonus Mobili*, which has been confirmed until 2021 at a rate of 50%, with a maximum spending of EUR 16,000.

With regard to product mix, base units are likely to continue to gain share from separate cabinets and mirror/mirror cabinets, primarily due to competition from shelves and plain mirrors, respectively. The movement towards more expensive materials such as solid wood is expected to continue, although MDF should continue to account for the majority of sales throughout the forecast period.

In terms of distribution, an increase in internet sales is expected as Italians become more reliant on e-commerce, whereas DIY should continue to steal share from wholesalers and specialist retailers, as consumers tend to prefer to buy products from outlets with a large variety and delivery service.

5.2 Historical Trends & Forecasts : Bathroom Furniture

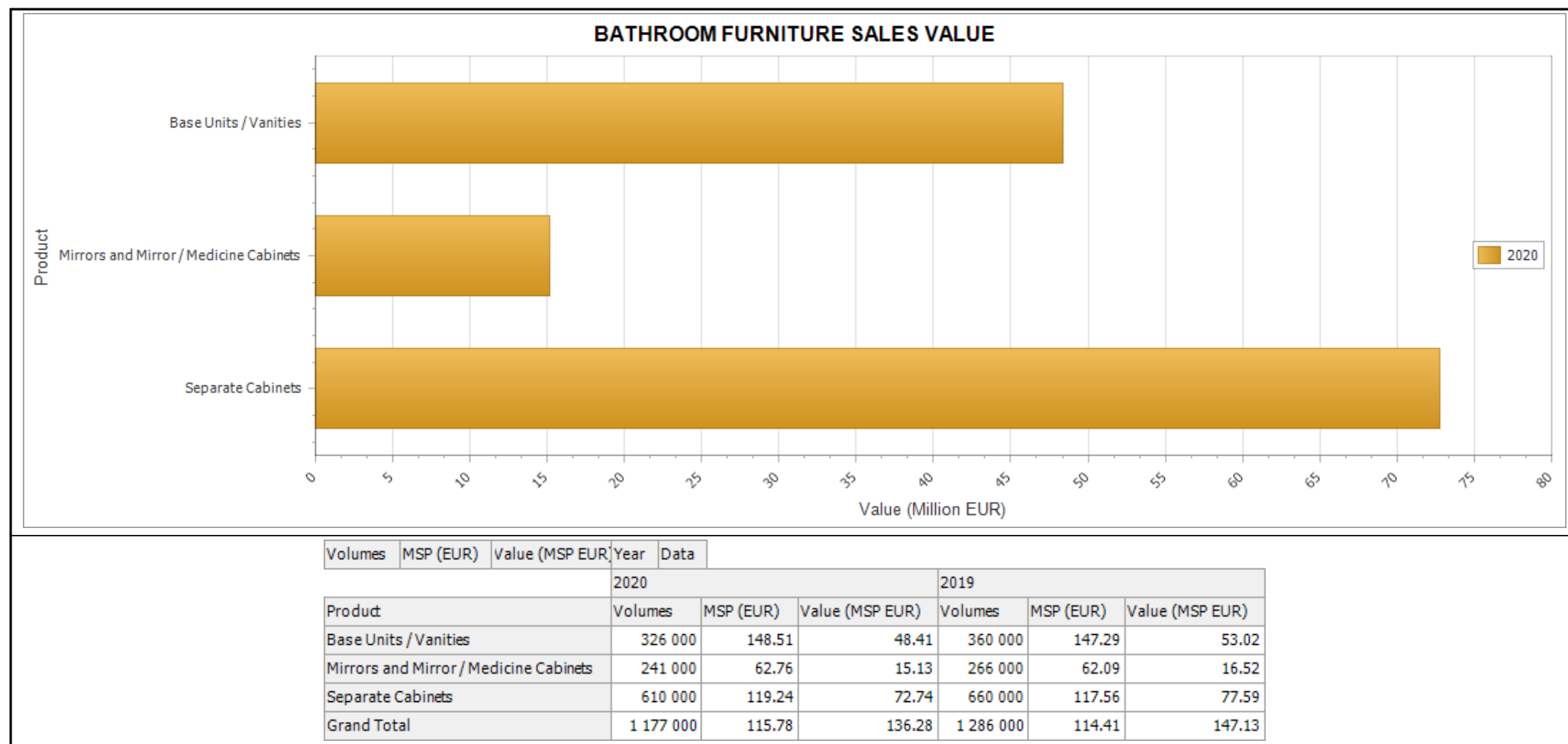
IT - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

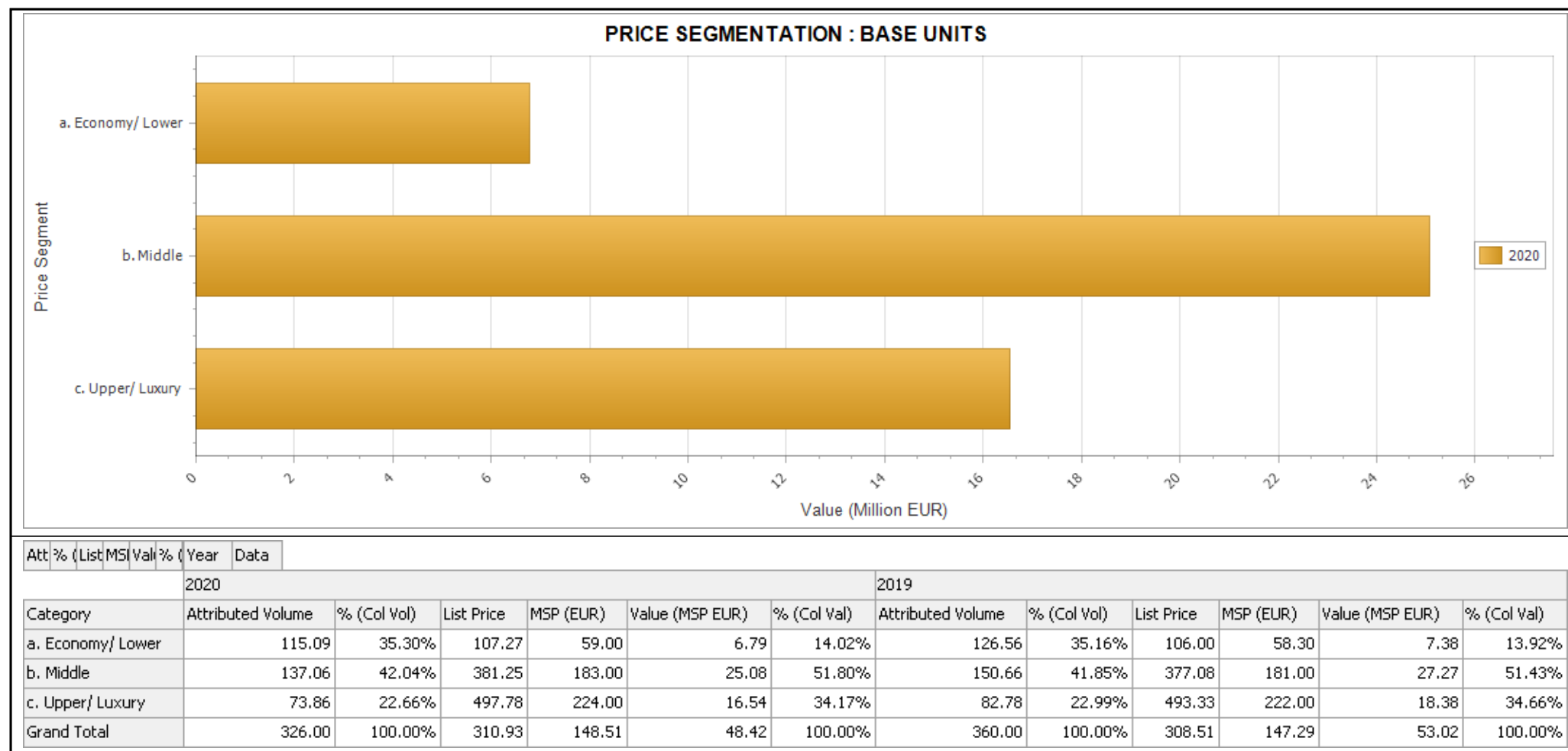
IT - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

IT - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

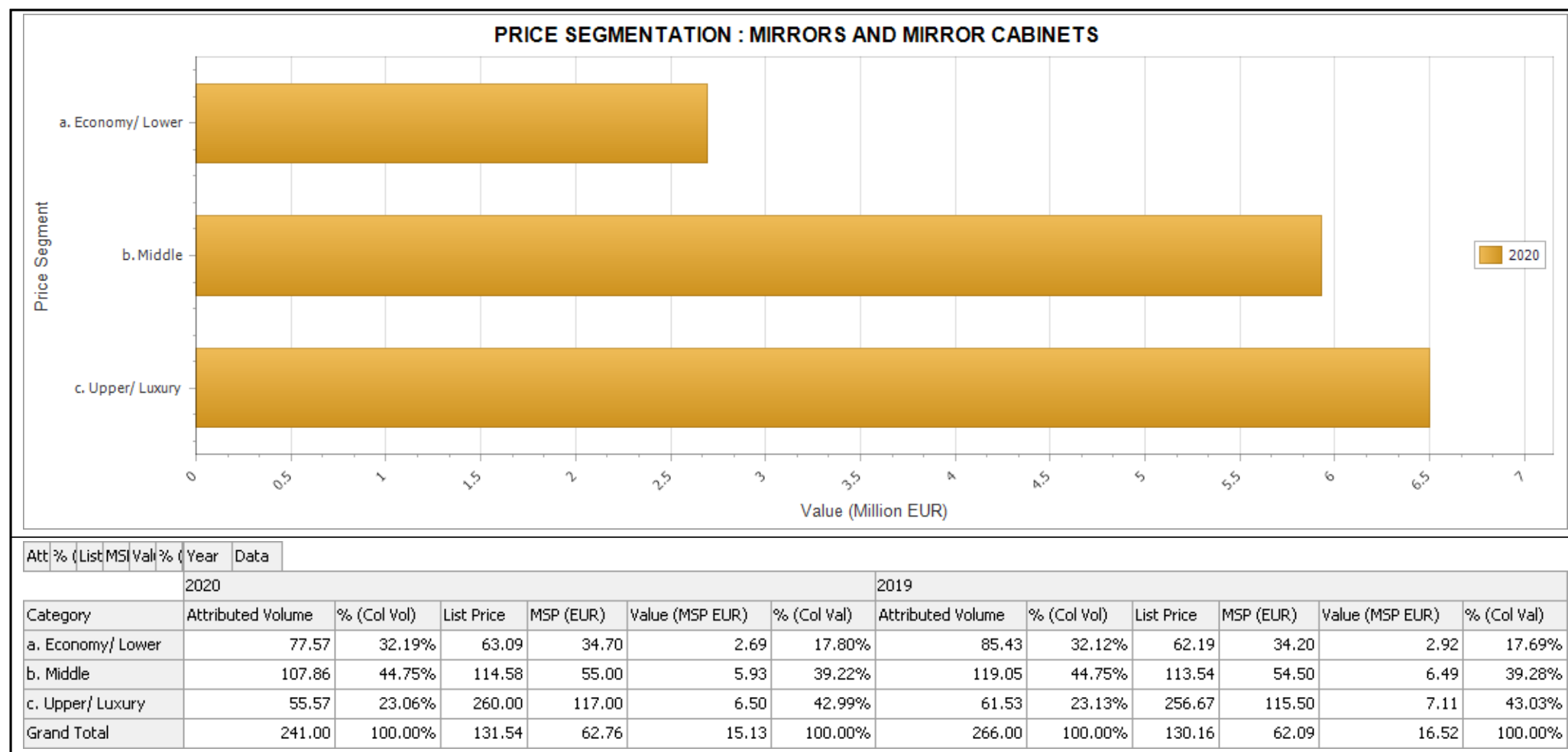


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

IT - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

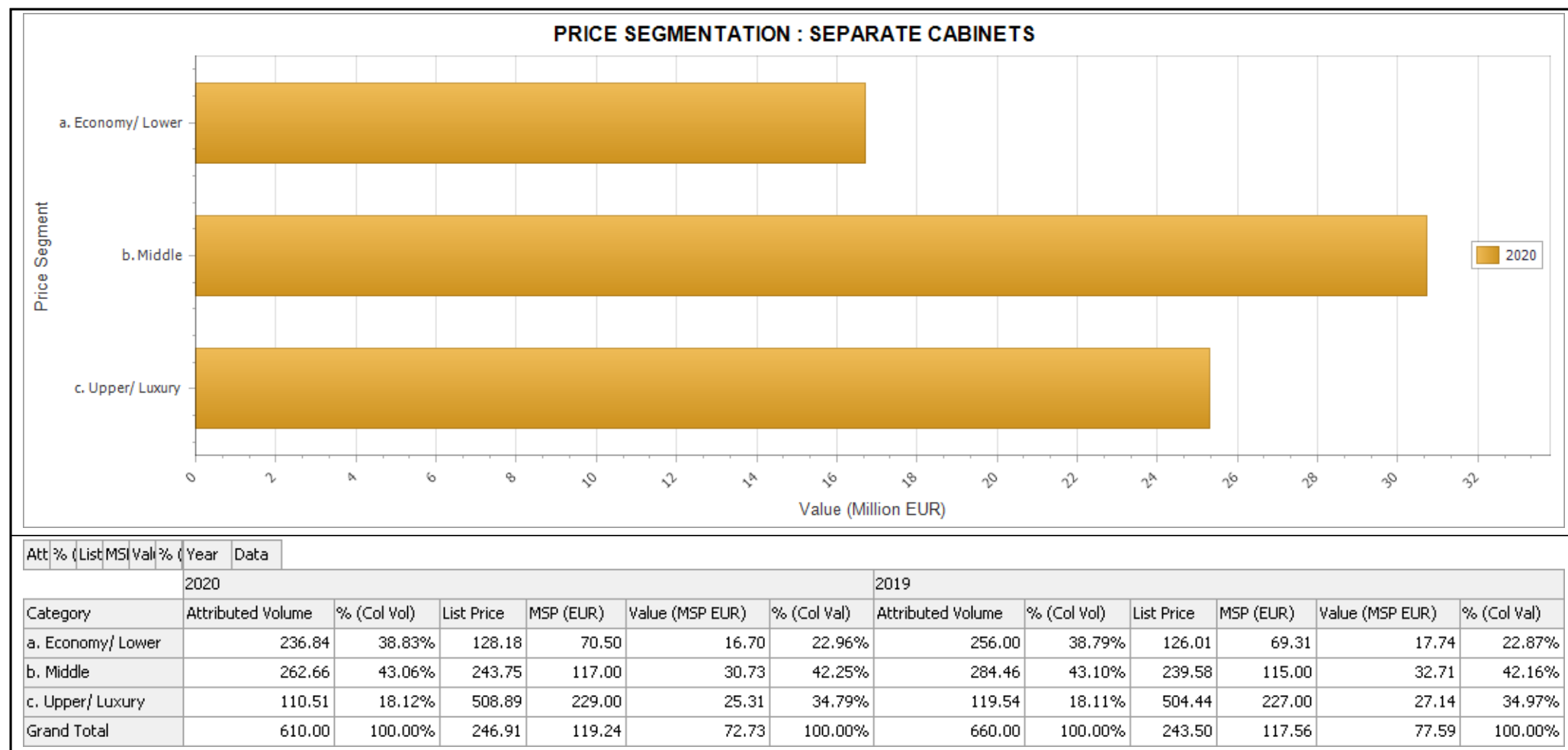


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

5.3.4 Price Segmentation : Separate Cabinets

IT - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

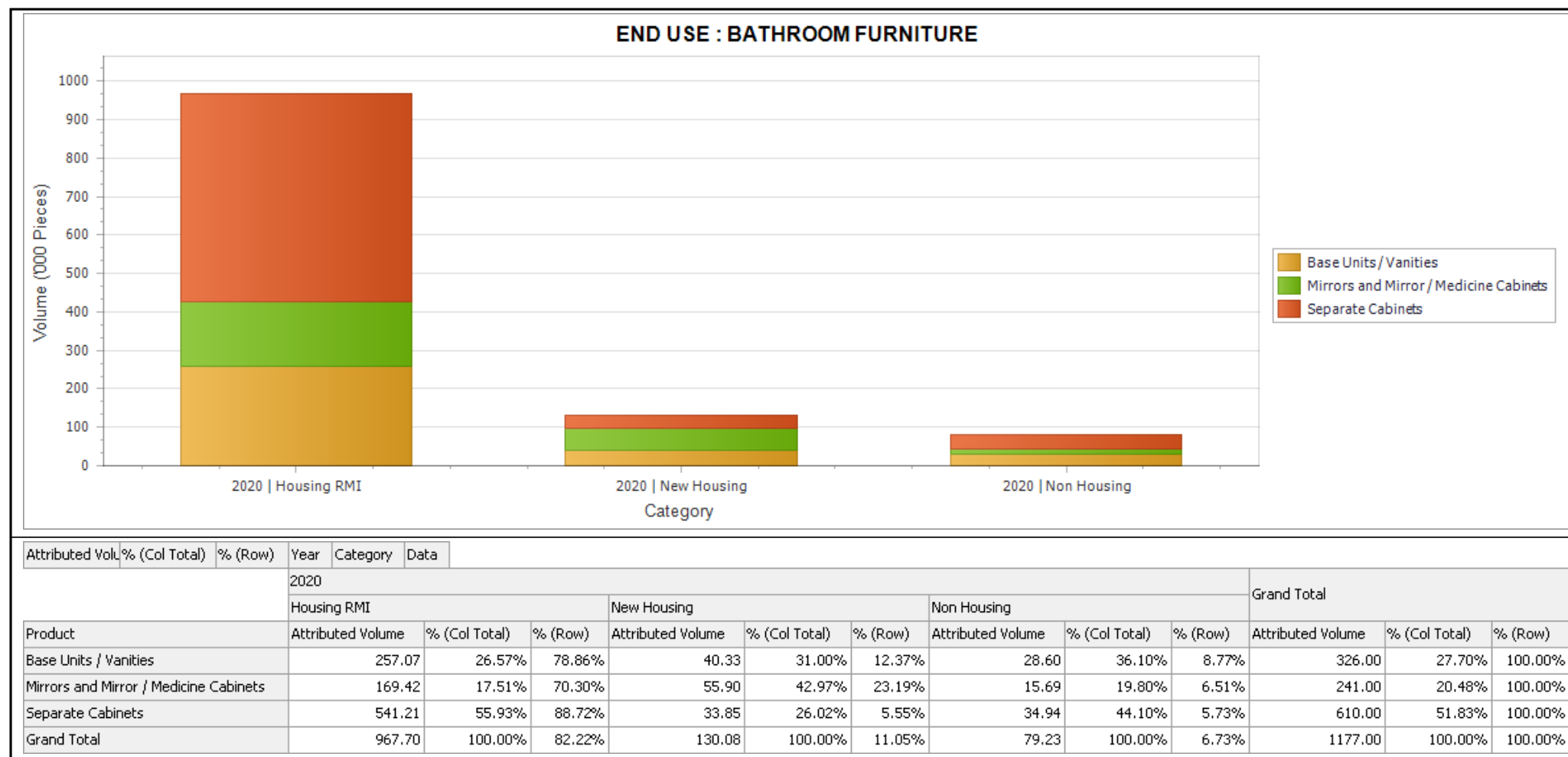


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€160, Upper/ Luxury >€160

5.4.1 End Use : Base Year

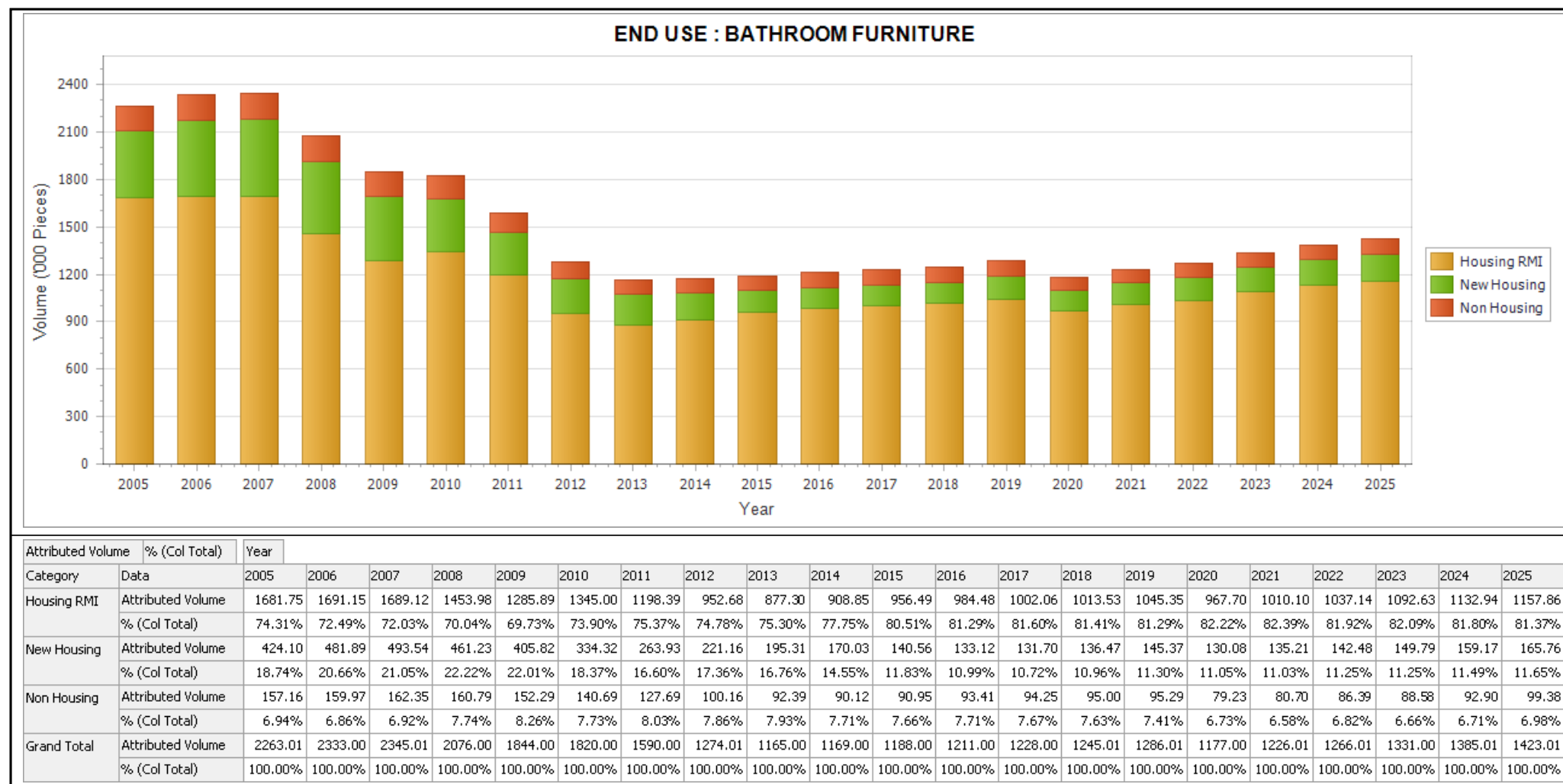
IT - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

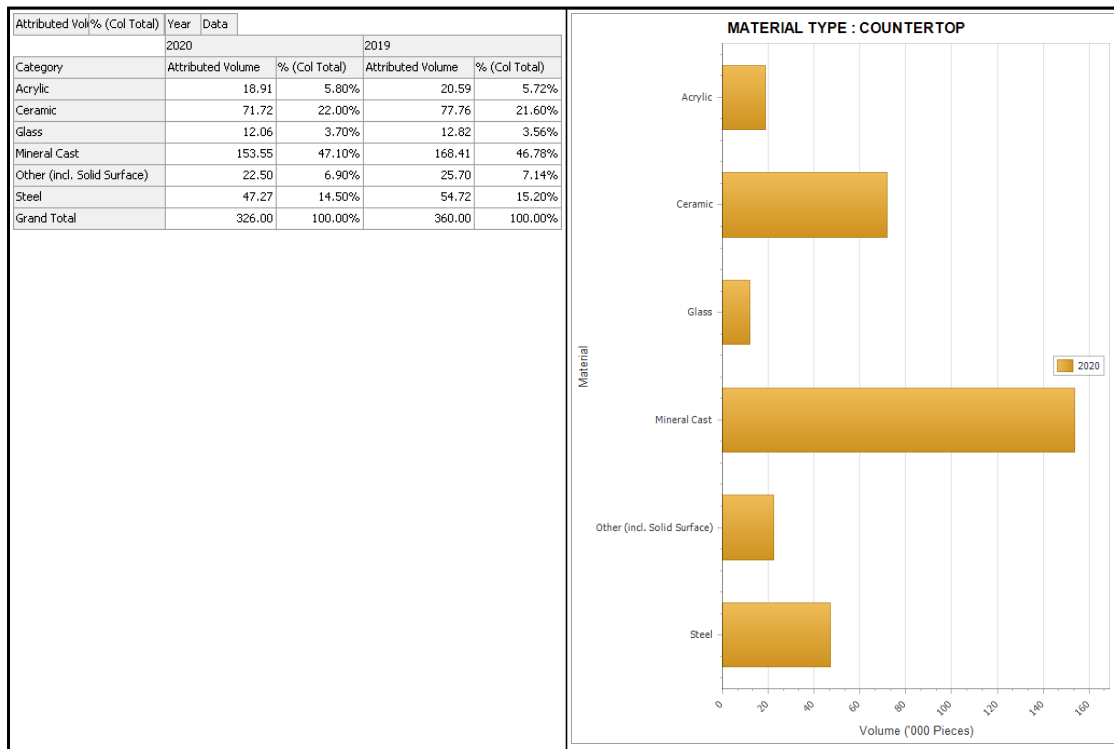
IT - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

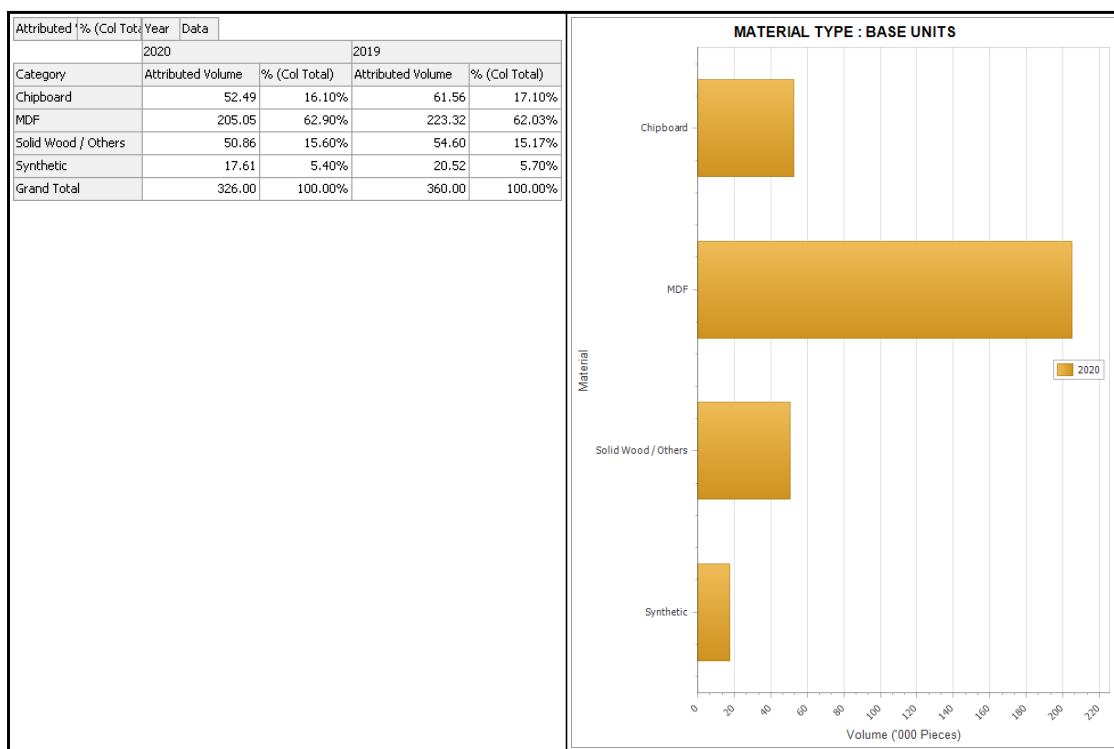
IT - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

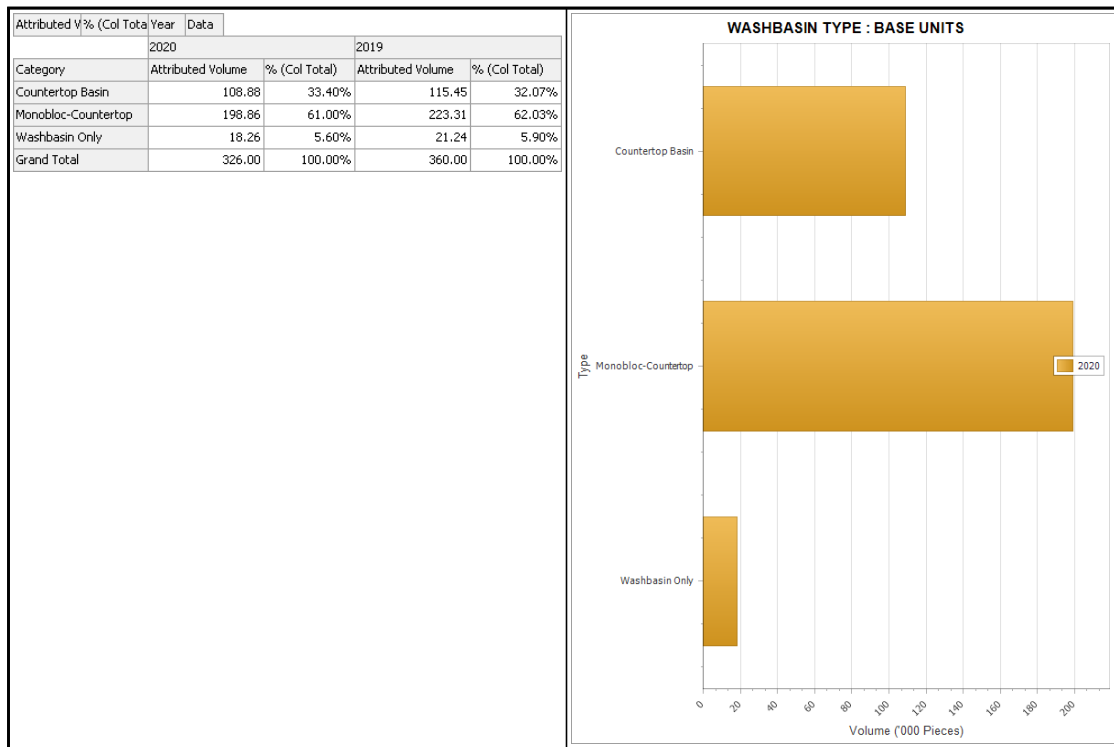
IT - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

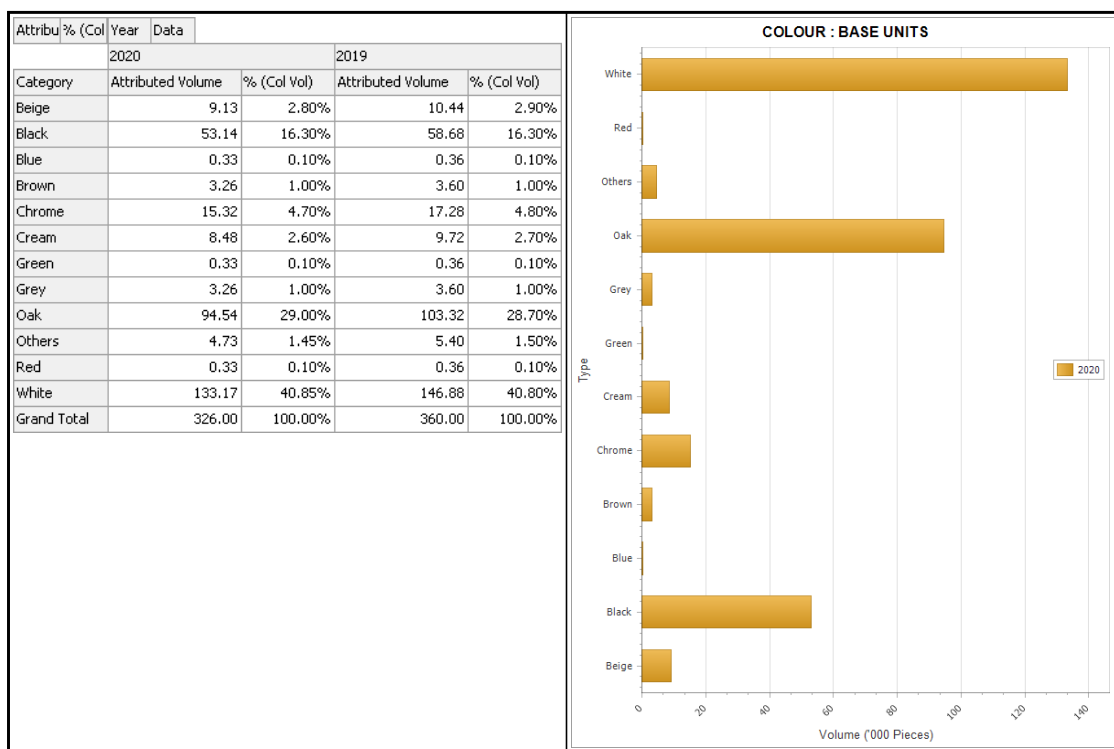
IT - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

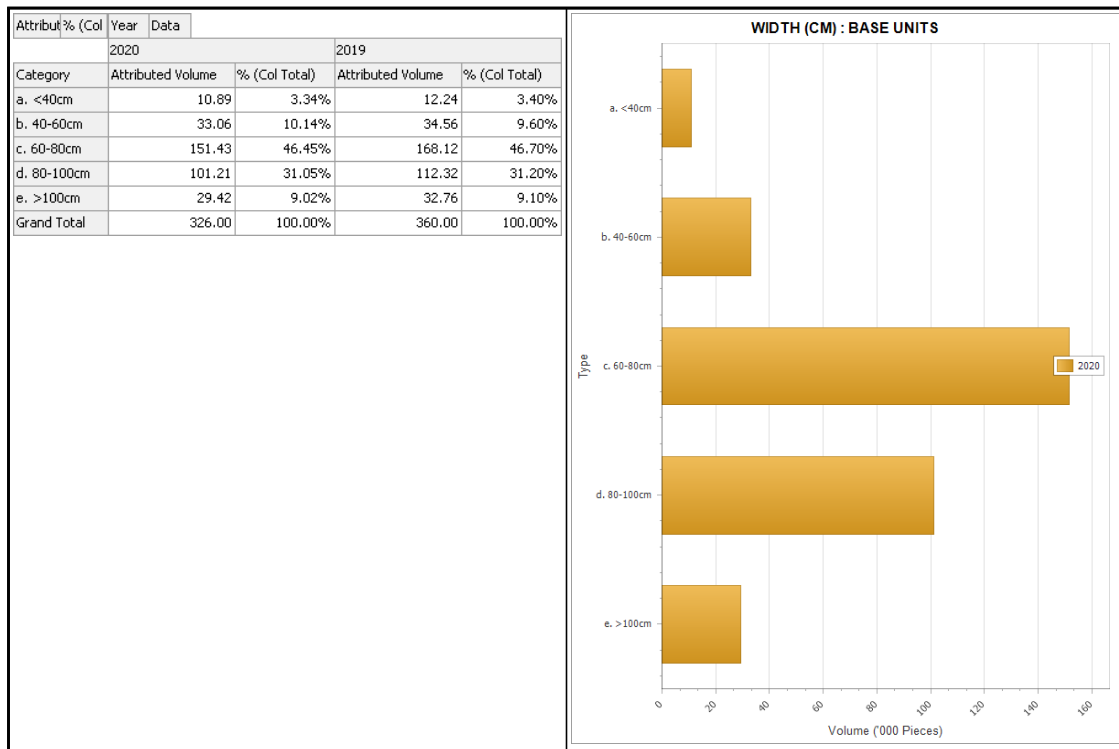
IT - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Width : Base Units

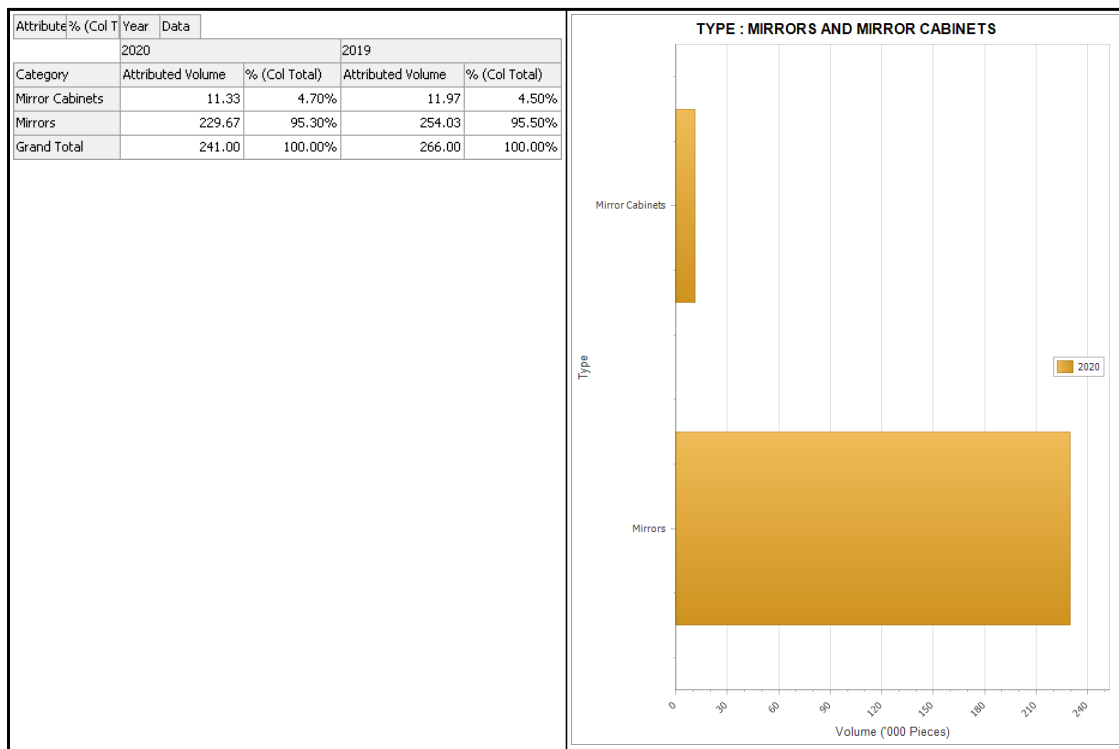
IT - BASE UNIT SALES BY WIDTH ('000 PIECES)



Source: BRG based on industry interviews

5.4.8 Sales by Type : Mirror and Mirror Cabinets

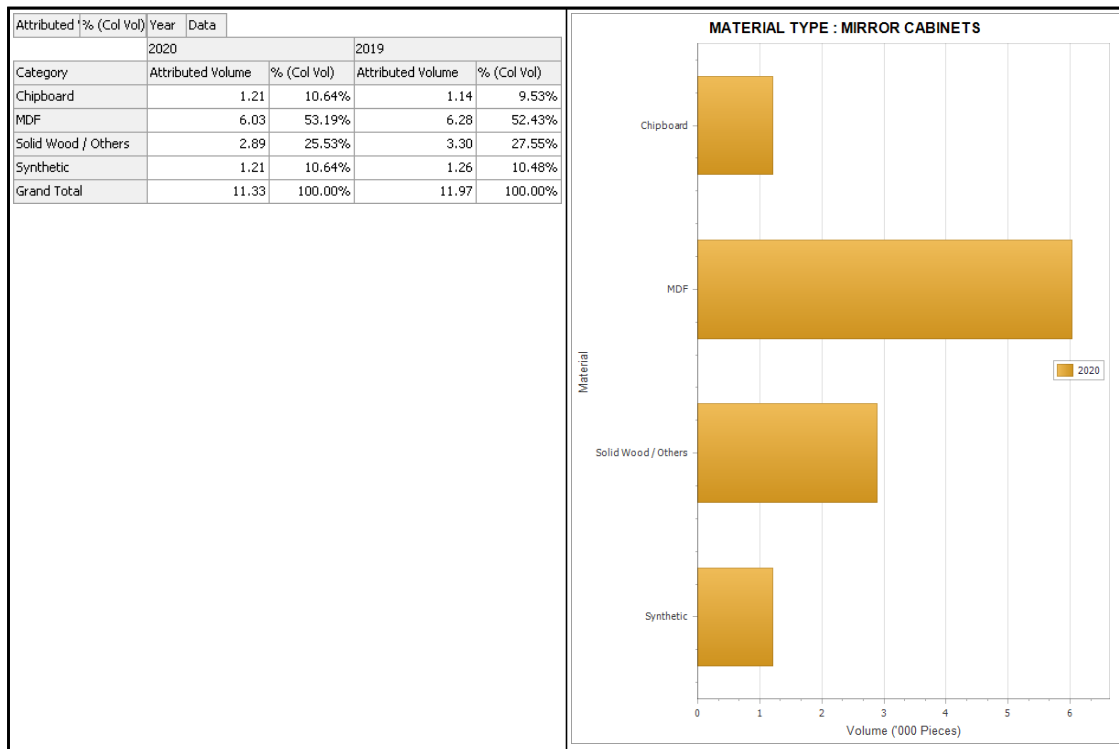
IT - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.9 Sales by Type of Material : Mirror Cabinets

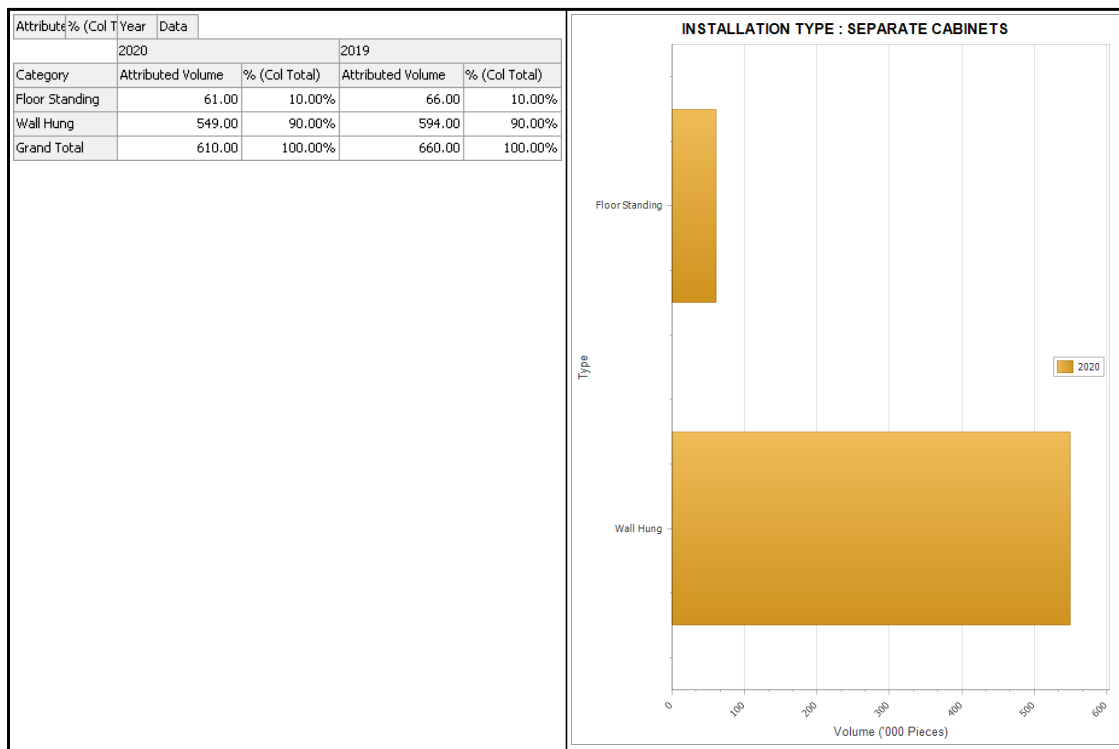
IT - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.10 Sales by Type of Installation : Separate Cabinets

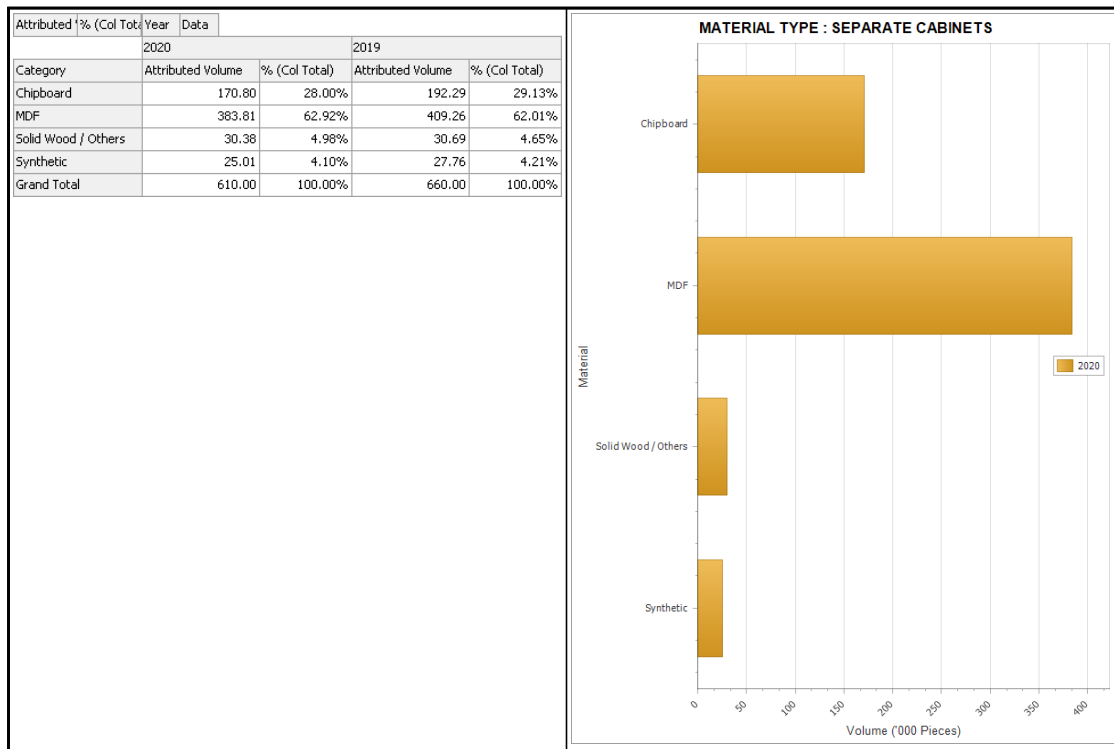
IT - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales by Type of Material : Separate Cabinets

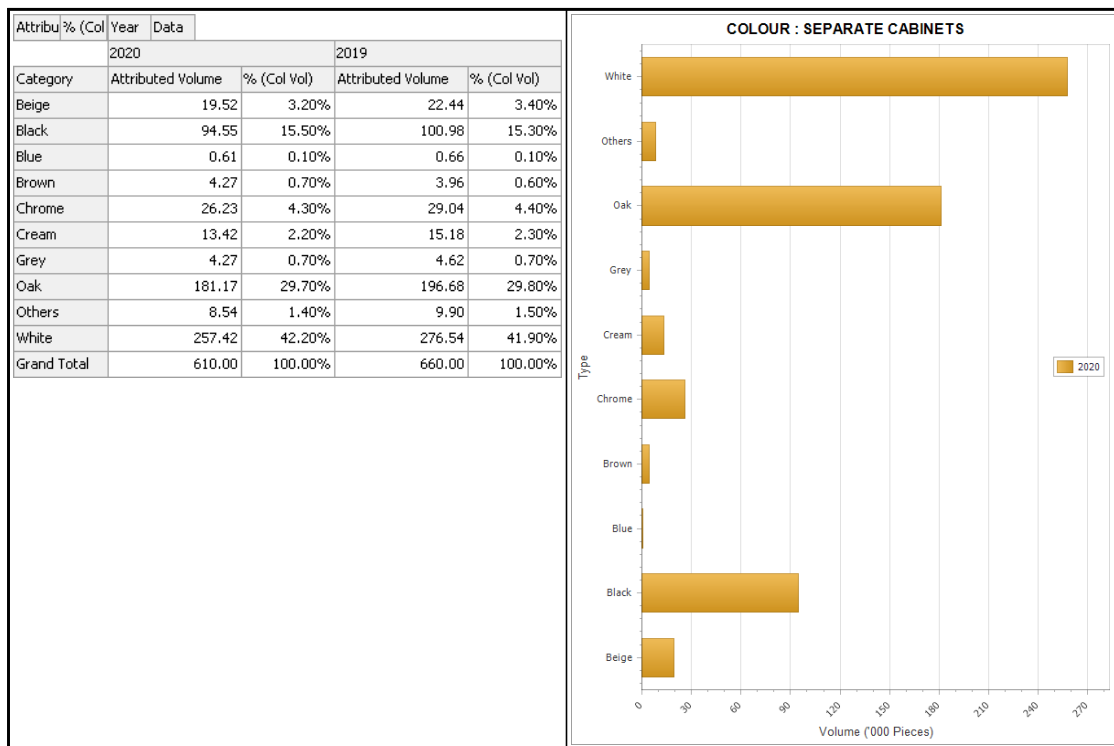
IT - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.12 Sales by Type of Colour : Separate Cabinets

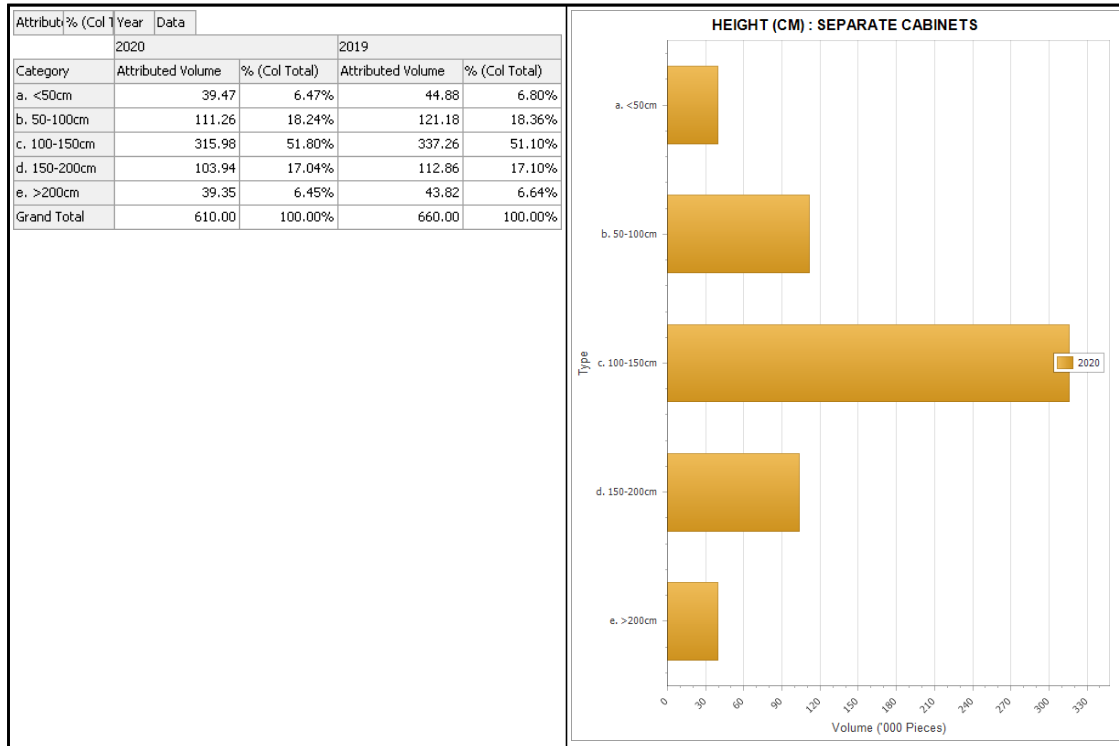
IT - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

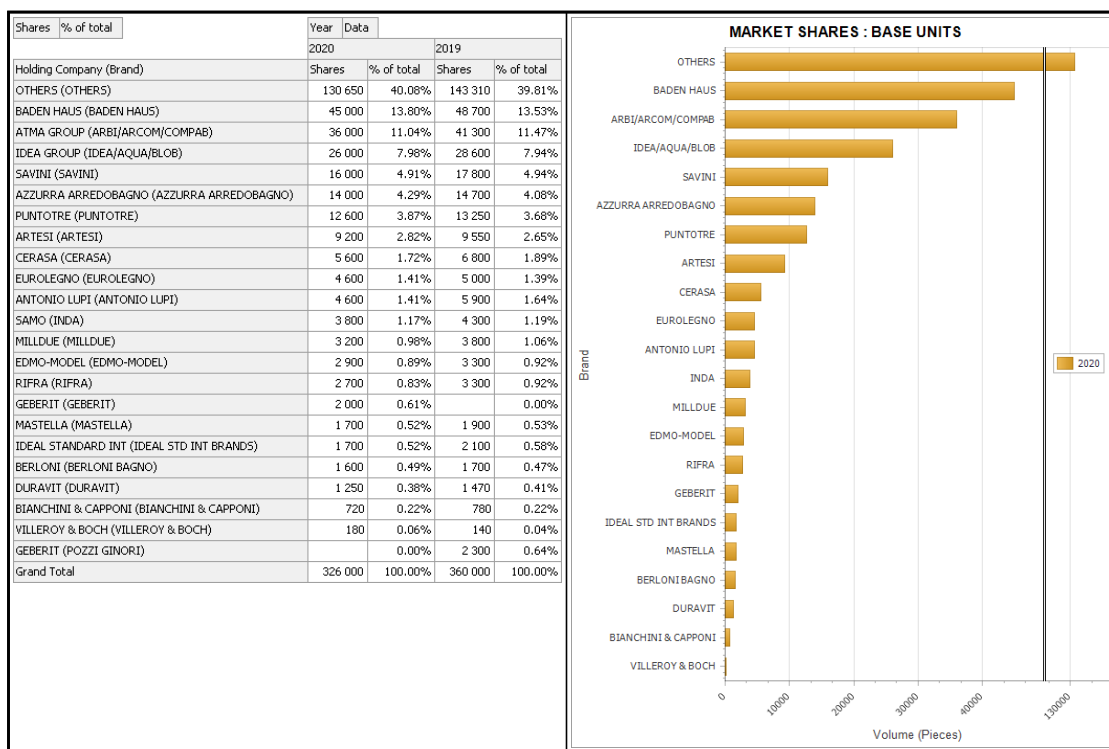
IT - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

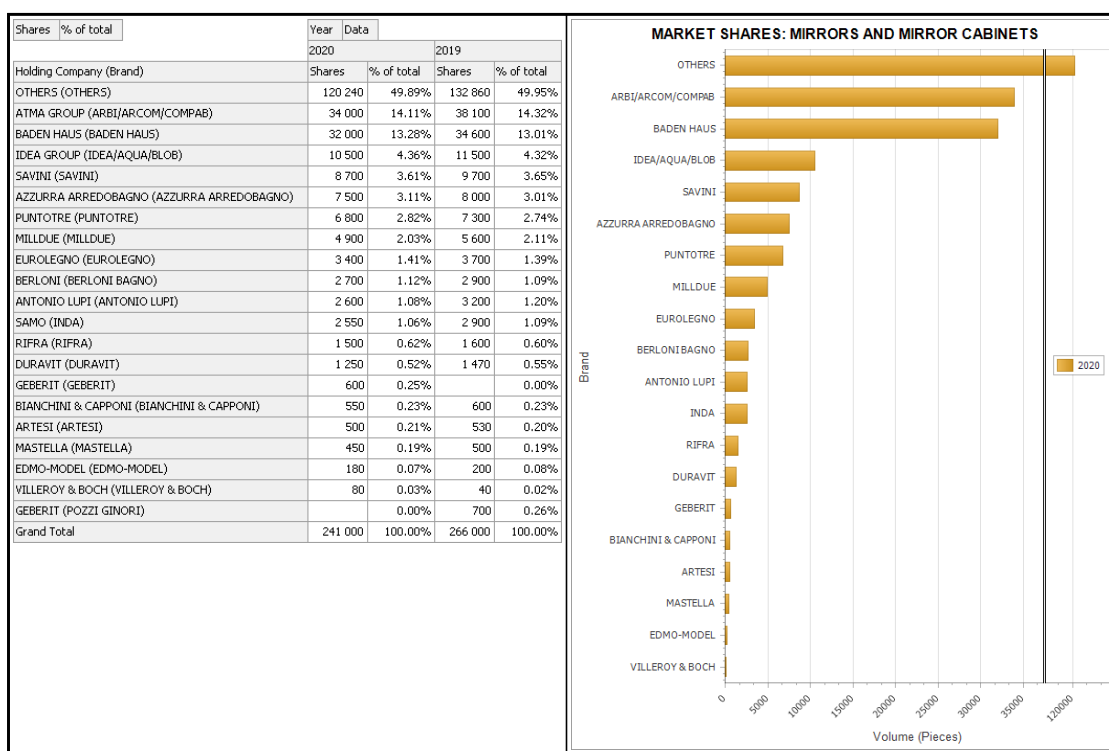
IT - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

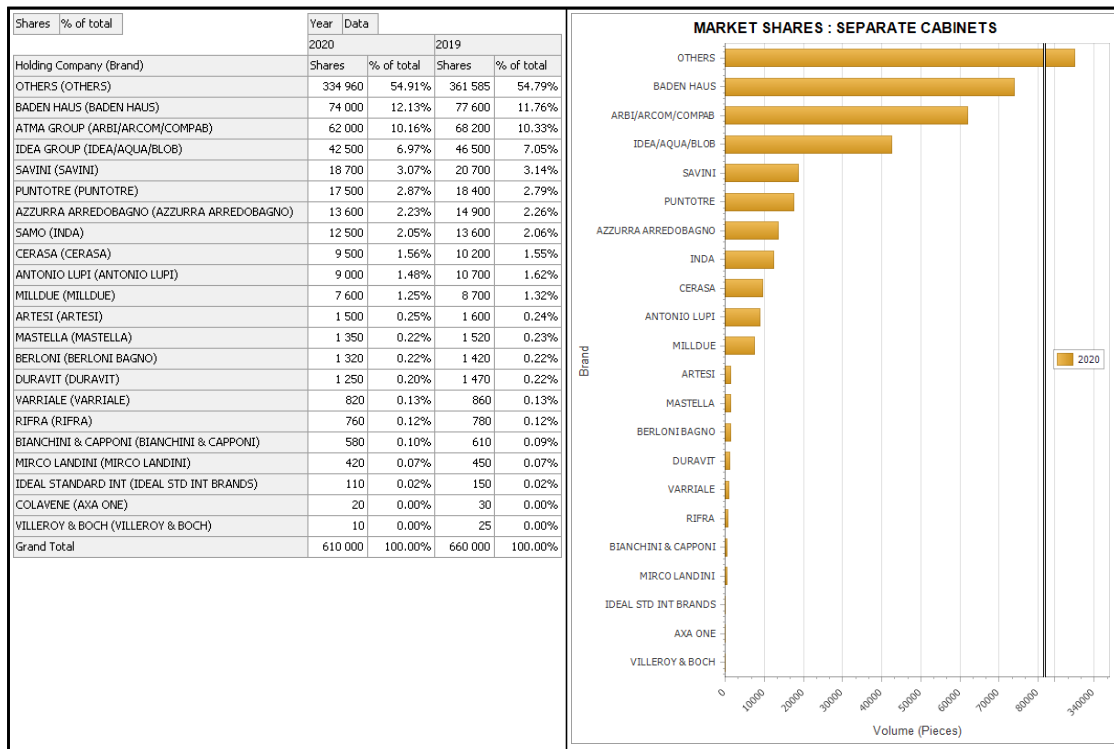
IT - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

IT - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1

Route to Market: Bathroom Furniture
IT - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2020

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																																																																															
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Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																																																																					
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5.6.2

Route to Market: Bathroom Furniture
IT - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2025

Manufacturer / Importer	Manufacturers / Importers				
	100.0%				
Wholesale Level	48.7%				
	Wholesalers / Merchants				
	48.7%				
Retail Level	Manufacturer		Wholesaler		
	1.4%		2.7%		
	Internet Retailers				
	4.1%				
	Manufacturer		Wholesaler		
	12.4%		22.8%		
	DIY Retailers				
	35.1%				
	Manufacturer		Wholesaler		
	34.4%		9.6%		
Specialist Retailers					
44.0%					

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

IT - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

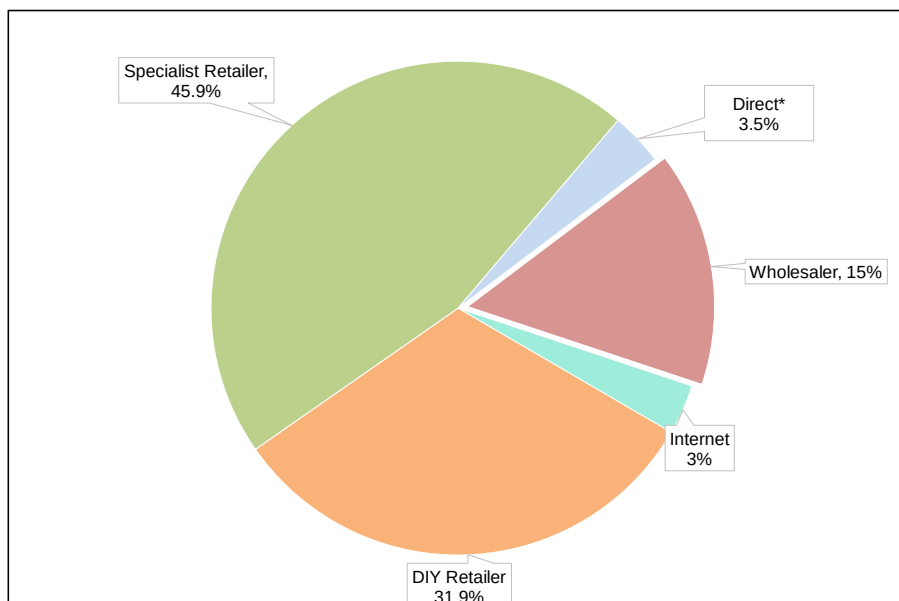
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
15.4%	3.3%	31.9%	45.9%	3.5%	11.5%	4.9%	81.7%	1.8%
100%					16.4%		83.6%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

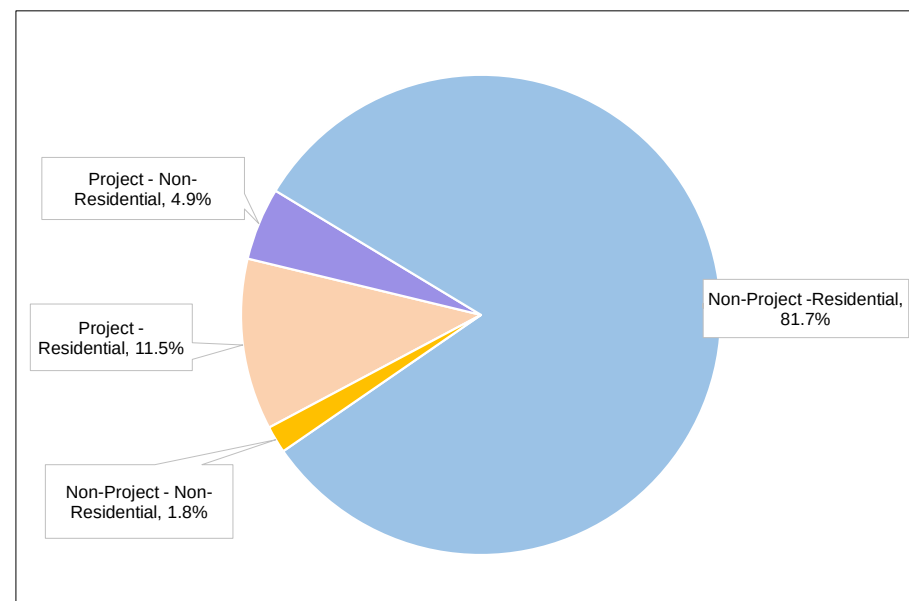
IT - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
13.6%	4.1%	35.1%	44.0%	3.2%	11.6%	4.9%	81.4%	2.1%
100%					16.5%		83.5%	

IT - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



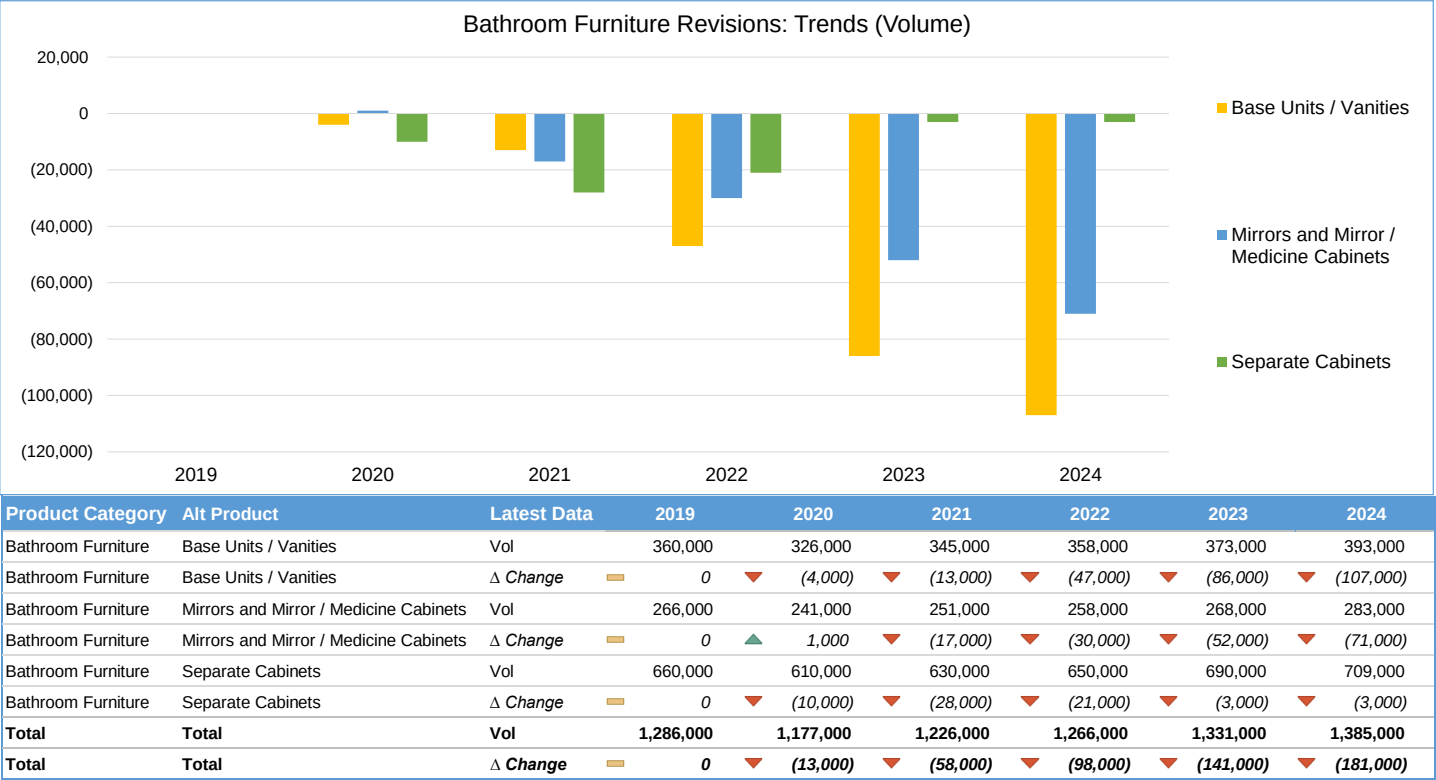
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Italian Bathroom Furniture Market (April 2021)

IT - REVISIONS IN THE ITALIAN BATHROOM FURNITURE MARKET

Data Comparison: October 2020



No revisions were made to the historical market volumes for bathroom furniture.

Only marginal revisions were made to historical MSPs for bathroom furniture, related to the year 2019.

ITALY

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The demand for bathroom accessories has witnessed one of the most noticeable fluctuations in terms of volumes, closely following the private consumption trend as part of the general recovery of the structural economic indicators. The past decade has witnessed a shift within the product mix, away from products that are easily substituted with everyday household items such as soap holders, toothbrush holders and waste paper bins, as well as a movement towards cheaper materials such as synthetic.

This process has been further propelled by a proliferation of DIY stores and supermarkets selling own-brand bathroom accessories purchased through private labels, which has increased dramatically over the last 15 years. This has been a defining character of the bathroom accessories market in Italy, as consumer focus on low-end, cheap imports has left many bathroom manufacturers struggling to compete with such low prices and margins. This trend has resulted in the increasing share of economy and lower-price products segments over the past few years, at the expense of the middle to luxury price segments.

According to a study on the generational differences of spending within the bathroom accessories segment, the recent recovery of private consumption is widening the differences in terms of choice between the millennials and older end-use consumers. In fact, while the former are more interested in the design aspect and uniqueness of the bathroom accessories, the latter are more orientated by the cost of the product.

Recent Market Trends

The outbreak of the COVID-19 pandemic crucially affected the development of the Italian economy in 2020. The cessation of activity across diverse sectors of the economy, which took place from 11 March until 4 May, had a great impact on private investment, construction activities and RMI demand.

An inevitable consequence of the above has been the negative impact on the bathroom accessories market.

After three years of consecutive growth, in 2020 sales of bathroom accessories experienced a decline in line with the erosion of the RMI segment, since demand for these products relies strongly on replacements. In terms of material types, in 2020 ceramic increased at the expense of wood, glass and synthetic, while in terms of product mix, the most significant increase in demand was for soap dispensers.

Furthermore, the market expansion of bathroom accessories in recent years has mainly been driven by ease of purchasing and the increased housing transfers that have encouraged consumers to replace articles that are subject to wear and tear,

such as the accessories. In 2020, the various lockdowns were the reason for delays or postponements of such transfers, a fact that further damaged bathroom accessories' sales.

The acceleration of the shift towards more space-saving options, such as shelves, shower storage units, and towel and bathrobe hooks, continued in 2020. Most bathroom accessories are products that are not easily replaced by other household items, due to higher attention being placed on products able to withstand heavy use. To this extent, the move in materials towards synthetic product variants is increasingly counterbalanced by metallic alternatives, hence denoting a high degree of polarisation between money-saving considerations and quality/aesthetic-oriented reasoning.

Prices and Market Values

In 2020 there was an overall increase in average prices for most bathroom accessories, mainly due to the higher attention to product development in the DIY and internet distribution channels. A further differentiation of the range of products to meet the demand for products that can combine aesthetic characteristics and durability – confirmed by the increasingly accentuated shifts in the product mix towards more minimalist and expensive products, such as toilet brushes and towel holders – continues to be the main market trend. However, with the increase of e-commerce and the evolution of the bathroom as a space that can be subject to change in terms of design, the end-use customer is more inclined to mix cheap and expensive products in the selection of the bathroom accessories.

New Housing

The penetration of bathroom accessories in new homes has decreased slowly over the past few years, and remains among the lowest of all the bathroom markets, primarily because of current weak, yet improving, construction output. A further reason for such a scenario may be linked to the fact that new houses are not furnished with bathroom accessories and, as a result, the consumer will purchase them when and if they are needed, once they have purchased the house. This can mean that the bathroom accessories' new housing sales do not follow housing completion activity as closely as other markets.

Housing RMI

As the wide variety of lifespans compared with that of the majority of bathroom products means that some accessories require replacing sometimes on a yearly basis, particularly hygiene products, the demand from the housing RMI segment has increased slowly over the past few years. A further driver for replacement is the oxidation and corrosion of the materials, particularly the metal parts of the cheaper products, after prolonged contact with humidity and water.

Non-Housing

Replacement rates in non-housing appear to be lower than in the residential segment, as the restaurant and hospitality sectors prefer to invest in larger products such as bathroom furniture, which has a larger impact on the value of the business. Nonetheless, this segment experienced a significant decline in sales in 2020.

Supply Structure

The most important players in the market are still GEDY (GEDY), SAMO (INDA), and METAFORM, all of which experienced a similar degree of decline in 2020 – with GEDY performing slightly better. The importance of traditional bathroom manufacturers, such as LIXIL (GROHE) and IDEAL STANDARD, is rather low and sales tend to greatly fluctuate annually.

The market appears to be highly fragmented at the level of supply, with the main driver of segmentation being linked to the price and, to a lesser extent, the design and/or the degree of product specialisation. There has been a growing price polarisation between the high-end ranges and the lower ones. In this sense, the main driver of such differentiation is not the reciprocal market cannibalisation but the increase of market presence in the middle price range. To this extent, several retail chains have expanded their product offerings in bathroom accessories, such as IKEA, MAISON DU MONDE, and ZARA HOME, to mention a few, although the presence of such chains has not affected the sales through wholesalers that distribute upper-luxury products.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

In 2021 sales of bathroom accessories are expected to increase, in line with the increase in private investment as well as the resumption in construction activity and improvement in RMI demand.

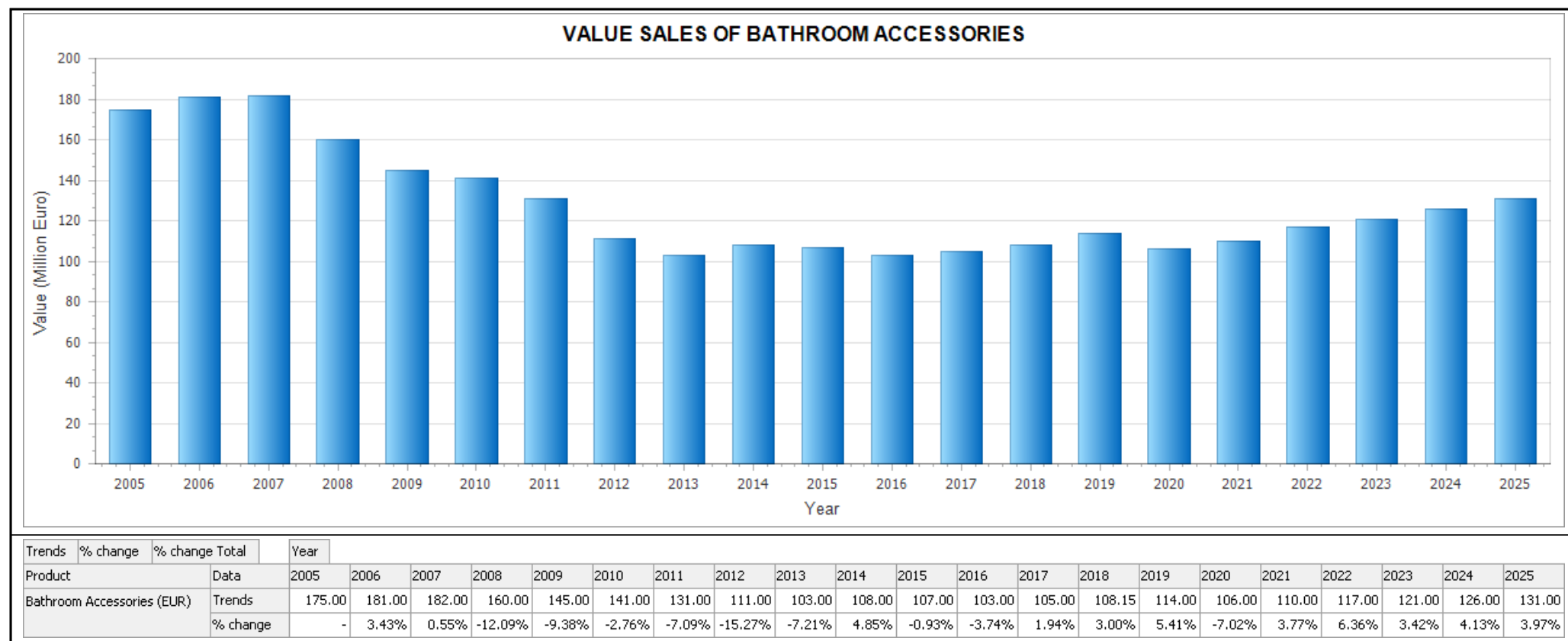
As demand deriving from both the RMI and the new housing segment – under the push of higher completions – is expected to grow steadily from 2022 onwards, along with increased renovation and new construction activity within the non-housing market, sales of bathroom accessories should continue to increase for the rest of the forecast period.

In terms of product mix, metal and ceramic products should continue to gain market share at the expense of glass and wood, while there should be an increase of

polarisation between the economy price range and the more expensive ones. It is also worth noting that a growing trend with large department stores (a large chunk of the DIY segment) is to purchase bathroom accessories primarily from generalists that can offer a complete bathroom set to be displayed in-store. This means it is likely that in the future bathroom accessory specialists will have more difficulty within the DIY channel, as B2C players will favour manufacturers that can provide an entire bathroom catalogue as opposed to mixing and matching brands, also within the e-commerce platforms.

6.2 Historical Trends and Forecasts

IT - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)

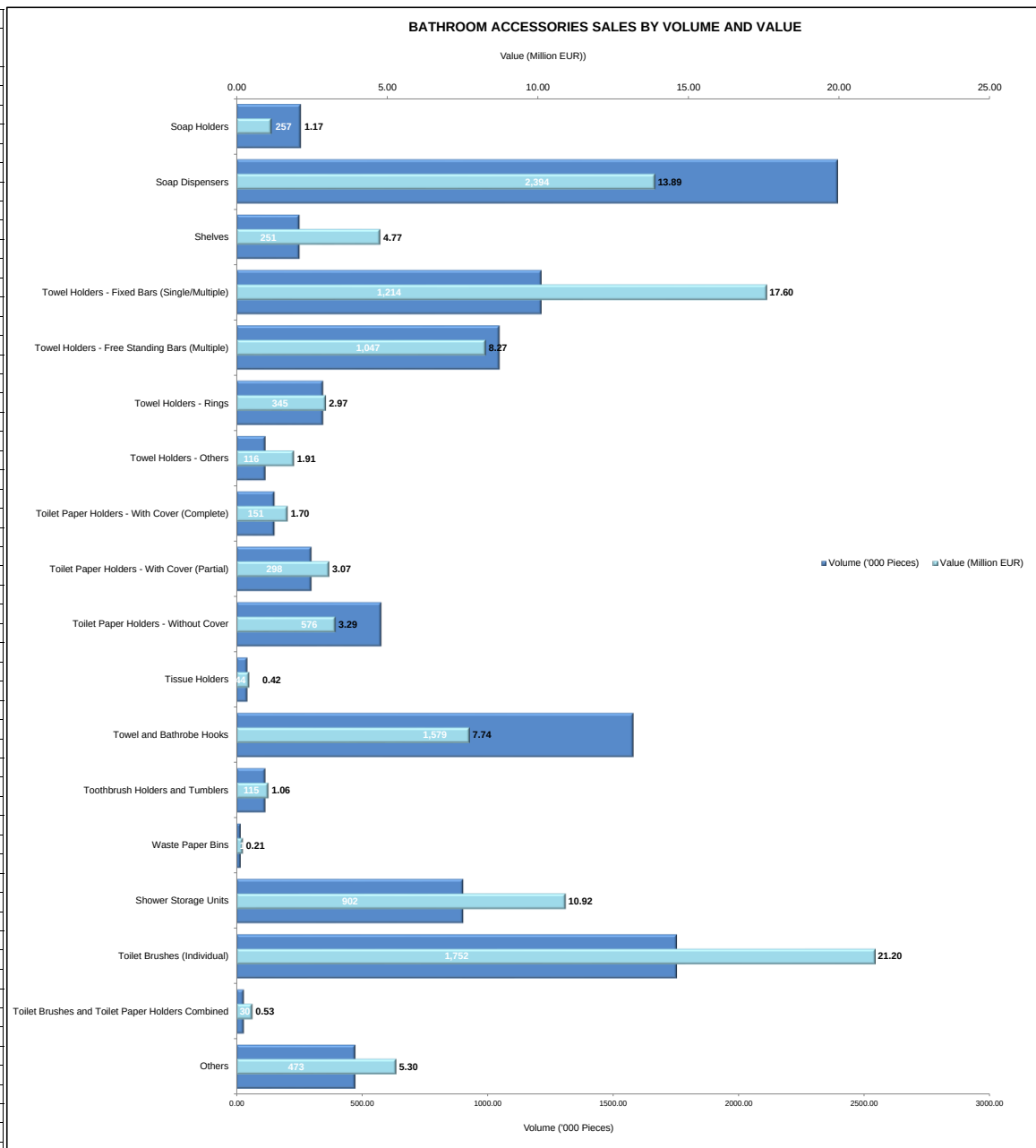


Source: BRG based on industry interviews.

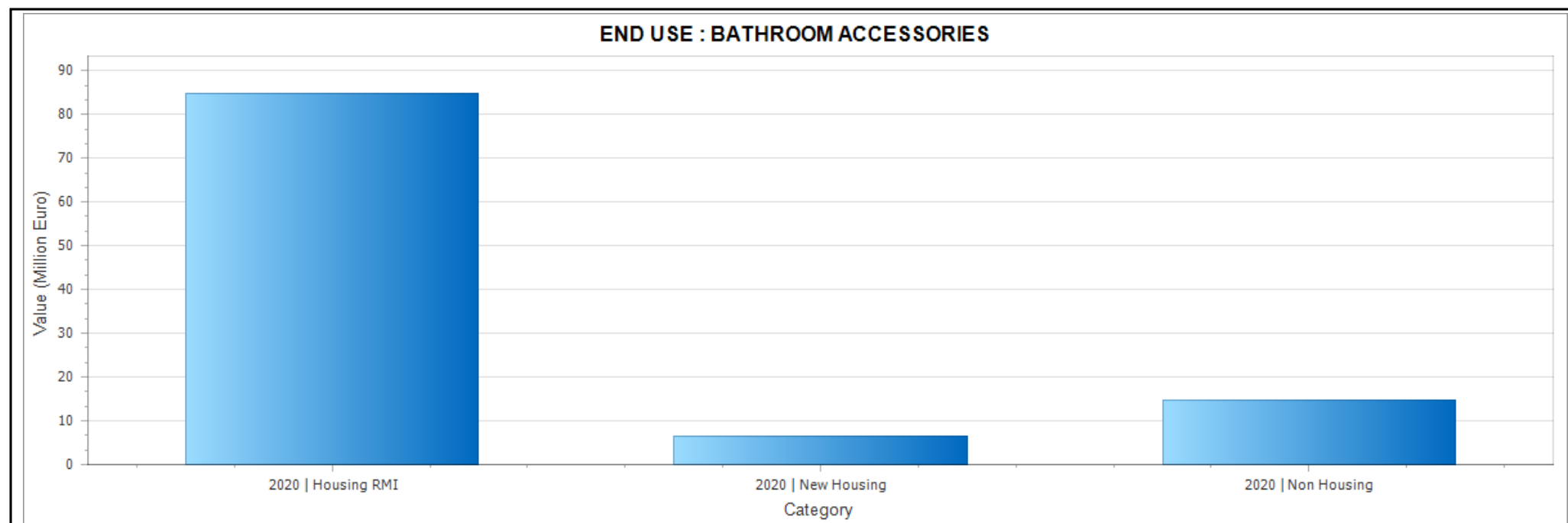
6.3 Detailed Prices and Market Values : Bathroom Accessories
IT - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

Market Value		2020	
		Volume ('000 Pieces)	Value (Million Euro)
Soap Holders	Volume / Value	256.6	1.2
	Share	2.2%	1.1%
	Average Price (EUR)		4.5
Soap Dispensers	Volume / Value	2 394.1	13.9
	Share	20.7%	13.1%
	Average Price (EUR)		5.8
Shelves	Volume / Value	251.1	4.8
	Share	2.2%	4.5%
	Average Price (EUR)		19.0
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	1 213.5	17.6
	Share	10.5%	16.6%
	Average Price (EUR)		14.5
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	1 046.6	8.3
	Share	9.1%	7.8%
	Average Price (EUR)		7.9
Towel Holders: Rings	Volume / Value	345.1	3.0
	Share	3.0%	2.8%
	Average Price (EUR)		8.6
Towel Holders: Others	Volume / Value	115.6	1.9
	Share	1.0%	1.8%
	Average Price (EUR)		16.5
Toilet Paper Holders: With Cover (Complete)	Volume / Value	151.4	1.7
	Share	1.3%	1.6%
	Average Price (EUR)		11.2
Toilet Paper Holders: With Cover (Partial)	Volume / Value	298.4	3.1
	Share	2.6%	2.9%
	Average Price (EUR)		10.3
Toilet Paper Holders: Without Cover	Volume / Value	576.5	3.3
	Share	5.0%	3.1%
	Average Price (EUR)		5.7
Tissue Holders	Volume / Value	43.7	0.4
	Share	0.4%	0.4%
	Average Price (EUR)		9.7
Towel and Bathrobe Hooks	Volume / Value	1 579.2	7.7
	Share	13.7%	7.3%
	Average Price (EUR)		4.9
Toothbrush Holders and Tumblers	Volume / Value	115.2	1.1
	Share	1.0%	1.0%
	Average Price (EUR)		9.2
Waste Paper Bins	Volume / Value	17.1	0.2
	Share	0.1%	0.2%
	Average Price (EUR)		12.4
Shower Storage Units	Volume / Value	902.3	10.9
	Share	7.8%	10.3%
	Average Price (EUR)		12.1
Toilet Brushes (Individual)	Volume / Value	1 752.1	21.2
	Share	15.2%	20.0%
	Average Price (EUR)		12.1
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	29.6	0.5
	Share	0.3%	0.5%
	Average Price (EUR)		17.9
Others	Volume / Value	473.2	5.3
	Share	4.1%	5.0%
	Average Price (EUR)		11.2
TOTAL	Volume in '000/Value in Million	11 561.4	106.0
	Share	100.0%	100.0%
	Average Price (EUR)		9.2

Source: BRG based on industry interviews
N.B. Prices Shown at MSP (= Manufacturers' Selling Price).



IT - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)

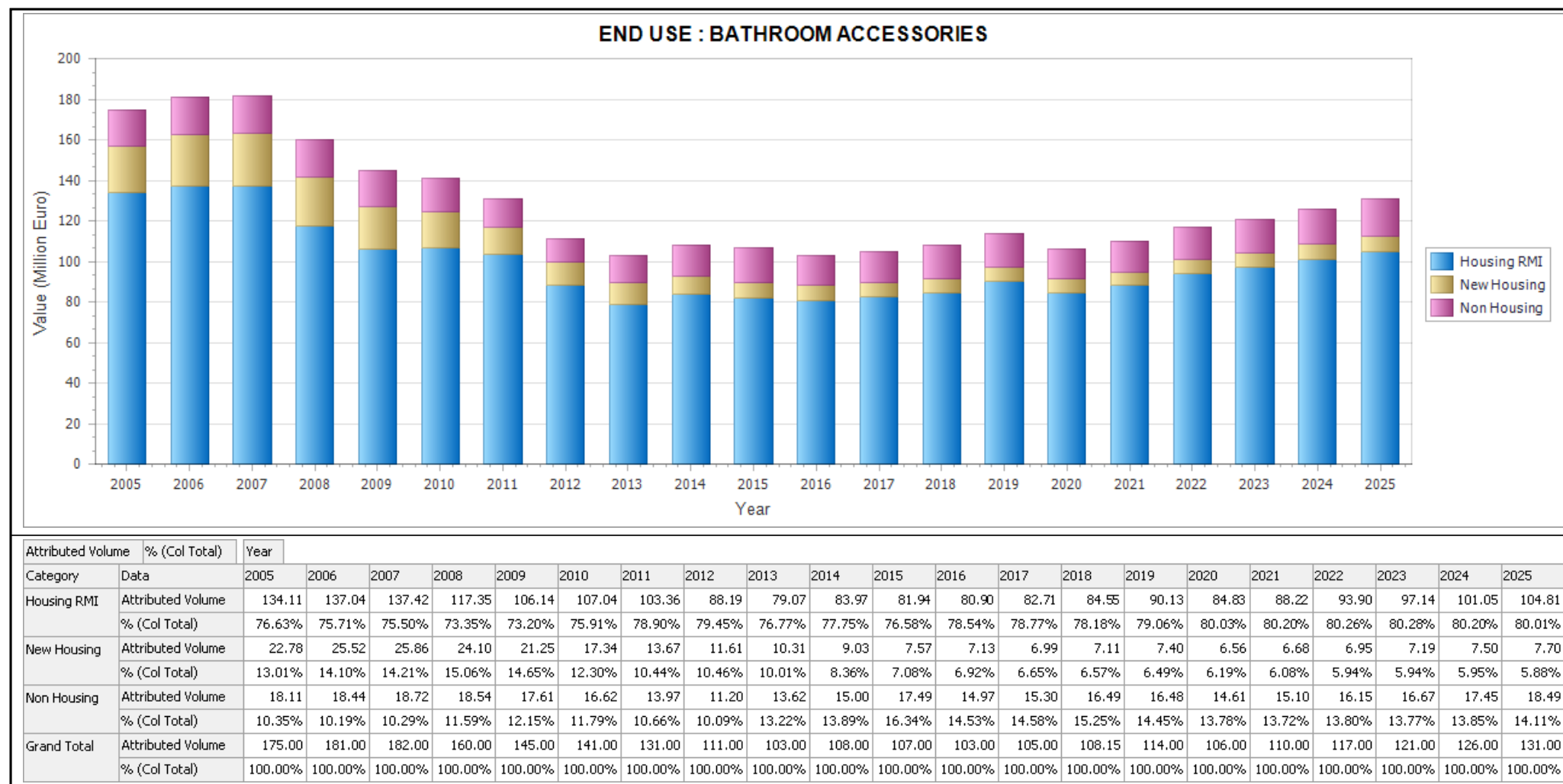


Attributed Volume	% (Row)	Year	Category	Data					
		2020					Grand Total		
		Housing RMI		New Housing		Non Housing			
Product	Attributed Volume		% (Row)	Attributed Volume		% (Row)	Attributed Volume		% (Row)
Bathroom Accessories (EUR)	84.83		80.03%	6.56		6.19%	14.61		13.78%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

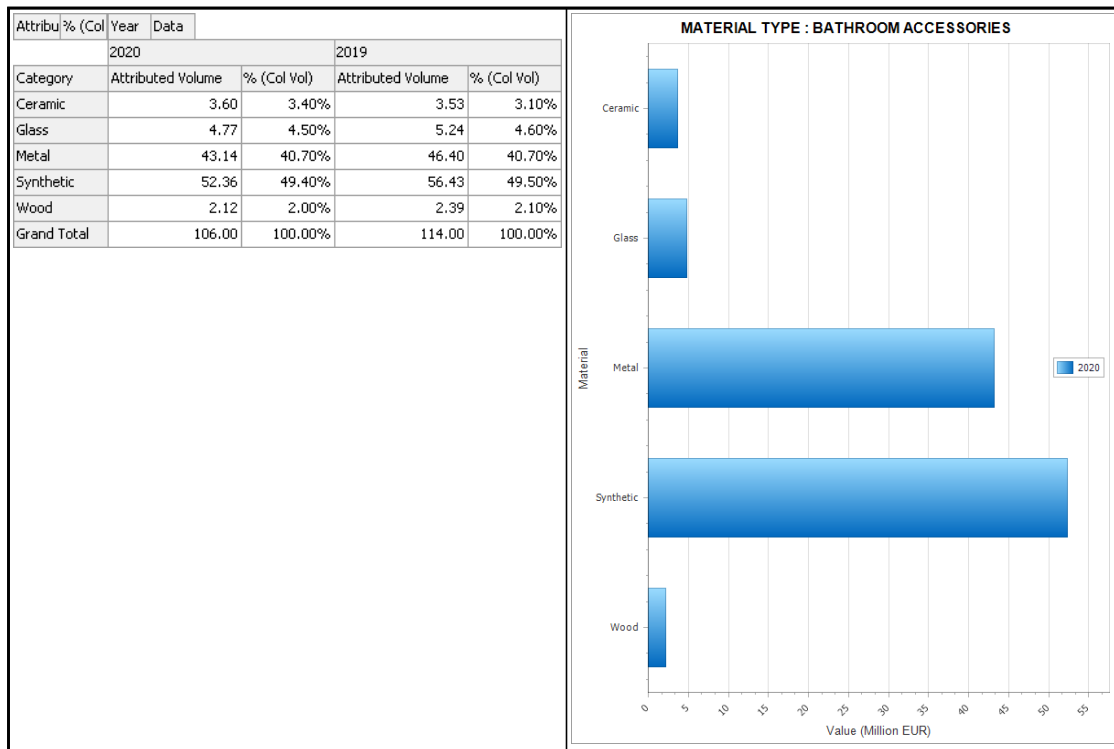
IT - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales by Type of Material : Bathroom Accessories

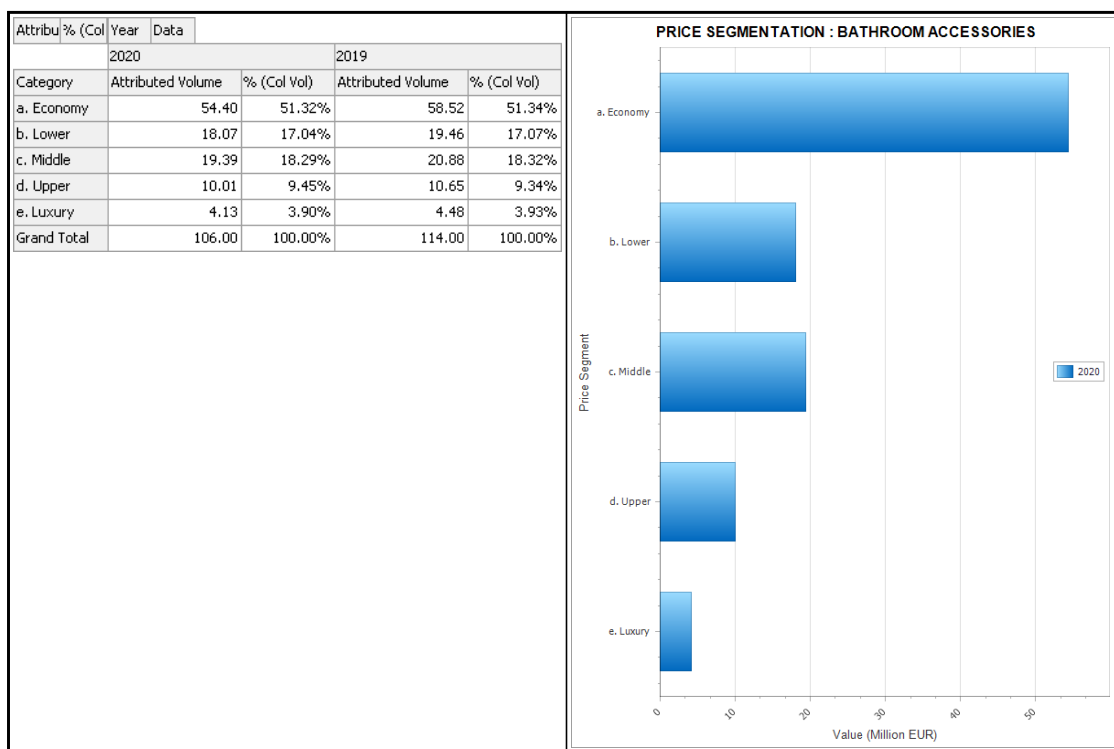
IT - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

6.4.4 Sales by Price Segment : Bathroom Accessories

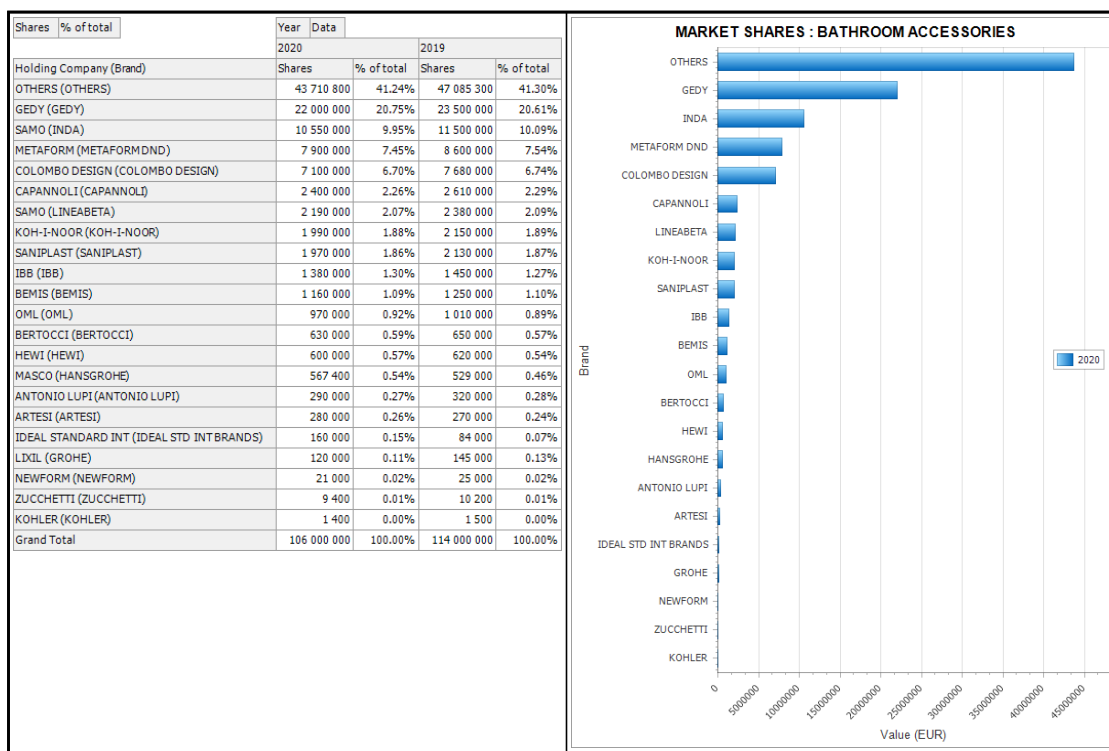
IT - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5 Market Shares : Bathroom Accessories

IT - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

6.6.1 Route to Market: Bathroom Accessories (EUR)
IT - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

Wholesale Level

36.7%	
Wholesalers / Merchants	
36.7%	

Retail Level

Manufacturer	Wholesaler
1.6%	4.9%
Internet Retailers	
6.6%	

Manufacturer	Wholesaler
31.1%	6.2%
DIY Retailers	
37.3%	

Manufacturer	Wholesaler
27.6%	18.2%
Specialist Retailers	
45.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	6.2%	0.5%	3.0%	6.4%
Installers				
16.9%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.8%	6.1%	31.5%	39.0%	8.9%
Residential					
86.2%					
New Build			Residential RMI		
6.2%			80.0%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
1.9%	4.3%	4.6%	75.5%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
2.1%	0.4%	0.0%	2.8%	0.5%	8.0%
Non-Residential					
13.8%					
New Build			Non-Residential RMI		
7.4%			6.4%		
Project	Non-Project	Project	Non-Project	Project	Non-Project
5.6%	1.8%	4.3%	2.1%		

6.6.2 Route to Market: Bathroom Accessories (EUR)
IT - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2025

Manufacturer / Importer	<table><tr><td colspan="5">Manufacturers / Importers</td></tr><tr><td colspan="5">100.0%</td></tr></table>					Manufacturers / Importers					100.0%																																																																																															
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Wholesale Level	<table><tr><td colspan="5">36.9%</td></tr><tr><td colspan="5">Wholesalers / Merchants</td></tr><tr><td colspan="5">36.9%</td></tr></table>					36.9%					Wholesalers / Merchants					36.9%																																																																																										
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Retail Level	<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>2.7%</td><td>8.9%</td></tr><tr><td colspan="2">Internet Retailers</td></tr><tr><td colspan="2">11.6%</td></tr></table>		Manufacturer	Wholesaler	2.7%	8.9%	Internet Retailers		11.6%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>31.3%</td><td>5.8%</td></tr><tr><td colspan="2">DIY Retailers</td></tr><tr><td colspan="2">37.1%</td></tr></table>		Manufacturer	Wholesaler	31.3%	5.8%	DIY Retailers		37.1%		<table><tr><td>Manufacturer</td><td>Wholesaler</td></tr><tr><td>26.4%</td><td>15.8%</td></tr><tr><td colspan="2">Specialist Retailers</td></tr><tr><td colspan="2">42.2%</td></tr></table>		Manufacturer	Wholesaler	26.4%	15.8%	Specialist Retailers		42.2%																																																																													
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Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer																																																																																																					
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4.2%	1.2%		5.4%	3.3%																																																																																																						

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Bathroom Accessories

IT - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2020

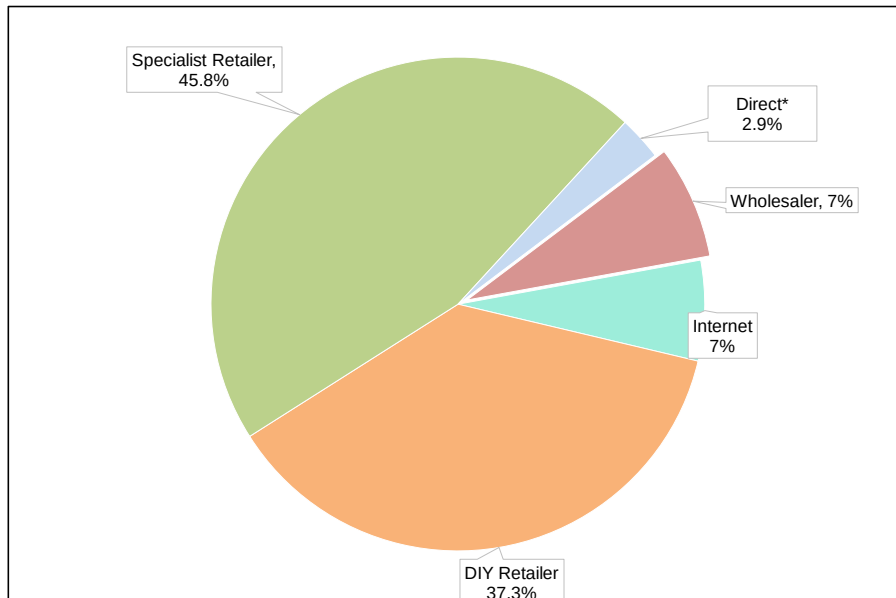
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
7.4%	6.6%	37.3%	45.8%	2.9%	6.4%	9.9%	79.8%	3.9%
100%					16.3%		83.7%	

6.6.4 Route to Market - Consolidated View : Bathroom Accessories

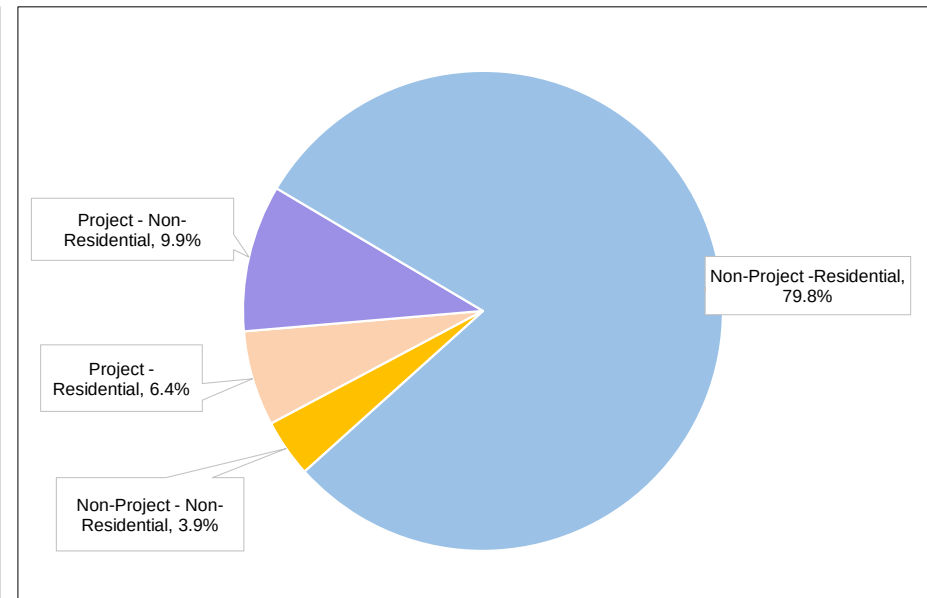
IT - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
6.4%	11.6%	37.1%	42.2%	2.7%	6.3%	9.6%	79.6%	4.5%
100%					15.9%		84.1%	

IT - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



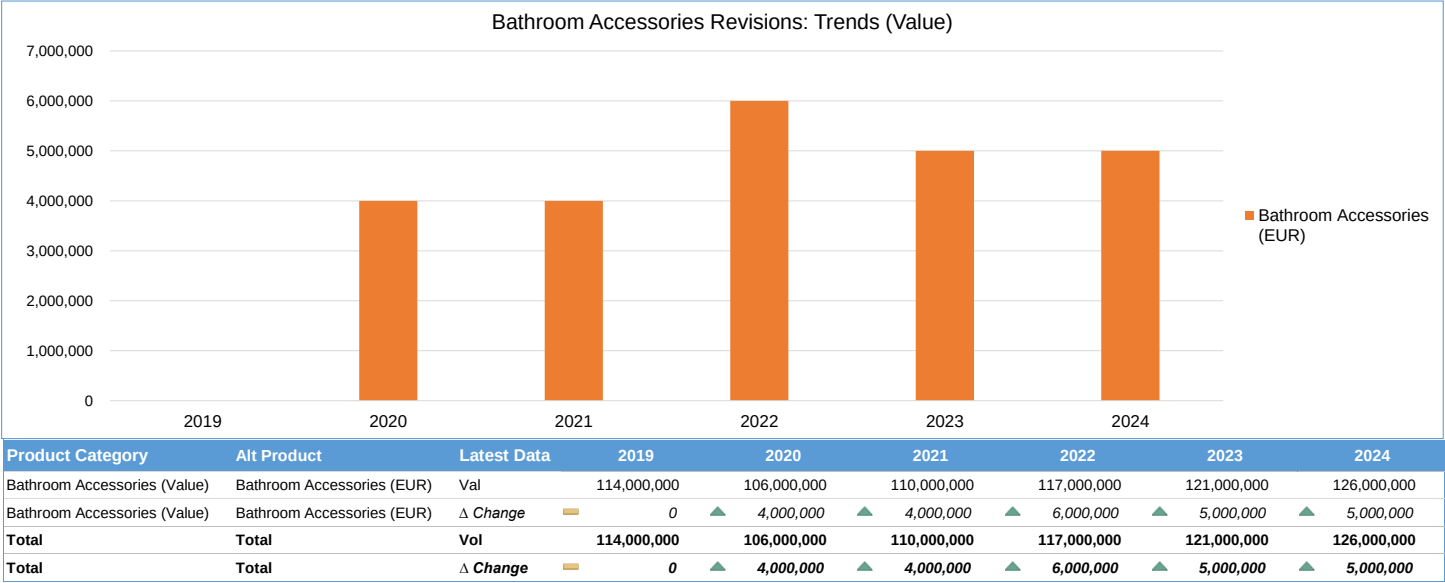
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Italian Bathroom Accessories Market (April 2021)

IT - REVISIONS IN THE ITALIAN BATHROOM ACCESSORIES MARKET

Data Comparison: October 2020



No revisions were made to the historical market size for Bathroom Accessories.

ITALY

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The pattern of development of the shower accessory market has been closely following the general trend set out by taps and mixers, primarily because most shower accessories are often sold as a pack with mixers. Such correlation has continued to intensify throughout the years, as distributors and manufacturers alike attempted to widen their product offerings to consumers, encouraging the purchase of shower accessory sets with more items from the same manufacturer. The main market driver is consumer expenditure, which affects the rate of discretionary replacement, an important factor for a market such as shower accessories – which has among the highest reliance on RMI of all bathroom product categories.

The product mix has historically seen flexible hoses as the largest market, considering that this is the product that is most often replaced due to the limescale and salinity that affect the purity of Italian waters. Flexible hoses have, in recent years, seen competition from rain showers, which do not require a hose and have been targeted more towards the lower price segment. There is also a growing trend for shower pipes: a set of shower accessories with two-heads, one with a fixed pipe and one with a flexible hose. This latest trend has been driving up the share of shower heads within the product mix, at a significant rate.

Bars and supports have also come under threat in recent years from the growing popularity of rain showers, although they are still favoured in the new housing segment because of their durability, which also means a smaller reliance on RMI. Shower heads, on the other hand, have tended to diversify more in terms of product functionality and design, with strong marketing campaigns from manufacturers, which stress versatility as an asset.

The success of shower panels in the past may be attributed to the ability of the product to transform an ordinary shower into having hydrotherapy functionality, hence benefitting from the bath to shower substitution trend.

Recent Market Trends

The outbreak of the COVID-19 pandemic crucially affected the development of the Italian economy in 2020. The cessation of activity across diverse sectors of the economy, which took place from 11 March until 4 May, had a great impact on private investment, construction activities and RMI demand. An inevitable consequence of all these has been the negative impact on the shower accessories market.

In 2020, flexible hoses experienced an important decrease in sales when compared to the previous year, mainly due to the erosion of the RMI segment. In terms of material types, plastic continued to account for most sales, although metal continues to gain share.

A similar degree of decline has been observed in the shower heads market, wherein RMI demand accounted for nine out of 10 sales in 2020. In terms of installation, wall-mounted remains by far the number one choice, although there has been an increase in sales of hand showers when compared to the previous year.

With regard to shower pipes, even though there has been an important decline in demand deriving from the new housing and non-housing segments, postponements in renovation works were the main reason for the drop in sales in 2020. However, demand for thermostatic shower pipes continues to grow at the expense of non-thermostatic, and the former products account for the majority of sales.

Shower supports were the products that decreased the most within the shower accessories market in 2020, partially due to the rise in preference for shower pipes but mainly due to the decline in RMI demand. Furthermore, these products, as well as flexible hoses, are closely linked to the taps and mixers market, as they are frequently sold as a set.

Finally, in 2020 there was also a significant decrease in demand for shower panels compared to the previous year, mainly due to the erosion of RMI demand but also due to the more complicated installation process of these products when compared to other products – such as shower supports and shower pipes.

Prices and Market Values

In 2020, average prices of all shower accessory products slightly increased when compared to the previous year, mainly due to the changes in the product mix – which witnessed an increasing share of the upper/luxury price segmentation.

The trend that was established several years ago, of the erosion of the middle price segment in favour of the lower and luxury segments, continued in 2020, highlighting price competitiveness and brand recognition as the main drivers for market positioning.

New Housing

Shower heads are the preferred solutions in new housing installations, followed by shower supports and flexible hoses. It may be argued that the demand from this segment tends to favour the metal product option and the fixed shower head models.

Sales to the new housing segment declined in 2020, in line with the delays in housing completions due to the COVID-19 pandemic.

The preference for shower pipes in new housing has resulted in substantially lower demand for shower supports and flexible hoses, due to the versatility to adapt to

the installation of two-head showers.

Housing RMI

Housing RMI represents the largest end-use destination for all categories, with shower accessories having continued to be one of the markets that most rely on this segment in the bathroom sector. The short lifespans of these products remain considerable given the often hardness of the water, which accelerates the deterioration, and hence increases replacement sales. In the case of shower hoses, purchases are often as a result of breakdown due to oxidation and limescale, but for shower heads there has been a continuing growth of discretionary replacement as manufacturers push ever-more design-orientated products to differentiate the product variety.

Non-Housing

The hospitality segment remains the main source of demand for non-housing sales, which have a much higher share of showers than baths. The value of the shower accessory market within this industry has been consolidating in recent years, with a strong preference to buy new showers – resulting in the replacement of shower accessories to renew the look of the bathroom.

Supply Structure

The market is quite fragmented but with a few notable leaders, namely BOSSINI, GROHE, and HANSGROHE. These companies have increased their market competitiveness by implementing competing strategies of product differentiation with a major emphasis on the DIY and department store distribution channels, coupled with a higher penetration within the specialist showroom segment. The leading position of such players and their increased market share has occurred at the expense of smaller players, hence leading the market to a high degree of differentiation in price segments. BOSSINI re-centred its focus on the production of shower accessory sets at the expense of mixers, in order to focus on its core business.

It should also be mentioned that on top of the many suppliers of shower accessories, the main DIY chains have developed private labels in order to increase the visibility and attractiveness of their products.

The relevance of the internet channel for shower accessories has grown considerably in the last few years, given the ease of replacement, their easily deliverable size and low average price. The expansion of the internet channel has pushed more players in the product segment to seek to specialise their offerings, through the launch of online shopping platforms and, also, through exclusive contracts with e-commerce distributors.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

In 2021 sales of most shower accessories product categories are expected to increase, in line with the increase in private investment as well as the resumption in construction activity and improvement in RMI demand. The only exception should be the sales of shower panels, which are expected to continue to decline in 2021 – but demand should resume from 2022.

From 2022 onwards, all market segments should experience year-on-year growth in line with the expected stabilisation of the economy, which should result in increasing investment in both residential and non-housing renovation, and renewed growth within the new housing sector. Although sales should derive mostly from renovation works, non-housing should finally consolidate its trend of recovery, with the hospitality segment being less hesitant to make investments in renovation.

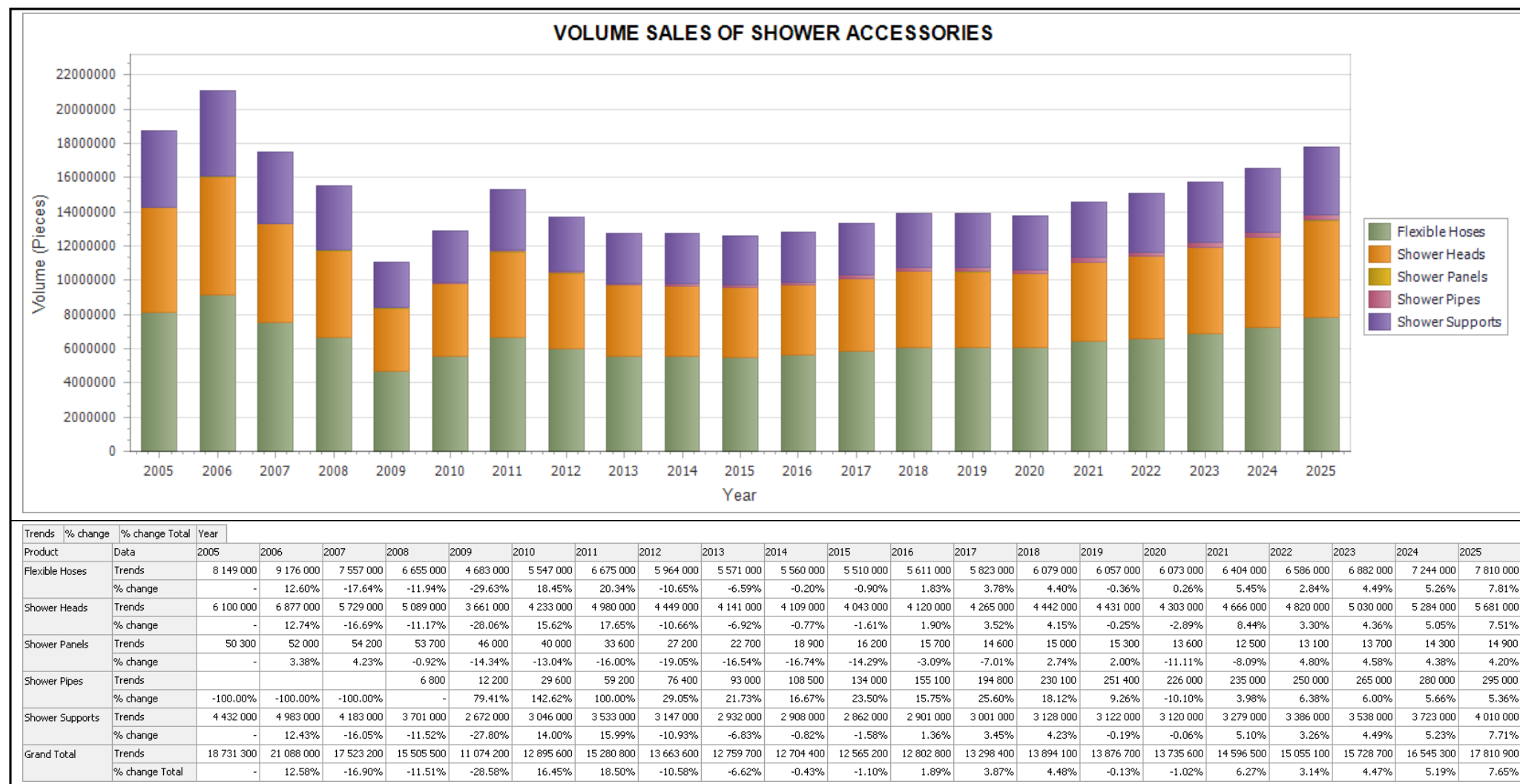
In terms of product mix, the shift towards shower heads and away from flexible hoses is expected to further accelerate throughout the forecast period, also due to the sales of shower pipes – the share of which is anticipated to increase with wider availability in DIY stores and via the internet. A typical shower pipe usually comprises one fixed shower head, a handheld shower head, a flexible hose, and a water-bearing pipe. Shower supports are expected to lose share, due to the increasing number of fixed-head systems that do not require a support or hose.

As the consumer propensity to spend stabilises, the price differences in the economy and luxury segments should narrow. This trend, coupled with the growth of the housing RMI segment, is set to continue, enhancing the role of the low-cost segment and facilitating purchasing, both in store and online.

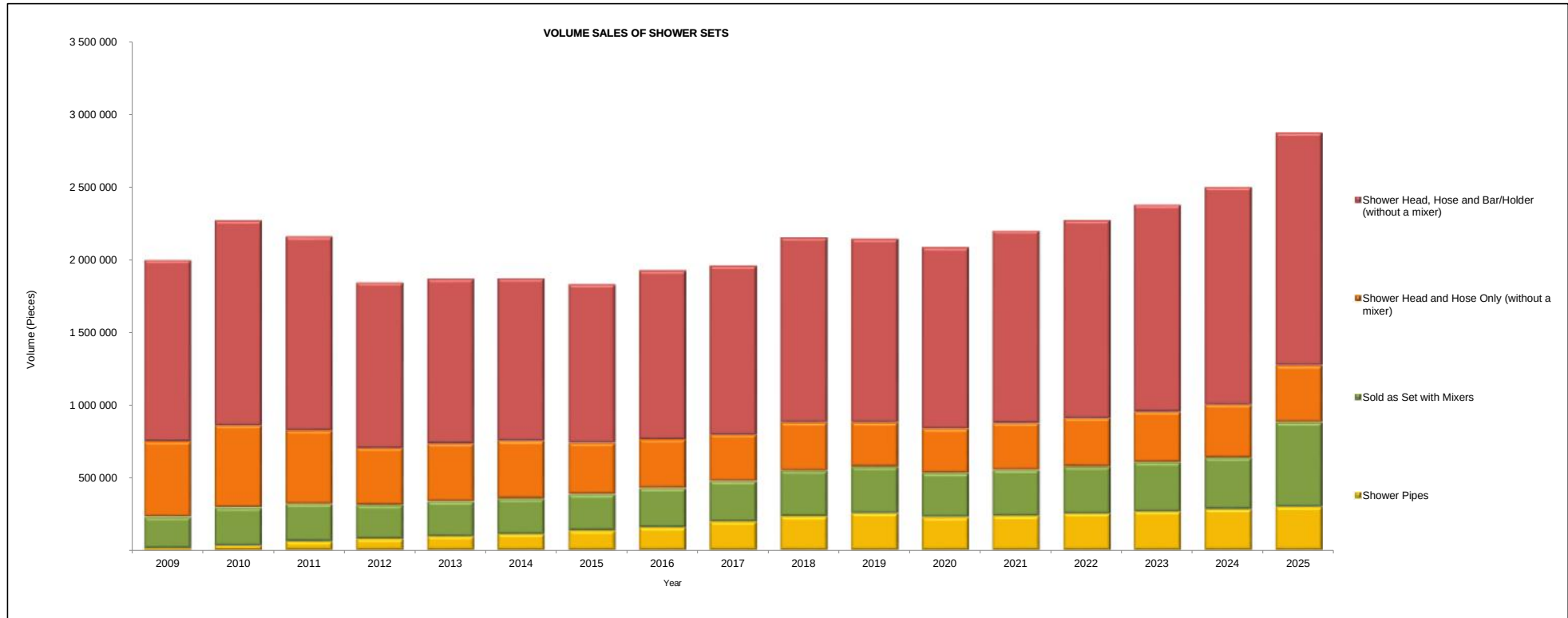
The concurrent nature of the above-mentioned trends, it is believed, should affect the wholesaler channel, which is expected to see its relevance further eroded in the coming years, with only a few wholesalers diversifying into showroom-type activities. The wider availability of such products in the e-commerce channel is expected, together with DIY, to see the strongest development, and hence support sales of shower accessory sets.

7.2.1 Historical Trends & Forecasts : Shower Accessories

IT - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

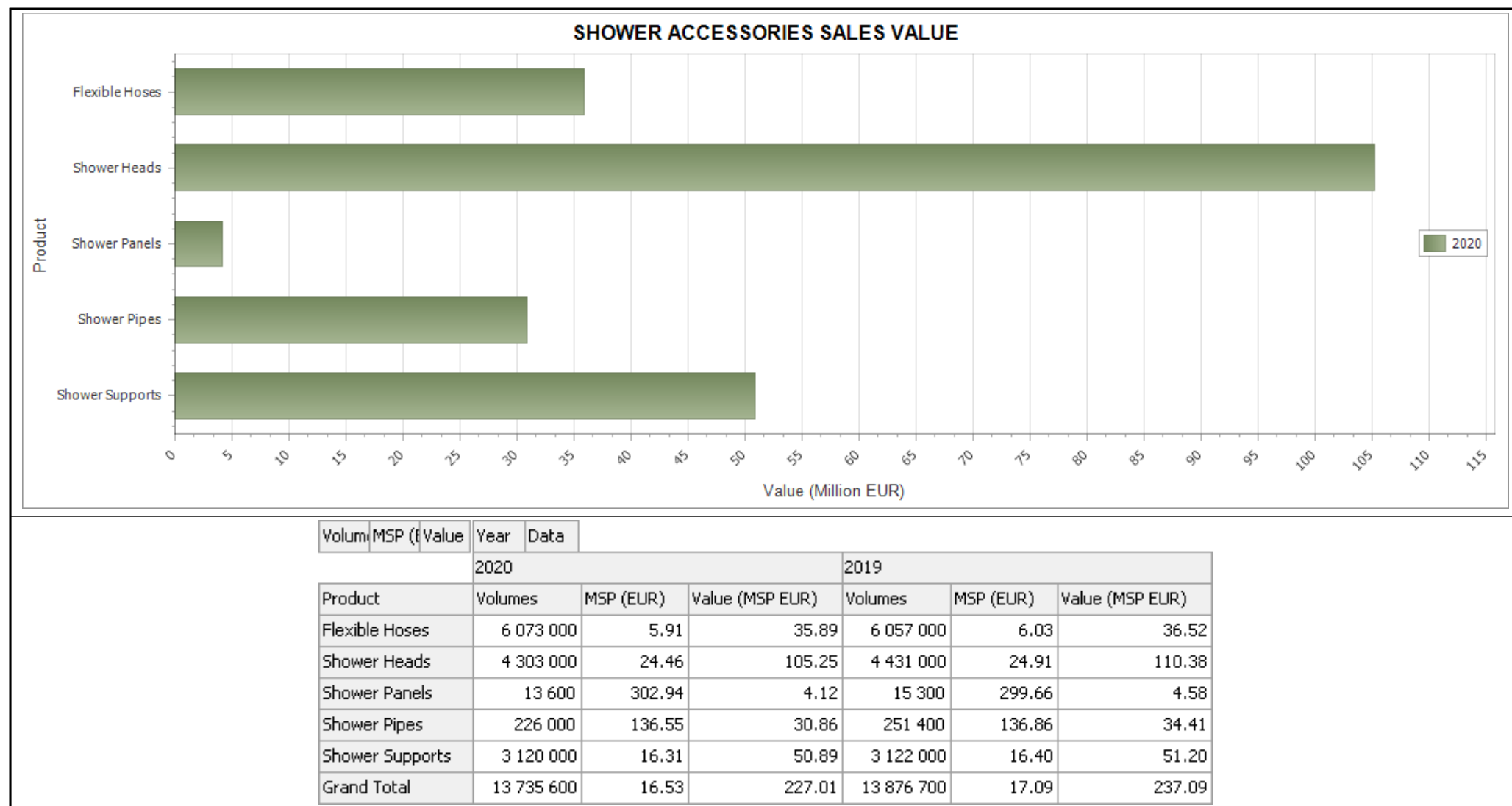


Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	1 248 000	1 408 000	1 333 000	1 138 000	1 132 000	1 114 000	1 091 000	1 162 000	1 159 000	1 270 000	1 259 000	1 246 000	1 321 000	1 361 000	1 422 000	1 495 000	1 600 000
	% Change	-	12.82%	-5.33%	-14.63%	-0.53%	-1.59%	-2.06%	6.51%	-0.26%	9.58%	-0.87%	-1.03%	6.02%	3.03%	4.48%	5.13%	7.02%
	Shower Head and Hose Only (without a mixer)	518 000	565 000	505 000	392 000	399 000	398 000	353 000	334 000	321 000	333 000	307 000	304 000	322 000	332 000	347 000	365 000	391 000
	% Change	-	9.07%	-10.62%	-22.38%	1.79%	-0.25%	-11.31%	-5.38%	-3.89%	3.74%	-7.81%	-0.98%	5.92%	3.11%	4.52%	5.19%	7.12%
	Sold as Set with Mixers	214 800	261 000	256 000	231 000	239 000	244 000	248 000	270 000	277 000	313 000	319 000	303 000	315 000	323 000	337 000	353 000	582 000
	% Change	-	21.51%	-1.92%	-9.77%	3.46%	2.09%	1.64%	8.87%	2.59%	13.00%	1.92%	-5.02%	3.96%	2.54%	4.33%	4.75%	64.87%
	Shower Pipes	12 200	29 600	59 200	76 400	93 000	108 500	134 000	155 100	194 800	230 100	251 400	226 000	235 000	250 000	265 000	280 000	295 000
	% Change	-	142.62%	100.00%	29.05%	21.73%	16.67%	23.50%	15.75%	25.60%	18.12%	9.26%	-10.10%	3.98%	6.38%	6.00%	5.66%	5.36%
Grand Total		1 993 000	2 263 600	2 153 200	1 837 400	1 863 000	1 864 500	1 826 000	1 921 100	1 951 800	2 146 100	2 136 400	2 079 000	2 193 000	2 266 000	2 371 000	2 493 000	2 868 000
% Change Total		-	13.58%	-4.88%	-14.67%	1.39%	0.08%	-2.06%	5.21%	1.60%	9.95%	-0.45%	-2.69%	5.48%	3.33%	4.63%	5.15%	15.04%

Source: BRG based on Industry Interviews.

7.3.1 Prices and Market Values : Shower Accessories

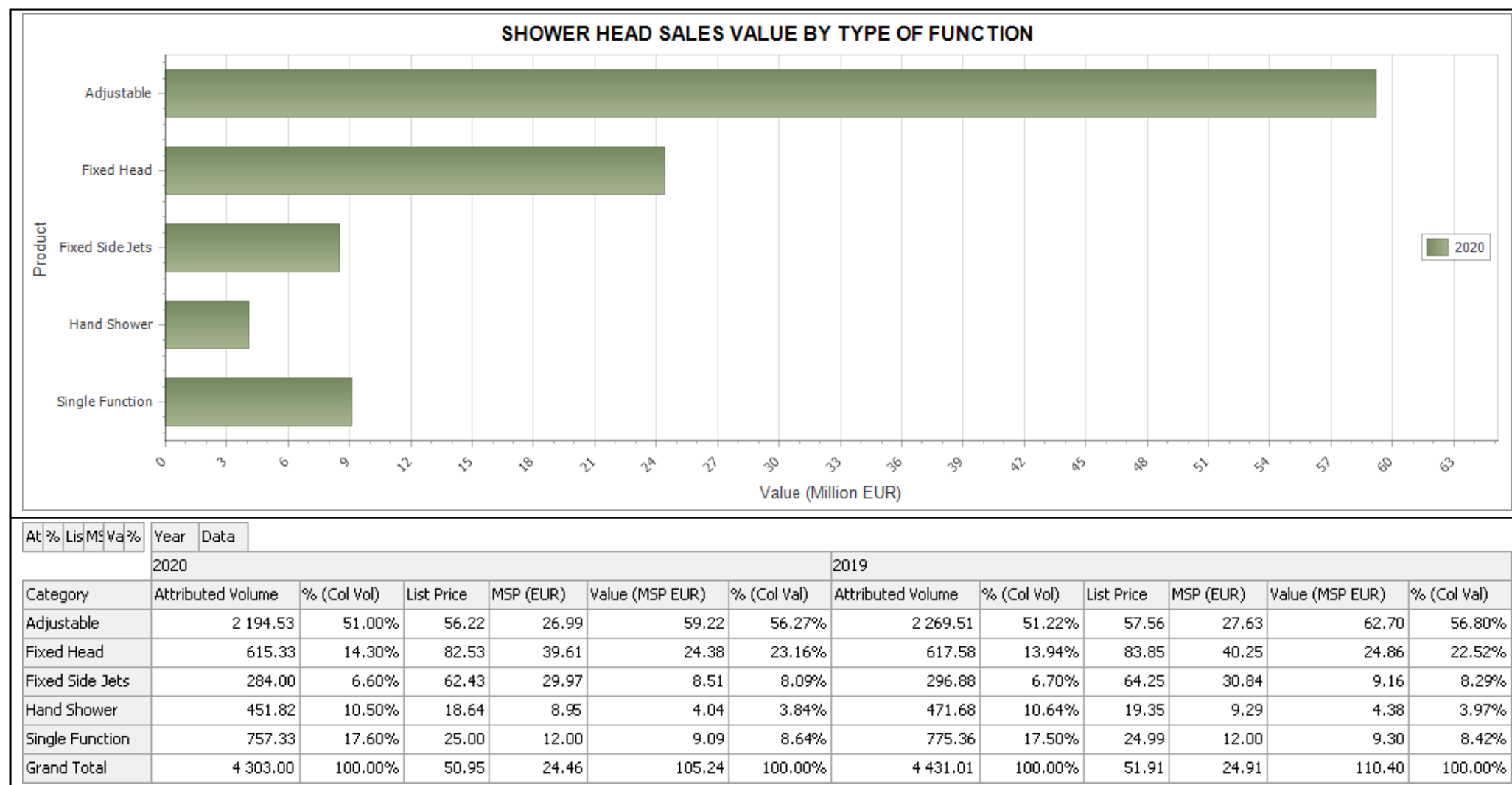
IT - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.2 Prices and Market Values by Type : Shower Heads

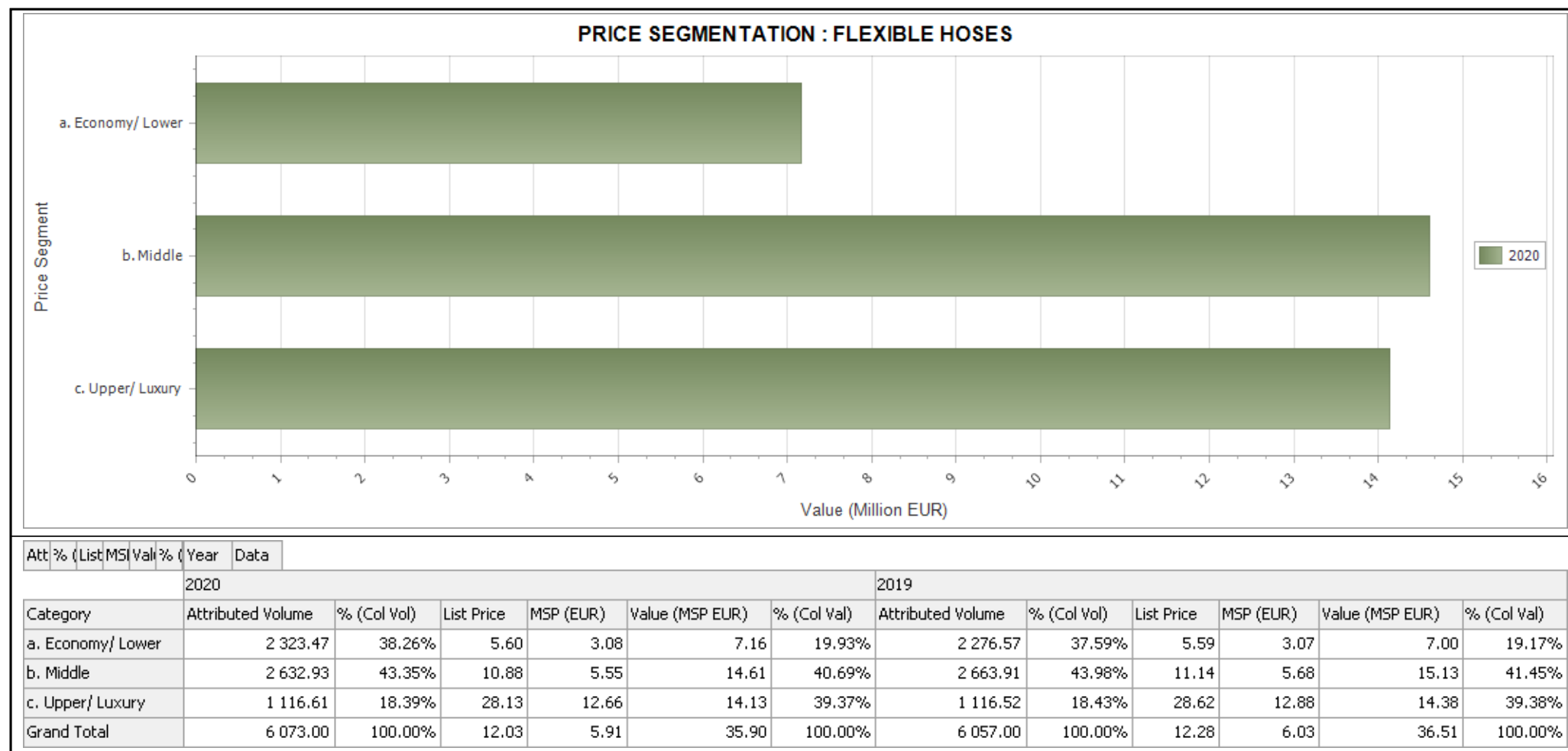
IT - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

7.3.3 Price Segmentation : Flexible Hoses

IT - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

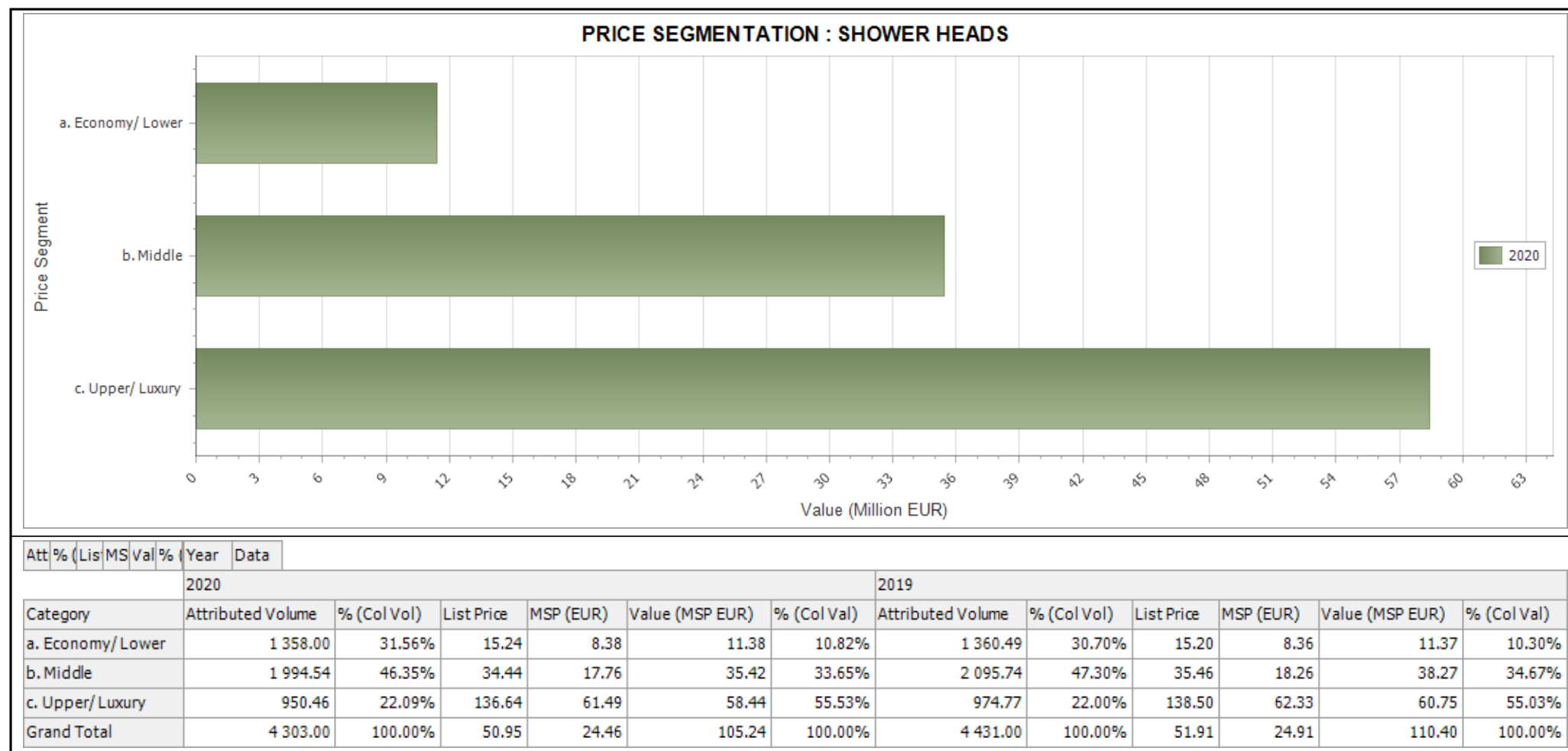


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€4, Middle €4-€8, Upper/ Luxury >€8

7.3.4 Price Segmentation : Shower Heads

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

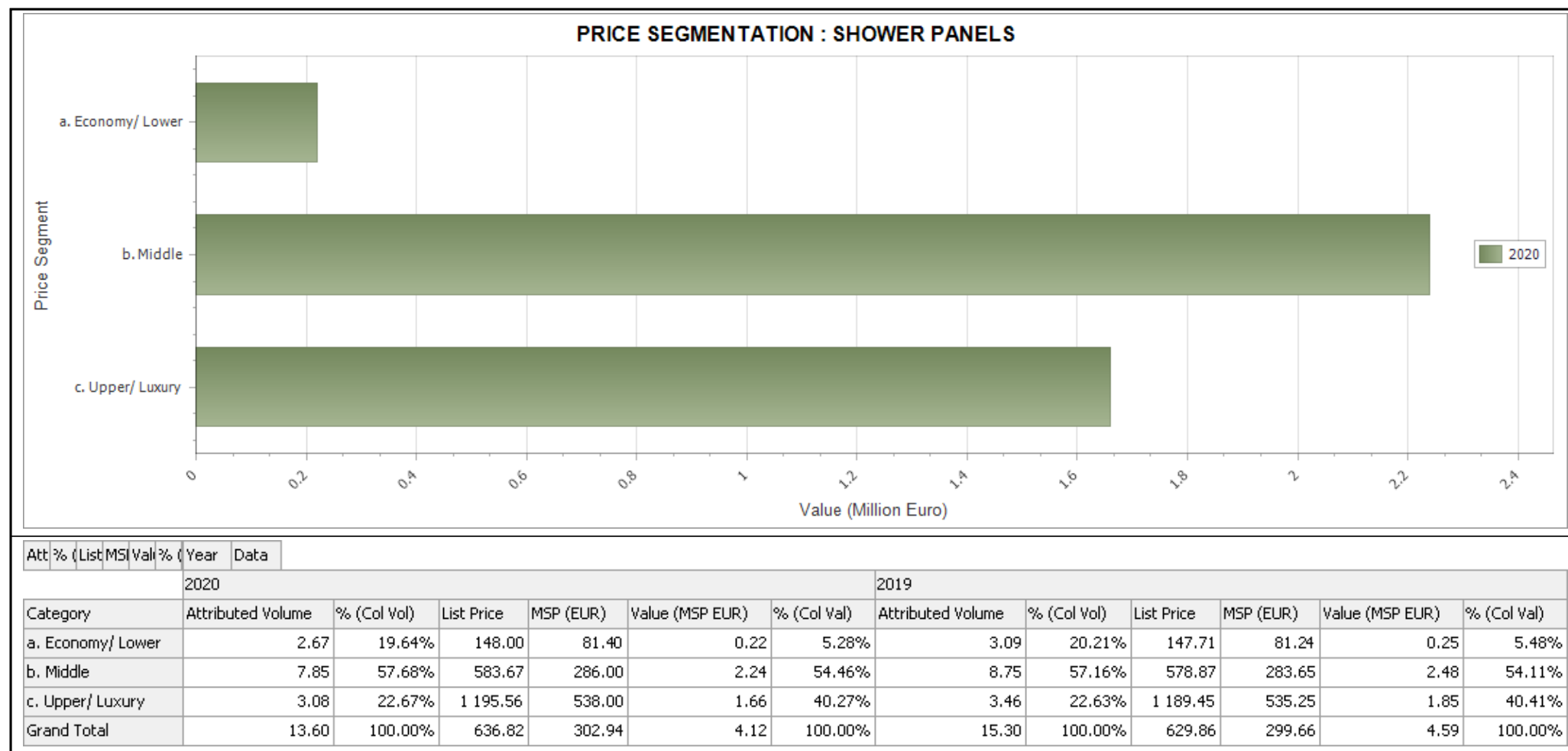


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€25, Upper/ Luxury >€25

7.3.5 Price Segmentation : Shower Panels

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

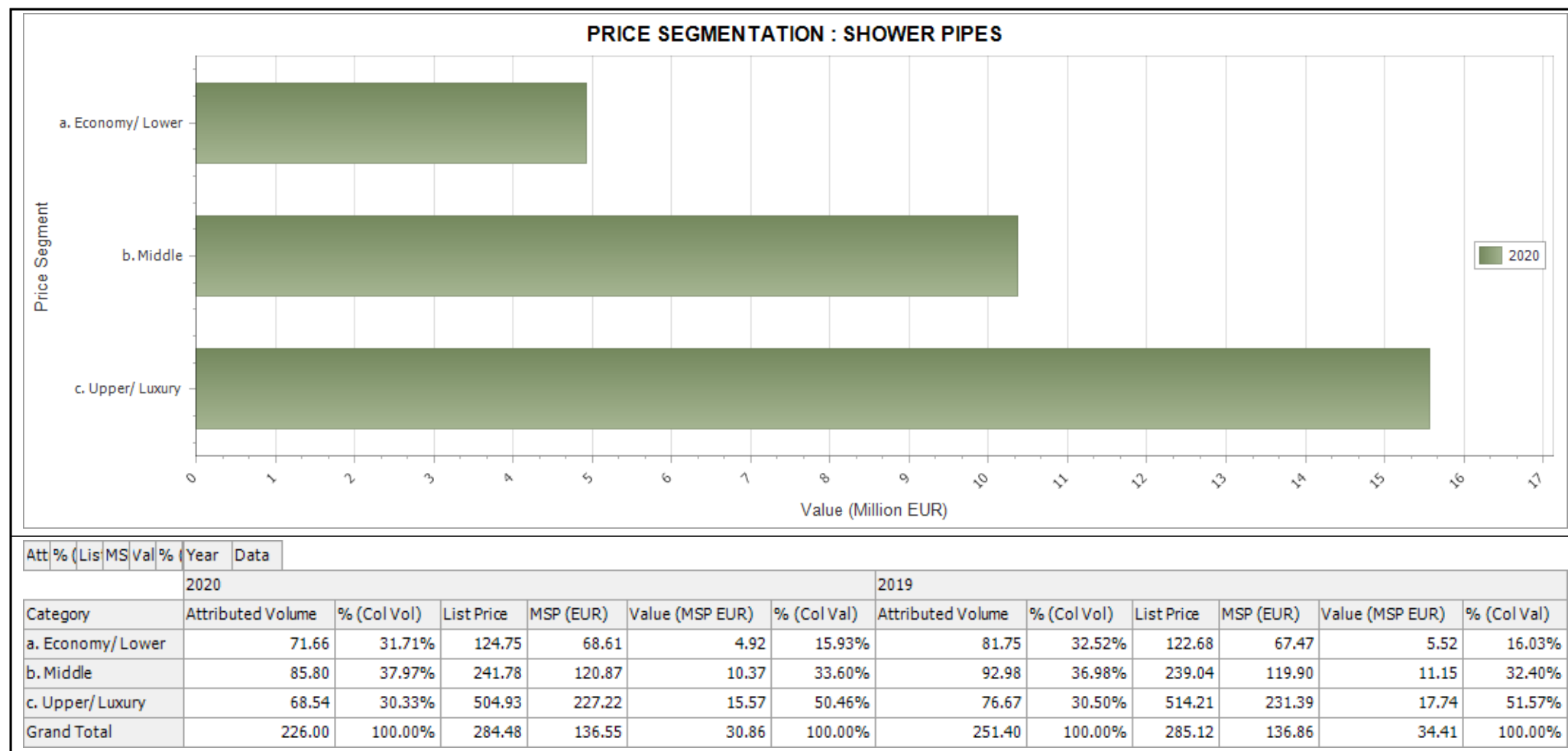


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

7.3.6 Price Segmentation : Shower Pipes

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

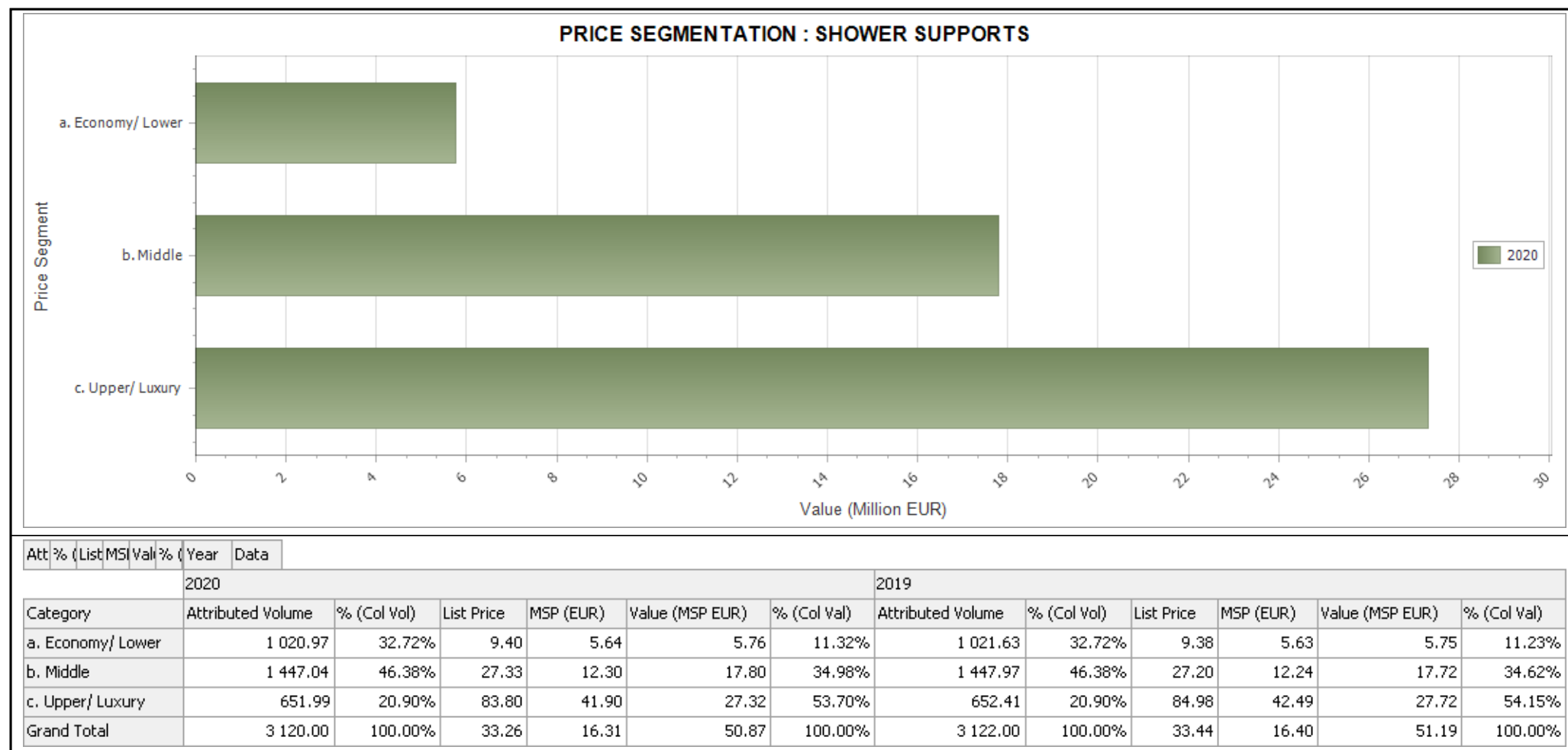


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

7.3.7 Price Segmentation : Shower Supports

IT - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

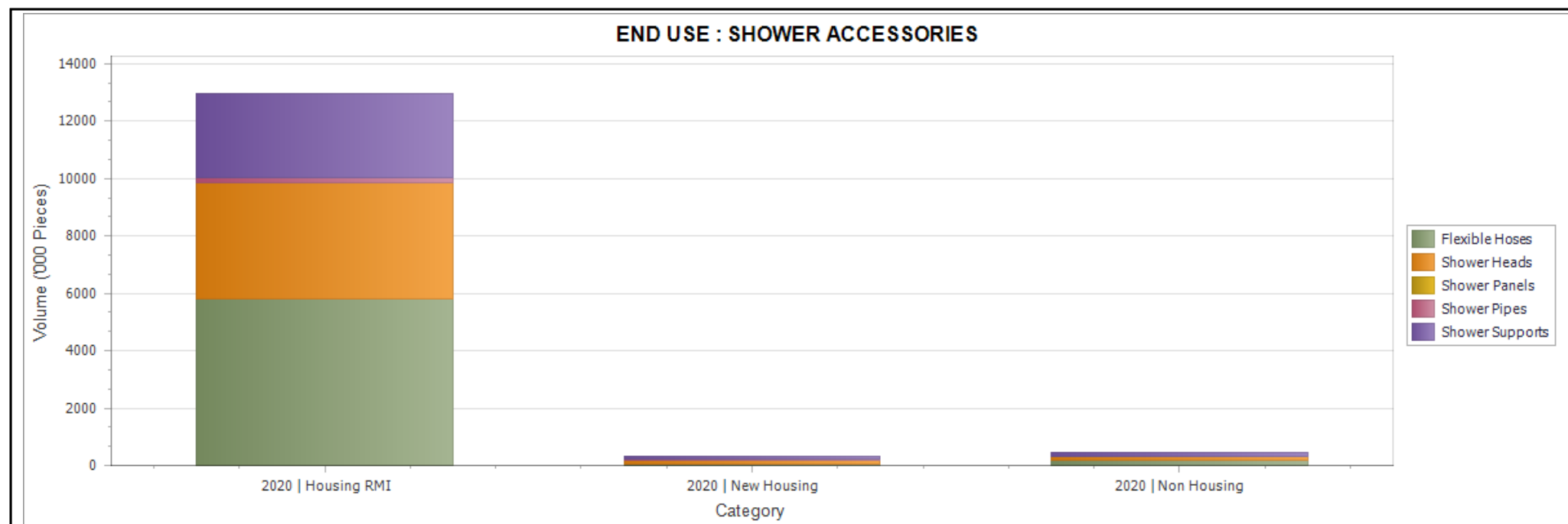


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€15, Upper/ Luxury >€15

7.4.1 End Use : Base Year

IT - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

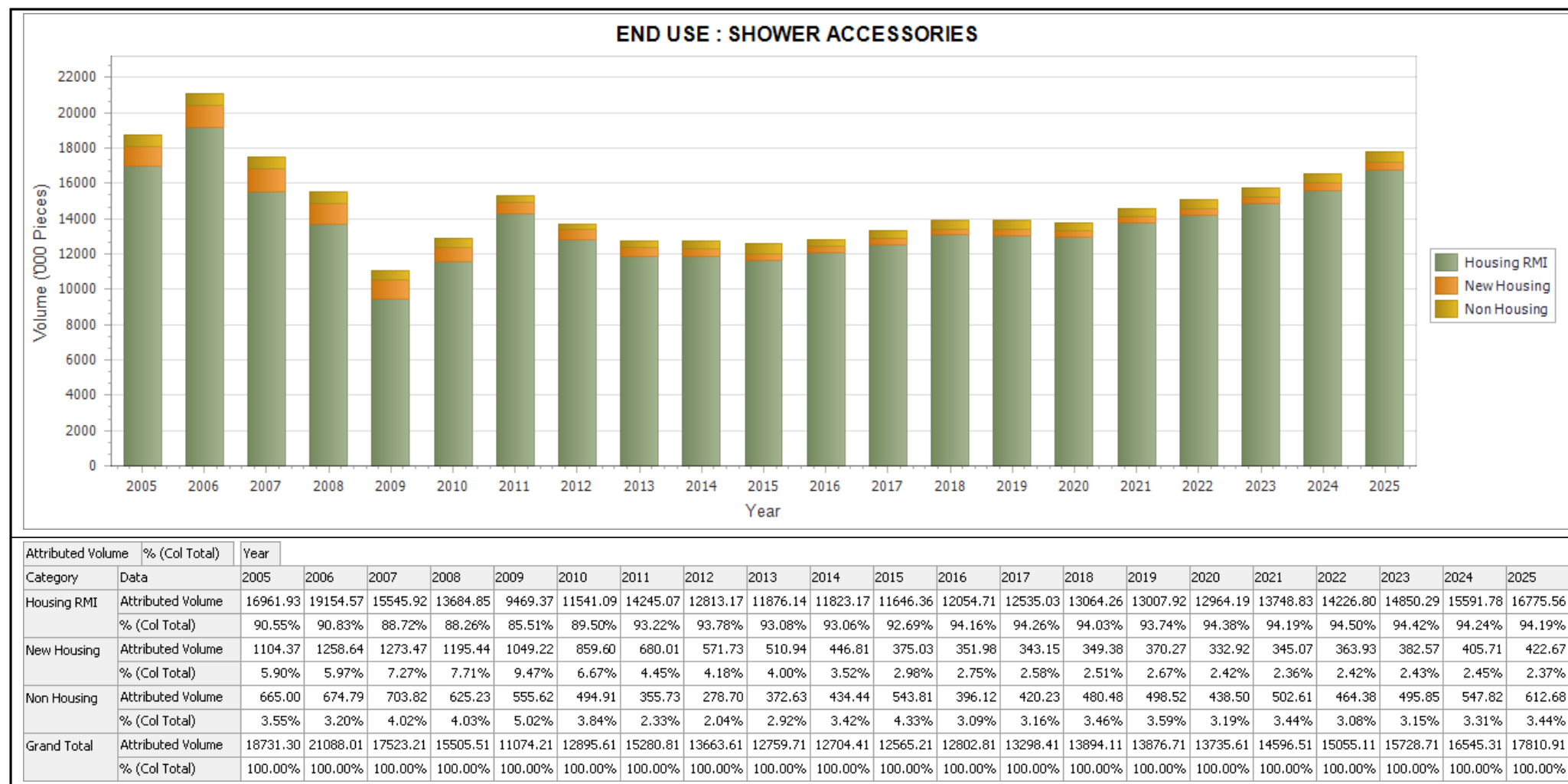


Attribu	% (Co	% (Ro	Year	Category	Data								
2020										Grand Total			
Housing RMI			New Housing			Non Housing							
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	
Flexible Hoses	5822.14	44.91%	95.87%	60.32	18.12%	0.99%	190.54	43.45%	3.14%	6073.00	44.21%	100.00%	
Shower Heads	4031.02	31.09%	93.68%	134.30	40.34%	3.12%	137.68	31.40%	3.20%	4303.00	31.33%	100.00%	
Shower Panels	10.84	0.08%	79.70%	1.52	0.46%	11.17%	1.24	0.28%	9.13%	13.60	0.10%	100.00%	
Shower Pipes	189.06	1.46%	83.65%	30.00	9.01%	13.27%	6.95	1.58%	3.07%	226.00	1.65%	100.00%	
Shower Supports	2911.14	22.46%	93.31%	106.78	32.07%	3.42%	102.09	23.28%	3.27%	3120.00	22.71%	100.00%	
Grand Total	12964.19	100.00%	94.38%	332.92	100.00%	2.42%	438.50	100.00%	3.19%	13735.61	100.00%	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.2 End Use : Historical and Forecasts

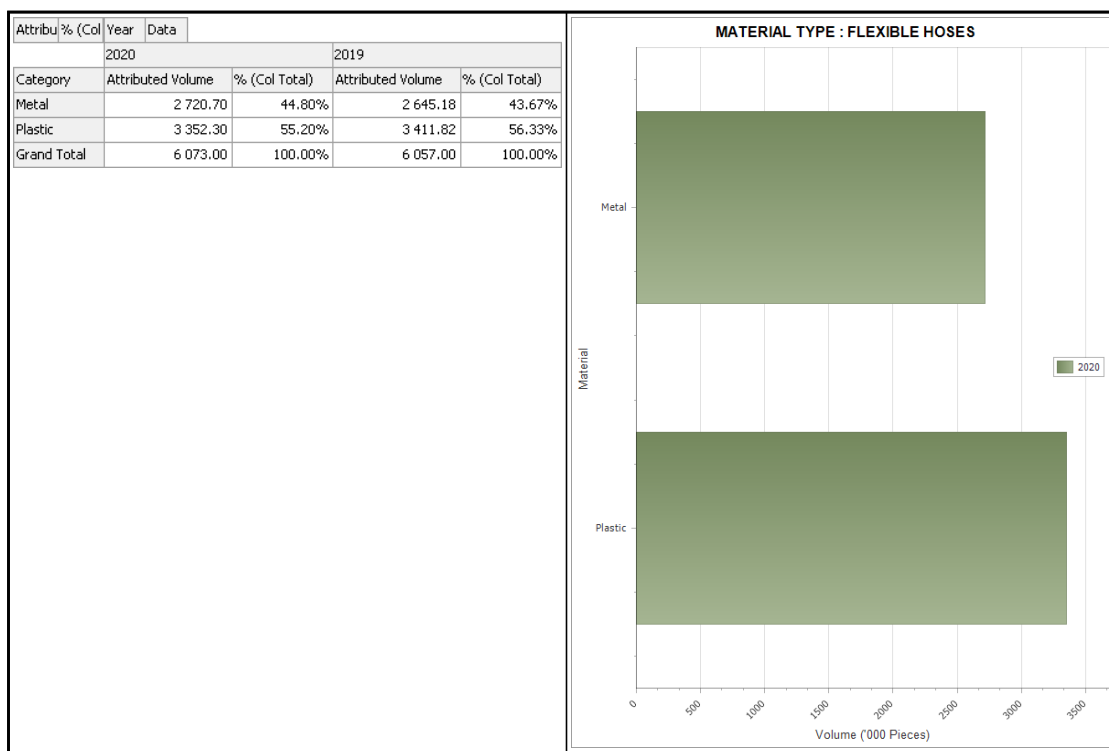
IT - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.3 Sales By Type of Material : Flexible Hoses

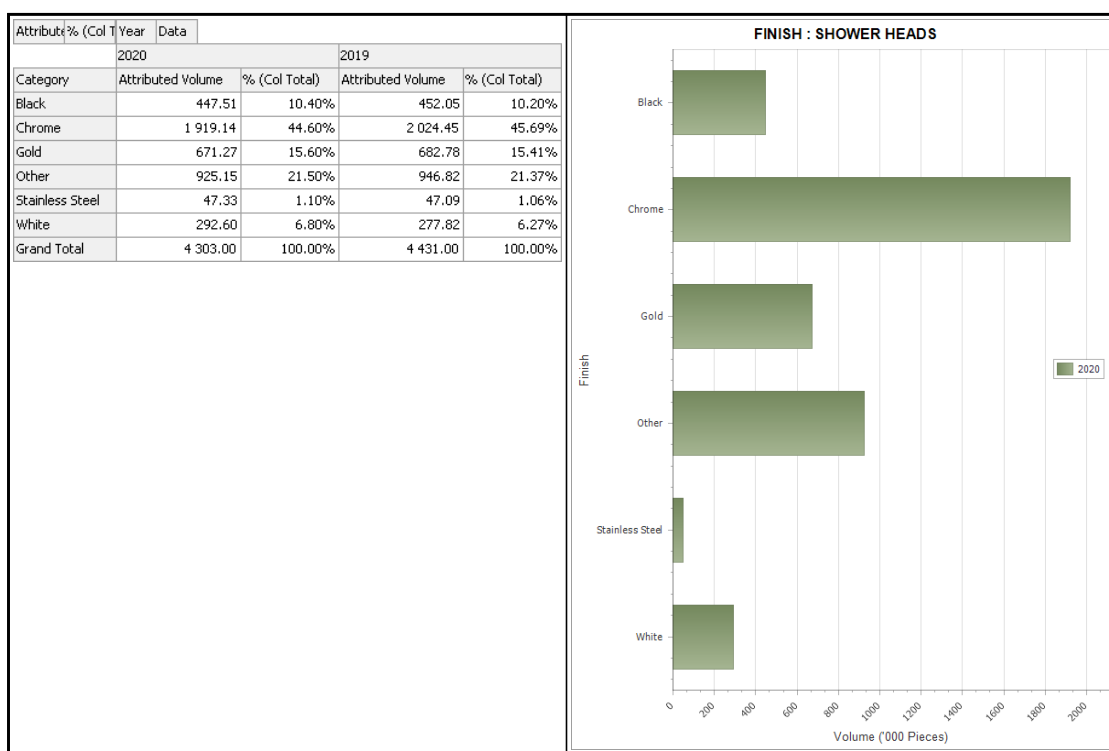
IT - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.4 Sales by Type of Finish : Shower Heads

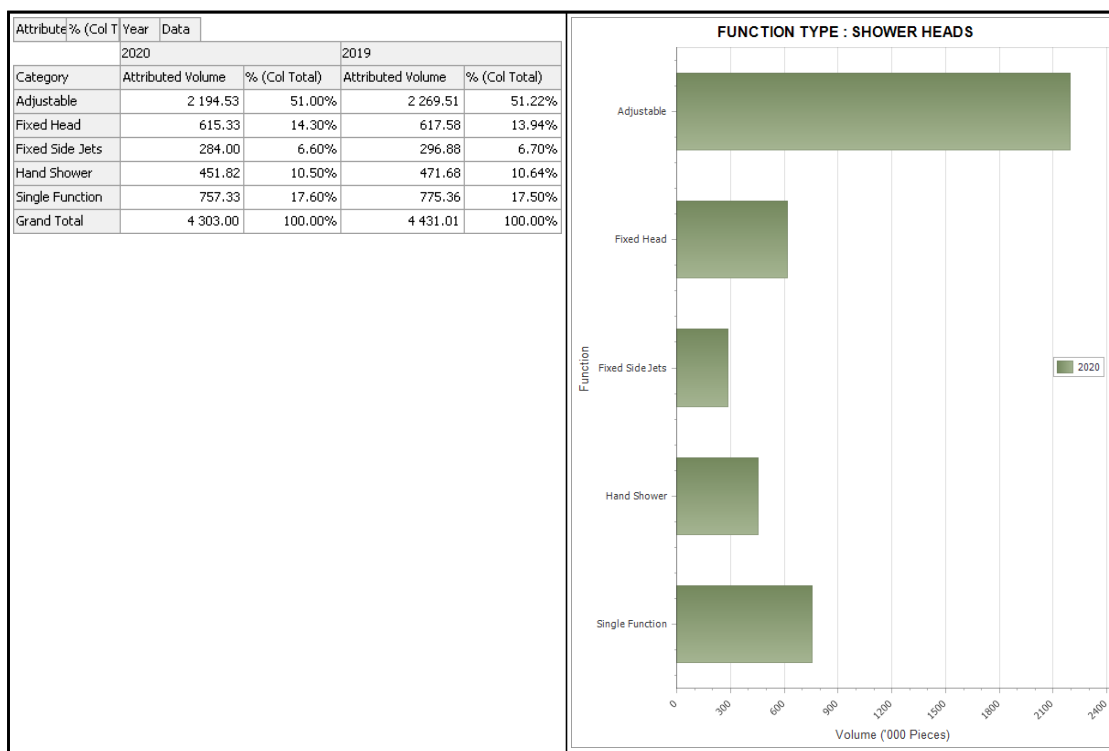
IT - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.5 Sales By Type of Function : Shower Heads

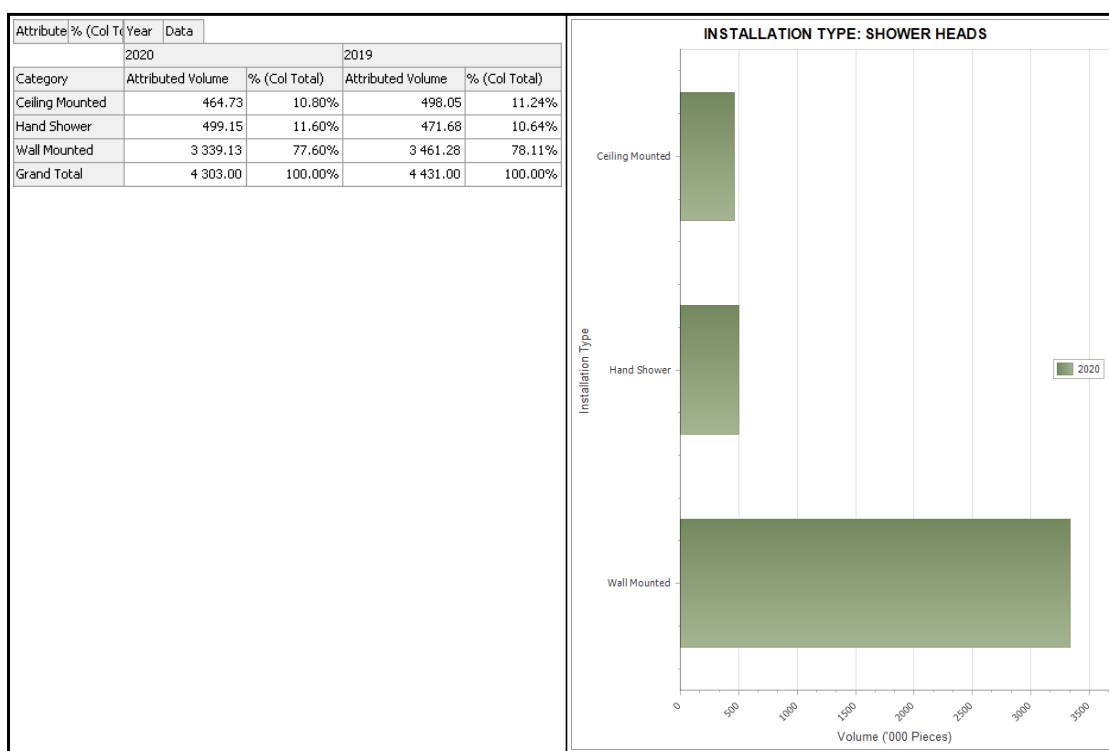
IT - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.6 Sales by Type of Installation : Shower Heads

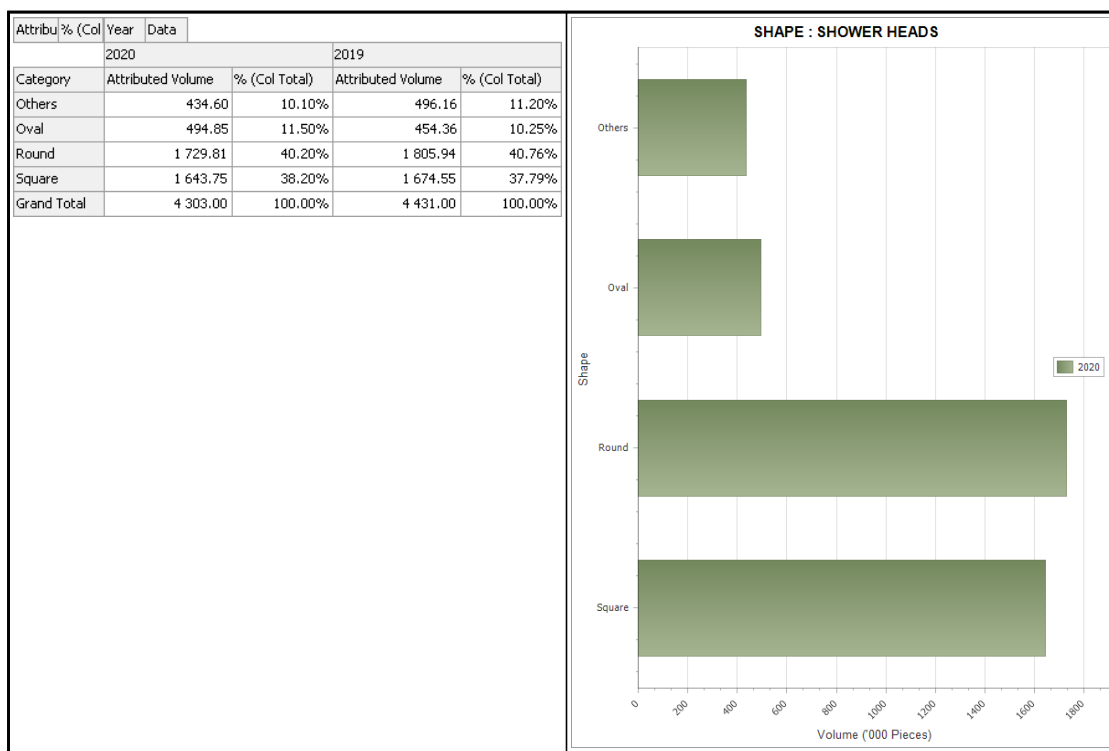
IT - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.7 Sales By Type of Shape : Shower Heads

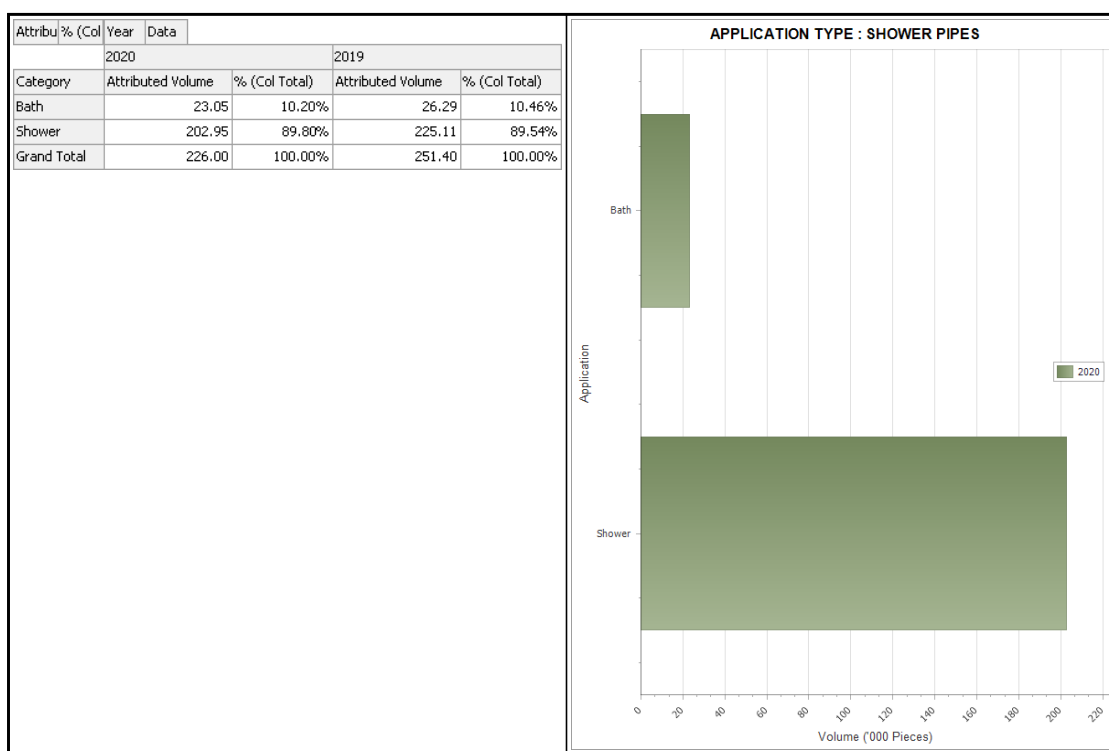
IT - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.8 Sales by Type of Application : Shower Pipes

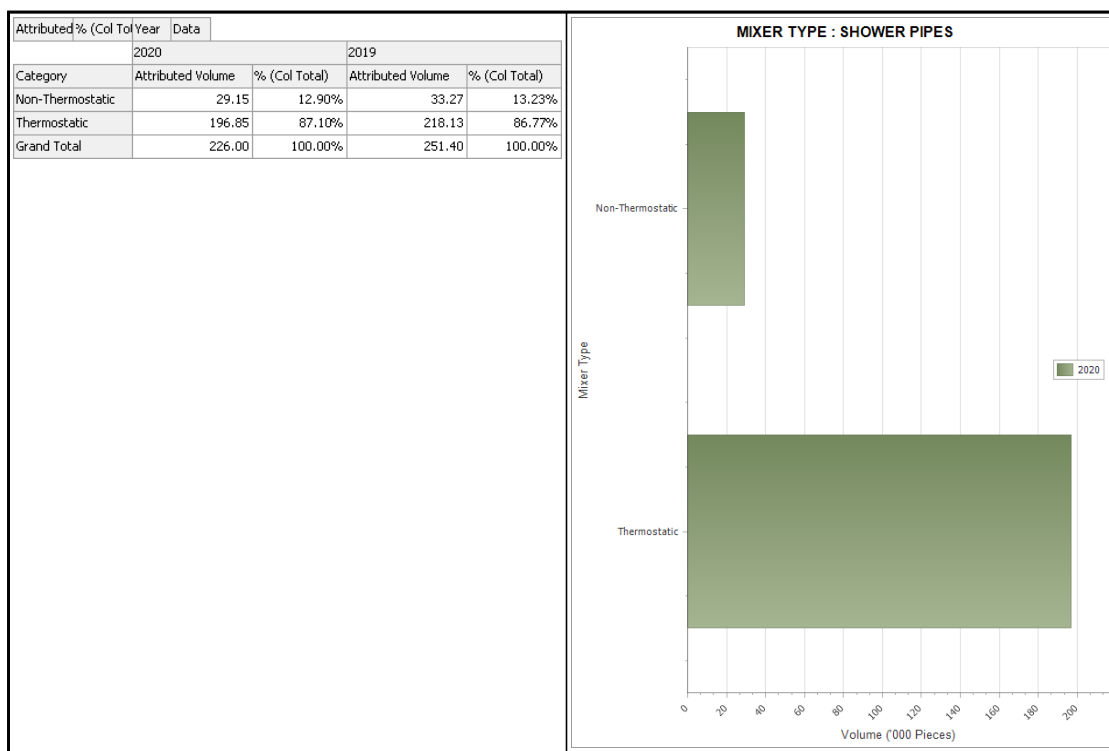
IT - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.9 Sales by Type of Mixer : Shower Pipes

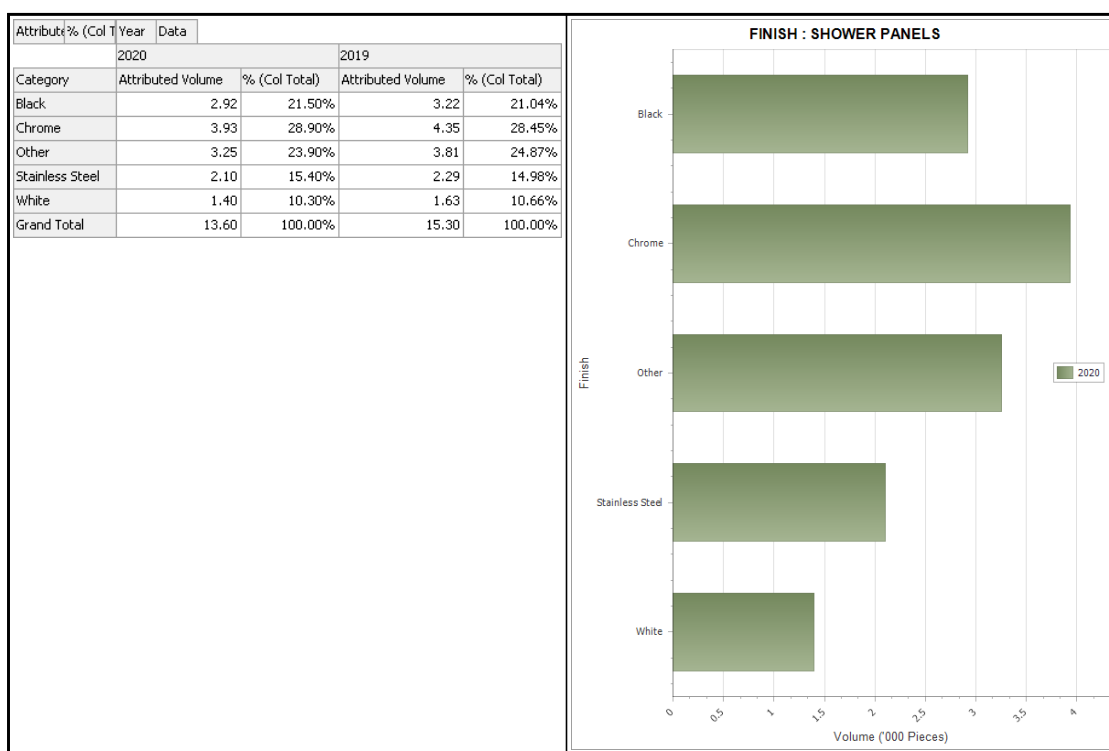
IT - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

7.4.10 Sales by Type of Finish : Shower Panels

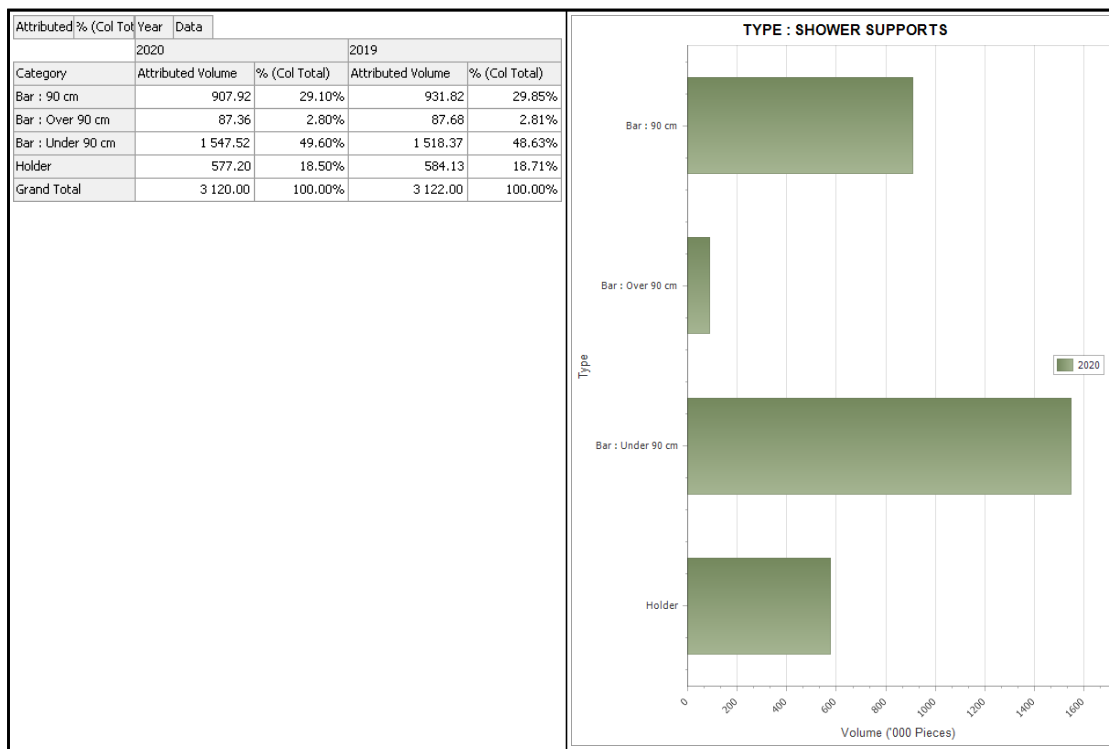
IT - SHOWER PANEL SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.4.11 Sales By Type : Shower Supports

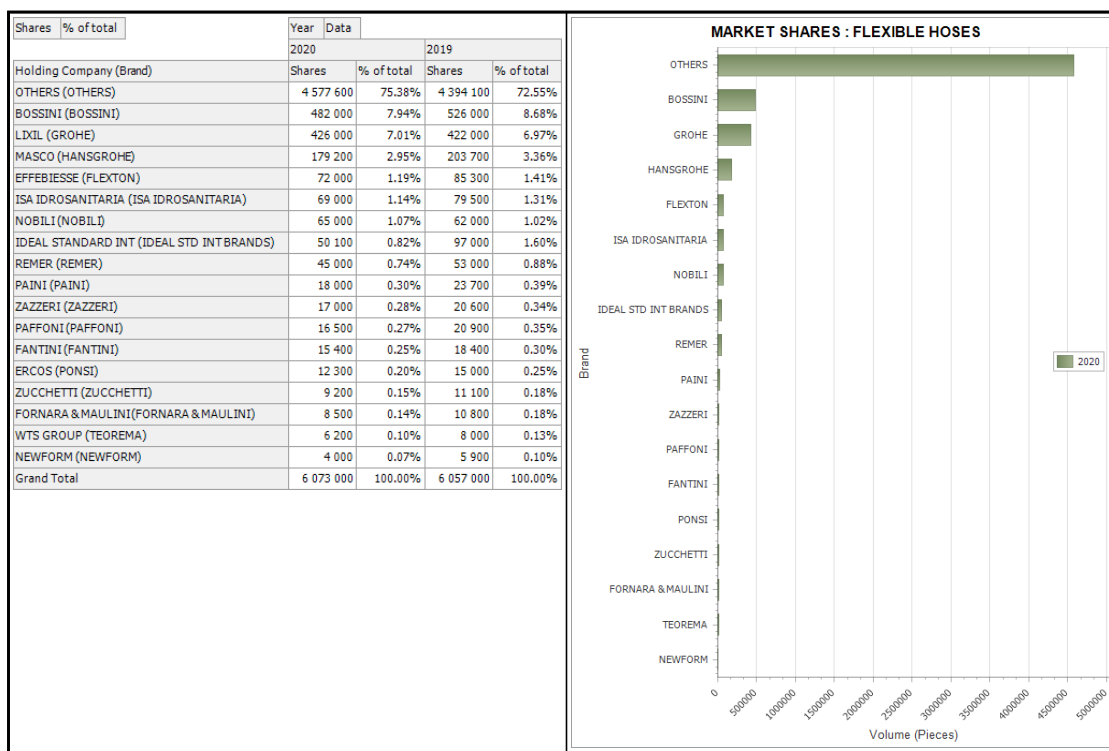
IT - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

7.5.1 Market Shares : Flexible Hoses

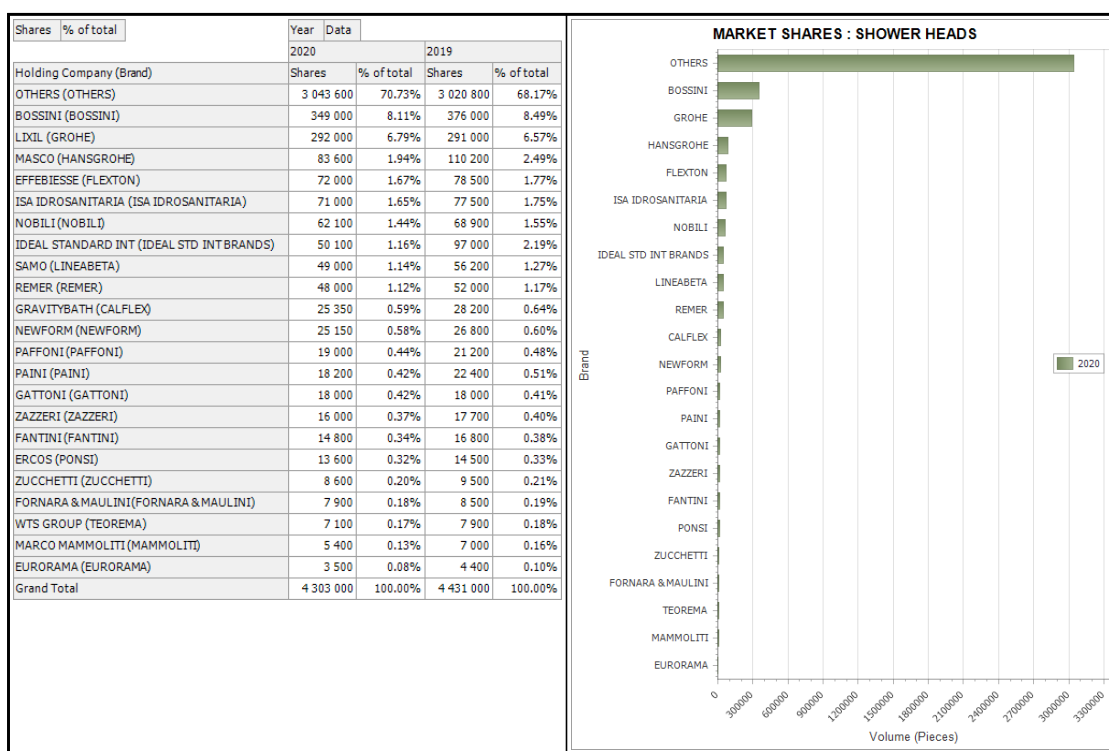
IT - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

7.5.2 Market Shares : Shower Heads

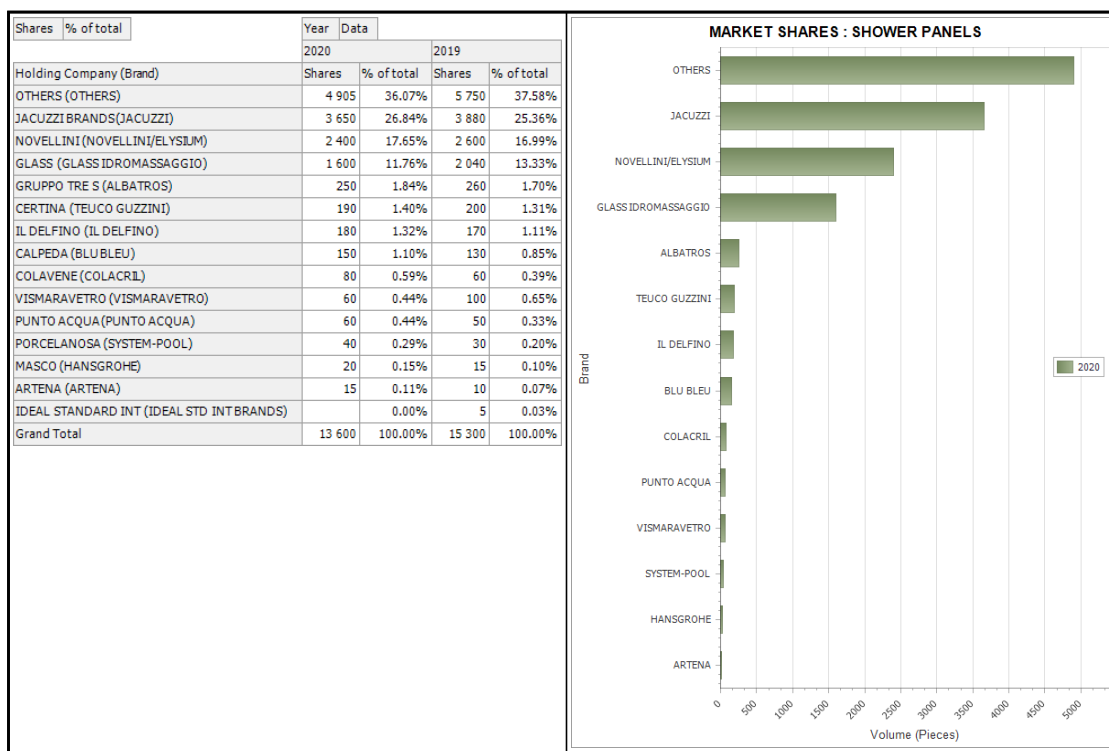
IT - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

7.5.3 Market Shares : Shower Panels

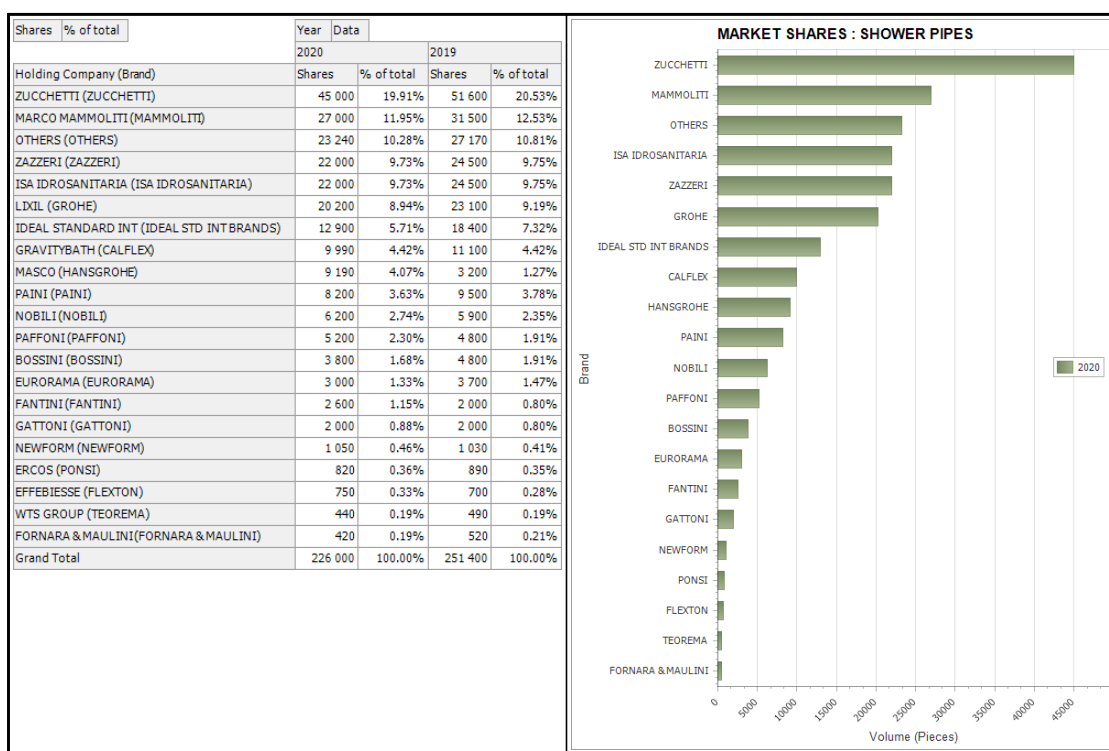
IT - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

7.5.4 Market Shares : Shower Pipes

IT - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

7.6.1

Route to Market: Shower Accessories
IT - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

62.2%
Wholesalers / Merchants
62.2%

Retail Level

Manufacturer	Wholesaler
1.2%	6.2%
Internet Retailers	
7.4%	

Manufacturer	Wholesaler
13.6%	19.8%
DIY Retailers	
33.4%	

Manufacturer	Wholesaler
15.2%	10.5%
Specialist Retailers	
25.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.5%	25.5%	1.5%	17.4%	2.2%
Installers				
52.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.6%	0.1%	5.9%	15.5%	23.1%	50.6%
Residential					
96.8%					

New Build			Residential RMI		
2.4%			94.4%		
Project	Non-Project		Project	Non-Project	
0.7%	1.7%		9.4%	84.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	0.1%	0.0%	0.5%	0.4%	1.4%
Non-Residential					
3.2%					

New Build			Non-Residential RMI		
0.5%			2.7%		
Project	Non-Project		Project	Non-Project	
0.4%	0.1%		1.2%	1.5%	

7.6.2

Route to Market: Shower Accessories
IT - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

61.8%
Wholesalers / Merchants
61.8%

Retail Level

Manufacturer	Wholesaler
1.6%	7.8%
Internet Retailers	
9.4%	

Manufacturer	Wholesaler
14.9%	22.2%
DIY Retailers	
37.1%	

Manufacturer	Wholesaler
14.5%	10.2%
Specialist Retailers	
24.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
4.8%	21.4%	1.9%	19.3%	2.5%
Installers				
49.9%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
1.5%	0.1%	7.5%	17.8%	22.2%	47.4%
Residential					
96.6%					

New Build			Residential RMI		
2.4%			94.2%		
Project	Non-Project		Project	Non-Project	
0.7%	1.7%		9.4%	84.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	0.1%	0.0%	0.0%	0.0%	2.5%
Non-Residential					
3.4%					

New Build			Non-Residential RMI		
0.6%			2.8%		
Project	Non-Project		Project	Non-Project	
0.5%	0.1%		1.3%	1.6%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

7.6.3 Route to Market - Consolidated View : Shower Accessories

IT - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2020

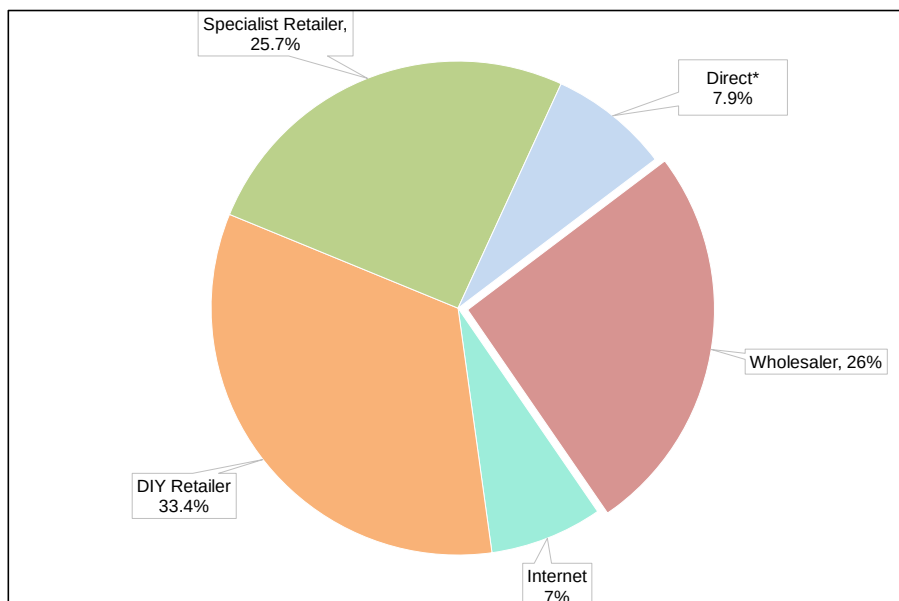
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
25.7%	7.4%	33.4%	25.7%	7.9%	10.2%	1.6%	86.6%	1.6%
100%					11.8%		88.2%	

7.6.4 Route to Market - Consolidated View : Shower Accessories

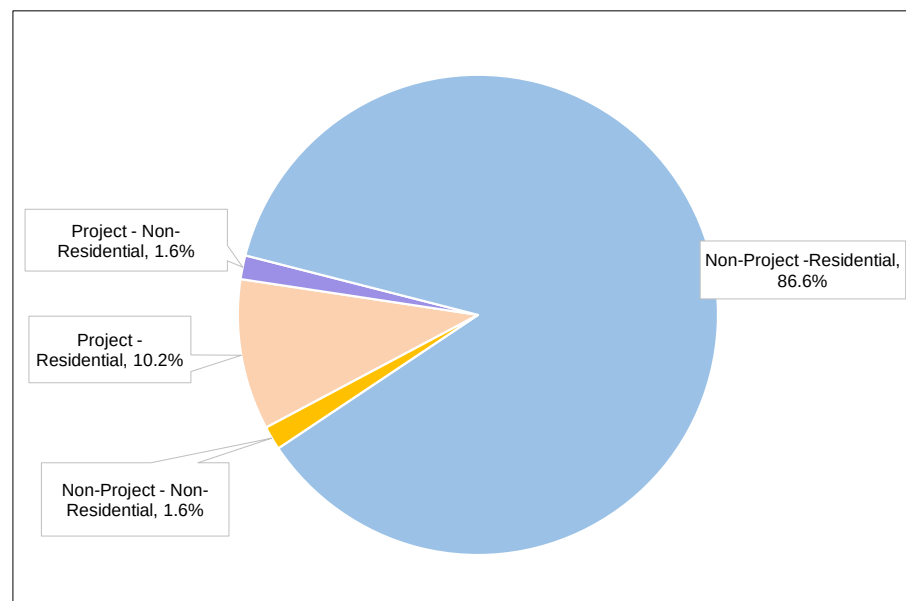
IT - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.7%	9.4%	37.1%	24.6%	7.2%	10.1%	1.7%	86.4%	1.7%
100%					11.9%		88.1%	

IT - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2020



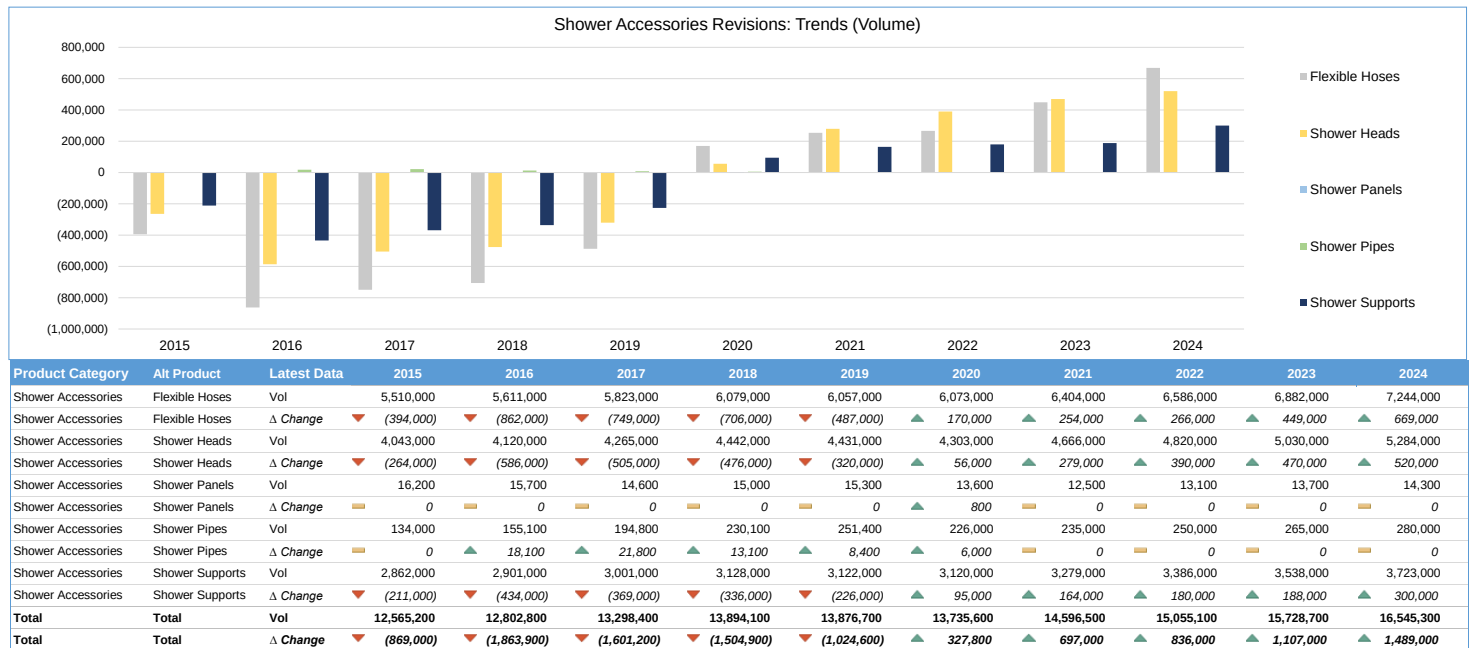
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

7.7 Revisions in the Italian Shower Accessories Market (April 2021)

IT - REVISIONS IN THE ITALIAN SHOWER ACCESSORIES MARKET

Data Comparison: October 2020



Following revisions made to the market size for bath and shower mixers, as part of the taps and mixer report, it has been necessary to make revisions to the data for all types of shower accessories, apart from shower pipes and shower panels. Taps and mixers were revised down, and therefore shower accessories, due to an overstatement of imports from China. Most leading manufacturers, most notable PAINI, NOBILI and PAFFONI, also produce in (South East) Asia, as well as producing locally in Italy, so some of these volumes were double counted in previously published data.

No or only marginal revisions were made to the historical MSPs for Shower Accessories.

ITALY

KITCHEN SINKS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The exponential growth of kitchen sinks was driven by the significant boost in the 1990s, when companies, in order to shake-up the market, launched new product ranges with new characteristics at the level of materials and resistance to use. The effect was twofold, not only temporarily helping sales but also significantly increasing product life and, as a result, lowering RMI sales. The result today is a market that continues to have relatively low RMI sales, compared to other bathroom and kitchen product categories.

The product mix has undergone multiple changes in recent years, driven by changing consumer aesthetics and economic attitudes; the most significant of these changes is synthetic sinks challenging the long-standing dominance of stainless steel. After the introduction of new materials such as granite, synthetic sinks have achieved a new standard for aesthetics, ease of maintenance and durability, with long-term guarantees generally offered as standard. Notwithstanding posing a threat to the dominance of stainless steel at the top end of the market, thanks to their versatility and the considerable investment in design and quality, synthetic sinks are in the process of totally replacing ceramic in country and built-in kitchens.

The strength of synthetic sinks is linked to the ability to withstand high temperatures, chemical aggression, stains, scratches and chips, combined with the possibility of coming in as many colours as desired, and these qualities have transformed them into an optimal choice for any kitchen. Their adaptability can be noticed through their relatively dispersed sales in different types of installations, where their market shares in countertop and kitchenette sinks are larger than those of ceramic. However, in a market that has been price-driven, cost has been a huge factor and their average price (the highest across the board) of these products has prevented them from significantly increasing their share of the market in the last few years.

Nevertheless, stainless steel has remained the most popular product, principally because of price, ease to clean, resistance to wear, and availability in a variety of models due to the simplicity and speed of the manufacturing process – with low production costs. Ceramic sinks, on the other hand, have seen in recent years a considerable contraction due to heaviness and fragility, and as a result have had shares further eroded, principally by synthetic sinks.

Recent Market Trends

The outbreak of the COVID-19 pandemic crucially affected the development of the Italian economy in 2020. The cessation of activity across diverse sectors of the economy, which took place from 11 March until 4 May, had a great impact on private investment, construction activities and RMI demand.

An inevitable consequence of the above has been the negative impact on the kitchen sink market.

In 2020, sales of ceramic kitchen sinks declined when compared to the previous year, mainly due to the postponements in renovation decisions. In terms of installation type, there has been an increase in demand for inset sinks (which are sinks inserted from above into a countertop), mainly due to their affordability. Also, in 2020 there was an increase in demand for ceramic sinks with one and two bowls – at the expense of sinks with 1.5 bowls, which are becoming less and less popular.

Sales of stainless steel kitchen sinks significantly decreased in 2020 when compared to the previous year, mainly due to the erosion of the RMI segment but also due to the increased competition from synthetic kitchen sinks – which in recent years have continued to gain share at the expense of stainless steel. In terms of installation type, there has been an increase in sales of undermount sinks, although inset sinks continue to account for the bulk of sales. In terms of configuration, in 2020 there was an increase in demand for two-bowl sinks.

Finally, sales of synthetic kitchen sinks declined in 2020 when compared to the previous year, due to the considerable decrease in RMI demand as well as the strong decline within the new housing and non-housing markets. In terms of installation type, in 2020, as with stainless steel kitchen sinks, there was an increase in demand for undermount sinks – whereby in terms of configuration, even though there was an increase in sales of two-bowl sinks, one-bowl versions continued to account for more than half of all sales.

Despite the overall decline of the market, synthetic sinks performed better than the other sink types in 2020 as a result of their greater versatility and degree of personalisation in length and shape, and because of their relative lightness when compared to ceramic or steel product alternatives. This follows the latest trend for the kitchen being open to other spaces of the house, with modular solutions and materials being able to meet a greater desire for functionality and integration.

The distribution channel for kitchen sinks has been among the slowest to develop within the bathroom/kitchen market, with limited sales through internet specialists due to the complexity of kitchen installations and the cost of only being able to sell one piece per transaction. The DIY market is also struggling to gain a real foothold, although the developments made by large DIY distributors to improve their installation and after-sales service are continuing to prompt sales growth.

Prices and Market Values

In 2020, despite the fact that there was a modest increase in the average MSPs (manufacturers' selling prices), mainly due to inflation, the market value for kitchen sinks significantly decreased due to the decrease in volume sales.

New Housing

The kitchen sink market maintains a relatively high reliance on the new housing segment, as almost every household requires at least one kitchen sink. Despite the high preference given to stainless steel sinks in new housing, given the low price and light weight, sales of synthetic sinks are by far the most reliant on the new housing market, as these products are often chosen as a sleek alternative to stainless steel.

Housing RMI

Replacement demand is recognised as the most significant for kitchen sinks, due to the maturity of the market and the relatively limited new dwelling activity, and there are few substitutions that can be made outside the product family. Stainless steel kitchen sinks have long dominated this segment, although as the park of synthetic sinks grows, a further consolidation of their position within the product mix is likely to accelerate in the coming years.

Non-Housing

Kitchen products tend to have a smaller non-housing market, as not every commercial building requires a kitchen, unlike with bathrooms. The main non-housing markets for kitchen sinks are food processing businesses such as restaurants and bars, as well as structures like hospitals, schools, clinics, offices, campsites, and hotels. In these segments, stainless steel is the dominant product sold – due to its higher resistance to wear and tear and hygiene.

Supply Structure

The supply of stainless steel and synthetic sinks sees the Swiss firm FRANKE in a position of leadership, and it has succeeded in widening its product offering to be compatible with the taps and mixers of major Italian manufacturers. Notably MAMOLI, under the co-ownership of FRANKE, began the production of kitchen taps and mixers, with the clear intent to further strengthen the market positioning of the Swiss company in the Italian market of sinks. Despite several furniture and kitchen manufacturers relying on FRANKE products, this has exposed the manufacturer of sinks to the volatility of the new build market and the purchasing power of end-use consumers. FRANKE imports the totality of its synthetic sinks from the UK from FRANKE's CARRON PHOENIX, manufacturing under the subsidiary FRANKE ITALIA and commercialising the majority of its products abroad.

The SMEG group, a specialist in white goods but also a main player in stainless steel sinks, remains the third-biggest player in the market. It sells its sinks through two main brands, APELL and SMEG, and concentrates production for domestic demand mainly in Italy (selling 25% abroad). FOSTER is a specialist in the commercial, industrial and institutional sectors, manufacturing products such as

stainless steel worktops and sinks, mainly for restaurants.

The ceramic sinks market is dominated by GEBERIT, which holds almost fifty per cent of the market share, while the rest of the market mainly belongs to ceramic specialists rather than kitchen product specialists. Manufacturers included in the 'others' category are, again, mostly ceramic specialists, and include DURAVIT, BLANCO, and GALASSIA.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

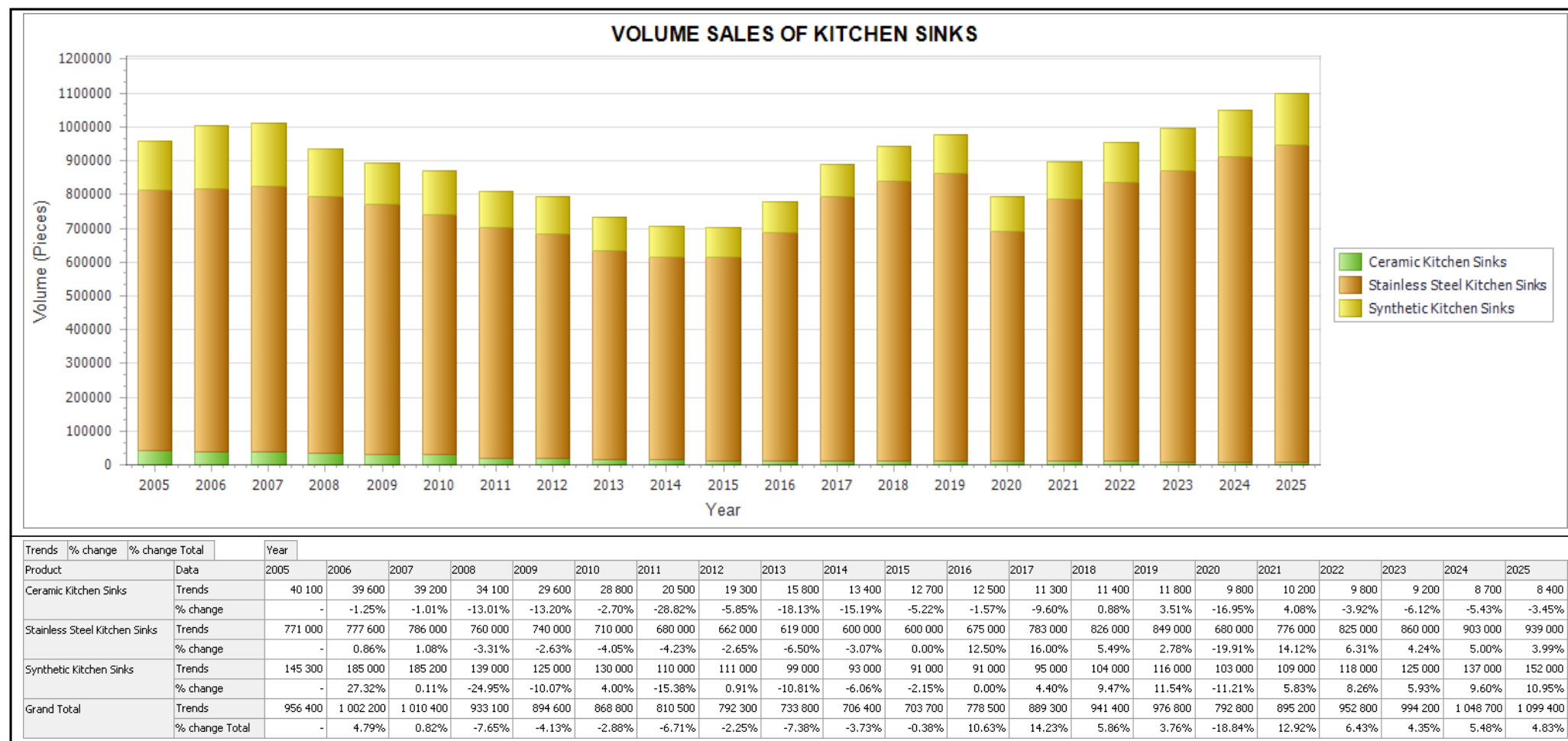
In 2021 sales of all kitchen sink product types are expected to increase, in line with the increase in private investment, resumption in construction activity and improvement in RMI demand.

The development of the purchasing power and RMI activity remain the strongest variables to account for in analysing the forecast of the market for kitchen sinks for stainless steel and synthetic product variants. Sales for both product types should continue to grow in 2022 and throughout the forecast period, as RMI demand is expected to accelerate. On the other hand, sales of ceramic kitchen sinks are likely to decrease in 2022 and continue to decline, year on year, over the forecast period, mainly due to a poor demand deriving from renovation works.

Within the product mix, it is expected that most sinks' product alternatives will lose further share to stainless steel in the long term, as it remains more affordable than synthetic and ceramic models, and lighter than cast iron or enamelled steel.

8.2 Historical Trends and Forecasts : Kitchen Sinks

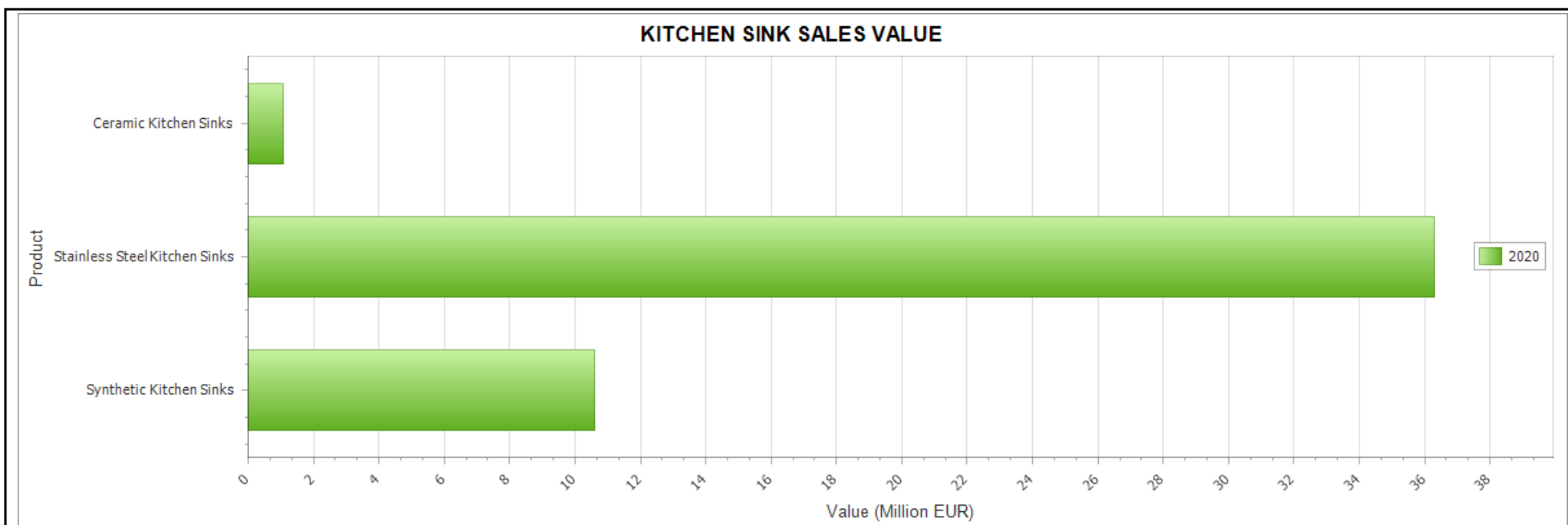
IT - SUMMARY OF TRENDS IN THE KITCHEN SINK MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

8.3.1 Prices and Market Values : Kitchen Sinks

IT - ESTIMATED VALUES OF THE KITCHEN SINK MARKET

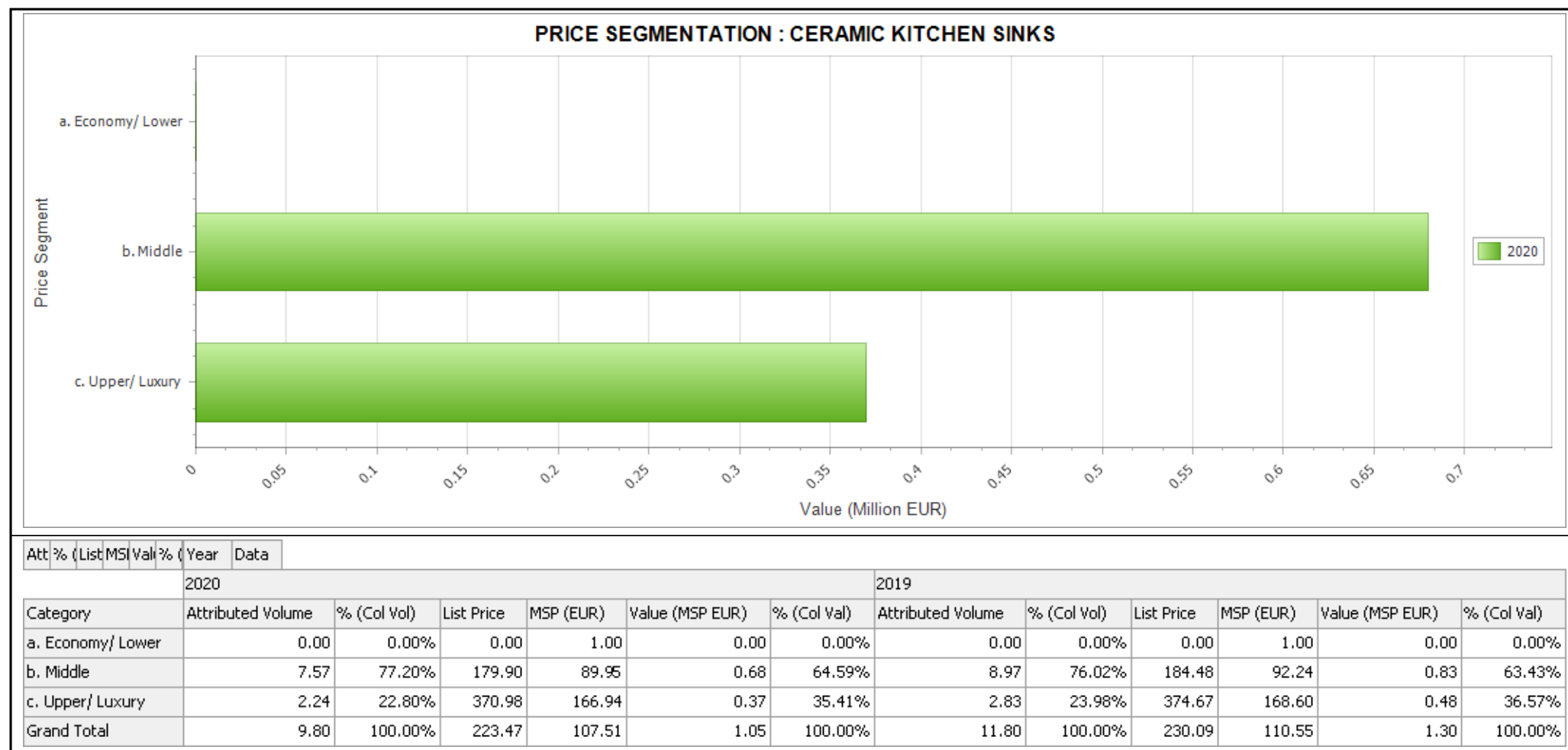


Volumes	MSP (EUR)	Value (MSP)	Year	Data		
			2020	2019		
Product	Volumes	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (EUR)	Value (MSP EUR)
Ceramic Kitchen Sinks	9 800	107.50	1.05	11 800	110.55	1.30
Stainless Steel Kitchen Sinks	680 000	53.38	36.30	849 000	50.31	42.71
Synthetic Kitchen Sinks	103 000	102.87	10.60	116 000	100.35	11.64
Grand Total	792 800	60.48	47.95	976 800	56.98	55.66

Source: BRG based on industry interviews. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

8.3.2 Price Segmentation : Ceramic Kitchen Sinks

IT - ESTIMATED PRICE SEGMENTATION FOR CERAMIC KITCHEN SINKS

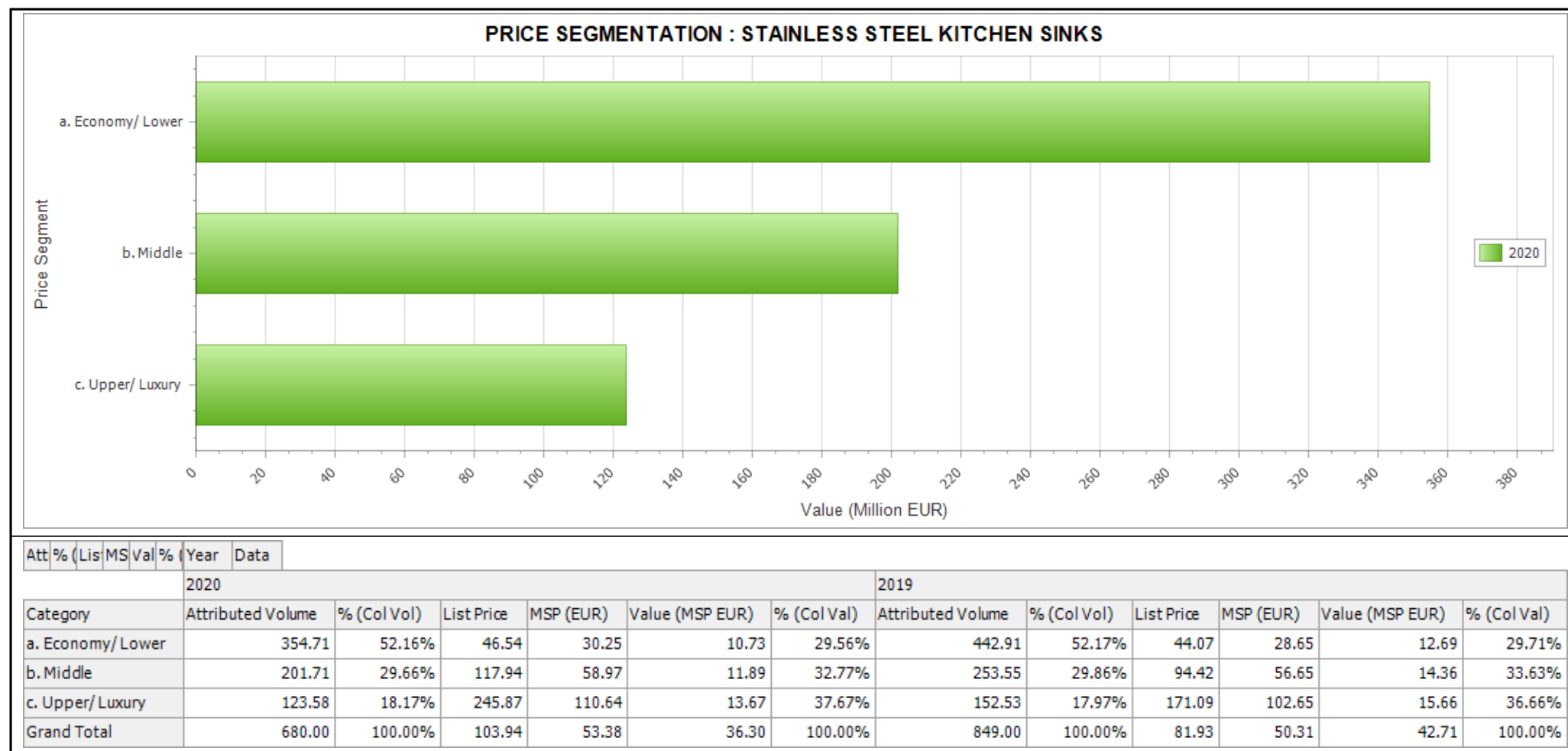


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

8.3.3 Price Segmentation : Stainless Steel Kitchen Sinks

IT - ESTIMATED PRICE SEGMENTATION FOR STAINLESS STEEL KITCHEN SINKS

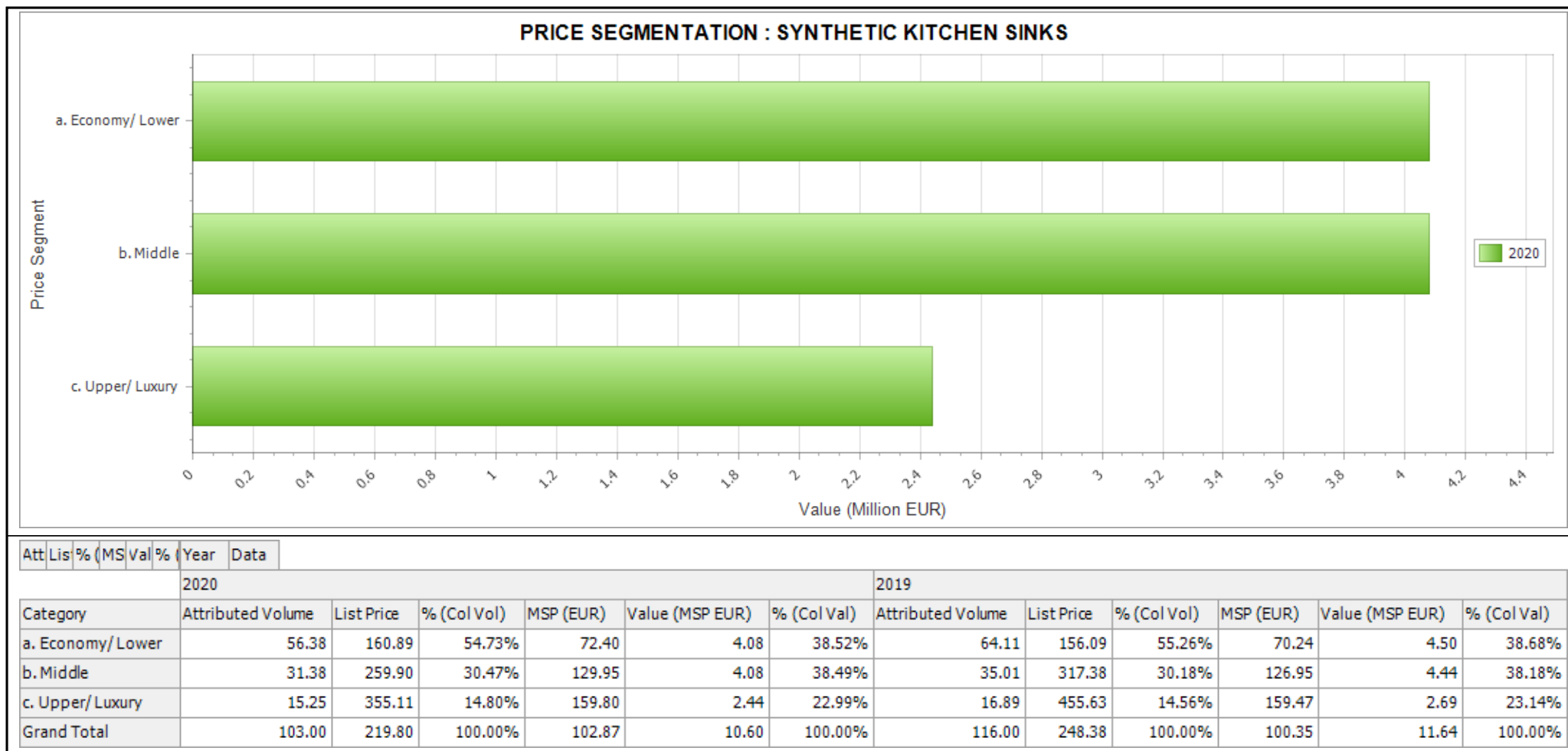


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

8.3.4 Price Segmentation : Synthetic Kitchen Sinks

IT - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC KITCHEN SINKS

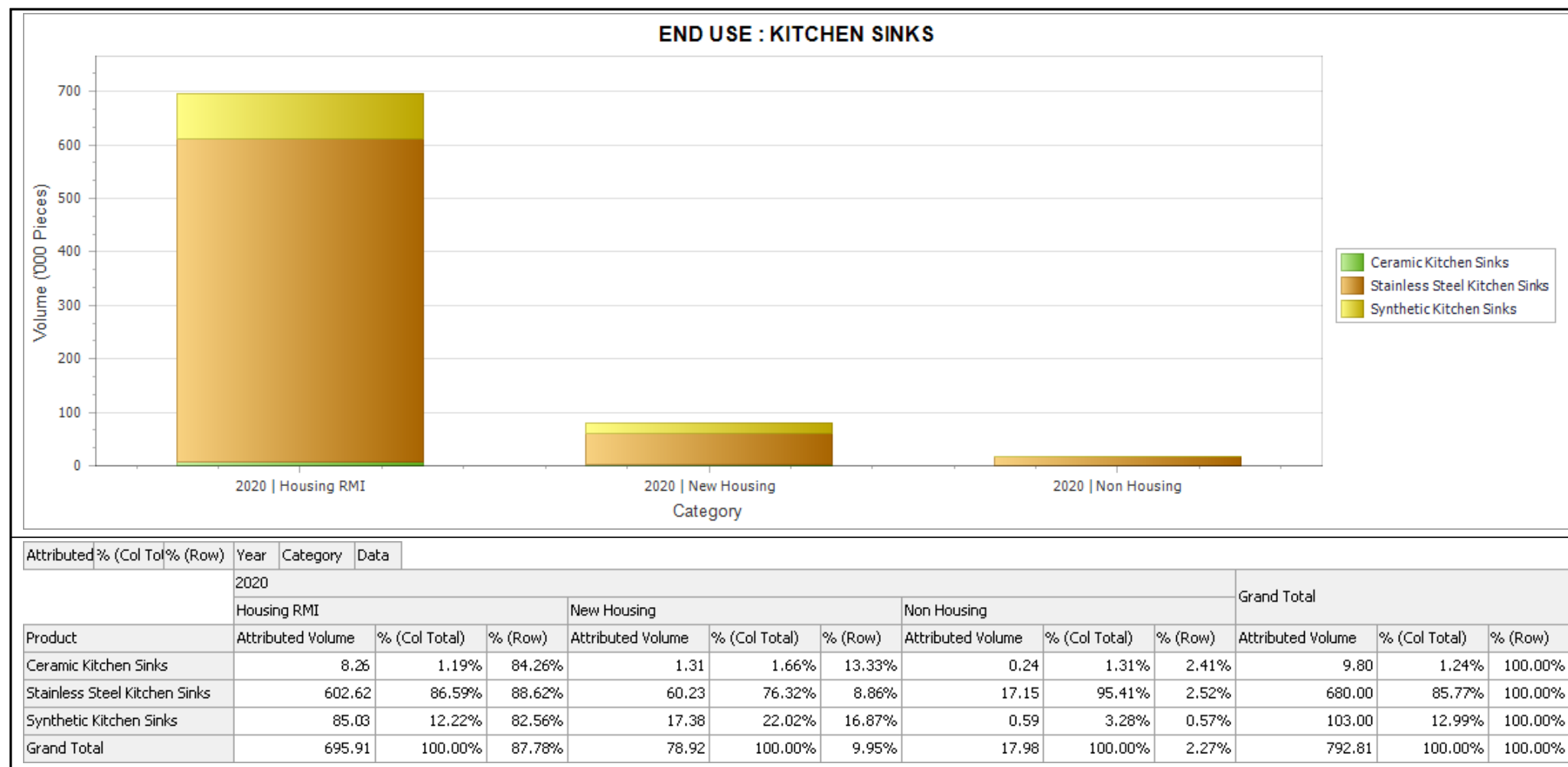


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€150, Upper/ Luxury >€150

8.4.1 End Use : Base Year

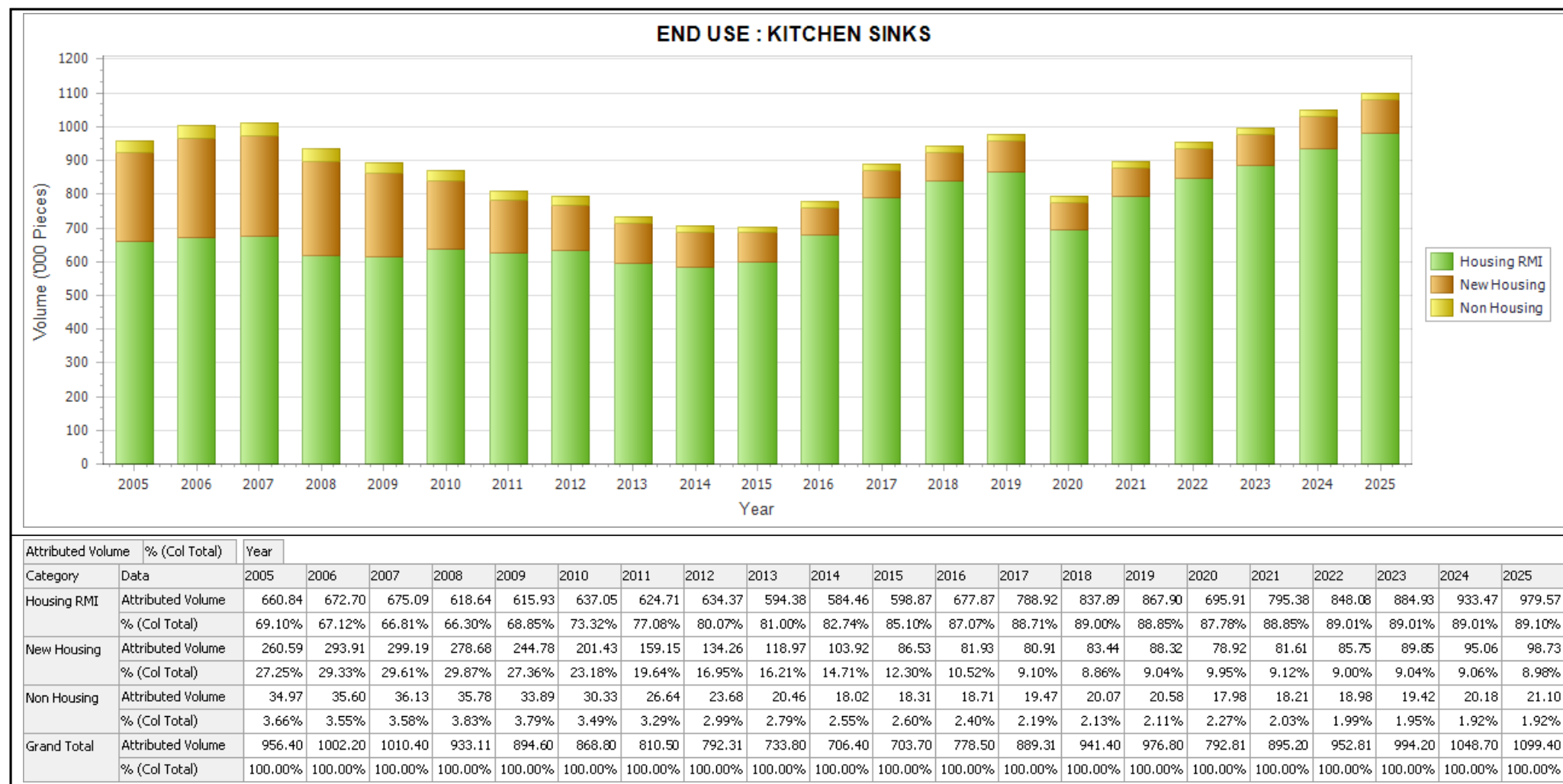
IT - SALES OF KITCHEN SINKS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.2 End Use : Historical and Forecasts

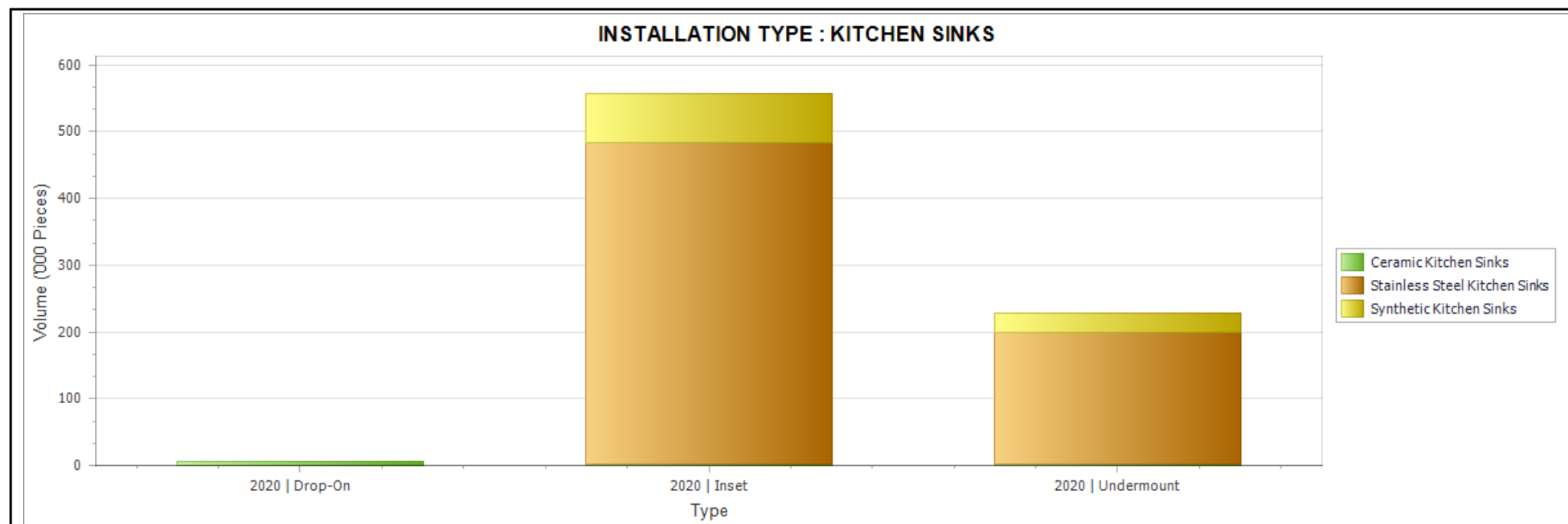
IT - SALES OF KITCHEN SINKS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.3 Sales by Type of Installation : Kitchen Sinks

IT - KITCHEN SINK SALES BY INSTALLATION TYPE ('000 PIECES)

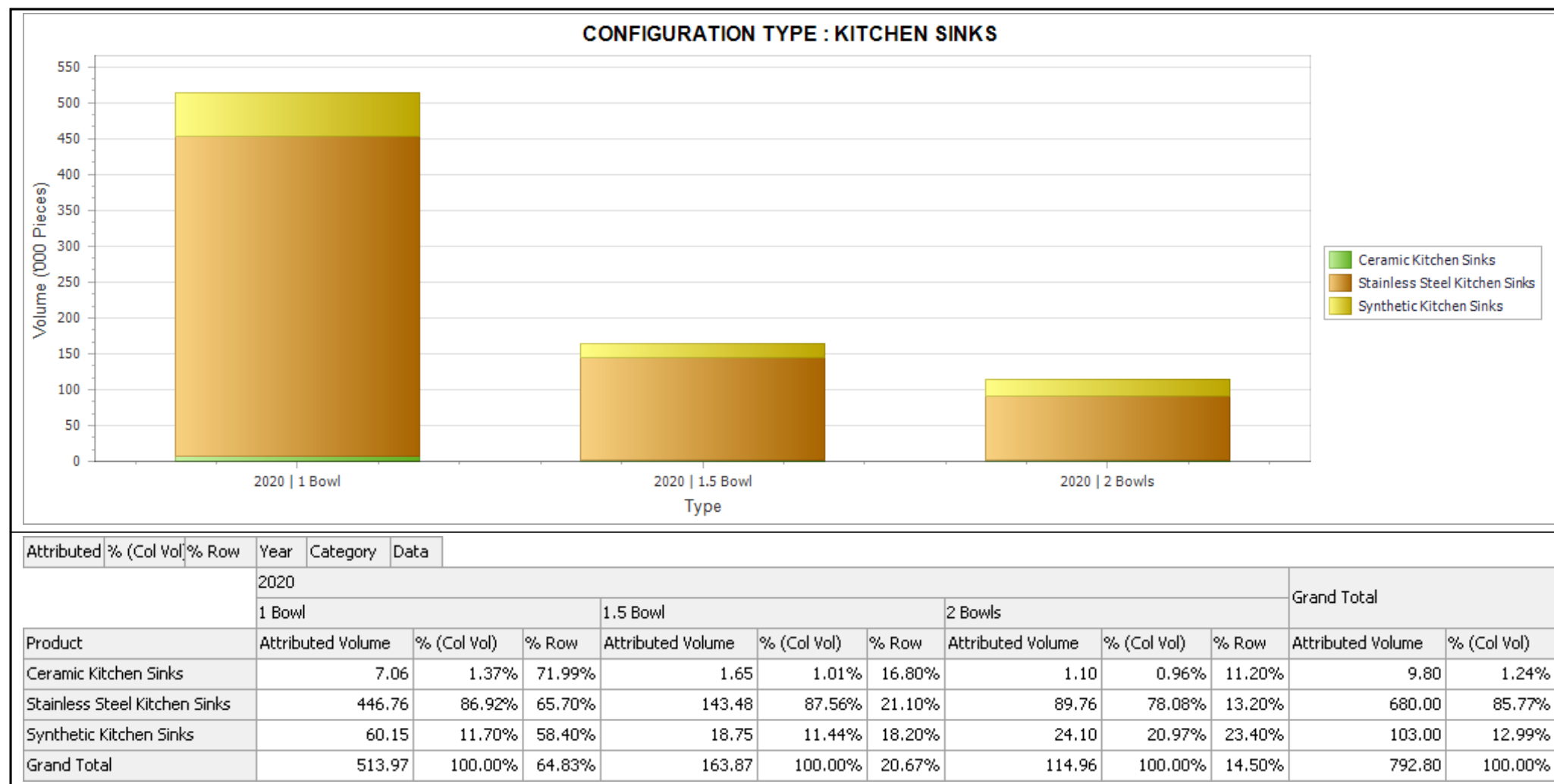


Attributed	% (Col Vol)	% Row	Year	Category	Data						
2020											
			Drop-On			Inset			Undermount		
Product	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)
Ceramic Kitchen Sinks	6.48	100.00%	66.10%	2.29	0.41%	23.41%	1.03	0.45%	10.50%	9.80	1.24%
Stainless Steel Kitchen Sinks	0.00	0.00%	0.00%	482.12	86.50%	70.90%	197.88	86.42%	29.10%	680.00	85.77%
Synthetic Kitchen Sinks	0.00	0.00%	0.00%	72.92	13.08%	70.80%	30.08	13.13%	29.20%	103.00	12.99%
Grand Total	6.48	100.00%	0.82%	557.34	100.00%	70.30%	228.99	100.00%	28.88%	792.80	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.4.4 Sales by Type of Configuration : Kitchen Sinks

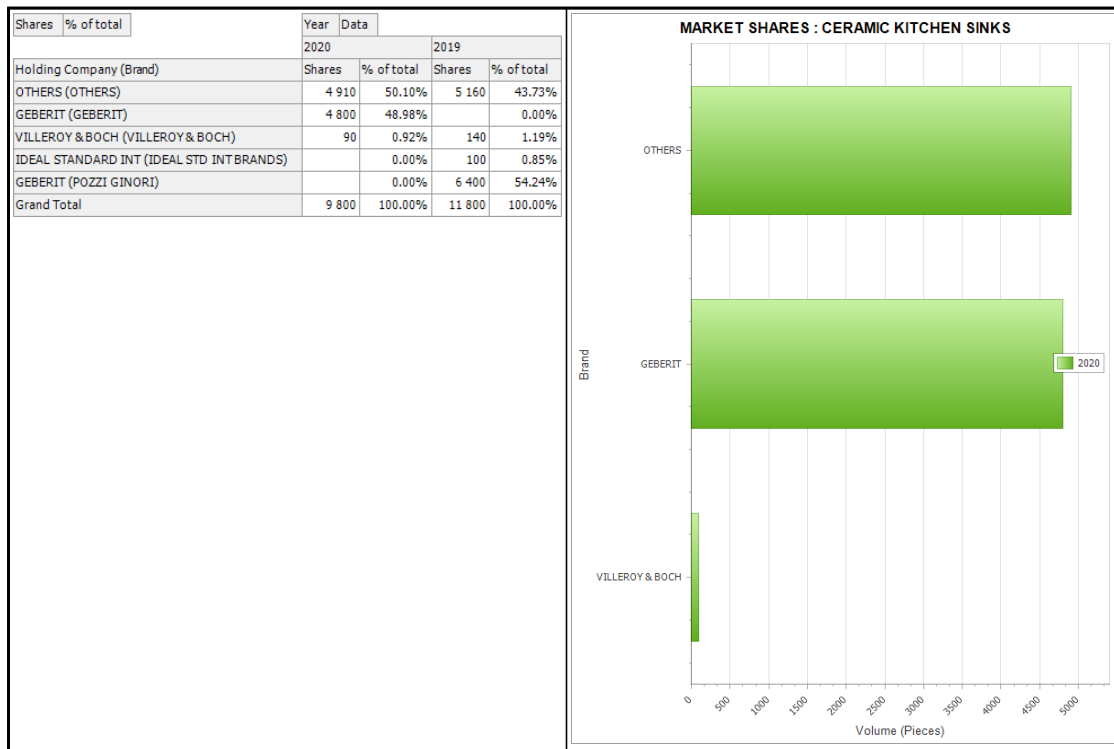
IT - KITCHEN SINK SALES BY CONFIGURATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

8.5.1 Market Shares : Ceramic Kitchen Sinks

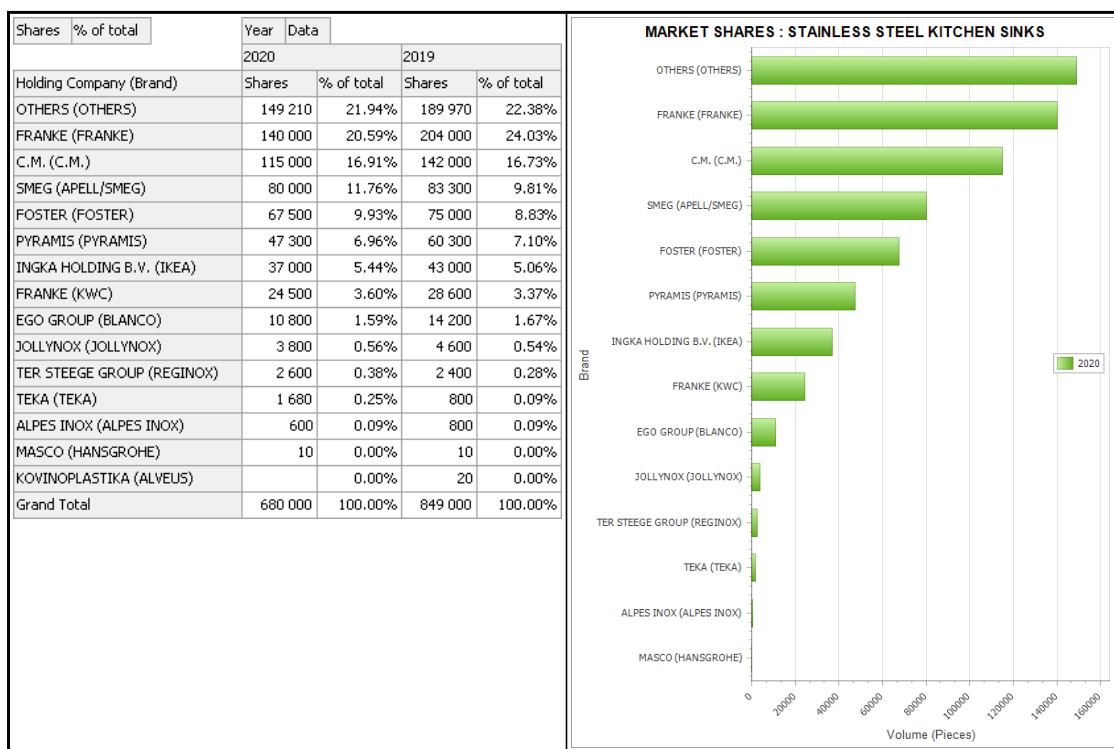
IT - ESTIMATED MARKET SHARES FOR CERAMIC KITCHEN SINKS



Source: BRG based on industry interviews

8.5.2 Market Shares : Stainless Steel Kitchen Sinks

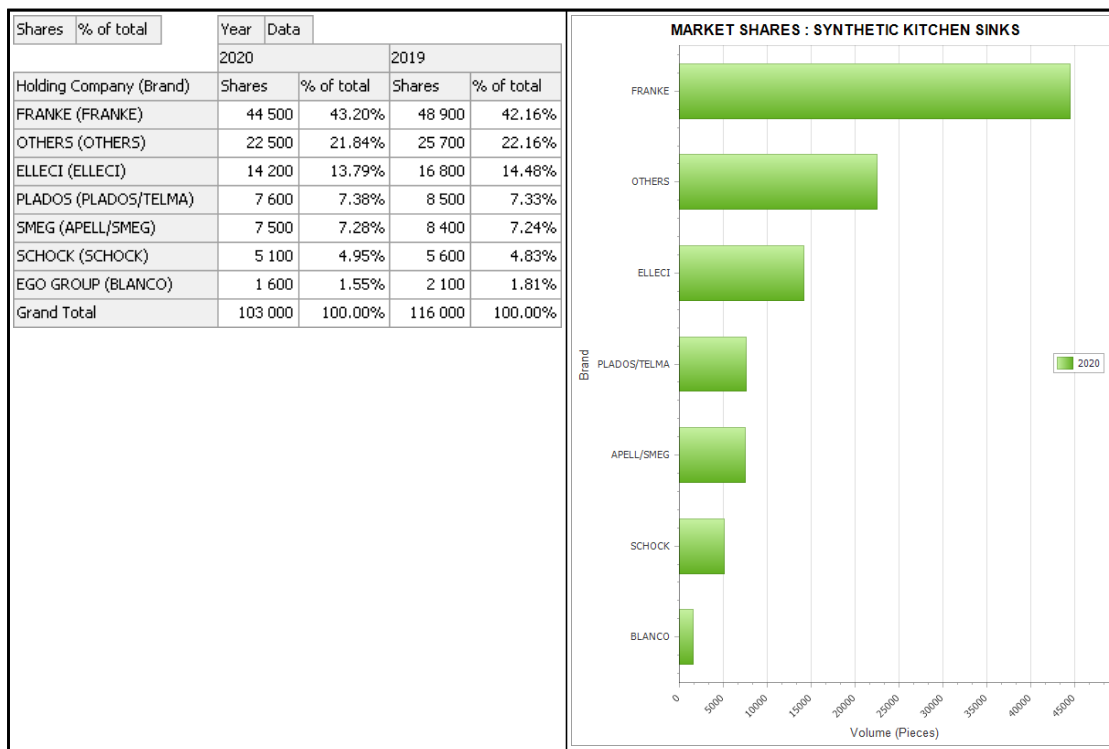
IT - ESTIMATED MARKET SHARES FOR STAINLESS STEEL KITCHEN SINKS



Source: BRG based on industry interviews.

8.5.3 Market Shares : Synthetic Sinks

IT - ESTIMATED MARKET SHARES FOR SYNTHETIC KITCHEN SINKS



Source: BRG based on industry interviews.

8.6.1

Route to Market: Kitchen Sinks
IT - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2020

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

61.7%
Worktop Manufacturers
61.7%

Wholesale Level

Manufacturers	Worktop Manufacturer
25.0%	10.2%
Wholesalers / Merchants	
35.2%	

Retail Level

Manufacturer	Worktop Manufacturer	Wholesaler
0.4%	0.0%	2.6%
Internet Retailers		
3.0%		

Manufacturer	Worktop Manufacturer	Wholesaler
2.9%	4.6%	2.6%
DIY Retailers		
10.1%		

Manufacturer	Worktop Manufacturer	Wholesaler
9.9%	46.9%	5.7%
Specialist Retailers		
62.5%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	24.0%	2.7%	2.9%	30.5%
Installers					
60.1%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.2%	0.3%	7.2%	32.0%	57.9%
Residential						
97.7%						
New Build				Residential RMI		
10.0%				87.8%		
Project		Non-Project		Project		Non-Project
3.0%		7.0%		5.1%		82.7%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	2.2%
Non-Residential						
2.3%						
New Build				Non-Residential RMI		
1.8%				0.5%		
Project		Non-Project		Project		Non-Project
1.4%		0.4%		0.1%		0.4%

8.6.2

Route to Market: Kitchen Sinks
IT - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS: 2025

Manufacturer / Importer

Manufacturers / Importers	
100.0%	

62.0%
Worktop Manufacturers
62.0%

Wholesale Level

Manufacturers	Worktop Manufacturer
27.0%	12.0%
Wholesalers / Merchants	
39.0%	

Manufacturer	Worktop Manufacturer	Wholesaler
0.7%	0.0%	2.8%
Internet Retailers		
3.5%		

Manufacturer	Worktop Manufacturer	Wholesaler
3.2%	5.5%	2.8%
DIY Retailers		
11.5%		

Manufacturer	Worktop Manufacturer	Wholesaler
7.1%	44.5%	5.9%
Specialist Retailers		
57.5%		

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist
0.0%	0.0%	26.0%	3.2%	4.5%	23.5%
Installers					
57.2%					

End Use Level

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	1.4%	0.3%	7.0%	34.0%	55.4%
Residential						
98.1%						
New Build				Residential RMI		
9.0%				89.1%		
Project		Non-Project		Project		Non-Project
2.7%		6.3%		5.2%		83.9%

Manufacturer	Worktop Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	1.8%
Non-Residential						
1.9%						
New Build				Non-Residential RMI		
1.6%				0.3%		
Project		Non-Project		Project		Non-Project
1.3%		0.3%		0.1%		0.2%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

8.6.3 Route to Market - Consolidated View : Kitchen Sinks

IT - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2020

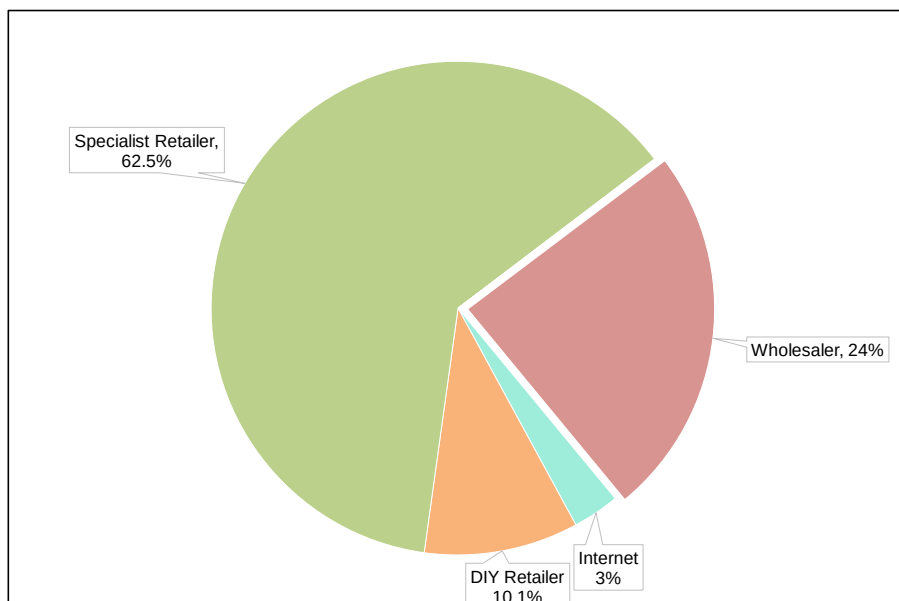
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.3%	3.0%	10.1%	62.5%	0.0%	8.1%	1.5%	89.7%	0.8%
100%					9.6%		90.4%	

8.6.4 Route to Market - Consolidated View : Kitchen Sinks

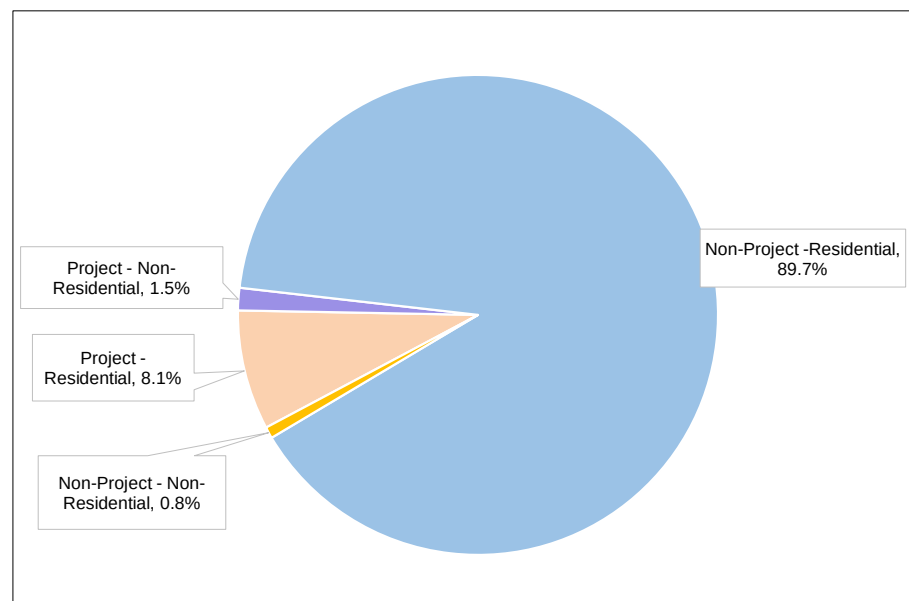
IT - ESTIMATED DISTRIBUTION FOR KITCHEN SINKS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
27.5%	3.5%	11.5%	57.5%	0.0%	7.9%	1.4%	90.2%	0.5%
100%					9.3%		90.7%	

IT - SALES OF KITCHEN SINKS BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF KITCHEN SINKS BY POINT OF DECISION AND END-USE SECTOR: 2020



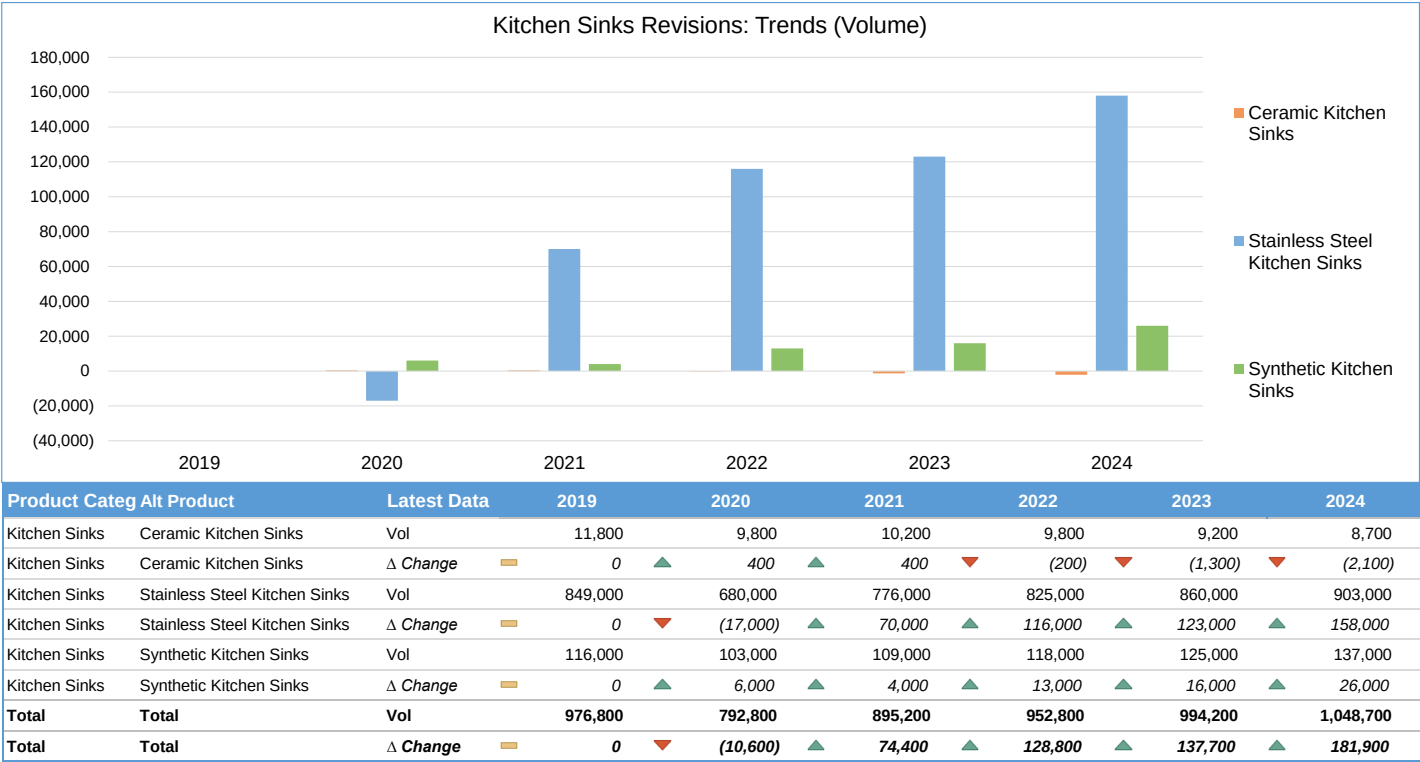
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

8.7 Revisions in the Italian Kitchen Sinks Market (April 2021)

IT - REVISIONS IN THE ITALIAN KITCHEN SINKS MARKET

Data Comparison: October 2020



No revisions were made to the historical market volumes for kitchen sinks.

The MSPs for stainless steel kitchen sinks were revised downwards for the years 2017-2019 due to revisions made to the supply structure, characterised by increasing imports from Greece, China and Turkey where average prices are lower.

ITALY

KITCHEN TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The connection of kitchen taps and mixers with kitchen sinks has been historically strong in a market that has been greatly driven by several ad-hoc measures and policies by the legislator, with the allocation of public budget money for the private market of renovation, in an effort to boost private consumption and complex refurbishment interventions. Like many markets, the kitchen taps and mixers market has closely followed construction activity and the dynamics of purchasing power. The rate of replacement of kitchen taps and mixers has in the post-economic downturn lost its strong connection to the substitutions of sinks, which occur once every 15 years or so.

The product mix in recent years has been characterised by a continuing dominance of one-head mixers in the kitchen, as a popular choice both in new housing and housing RMI. The two-head mixer has long remained a distant second, more popular in the south of the country.

In terms of distribution, the wholesaler category includes both generic ITS wholesalers and the more traditional kitchen appliance wholesalers. Overall, this channel represents around half of total sales volumes. The ITS wholesalers deal in all products relating to bathroom and heating, as well as building materials. They can operate both as showrooms and as wholesalers, with the aim of widening their product offer to accommodate demand coming from both consumers and installers.

A further implication of the specificity of domestic distribution is the government law requiring the installation of kitchen taps and mixers to be conducted by certified installers, with the goal of reducing domestic accidents. This does not mean, however, that all sales pass through the installer channel, as some consumers prefer to complete the purchase of the product themselves and involve the installer afterwards, to avoid the higher margins that installers place on products they have sourced.

Recent Market Trends

Continuing from the past years' trends, the kitchen taps and mixers market showed it is no longer a segment immune to the penetration of technology and design, and is able to combine water-saving solutions as well as versatility in use.

In 2020, the overall Italian kitchen taps and mixers market only marginally decreased when compared to the previous year, since demand deriving from RMI was almost unaffected by the crisis related to the COVID-19 pandemic. This demonstrates the potential for an increase in sales of these products in the Italian market.

According to a study conducted by ASSOARREDO, a further factor that has sustained the demand for kitchen taps and mixers in recent years can be linked to

the increased fragmentation of the products replaced, breaking with the past trend of the replacement of the whole kitchen, and hence the replacement of the sink closely following that of the related mixer.

The evolution of the product mix has continued with a shift in favour of the one-head mixers, stealing share from two-head and so continuing the long-term trend, while flexible mixers continue to have a strong performance in the non-housing segment, due to their wider radius of water supply.

The relevance of the DIY channel continued to gain further foothold in 2020 in the kitchen tap and mixer market, as consumers are attracted to a larger number of outlets with a greater choice of brands and greater price competitiveness. The relevance of the internet channel has increased further within the kitchen tap and mixer market, although it is quite underdeveloped, as the tap and mixer manufacturers that are moving towards this channel have a stronger presence in the bathroom product variants.

Prices and Market Values

In 2020 there was a decrease in prices of kitchen taps and mixers in the economy, lower and middle price segments, due to competition from imported, low-cost products, which resulted in a general decline in average MSPs. Prices in the luxury segment remained stable, whereas the higher sales within the medium to luxury price segments have twofold implications. If they confirm the increased attention of manufacturers to the quality of the product, they also corroborate the greater efforts of the supply chain to provide products that are able to meet a demand that is increasingly opting for water-saving, minimal and user-friendly product options.

New Housing

Taps and mixers going into new housing have traditionally been the trend-setters for the other end-use segments in terms of functional development and sustainable solutions. Sales in new housing tend to follow the housing market very closely, as they are usually of one set of mixers for every house built. The market therefore saw a decline in demand in 2020, in line with the new housing construction trend. To this extent, one-head mixers are dominant, and their offering includes an increasing share of showerette product variants.

Housing RMI

The sales for kitchen taps and mixers in the RMI segment tend to perform better than those for bathroom basin taps and mixers, as wear and intense usage tend to necessitate quick replacement due to the absence of alternatives (such as basin taps in the second bathroom). Over the past few years, the modest performance of private investment in extraordinary refurbishments in existing dwellings has been reflected in the cautious growth of one-head mixer sales, with minor shifts in favour of two-head mixers, which are known to have a higher average price. The widening of the availability of replacement components for kitchen taps within the ITS and

DIY channels indicates a high incidence of the partial replacement of such products, with a further postponement of the change of the whole tap.

Non-Housing

The non-housing segment is mainly represented by restaurants, bars and hotel-type business activities, and has a higher share of one-head mixers than any other segment, primarily due to the popularity of showerette mixers in restaurant kitchens.

Supply Structure

In recent years, the kitchen taps and mixers market has often been subject to major changes in the positioning of players, due mainly to the major changes in the distribution channels – wherein those manufacturers operating as specialists have seen important changes at the level of growth of demand.

As with sanitary taps and mixers, the higher relevance acquired by DIY and e-commerce has had a major impact on the price development of taps and mixers, with these channels becoming focal points in shaping the consumer choice of economy and lower-price products. The DIY channel is widening its product offering, as well as offering a greater choice of brands and number of outlets. Meanwhile the number of players distributing through internet specialists such as AMAZON, DESIVERO, and MANOMANO continues to grow. The expansion of e-commerce sales is further enhanced by the trend set by some manufacturers, which have begun to introduce their own online platforms, although these are primarily aimed at selling components without cannibalising their existing internet sales through online distributors.

In 2020, the leading players in the Italian kitchen taps and mixers market were local manufacturers, with PAINI holding the first position as a market leader – followed by PAFFONI. GROHE, the largest manufacturer of taps and mixers in Europe as a whole, in both the bathroom and kitchen markets, holds only the third position in terms of market share.

Kitchen taps and mixers are an exception within the product range covered by this research, in that they are generally manufactured by companies specialising in the bathroom sector and can often be sold in combination with kitchen products. An example of players whose core business is centred on products different to taps and mixers is that of several kitchen manufacturers within the 'others' category, namely APELL and KWC – which are among the major players within the kitchen sinks market.

However, the market is not impermeable to the entry of new players, as the launch of production of taps and mixers by MAMOLI, which is jointly owned by PAINI and FRANKE, has demonstrated.

Forecasts

In 2021, the acceleration of economic growth in Italy will depend on the combination of different factors, the first of which is the expectation that the coronavirus immunisation campaign will lead to widespread immunity by the end of the summer, and the second is the impact of measures that the government will put in place in order to contain any recurrence of the virus.

In 2021 sales of kitchen taps and mixers are projected to grow significantly when compared to the previous year, in line with the increase in private investment as well as the resumption in construction activity and improvement in RMI demand.

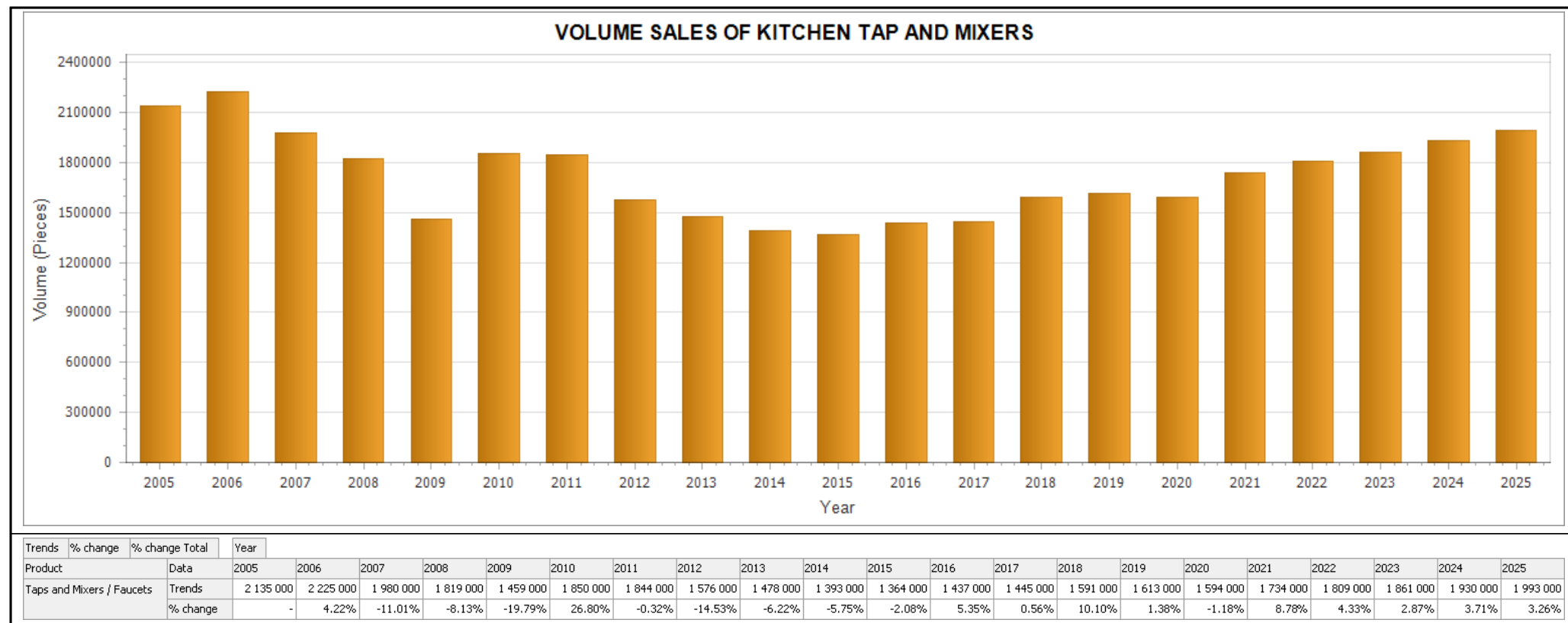
Replacement demand should continue to grow in 2022, and throughout the entire forecast period. The fact that the degree of activity of repair and upgrades in the kitchen is higher than in the bathroom confirms the ongoing general trend of the kitchen taps market performing better than the bathroom one, in terms of RMI demand. In fact, sales of kitchen taps and mixers are expected to grow in 2022 – and year on year over the forecast period.

Within the product mix, the share of one-head mixers is expected to increase marginally, while the trend of newer technologies should be in line with the fluctuation of non-housing and new-housing demand. The taps and mixers market is more sensitive to technological developments than those of other bathroom products, due to the recent influx of modern products that are slowly shifting consumer attitudes.

The development of the distribution chain within the kitchen taps market is likely to be a strong trend towards the DIY channel, increasingly in favour of the internet sector. The reluctance of the leaders within the kitchen taps market to expand their presence in the e-commerce platforms will likely be overcome with the adoption of new market strategies – to facilitate the access to such a channel for professionals and end-use consumers.

9.2 Historical Trends and Forecasts : Kitchen TM

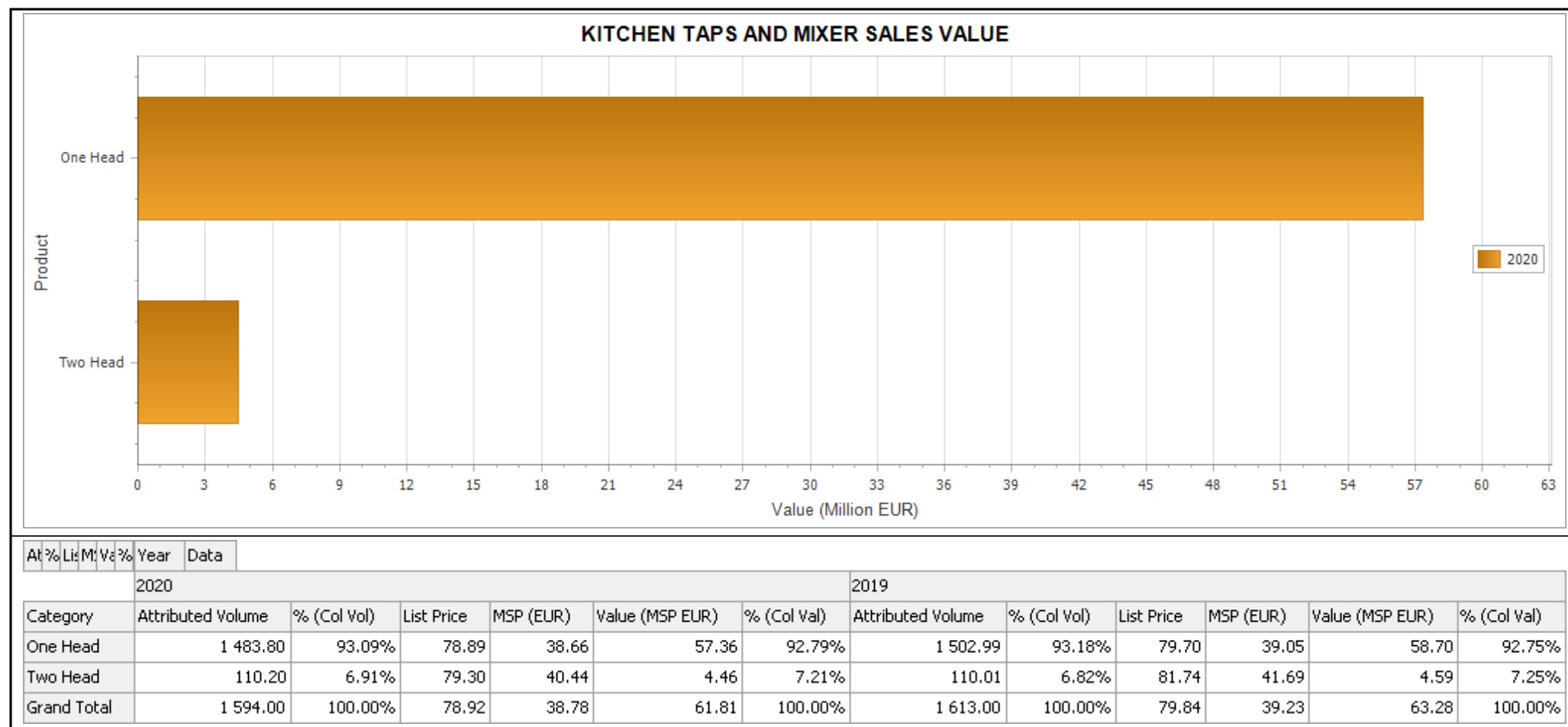
IT - SUMMARY OF TRENDS IN THE KITCHEN TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

9.3.1 Prices and Market Values : Kitchen Taps & Mixers

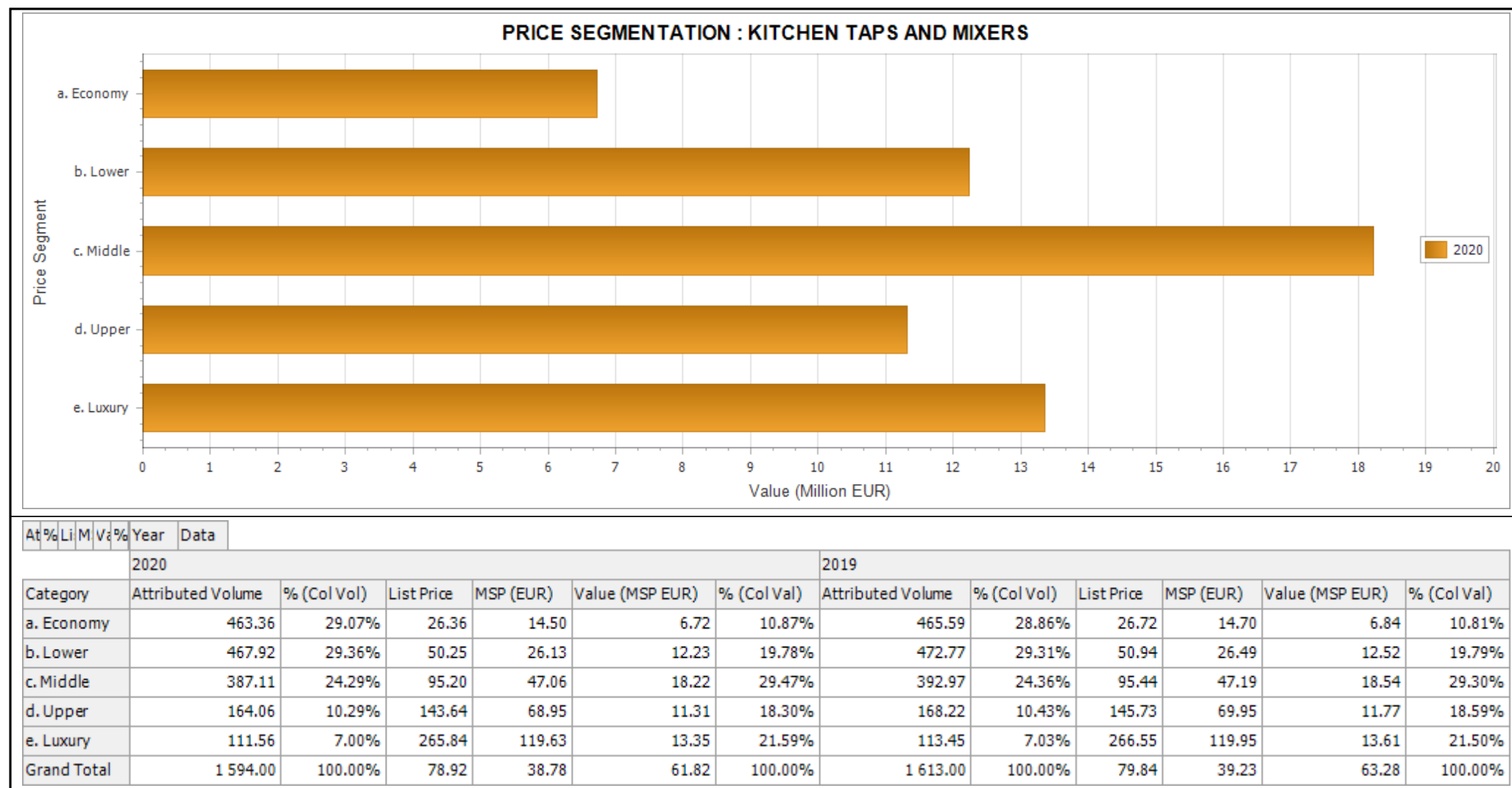
IT - ESTIMATED VALUES OF THE KITCHEN TAP AND MIXER MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price)

9.3.2 Price Segmentation : Kitchen Taps & Mixers

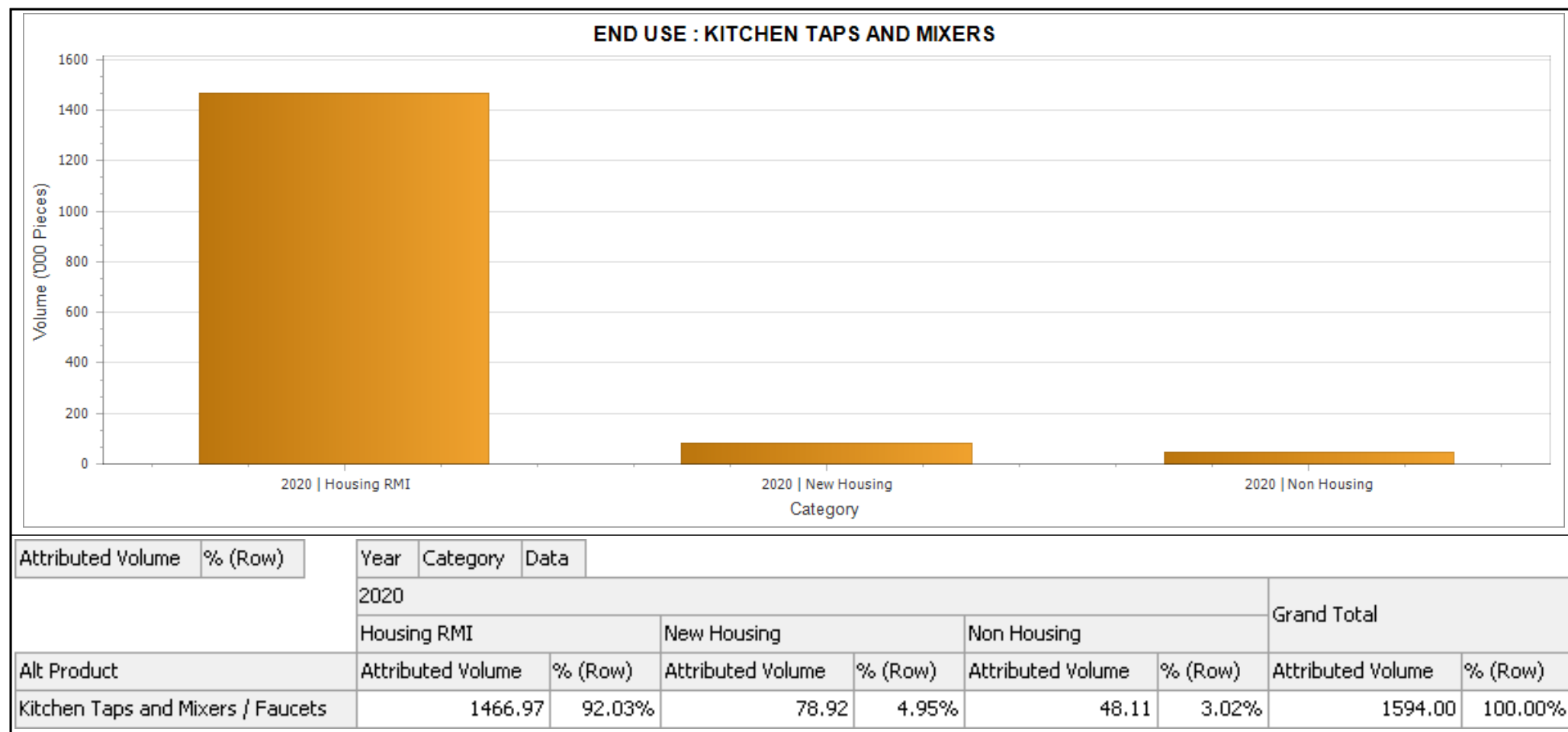
IT - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€80 and Luxury >€80

9.4.1 End Use : Base Year

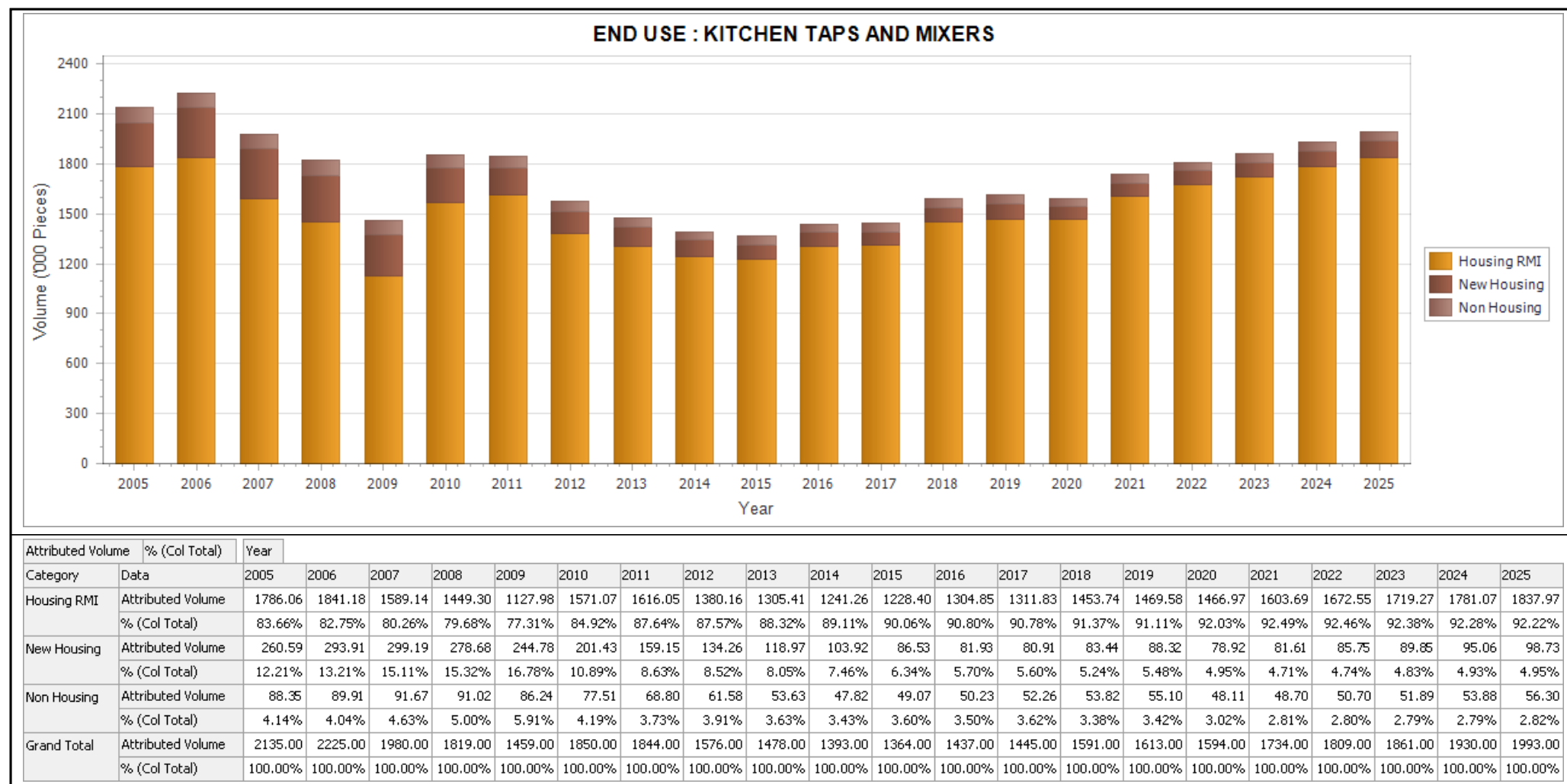
IT - SALES OF KITCHEN TAPS & MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.4.2 End Use : Historical and Forecasts

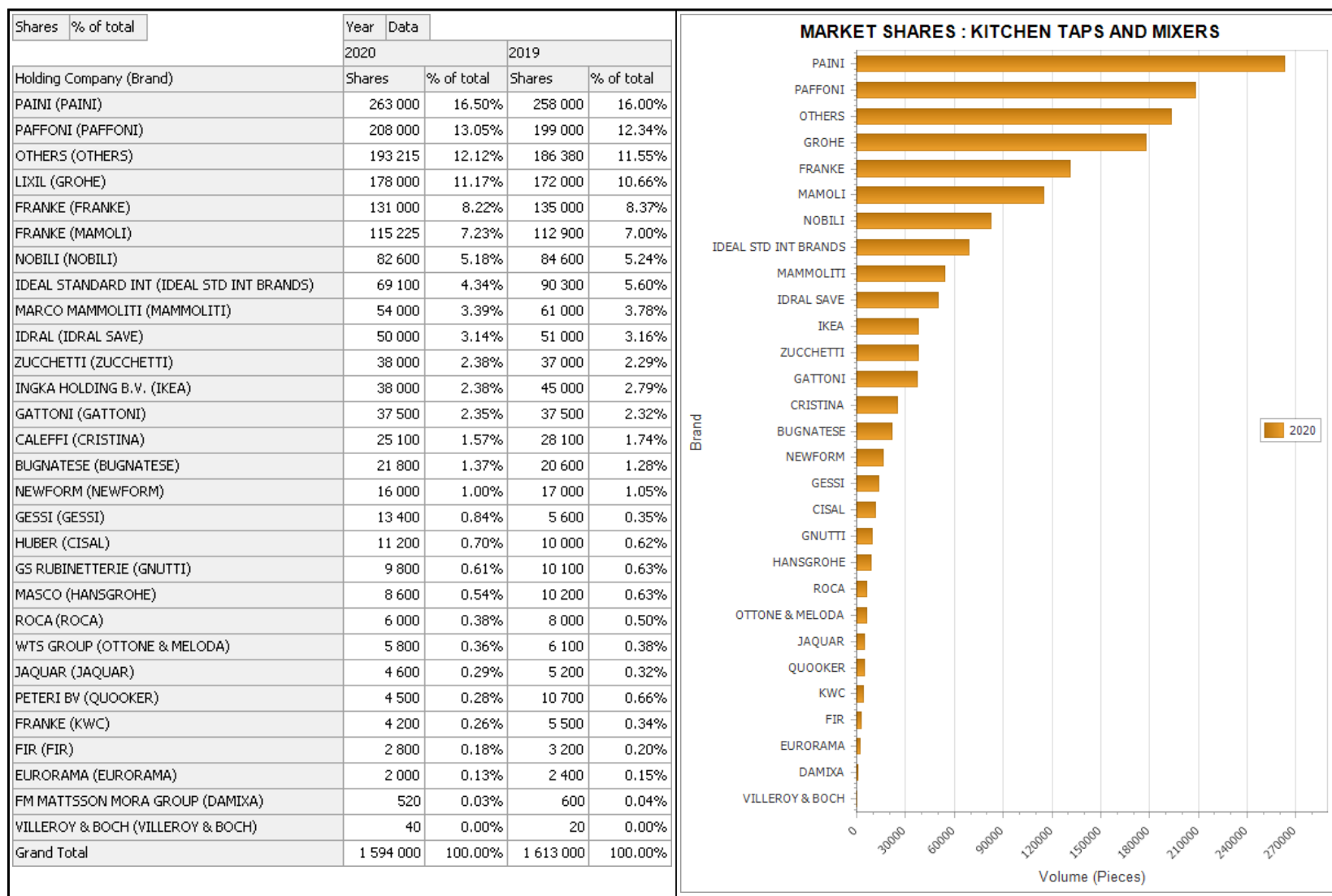
IT - SALES OF KITCHEN TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

9.5 Market Shares : Kitchen Taps & Mixers

IT - ESTIMATED MARKET SHARES FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews.

9.6.1

Route to Market: Kitchen Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

84.1%
Wholesalers / Merchants
84.1%

Retail Level

Manufacturer	Wholesaler
1.1%	2.5%
Internet Retailers	
3.6%	

Manufacturer	Wholesaler
5.1%	13.1%
DIY Retailers	
18.2%	

Manufacturer	Wholesaler
7.8%	36.0%
Specialist Retailers	
43.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	26.9%	0.7%	4.6%	10.9%
Installers				
44.0%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.7%	5.3%	2.9%	13.4%	32.8%	42.0%
Residential					
97.0%					

New Build			Residential RMI		
5.0%			92.0%		
Project	Non-Project		Project	Non-Project	
1.5%	3.5%		9.2%	82.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	0.3%	0.0%	0.3%	0.0%	2.0%
Non-Residential					
3.0%					

New Build			Non-Residential RMI		
1.0%			2.0%		
Project	Non-Project		Project	Non-Project	
0.9%	0.1%		0.5%	1.5%	

9.6.2

Route to Market: Kitchen Taps & Mixers / Faucets
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer

Manufacturers / Importers
100.0%

Wholesale Level

83.5%
Wholesalers / Merchants
83.5%

Retail Level

Manufacturer	Wholesaler
1.5%	3.0%
Internet Retailers	
4.4%	

Manufacturer	Wholesaler
5.9%	16.4%
DIY Retailers	
22.2%	

Manufacturer	Wholesaler
7.4%	34.8%
Specialist Retailers	
42.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	24.2%	0.9%	5.6%	9.2%
Installers				
40.7%				

End Use Level

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.6%	4.8%	3.5%	16.7%	33.0%	38.5%
Residential					
97.2%					

New Build			Residential RMI		
5.0%			92.2%		
Project	Non-Project		Project	Non-Project	
1.5%	3.5%		9.2%	83.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	0.3%	0.0%	0.0%	0.0%	2.2%
Non-Residential					
2.8%					

New Build			Non-Residential RMI		
1.1%			1.7%		
Project	Non-Project		Project	Non-Project	
0.9%	0.2%		0.6%	1.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

9.6.3 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2020

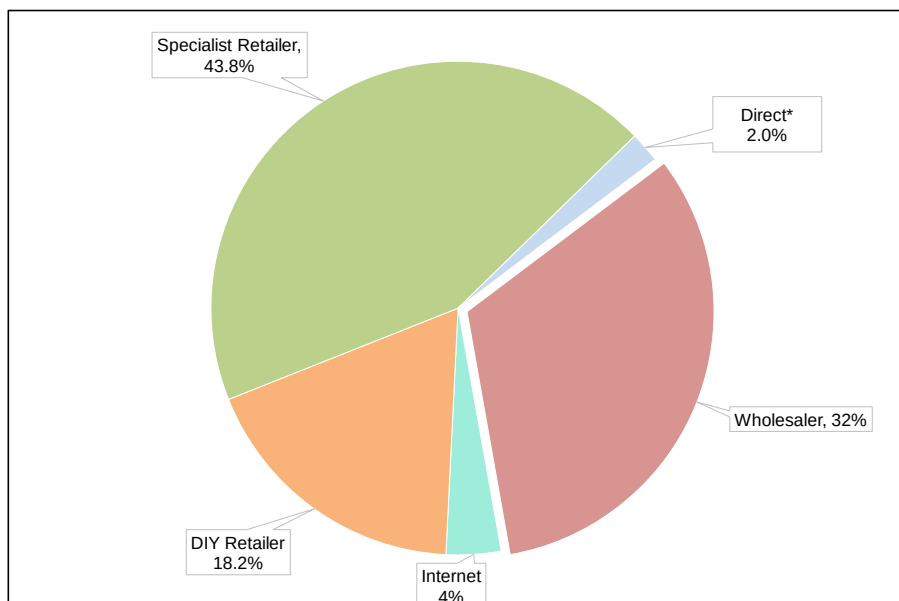
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
32.5%	3.6%	18.2%	43.8%	2.0%	10.7%	1.4%	86.3%	1.6%
100%					12.1%		87.9%	

9.6.4 Route to Market - Consolidated View : Kitchen Taps and Mixers / Faucets

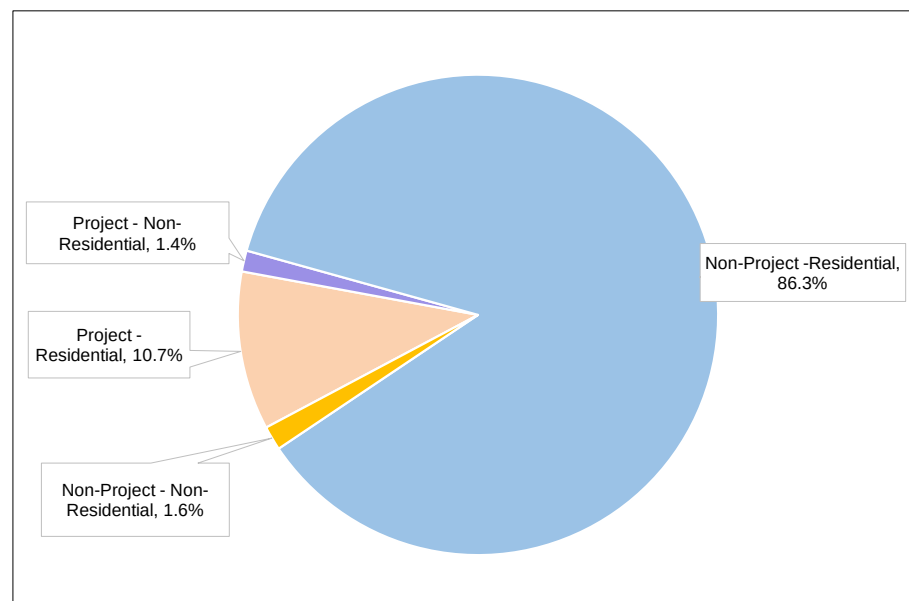
IT - ESTIMATED DISTRIBUTION FOR KITCHEN TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.3%	4.4%	22.2%	42.2%	1.8%	10.7%	1.5%	86.5%	1.3%
100%					12.2%		87.8%	

IT - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



IT - SALES OF KITCHEN TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



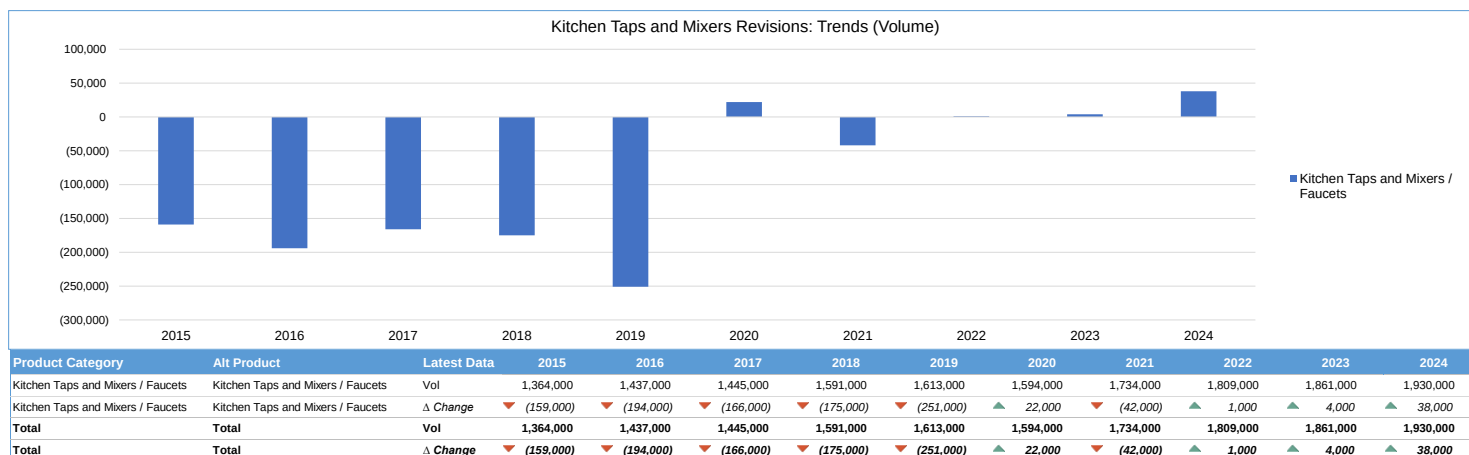
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

9.7 Revisions in the Italian Kitchen Taps and Mixers Market (April 2021)

IT - REVISIONS IN THE ITALIAN KITCHEN TAPS AND MIXERS MARKET

Data Comparison: October 2020



As with sanitary taps and mixers, downward revisions were also made to the market size for kitchen taps and mixers. This was largely the result of an overstatement of imports from China and less so from other European countries. Most leading manufacturers, most notable PAINI, NOBILI and PAFFONI, also produce in (South East) Asia, as well as producing locally in Italy, so some volumes were double counted in previously published data. These volumes have now been removed from the market. Domestic supply remains to be very strong on the Italian market for taps and mixers, with around 90 domestic manufacturers involved in the production of taps and mixers.

Strong downward revisions have been made to the MSP for kitchen taps and mixers. Italy is, similarly to Spain, a relatively low-priced market, characterised by a very high share of sales into the economy to middle price segments. Average prices in Italy are also kept low because DIY sales is gaining share, Chinese imports remains high, and continues to grow, both private label and the ones sourced by domestic players from Asia. Average prices in Italy remain to be above of those seen on the Spanish market but are generally low in comparison to France and Germany, with an average MSP of around €20 per kilogram. Imported mixers are even lower priced, despite the influence of Germany imports on average prices, which, on average, cost around €14 to €16 per kilogram. This means that prices for taps and mixers vary between €35 to €38 for domestically produced mixers but below €30 for imported mixers, with imports from Germany being the highest priced and Chinese the lowest.